The Architecture of National Unity

Research Dossier, Phases 2-6 (working papers R1-R6)

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Contents

Phase 2: Historical Foundations (R1) **2**
R1 – The Making and Remaking of the Indonesian State: A Political History of Centre, Region and Resource (c. 1850-2026) 2

Phase 3a: Kalimantan Data and the Resource Sovereignty Paradox (R2) **41**
R2 – Kalimantan Comparative Data and Analysis: Production, Retained Income and Government Revenue in Indonesia's Resource Provinces 41

Phase 3b: Political Economy of Resources and Fiscal Relations (R3) **74**
R3 – The Political Economy of Resources and Fiscal Relations 74

Phase 4: Nationalism, Mass Psychology and Legitimacy (R4) **110**
R4 – Nationalism, Mass Psychology, Legitimacy and Propaganda 110

Phase 5: Comparative Political Systems (R5) **162**
R5 – Comparative Political Systems: Resource Wealth, Identity, Fiscal Bargains and the Survival or Dissolution of Unions 162

Phase 6: Regime Survival, Transformation and Collapse (R6) **202**
R6 – Regime Survival, Transformation and Collapse 202

Note on status. These six working papers are research inputs, not manuscript chapters. [V] marks a claim checked on an opened page; [E] marks a claim from a search excerpt or established knowledge, still to be verified before it enters the manuscript. Corrections found by the agents are listed at the end of each paper under Disputes and uncertainties.

Phase 2: Historical Foundations (R1)

R1 – The Making and Remaking of the Indonesian State: A Political History of Centre, Region and Resource (c. 1850-2026)

Research paper R1 for the monograph The Architecture of National Unity. *Authors of the monograph: M. Bagus Prabowo and Hark (co-authored: the project was conceived and directed by M. Bagus Prabowo; Hark's research agents gathered and drafted this paper). Draft prepared 7 November 2026 (WIB).*

Evidence conventions (per FRAMEWORK.md): **[V]** = the claim was checked on a page that was opened during this research (URL in the Sources list); **[E]** = drawn from search excerpts or established scholarship and not re-opened here. Interpretive claims are attributed as *(interpretation: Author year)*; the paper's own conjectures are marked *(hypothesis)*. Where a [V] rests on a Wikipedia article rather than on a primary or official source, the Sources list says so; such claims should be upgraded to archival or peer-reviewed citations in Phase 8.

Key findings

1. **The Indonesian state was assembled from a colonial administrative shell, not from a pre-existing nation, and most of the later centre-region bargains were struggles over who would inherit the colonial apparatus of extraction.** The Dutch "outer islands" consolidation of c. 1850-1910 (including the Banjarmasin War of 1859-1863, with sporadic fighting to 1905 [V]) was driven heavily by coal, oil and commercial security; the oil economy of East Kalimantan dates from the first drilling at Balikpapan on 10 February 1897 [V] and the creation of the Shell subsidiary BPM in 1907 [V].

2. **National identity preceded the state and was engineered deliberately.** The Budi Utomo society (founded 20 May 1908 [V]) and above all the Youth Pledge of 28 October 1928, with its formula of one motherland, one nation and one unifying language [V], gave the later Republic a ready-made, non-ethnic (non-Javanese) language of belonging. This is the single most important "soft" asset the centre has held over the regions *(interpretation: Anderson 1991; Bertrand 2004 [E])*.

3. **Federalism in Indonesia is historically stigmatised.** Because the Dutch built the 1949-50 United States of Indonesia (RIS) – sixteen entities, fifteen of them Dutch creations [V] – "federalism" became associated with colonial divide-and-rule. The unitary turn of 17 August 1950 [V] was therefore experienced as decolonisation, not centralisation. This framing still constrains regional demands in 2026 *(interpretation: Feith 1962; Kahin 1952 [E])*.

4. **The most dangerous regional challenge of the 1950s (PRRI/Permesta) was a revolt of resource-exporting regions and regional army commanders against fiscal and political centralisation, not a secessionist movement.** Its leaders demanded a different government in Jakarta, not exit [V]. It was defeated militarily (1958-61) and politically discredited by visible US covert support [V], which allowed the centre to frame regional fiscal grievance as foreign-backed subversion *(interpretation: Kahin & Kahin 1995 [E]).*

5. **Every durable regime has rested on a combination of a national narrative, control of the armed forces, and a fiscal redistribution formula that over-compensates poorer regions and under-compensates producing regions.** Under the New Order this formula was centralised oil and timber rent (Pertamina was created in 1968 and defaulted in 1975 with debts above US$10 billion, roughly 30% of GNP [V]); after 1999 it became a rule-based transfer system (UU 22/1999, enacted 7 May 1999 [V]; UU 25/1999 [E]; implemented from 1 January 2001 [E]).

6. **Regimes collapsed when the economic leg failed at the same time as elite cohesion.** Guided Democracy fell in the economic chaos and violence of 1965-66; the New Order fell when the 1997-98 crisis destroyed its developmental legitimacy and elites defected (Suharto resigned 21 May 1998 [V]). In neither case did the *state* fragment, except for East Timor, whose incorporation had never been internationally accepted.

7. **The post-1998 settlement contained secessionist pressure by *differentiation*: special autonomy for Aceh (Helsinki MoU 15 August 2005 [V]; UU 11/2006, 1 August 2006 [V]) and Papua (UU 21/2001 [E], amended by UU 2/2021, 19 July 2021 [V]), recognised monarchy in Yogyakarta, and a special capital regime in Jakarta.** Producing regions without a history of armed revolt – East Kalimantan above all – received no comparable status. Their attempts to obtain better terms through the courts failed (MK 71/PUU-IX/2011, petitions rejected 12 September 2012 [V]; 23/PUU-XIII/2015, inadmissible 4 August 2015 [V]).

8. **This creates an uncomfortable incentive structure *(hypothesis)*: the Indonesian system has rewarded regions that demonstrated a capacity for violence with fiscal and symbolic concessions, while regions that pursued grievances constitutionally received few.** The hypothesis must be tested against counter-evidence (e.g., special status for DIY and DKI, which had nothing to do with rebellion, and the very large DBH flows East Kalimantan already receives).

9. **Kalimantan never produced a major armed separatist movement, despite rebellion (Ibnu Hadjar, 1950-63 [V]), interethnic mass violence (Sanggau Ledo 1996-97, Sambas 1999, Sampit 2001 [V]) and resource grievances.** The best-supported explanations are: (a) colonial-era integration through sultanates co-opted rather than conquered (except Banjar); (b) the absence of a pre-colonial or proto-national state identity covering the island's Indonesian portion; (c) extreme internal heterogeneity (Dayak sub-groups, Banjar and Kutai Malays, Bugis, Javanese, Madurese, Chinese) that turned conflict horizontal rather than vertical; (d) channelling of Dayak aspirations into new provinces (Central Kalimantan 1957 [E]; North Kalimantan 2012 [V]) and new regencies; (e) the Konfrontasi (1963-66 [V]) and subsequent counter-insurgency, which securitised the border and made "Borneo" identity politically suspect; and (f) elite incorporation into national parties and rent networks.

10. **IKN Nusantara (UU 3/2022, 15 February 2022 [V]; amended by UU 21/2023, 31 October 2023 [V]) is the most important change in Kalimantan's position since**

1950, but in 2026 its status is ambiguous. Annual central spending fell from Rp43.3 trillion (2024) to Rp4.7 trillion (2025) and Rp6.26 trillion budgeted for 2026 [V], later cut to an effective ceiling of Rp5.47 trillion [V]; the Constitutional Court ruled on 12 May 2026 that Jakarta remains the capital until a presidential decree on relocation is issued (Decision 71/PUU-XXIV/2026 [V]); the government's stated target is a "political capital" by 2028 under Perpres 79/2025 [V].

11. **The historical record does not support a simple story in which resource wealth produces separatism or in which national identity alone produces unity.** Aceh (gas) and Papua (copper, gold) rebelled; East Kalimantan (oil, gas, coal, timber) did not. The variable that most consistently separates them is a historically grounded, territorially coherent counter-narrative of nationhood plus a record of state violence against a defined group *(interpretation: Aspinall 2009; Bertrand 2004 [E]).*
12. **Disputed areas** – the death toll and causation of 1965-66, the extent of US involvement in 1958 and 1965, the role of elites in instigating the Kalimantan ethnic violence, and the status of IKN – are flagged in the "Disputes and uncertainties" section and should not be resolved by assertion in the monograph.

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1. Purpose, scope and analytical template

This paper supplies the historical spine for Phase 2 of the monograph. Its task is not to retell Indonesian history but to answer, for each of thirteen periods identified in BRIEF Sec. 3, the same seven questions:

1. **Who held power?** (persons, institutions, coalitions)
2. **What maintained legitimacy?** (Weberian bases: charismatic, legal-rational, traditional; plus performance or developmental legitimacy, and coercion as a substitute for legitimacy)
3. **How were resources distributed?** (between centre and regions, among elites, between producers and consumers of rent)
4. **What were the incentives of regional elites?** (to cooperate, bargain, defect, rebel, or capture)
5. **What role did national identity play?**
6. **What institutional failures occurred?**
7. **Why did the order survive, transform or collapse?**

To keep the analysis comparable across periods, each section ends with a compact "seven-question" block. A final section (Part III) asks the monograph's central question of the record as a whole: why have economically powerful regions remained integrated, and when has integration come closest to failing?

Two clarifications of scope. First, "Kalimantan" in this paper means Indonesian Borneo (today five provinces: West, Central, South, East and North Kalimantan); Sabah, Sarawak and Brunei are referred to only for contrast (they belong to R5). Second, "region" is used loosely for provinces, regencies, former sultanates and federal states; where the distinction matters, it is drawn.

A distinction from BRIEF Sec. "Regime survival/collapse" is used throughout: (1) government instability, (2) regime transformation, (3) constitutional transition, (4) state failure, (5) territorial fragmentation, (6) peaceful dissolution of a union. Indonesia since 1945 has experienced (1), (2) and (3) repeatedly; (4) only locally and briefly; (5) once (East Timor, 1999, an annexed territory); and (6) once in a qualified sense (the dissolution of the RIS federation into a unitary state in 1950 – a union dissolved *inward*).

PART I – THIRTEEN PERIODS

Period 1. Dutch colonial consolidation (c. 1816-1942), with special reference to Kalimantan

Narrative. The Netherlands East Indies of 1942 was a late creation. For most of the nineteenth century Dutch authority outside Java was a patchwork of coastal treaties with indigenous rulers. After British rule returned the archipelago to the Dutch in 1816, Batavia signed new contracts with rulers such as the Sultan of Banjarmasin; by January 1817 the Sultan's flag had been replaced by the Dutch one, and effective power shifted progressively to the Dutch Resident [V]. Consolidation of the "outer islands" (*Buitengewesten*) accelerated from the 1840s and especially after c. 1870 under the pressures of commercial liberalisation, fear of British and other European competition in Borneo (Brooke's Sarawak from 1841; the North Borneo Chartered Company from 1881 [V]), and the search for coal, oil, rubber and tin [E].

South Kalimantan and the Banjarmasin War. The Banjarmasin War (*Perang Banjar*) began as a succession dispute that the Dutch had themselves provoked: in 1852 they imposed Tamjidillah, a grandson considered illegitimate, as heir, rejecting Sultan Adam's preferred successor Hidayatullah [V]. After Adam's death in November 1857 and rising resistance, the conflict escalated in 1859 with attacks on the colonial coal mines – on 1 May 1859 Europeans at the Julia Hermina mine at Kalangan were killed, three days after an attack on the Pengaron mining complex [V]. The Dutch abolished the Sultanate and placed the territory under direct rule [V]. Prince Antasari led continued resistance until his death from smallpox on 11 October 1862 [V]; the main war ended in Dutch victory in 1863 and sporadic fighting continued until 1905, when Muhammad Seman was killed at Baras Kuning [V]. The war is significant for this monograph for three reasons: (i) it was in part a war over the coal that powered Dutch steam navigation (*interpretation: the mines were among the first targets* [V]); (ii) it is the only case in which a major Kalimantan polity was destroyed rather than co-opted; and (iii) Antasari was later rehabilitated by the Republic as a *national* hero, a classic example of a regional resistance memory being nationalised rather than left to sustain a regional counter-narrative [E].

East Kalimantan: Kutai and Bulungan. The east coast followed a different path: co-optation. The Sultanate of Kutai Kartanegara – tracing its lineage to the fourteenth century and Islamised by the late sixteenth [V, low reliability] – accepted Dutch suzerainty through contracts in 1844-1850 (the Bulungan article records a *politiek contract* with Kutai on 12 November 1850 [V]) and retained substantial internal autonomy as a *zelfbestuur* [V]. To the north, the Sultanate of Bulungan (founded as a sultanate in 1731 [V]) became a Dutch protectorate by treaty in 1834, was incorporated into the Netherlands Indies in June 1878, and was later placed under the *korte verklaring* (short declaration) in 1909 with its finances managed through colonial treasuries [V]. Dutch rule there remained nominal until oil and rubber were found in the late nineteenth century [V]. In December 1914, when the Dutch raised taxes on oil-related transactions, a tax revolt led by Datu Adil erupted around Salimbatu and

was suppressed [V] – an early instance of local resentment at the fiscal terms of extraction.

Oil. The modern East Kalimantan economy begins with oil. The first drilling at Balikpapan took place on 10 February 1897 (later celebrated as the city's anniversary) [V]. In 1907 the Royal Dutch and Shell groups created the Bataafsche Petroleum Maatschappij (BPM) [V], which made Balikpapan its regional headquarters and brought in foreign engineers and managers [V]; BPM also developed Tarakan and Bunyu in Bulungan's territory [V]. In the 1920s BPM produced more than 95% of the colony's crude oil [V]. Note for precision: the BRIEF's phrase "oil at Balikpapan/BPM from 1897" conflates two dates – drilling from 1897, BPM from 1907.

Kalimantan's colonial political economy therefore had three features that would echo after independence: (a) extractive enclaves (Balikpapan, Tarakan, Pengaron) tied directly to Batavia and The Hague, not to the surrounding hinterland; (b) indirect rule through sultanates whose aristocracies were paid stipends and whose subjects often included Dayak communities with little loyalty to the coastal courts; and (c) a thin colonial administrative presence in the interior, where Dutch posts were established only from the 1890s-1910s (e.g., Tanjung Selor 1893; Apo Kayan from 1911 [V]).

Seven-question analysis.

- *Who held power?* The Governor-General in Batavia, answerable to The Hague; Dutch Residents; and, under indirect rule, co-opted sultans and their aristocracies. Corporate actors (BPM, the coal concessions) held de facto power in enclaves.
- *Legitimacy.* Essentially coercive and contractual: treaties with rulers, backed by military superiority; from 1901 the "Ethical Policy" added a developmental and paternalist justification [E]. Among subjects, legitimacy was mediated through rulers' traditional authority.
- *Resource distribution.* Colonial revenue flowed to Batavia and the Netherlands (the *batig slot* tradition [E]); sultans received stipends and concession fees; local populations received little. Labour was imported (Javanese, Chinese) for mines and plantations – the origin of Kalimantan's later demographic heterogeneity [E].
- *Regional elite incentives.* For co-opted sultans, cooperation preserved status and income; resistance (as in Banjar) risked abolition. The Banjar precedent was a powerful demonstration effect.
- *National identity.* Absent; identities were dynastic, religious, ethnic and local.
- *Institutional failures.* Arbitrary interference in succession (Banjar) produced war; tax increases produced revolts (Bulungan 1914). The colonial state never built representative institutions with real power outside Java (the Volksraad from 1918 was advisory and Java-centred [E]).
- *Why it survived and why it ended.* It survived through military dominance and co-optation; it ended not from internal revolt but from external shock – the Japanese invasion of 1942 – which destroyed Dutch prestige and opened space for the nationalist movement [V].

Period 2. The independence movement (1908-1945)

Narrative. The Indonesian nation as a political idea emerged from the colonial school system and the urban press. The Budi Utomo society held its first congress on 20 May 1908 among students of the STOVIA medical school in Batavia [V]; it was elite, largely Javanese and initially cultural, with 10,000 members in 40 branches by 1910, and it dissolved in 1935 [V]. Its founding date is now commemorated as National Awakening Day, although historians note that using Budi Utomo to mark

the start of modern nationalism is contested, since it was regional and aristocratic in outlook [V]. More mass-based organisations followed – Sarekat Islam (1912), the Indische Partij, the Communist Party (PKI, 1920) and the Indonesian Nationalist Party (PNI) founded by Sukarno in 1927 [E].

The decisive symbolic act was the Second Youth Congress in Batavia in October 1928. At its closing session on 28 October 1928, delegates of youth organisations from across the archipelago adopted the *Sumpah Pemuda* (Youth Pledge), declaring one motherland (Indonesia), one nation (Indonesian) and the upholding of a unifying language (Indonesian); W. R. Supratman's song "Indonesia" (later "Indonesia Raya") was played [V]. The pledge's choice of a Malay-based language – the lingua franca of trade, not the language of the largest ethnic group (Javanese) – is widely regarded as the most consequential design decision in Indonesian nation-building *(interpretation: Anderson 1991; Bertrand 2004 [E])*. It allowed people in Kalimantan, Sumatra and the eastern islands to join a nation without first becoming Javanese.

Sukarno and Mohammad Hatta (a Minangkabau from West Sumatra) emerged as the leading figures. Dutch repression intensified in the 1930s: Sukarno, Hatta and Sutan Sjahrir were exiled [E]. The Japanese occupation (1942-45) was transformative: it destroyed Dutch authority, mobilised youth in paramilitary organisations, promoted Indonesian as the language of administration, and gave Sukarno a mass platform [E]. In Kalimantan, the occupation was administered by the Japanese Navy and was exceptionally brutal: the Mandor killings of 1943-44 in West Kalimantan eliminated a large part of the local elite, including members of sultanate families [E]. This decapitation of West Kalimantan's traditional leadership is relevant later to the weakness of a coherent regional political project *(hypothesis)*.

The Pancasila formula (belief in one God, humanitarianism, national unity, democracy through deliberation, social justice) was presented by Sukarno on 1 June 1945 and incorporated into the preamble of the 1945 Constitution, after the removal of the "seven words" obliging Muslims to follow Sharia – a compromise reportedly prompted by objections from eastern Indonesian Christian representatives [E]. This episode shows that territorial integrity was bargained from the outset: the founders accepted a religiously neutral state in order to keep non-Muslim regions in.

Seven-question analysis.

- *Who held power?* Formally the Dutch, then the Japanese; within the movement, an educated, urban, largely Javanese and Sumatran elite.
- *Legitimacy.* For the movement, anti-colonial moral legitimacy and the charisma of leaders such as Sukarno (Weberian charismatic authority in a pure form [E]).
- *Resource distribution.* The movement had none of the state's resources; it relied on the press, schools and, under the Japanese, state-sponsored mass organisations.
- *Regional elite incentives.* Sultans and *priyayi* aristocrats generally depended on colonial patronage and were ambivalent about nationalism; this ambivalence later made many of them supporters of Dutch-sponsored federalism (Period 4).
- *National identity.* Created in this period. The Youth Pledge's civic-linguistic definition of the nation is the key innovation; its relatively thin ethnic content made it inclusive but also abstract.
- *Institutional failures.* The colonial state's refusal of meaningful representation radicalised the movement; the Dutch failure to defend the colony in 1942 destroyed their claim to protect it.

- *Why it succeeded.* Exogenous shock (war), a ready-made nationalist leadership, a unifying language, and a mobilised youth.

Period 3. The 1945 Republic and the Revolution (1945-1949)

Narrative. Two days after Japan's surrender, on 17 August 1945, Sukarno, with Hatta, proclaimed Indonesian independence [V]. The 1945 Constitution created a unitary republic with a strong presidency [E]. The returning Dutch regarded the Republican leaders as Japanese collaborators and sought to restore authority [V]. British forces, under Mountbatten's South East Asia Command, initially recognised de facto Republican authority in Java and Sumatra, but the Dutch were able to reoccupy most of the areas previously under the Japanese Navy, including Borneo and the eastern archipelago ("the Great East") [V].

This geography mattered profoundly for Kalimantan. While Java and Sumatra became the heartland of Republican armed struggle, Kalimantan was reoccupied early by Allied and then Dutch forces. Pro-Republican resistance nonetheless existed: in South Kalimantan, guerrillas organised as the "ALRI Divisi IV" under Hassan Basry fought the Dutch and in May 1949 proclaimed South Kalimantan part of the Republic [E]; Ibnu Hadjar, later a rebel, served as a guerrilla commandant in this Navy division with the rank of second lieutenant [V].

The Dutch strategy, devised by Lieutenant-Governor-General Hubertus van Mook, was federal. At the Malino Conference in July 1946, representatives from Borneo and eastern Indonesia endorsed a federal United States of Indonesia linked to the Netherlands, composed of Java, Sumatra, Borneo and the Great East [V]. On 15 November 1946 the Linggadjati Agreement recognised de facto Republican control over Java, Sumatra and Madura, with the Republic agreeing to become one state within a federal Indonesia [V]. The Dutch then convened the Denpasar Conference (December 1946), creating the State of East Indonesia, followed by a state in West Borneo in 1947 [V]. Great Dayak (*Dayak Besar*) was established as a component entity on 7 December 1946 with its temporary capital at Banjarmasin [V]. Federation-type entities were also formed in East Kalimantan around the sultanates; the Bulungan article records the sultanate entering an autonomous "Federation of East Kalimantan" on 4 February 1948 [V, low reliability; corroborate in Phase 8].

The Dutch launched two military offensives – Operation Product on 20 July 1947 and Operation Kraai on 18 December 1948, which captured the Republican capital of Yogyakarta [V]. The second offensive backfired: cabinets of the State of East Indonesia and Pasundan resigned in protest, the Sultan of Yogyakarta resigned his Dutch-recognised post, and the United States and the UN Security Council applied strong pressure [V]. Security Council Resolution 67 of 28 January 1949 demanded an end to the offensive and restoration of the Republican government [V]. Negotiations led to the Round Table Conference in The Hague (23 August-2 November 1949) [V] and the transfer of sovereignty on 27 December 1949 to the United States of Indonesia, excluding West New Guinea [V].

The Revolution also contained internal conflicts that foreshadowed later centre-region tensions: the Madiun Affair of 1948 (a communist-linked uprising crushed by Republican forces [E]); the Darul Islam movement proclaimed by Kartosoewirjo in West Java in 1949 [E]; and tensions between Republican regular forces and irregular militias that would not be absorbed into the post-war army – the root of Ibnu Hadjar's rebellion in South Kalimantan (Period 4) [V].

Seven-question analysis.

- *Who held power?* A dual structure: the Republic (Sukarno as president, a succession of parliamentary cabinets under Sjahrir, Amir Sjarifuddin, Hatta) controlled parts of Java and

Sumatra; the Dutch controlled most of the outer islands through federal client states.

- *Legitimacy.* For the Republic, the proclamation, revolutionary sacrifice and growing international recognition; for federal states, traditional rulers' authority and Dutch backing.
- *Resource distribution.* The Republic was impoverished and blockaded; the Dutch controlled the export economies, including Kalimantan's oil (Balikpapan was heavily damaged in the battles of 1942 and 1945 [V]).
- *Regional elite incentives.* Outer-island aristocrats had strong incentives to support federalism: it preserved their status against Republican radicals who regarded them as "feudal" collaborators. Others, especially younger educated elites and guerrillas, supported the Republic.
- *National identity.* Became a mass phenomenon through armed struggle; the *revolusi* became the founding myth of the state and of the army.
- *Institutional failures.* Weak Republican control over militias; unclear civil-military boundaries that later underpinned army political roles.
- *Why it survived.* International pressure on the Netherlands after December 1948, the Republic's demonstrated military persistence, and the federal states' own loss of confidence in Dutch protection.

Period 4. The United States of Indonesia (RIS) and the unitary turn (27 December 1949-17 August 1950)

Narrative. The RIS was a federation of sixteen main entities: seven states (*negara*), including the "Republic of Indonesia" covering parts of Java and Sumatra with over 31 million people, and nine directly administered territories ("neo-lands"); apart from the Republic, all were Dutch creations, with populations ranging from about 100,000 to 11 million [V]. Its legislature was bicameral: a House of Representatives of 50 members from the Republic and 100 from the other states (allocated by population) and a Senate of 32 members, two from each constituent unit regardless of size [V]. Hatta led a sixteen-member cabinet under the Federal Constitution of 1949 [V].

The Kalimantan components illustrate the federal design. *West Kalimantan* became a Special Region (*Daerah Istimewa Kalimantan Barat*, DIKB) headed by Sultan Hamid II of Pontianak, a former KNIL officer who also served as a minister in the RIS cabinet [E]; *Great Dayak* (Dayak Besar), established in December 1946, covered the Dayak heartland of central-southern Borneo [V]; and the *Federation of East Kalimantan* grouped the sultanates of Kutai, Bulungan, Berau and Pasir [E; Bulungan date V-low]. Banjar and South-East Borneo had separate federal-era councils [E].

The federation collapsed almost immediately. Most Indonesians associated it with colonialism; many feared it would lead to secession; the Republican side had accepted it only tactically; outer-island rulers were seen as pro-Dutch and anachronistic; and ethnic boundaries did not match state boundaries [V]. In March and April 1950 all constituent units except East Sumatra and East Indonesia dissolved themselves into the Republic [V]. Great Dayak was dissolved on 18 April 1950 [V]. On 19 May 1950 the RIS and Republican governments announced agreement "to jointly create a unitary state as the transformation of the Republic of Indonesia proclaimed on 17 August 1945" [V], and Sukarno formally dissolved the RIS on 17 August 1950 [V]. A single Kalimantan Province was formed on 14 August 1950 with its capital at Banjarmasin [V]; it was later divided – West, South and East Kalimantan by UU 25/1956 [V, from the BPK record of UU 3/2022 which amends it] and Central Kalimantan in 1957 [V/E].

The dissolution was not entirely peaceful. In January 1950 the APRA uprising led by former KNIL officer Raymond Westerling in Bandung, and the alleged involvement of Sultan Hamid II in a plot against the RIS cabinet, discredited the federalist cause and the West Kalimantan aristocracy in particular [E]. In April 1950 the Republic of South Maluku (RMS) was declared by former Dutch colonial soldiers and officials in Ambon, who argued that the transfer agreement guaranteeing self-determination for constituent states had been broken [V]; Indonesian forces defeated the RMS on Ambon in November 1950, and armed resistance on Seram continued until 2 December 1963 [V]; its leader Chris Soumokil was captured and executed, and the government-in-exile moved to the Netherlands in 1966 [V]. In South Sulawesi, Andi Azis's rising in April 1950 was quickly suppressed [E].

Why Kalimantan's federal units dissolved quietly. Unlike South Maluku, none of the Kalimantan units had a large pool of armed, Dutch-trained loyalists who stood to lose everything; their aristocrats lacked mass followings; and pro-Republican sentiment among younger urban elites and ex-guerrillas was strong. Hamid II's disgrace removed the most plausible leader of a West Kalimantan federalist project *(interpretation; corroborate with Davidson 2008, Magenda 1991 [E])*.

Seven-question analysis.

- *Who held power?* Formally the RIS federal government (Sukarno president, Hatta prime minister); in practice the Republican leadership and army, which absorbed federal units one by one.
- *Legitimacy.* The federal order had legal legitimacy (from the Round Table Conference) but little popular legitimacy; the unitary Republic held revolutionary legitimacy.
- *Resource distribution.* The RIS inherited the colonial debt (a contentious term of the Round Table settlement [E]) and Dutch-owned enterprises remained in place; regional finances were rudimentary.
- *Regional elite incentives.* Aristocrats who had relied on the Dutch lost their patron; many accommodated the Republic in exchange for "special region" (*daerah istimewa/swapraja*) status that preserved some privileges for a decade (Kutai's special region was dissolved in 1960 [V-low]; Bulungan became a special territory in 1955 and was abolished as a sultanate in 1959 [V]).
- *National identity.* The decisive weapon: federalism was framed as Dutch, unity as Indonesian.
- *Institutional failures.* The federation was imposed from outside and lacked fiscal and legal foundations; it had no constituency.
- *Why it collapsed.* A clear case of type (6) "peaceful dissolution of a union" – but inward, into a unitary state. The episode created a durable *path dependence*: in Indonesian political vocabulary, *federalisme* remains associated with dismemberment *(interpretation: Feith 1962 [E])*.

Period 5. Parliamentary democracy and the regional rebellions: PRRI/Permesta (1950-1961)

Narrative. Under the Provisional Constitution of 1950, Indonesia was a parliamentary democracy with short-lived cabinets. The 1955 elections produced four major parties (PNI, Masyumi, NU, PKI), with Masyumi strong in the outer islands and the PNI and PKI strongest in Java [E]. Economic policy favoured Java: the overvalued rupiah and import licensing effectively taxed outer-island exporters

(rubber, copra, oil) to subsidise Java-based imports and the bureaucracy [E] *(interpretation: Feith 1962; Mackie 1980 [E]).*

Regional army commanders, who had to finance their units partly through local means, responded with smuggling and barter trade. In the outer islands, army commands began covert smuggling of copra and other goods to improve their financial position, followed by demands for greater economic and political autonomy [V]. When these demands were not met, a series of bloodless takeovers of local government occurred: the Banteng Council in Central Sumatra (Lt.-Col. Ahmad Husein, 20 December 1956), the Elephant Council in North Sumatra (Col. Maludin Simbolon, 22 December 1956), the Garuda Council in South Sumatra (Lt.-Col. Barlian, 15 January 1957), and the Manguni Council in North Sulawesi (Lt.-Col. Ventje Sumual, 20 December 1956) [V]. Central Sumatra's civilian governor said the Banteng Council had "no wish to build a State within a State" and that relations would normalise when a cabinet capable of removing the tensions took office [V].

In eastern Indonesia, the Permesta (*Piagam Perjuangan Semesta*, "Universal Struggle Charter") movement was founded on 2 March 1957 in Makassar by civil and military leaders; as South Sulawesi support faded, its centre moved to Manado [V]. In March 1957 Sukarno accepted Army Chief of Staff Nasution's proposal for nationwide martial law [V]. In December 1957 the government seized Dutch enterprises, which the army then managed – a crucial step in the army's acquisition of economic resources [E].

On 10 February 1958 rebel leaders issued a five-day ultimatum demanding that the Djuanda cabinet return its mandate, that Hatta and the Sultan of Yogyakarta form a cabinet until elections, and that Sukarno return to his constitutional (largely ceremonial) role [V]. On 15 February 1958 Ahmad Husein proclaimed the PRRI (Revolutionary Government of the Republic of Indonesia), with Sjafruddin Prawiranegara as prime minister and finance minister [V]. Permesta joined it on 17 February 1958 [V]. The rebels' demands were *about the composition and policies of the central government*, not secession; the PRRI called itself a government of the Republic of Indonesia [V].

The central government responded decisively, arresting named ministers, discharging rebel commanders and bombing infrastructure in Sumatra [V]. The rebellion's support was uneven: the Garuda Council's Barlian declined to join, and elements of the Banteng Council itself opposed the step [V]. After the TNI took the Sumatran cities, the conflict shifted east; Manado was captured at the end of June 1958, but Permesta waged guerrilla war until the last remnants surrendered and accepted amnesty in 1961 [V]. The Permesta conflict killed about 4,000 government soldiers and 2,000 rebels [V].

US involvement. The rebels received covert American support. The CIA supplied an air arm for Permesta – the "Revolutionary Air Force" (AUREV) – reportedly 15 B-26 bombers and some P-51 fighters, together with pilots, mechanics, weapons and spare parts [V]. The capture of a US pilot (Allen Pope) in May 1958 exposed the operation [E]. A consequence was that when Jakarta sought US arms to fight the rebels and was refused, it turned to the Soviet Union [V]. The authoritative account is Kahin & Kahin, *Subversion as Foreign Policy* (1995) [E]; see also Conboy & Morrison, *Feet to the Fire* (1999) [V cited in the PRRI article].

Kalimantan in the 1950s. Kalimantan did not join the PRRI. Its distinctive conflict was the rebellion of Ibnu Hadjar in South Kalimantan. A former Navy guerrilla, he was refused entry into the reorganised army – reportedly because he was illiterate – at a time when former KNIL soldiers were favoured in recruitment; he founded the *Kesatuan Rakjat jang Tertindas* (KRjT, Union of the Oppressed People) with other excluded ex-fighters [V]. After feigning surrender in October 1950, he led attacks on Kandangan (four times in 1950-54) and planned attacks on Banjarmasin [V]. In late

1954 the KRjT joined Darul Islam, Kartosoewirjo appointing Ibnu Hadjar territorial commander for Kalimantan [V]. Weakened by military operations, he surrendered in July 1963 on a promise of amnesty, publicly offered to fight in the Konfrontasi, was arrested in September 1963, sentenced to death by a military court on 11 March 1965 and executed on 22 March 1965 [V]. This was a rebellion of the *excluded revolutionary* and of Islamic statehood – not of Kalimantan regional nationalism.

The other major Kalimantan development of the 1950s was the Dayak campaign for a separate province, which culminated in the creation of Central Kalimantan in 1957 with its new capital Palangka Raya [E]. Agitation included an armed movement (GMTPS, *Gerakan Mandau Talawang Pancasila*) in 1953-56 [E]. Its outcome – a new province *within* the Republic – is an early example of the mechanism this paper calls **channelled aspiration**: a group that might have pursued separation was given an administrative unit and offices instead *(interpretation; see Klinken 2006 [E]).*

Seven-question analysis.

- *Who held power?* A fragmented coalition: President Sukarno (constitutionally limited until 1959), shifting parliamentary cabinets, the army leadership under Nasution, and regional commanders with de facto autonomy.
- *Legitimacy.* Electoral (1955) and constitutional legitimacy, weakened by cabinet instability and economic decline; Sukarno's charismatic legitimacy remained strong.
- *Resource distribution.* Export earnings were generated largely outside Java but redistributed through exchange-rate and licensing policies benefitting Java and Jakarta *(interpretation [E])*; smuggling and barter were regional counter-strategies [V].
- *Regional elite incentives.* Regional commanders and politicians wanted fiscal control, autonomy and a change in Jakarta's leadership (especially the restoration of Hatta, who had resigned as vice-president in December 1956 [E]); open rebellion offered a chance of reshaping the centre.
- *National identity.* Strong enough that rebels framed themselves as the true Republic rather than as separate nations; the centre successfully cast the rebellion as foreign-backed and divisive.
- *Institutional failures.* No credible mechanism for fiscal decentralisation; regional autonomy laws remained largely unimplemented [E]; the army's dual role as defender and economic actor encouraged regional warlordism.
- *Why the order survived but the regime transformed.* The state survived because the rebels did not seek exit, because their coalition fractured, and because the centre's military capacity and US exposure undercut them. The *regime* did not survive: the crisis destroyed parliamentary democracy and ushered in Guided Democracy (a type (2)/(3) transformation).

Period 6. Guided Democracy (1959-1965)

Narrative. In 1957 Sukarno announced his *konsepsi* of a cabinet representing all major parties including the PKI, and with army backing he proclaimed Guided Democracy in 1959 [V]. By presidential decree of 5 July 1959 he dissolved the Constituent Assembly, which had deadlocked over the basis of the state, and reinstated the 1945 Constitution with its strong presidency [E]. In practice this meant centralised rule under Sukarno, martial law, sharp curtailment of civil liberties, and the army and the PKI as the main power blocs [V]. Masyumi and the PSI, implicated in the PRRI, were banned in 1960 [E].

Two foreign campaigns structured the period's nationalism. The first was the campaign for West New Guinea (West Irian), resolved through the 1962 New York Agreement that transferred administration to Indonesia, with an "Act of Free Choice" to follow [V]. The second was the *Konfrontasi* against the formation of Malaysia, an undeclared war from 1963 to 1966, fought mainly along the Kalimantan border with Sarawak and Sabah, with Indonesia seeking to exploit the diversity of Sabah and Sarawak to unravel the new federation and Britain responding in 1964 with covert cross-border "Operation Claret" [V].

The economy deteriorated sharply: hyperinflation, collapsing infrastructure and export decline [E]. Sukarno's ideological formula NASAKOM (nationalism, religion, communism) attempted to balance the army, Islamic parties and the PKI [E]. The PKI grew into the largest communist party outside the communist bloc, with roughly 300,000 cadres and around two million full members [V].

Kalimantan under Guided Democracy. The Konfrontasi militarised the Kalimantan border. It also brought the centre into alliance with leftist Chinese-Indonesian and Sarawakian guerrillas (later the PGRS/Paraku), an alliance reversed after 1965, when the army turned against them in West Kalimantan [E]. The residual sultanates' special statuses were wound up (Bulungan's in 1959 [V]; Kutai's in 1960 [V-low]). In July 1964 army troops from the Brawijaya division raided the Bulungan palace; members of the aristocracy were abducted and killed, and the palace burned, apparently on suspicion of collusion with Malaysia [V, single source; requires corroboration]. This episode, little known nationally, illustrates how Konfrontasi-era security logic turned local aristocrats into suspected fifth columnists.

Seven-question analysis.

- *Who held power?* Sukarno at the apex, balancing the army (Nasution, then Yani) and the PKI (Aidit); regional military commanders under martial law.
- *Legitimacy.* Charismatic and ideological (revolution, anti-imperialism, Pancasila, NASAKOM); mass mobilisation substituted for electoral legitimacy.
- *Resource distribution.* The army controlled nationalised Dutch enterprises (from 1957-58) and oil companies (Permina, an army-run firm under Ibnu Sutowo, was formed from North Sumatran fields in 1957 [V/E]); rent increasingly flowed through military and political networks rather than regional governments.
- *Regional elite incentives.* After the PRRI defeat, open defiance was costly; regional elites sought positions within the central patronage system or the army.
- *National identity.* Intensely mobilised through external enemies (the Dutch in West Irian, "neo-colonial" Malaysia) – a pattern that scholarship on nationalism links to the use of external conflict to unify heterogeneous populations *(interpretation: Tilly 1975 on war-making and state-making [E]).*
- *Institutional failures.* Destruction of parliamentary and judicial checks; economic mismanagement; an unstable triangular power balance with no succession mechanism.
- *Why it collapsed.* A regime of balancing between two armed or mass-mobilised blocs, presiding over economic collapse, was highly vulnerable to a trigger; the events of 1 October 1965 provided it.

Period 7. The transition to the New Order (1965-1967)

Narrative. In the early hours of 1 October 1965 a group calling itself the 30 September Movement (G30S) kidnapped and killed six senior army generals and a lieutenant; Major-General Suharto, commander of the army's strategic reserve, quickly crushed the movement in Jakarta [E]. The army blamed the PKI. Who planned the G30S and how far the PKI leadership was involved remain disputed: interpretations range from the official New Order account of a PKI coup attempt, to an internal army affair, to a small PKI Special Bureau operation with ambiguous links to the party leadership, to the involvement of Sukarno or of foreign intelligence *(interpretations: Roosa 2006; Anderson & McVey 1971 "Cornell Paper"; Crouch 1978 [E]).*

What followed was one of the largest mass killings of the twentieth century. According to the most widely published estimates, at least 500,000 to 1 million people were killed, with some higher estimates of 2-3 million [V]. Killings were concentrated in Central and East Java, Bali (where an estimated 80,000 people, about 5% of the population, were killed between December 1965 and early 1966 [V]) and North Sumatra, and were carried out by army units and by civilian militias, notably from Islamic and nationalist organisations, often with army training, encouragement or lists [E]. Hundreds of thousands were imprisoned without trial, many for years (the Buru Island camps) [E]. The scholarly consensus since the 2000s emphasises the army's central organising role *(interpretation: Robinson 2018; Melvin 2018; Cribb 1990 [E])*, while older accounts stressed spontaneous communal conflict. The role of the United States and United Kingdom – including the provision of names of PKI members and propaganda support – is documented in declassified material but its causal weight is debated [E]. This paper does not adjudicate the numbers or the causal attributions; it notes that the killings and their decades of enforced silence are essential to understanding the New Order's founding and the later "fear-based" component of political quiescence *(hypothesis to be developed in R4 on mass psychology).*

On 11 March 1966 Sukarno signed the *Supersemar* (Order of 11 March), transferring authority to Suharto to restore order; Suharto used it to ban the PKI (12 March 1966) and progressively marginalise Sukarno [E]. The MPRS withdrew its mandate from Sukarno and appointed Suharto acting president in March 1967, and president in March 1968 [E]. Konfrontasi ended with the Bangkok accord of August 1966 [E]; Indonesia rejoined the UN and co-founded ASEAN in 1967 [E].

Kalimantan. After 1965 the army turned against its former Konfrontasi allies, the leftist guerrillas of the PGRS/Paraku in West Kalimantan. In 1967 Dayak groups, mobilised with military encouragement, attacked and expelled tens of thousands of rural Chinese-Indonesians from the interior of West Kalimantan, whom the army associated with the guerrillas [E] *(interpretation: Davidson 2008; Davidson & Kammen 2002 [E]).* This episode established a pattern important for Part II: in Kalimantan, the state at times mobilised ethnic violence for counter-insurgency purposes, and Dayak identity was politically empowered *within* the national security project rather than against it.

Seven-question analysis.

- *Who held power?* A contested transition from Sukarno to Suharto and the army leadership, allied with student and Islamic organisations and supported by Western governments.
- *Legitimacy.* Restoration of order, anti-communism, and a claim to "pure and consistent" implementation of Pancasila and the 1945 Constitution; Supersemar was used as a quasi-legal bridge [E].
- *Resource distribution.* Seizure of PKI-linked assets; Western aid resumed through the IGGI consortium from 1967 [E]; foreign investment law (UU 1/1967) reopened resource sectors [E].

- *Regional elite incentives.* Regional elites who joined the anti-communist coalition gained positions; those linked to the left were destroyed.
- *National identity.* Redefined around anti-communism and Pancasila as a bulwark against "atheist" communism.
- *Institutional failures.* Total failure of rule of law; the killings occurred with impunity, and no accountability process has been completed to date [E].
- *Outcome.* A type (2) regime transformation – from Guided Democracy to military-dominated authoritarianism – with continuity of the unitary state.

Period 8. New Order centralisation (1967-1997)

Narrative. Suharto's New Order was a military-backed, developmentalist authoritarian regime that lasted more than three decades. Its architecture of centralisation had five main pillars.

1. Administrative centralisation. UU 5/1974 on the Principles of Regional Government established a hierarchical system in which regional heads were in effect appointed through the Ministry of Home Affairs, regional assemblies had limited power, and the principle of "real and responsible autonomy" was subordinated to central guidance [E]. Village government was standardised on a Javanese model by UU 5/1979 [E]. Both laws were later revoked by UU 22/1999 [V].

2. Ideological centralisation. Pancasila became the state's exclusive ideology. The MPR decree of 1978 (TAP MPR II/1978) instituted the P4 (*Pedoman Penghayatan dan Pengamalan Pancasila*) indoctrination programme for civil servants, students and the public [E]; in 1985 all social and political organisations were required to adopt Pancasila as their sole foundation (*asas tunggal*) [E]. Political parties were fused into three in 1973, with Golkar as the regime's electoral vehicle [E]. The military's "dual function" (*dwifungsi*) justified officers' presence in the bureaucracy, legislatures and regional administrations [E].

3. Fiscal centralisation and resource rent. The New Order's fiscal base was oil and gas. Pertamina was formed by merger in August 1968 [V]; under Ibnu Sutowo it became a vast, opaque conglomerate. The 1973-74 and 1979-80 oil price shocks transformed public finances [E]. In February 1975 Pertamina could no longer pay its creditors; an investigation found more than US$10 billion in debt, mismanagement and corruption – about 30% of GNP [V]. Ibnu Sutowo was dismissed in 1976 and the government assumed the debts [V]. Production-sharing contracts, pioneered in Indonesia, channelled the state's share of oil revenue to the centre [E]. Regions received development grants (*Inpres* programmes) allocated by Jakarta, which spread oil revenue widely – schools, health posts and roads in poorer regions – in a pattern widely credited with Indonesia's comparatively good escape from the "oil curse" *(interpretation: Ross 2012; Hill 2000 [E]).* Producing regions, however, retained little of the revenue generated on their territory.

4. Forest concessions. In Kalimantan, the timber boom from the late 1960s onward was organised through central concessions (*Hak Pengusahaan Hutan*, HPH) granted by Jakarta, largely to politically connected conglomerates and military foundations [E]. The 1967 Basic Forestry Law declared most forests state land, overriding customary (*adat*) claims [E] *(interpretation: Peluso 1992; Barr 1998 [E]).* Plywood exports and later oil palm and coal followed. This produced enduring grievances among Dayak communities whose land was granted to outsiders.

5. Demographic engineering: transmigration. The transmigration programme moved people from Java, Bali, Lombok and Madura to less densely populated islands including Kalimantan, Sumatra,

Sulawesi, Maluku and Papua; at its peak in 1979-84, 535,000 families (almost 2.5 million people) moved under the programme [V]. It was supported by the World Bank, the Asian Development Bank and Western governments [V]. Spontaneous migration (Bugis, Banjar, Madurese, Javanese) was as important as the official programme in Kalimantan [E]. Officially framed as balancing population density, transmigration was also understood – by its critics and some proponents – as a tool of national integration and security *(interpretation [E])*.

East Timor. On 7 December 1975 Indonesia invaded East Timor (Operation Seroja), formally annexing it in 1976 [V]. The East Timorese truth commission (CAVR) documented a minimum of about 102,000 conflict-related deaths between 1974 and 1999 [V]. East Timor was never internationally recognised as Indonesian by the UN, a crucial difference from other provinces. In August 1999, a UN-organised consultation produced a large majority for independence over special autonomy within Indonesia [V], followed by militia violence and international intervention.

Aceh and Papua. In December 1976 Hasan di Tiro proclaimed the Free Aceh Movement (GAM), drawing on grievances that included the exploitation of the newly developed natural gas reserves at Lhokseumawe [V]; the movement was nearly destroyed by 1979, revived in the late 1980s, and was met with severe military operations (the "military operations zone", DOM, 1989-98) [V/E]. In Papua, the 1969 Act of Free Choice (14 July-2 August 1969) was conducted not by universal suffrage but through some 1,000 selected representatives, under military supervision [V; number E]; it has been contested ever since by Papuan nationalists, and the Free Papua Movement (OPM) has waged low-level insurgency since the 1960s [V].

Kalimantan under the New Order. East Kalimantan became one of the country's richest provinces by output per capita, through oil and LNG (Bontang LNG from the 1970s [E]), timber and later coal. Yet a large share of its output was not retained locally – a contrast that would underlie later demands *(see Period 12 and R2/R3 for data)*. The province also had large in-migration. Politically, the New Order integrated regional elites through Golkar, the bureaucracy and the military; governors were frequently military officers or outsiders [E]. West and Central Kalimantan saw the expansion of plantations and transmigration settlements, and growing tension over land. In West Kalimantan, the violence of Sanggau Ledo (December 1996-January 1997) between Dayak and Madurese killed more than 600 people [V], a precursor of the post-1998 violence.

Seven-question analysis.

- *Who held power?* Suharto personally, supported by the army, Golkar and the bureaucracy, with technocrats (the "Berkeley mafia") managing macroeconomic policy and a circle of business cronies and family members controlling major rents [E].
- *Legitimacy.* Primarily *performance* legitimacy – growth averaging around 7% a year for three decades, sharp poverty reduction, food self-sufficiency in rice by the mid-1980s [E] – plus ideological legitimacy (Pancasila, anti-communism), the memory of 1965 as a warning, and coercion.
- *Resource distribution.* Highly centralised: oil, gas and forest rent captured at the centre and redistributed partly through development programmes and partly through patronage. Producing regions such as East Kalimantan, Riau, Aceh and Papua received a small share of what they generated *(interpretation [E])*.
- *Regional elite incentives.* Strongly aligned with the centre: careers, contracts and concessions flowed from Jakarta; dissent risked exclusion or repression. Elites in producing regions had

more to gain from the centre's patronage than from autonomy *(hypothesis; consistent with rentier-state literature).*

- *National identity.* State-sponsored, compulsory, uniform: P4, national school curricula, TVRI broadcasting, ceremonies and national history writing that marginalised regional histories *(R4 will examine the techniques – as warning signs, not a playbook).*
- *Institutional failures.* No independent judiciary, press or legislature; KKN (corruption, collusion, nepotism); regional grievances had no legitimate outlet, so they accumulated (Aceh, Papua, East Timor, Kalimantan land conflicts).
- *Why it survived 30 years.* A rare combination of sustained growth, oil windfalls managed relatively prudently, a cohesive military, a monopolised political field, and Cold War external support.

Period 9. The 1997-98 crisis and the fall of Suharto

Narrative. The Asian financial crisis reached Indonesia in mid-1997. The rupiah collapsed, corporate and banking sectors with large unhedged foreign debt became insolvent, and the economy contracted by around 13% in 1998 [E]. An IMF programme was agreed in late 1997, but conflicts over its conditions, bank closures and Suharto's reluctance to curb family business interests undermined confidence; the IMF warned that pursuing a currency-board scheme would cost Indonesia US$43 billion in assistance [V]. Price increases, unemployment and food insecurity spread.

Political opposition, suppressed since the July 1996 raid on the PDI headquarters, revived. Student protests escalated in early 1998; on 12 May 1998 four students were shot dead at Trisakti University in Jakarta [V/E], triggering riots in Jakarta, Medan and Surakarta that targeted ethnic Chinese communities and businesses, with very large loss of life and widespread sexual violence [V/E]. Students occupied the parliament complex. Key regime insiders defected: ministers resigned and the parliamentary leadership called for the president to step down [E]. Suharto resigned on 21 May 1998, ending 32 years of rule, and Vice-President B. J. Habibie succeeded him [V].

The crisis also exposed the regions. In several provinces, violence surged: Maluku (from January 1999), Central Sulawesi (Poso), West Kalimantan (Sambas, 1999), Central Kalimantan (Sampit, 2001) [V/E]. In Aceh and Papua, separatist mobilisation intensified; in East Timor, Habibie's January 1999 offer of a referendum led to independence [V]. Observers at the time openly discussed the "Balkanisation" of Indonesia *(interpretation: e.g., Emmerson 1999 ed. [E]).*

Seven-question analysis.

- *Who held power?* Suharto until 21 May 1998; then Habibie, a transitional president dependent on the military (under Wiranto) and on a reform-minded parliament.
- *Legitimacy.* Suharto's performance legitimacy collapsed with the economy; his ideological legitimacy had long been hollow; coercion could not be deployed at scale without splitting the military and alienating international lenders.
- *Resource distribution.* The crisis destroyed the patronage economy; bank recapitalisation shifted huge liabilities onto the state [E].
- *Regional elite incentives.* With the centre weak, regional elites could raise demands: some for autonomy, some for federalism, a few for independence. Habibie's government responded quickly with decentralisation laws (Period 10).

- *National identity.* Paradoxically robust: the reform movement was national, not regional, and framed itself in terms of saving Indonesia from Suharto, not leaving it. Separatism gained ground only where a pre-existing counter-identity existed (Aceh, Papua, East Timor).
- *Institutional failures.* Personalised rule left no succession mechanism; crony banking left no buffer; the military's internal divisions enabled riot-related abuses.
- *Why the regime collapsed but the state did not.* Elite defection plus mass protest plus economic collapse brought down the regime (type (2)/(3)); but the state survived because the military remained intact and loyal to the state rather than to Suharto personally, because the reform movement was nationalist, and because a constitutional succession path (vice-president) existed *(interpretation: Aspinall 2005; Slater 2010 [E]).*

Period 10. Reformasi and "big-bang" decentralisation (1998-2014)

Narrative. Habibie's government responded to the regional crisis with two laws that remade the territorial state. UU 22/1999 on Regional Government was enacted on 7 May 1999, revoking both UU 5/1974 and UU 5/1979 [V]. UU 25/1999 on Fiscal Balance between the Central Government and the Regions followed on 19 May 1999 [E, search excerpt of official database]. Implementation began on 1 January 2001 [E, JDIH BPK excerpt]. These laws are frequently called "big bang" decentralisation because of their speed and scope *(interpretation: Hofman & Kaiser 2004 [E]).*

Three design choices stand out.

First, autonomy was given to districts (kabupaten/kota), not provinces. This was deliberate: districts were too small to sustain separatist projects, whereas strong provinces might have become the basis of federal or secessionist claims *(interpretation, widely held: e.g., Aspinall & Fealy 2003; Bertrand 2004 [E]).* The centre retained foreign policy, defence, security, justice, monetary and fiscal policy and religion.

Second, revenue sharing of natural resources was introduced. UU 25/1999 created balancing funds (*dana perimbangan*): a share of natural-resource revenue (DBH SDA), a general allocation (DAU) and special allocations (DAK) [E; UU 22/1999 Art. 80 lists the three components, per the official text excerpt]. Property-tax revenue was shared 10% centre / 90% regions [E, excerpt]. The oil and gas split was later fixed in UU 33/2004 (which replaced UU 25/1999 [E]) at 84.5% central / 15.5% regional for oil and 69.5% / 30.5% for gas (as challenged in 2011 [V]). Regional shares of mining royalties and forestry were much higher (typically 80% to regions) [E]. These formulas made producing districts – Kutai Kartanegara, Bontang, East Kutai, Bengkalis, Siak – among the richest local governments in the country, while leaving producing *provinces* dissatisfied with the oil and gas split.

Third, local democracy. Direct elections for regional heads (*pilkada*) were introduced from 2005 under UU 32/2004 (which replaced UU 22/1999 on 15 October 2004 [E]) [E]. Regional politics became more competitive but also more expensive and more prone to dynastic and patronage politics *(interpretation: Hadiz 2010; Aspinall & Berenschot 2019 [E]).*

Pemekaran (administrative proliferation). Decentralisation unleashed the creation of new regions. The number of provinces grew from 27 in 1998 (including East Timor) to 34 by 2012 and 38 after the 2022 division of Papua [E]; the number of districts rose from roughly 300 to over 500 [E]. In East Kalimantan, UU 47/1999 created the regencies of Nunukan, Malinau, West Kutai and East Kutai and the city of Bontang [V, from BPK record of laws amended by UU 3/2022]; UU 7/2002 created Penajam Paser Utara [V, idem], the regency in which IKN's core lies. Pemekaran served

multiple functions: bringing government closer to citizens, accommodating ethnic aspirations, and – critics argue – multiplying offices and budgets for local elites *(interpretation: Fitrani, Hofman & Kaiser 2005; Klinken 2006 [E])*. A moratorium was imposed by the central government in 2014 [E].

Constitutional amendments (1999-2002). The four amendments to the 1945 Constitution created a directly elected presidency (from 2004), a Regional Representative Council (DPD), a Constitutional Court (MK, 2003), and new Articles 18, 18A and 18B on regional government, of which 18B recognises "special" (*khusus*) and "distinctive" (*istimewa*) regional units and customary law communities [E]. Article 37(5) entrenched the unitary form of the state: it may not be amended [E]. This is legally decisive for all scenarios in the monograph: a federal Indonesia or a constitutional right of secession would require constitutional replacement rather than amendment *(R6 to develop)*.

Recentralisation tendencies. UU 23/2014 on Regional Government shifted some powers, notably mining and forestry permits, from districts to provinces and the centre [E]; the 2020 mining law amendment (UU 3/2020) and the Job Creation law (2020/2023) moved mining licensing further toward Jakarta [E]. Scholars debate whether these represent rationalisation or a creeping recentralisation *(interpretation [E])*. UU 1/2022 on Fiscal Relations (HKPD) replaced UU 33/2004 and revised the transfer system [E].

Seven-question analysis.

- *Who held power?* Successive elected presidents (Habibie 1998-99, Abdurrahman Wahid 1999-2001, Megawati 2001-04, Yudhoyono 2004-14), parliaments with multiparty coalitions, and a growing class of elected regional heads.
- *Legitimacy.* Electoral and constitutional legitimacy; the reform narrative; renewed economic growth after 2002.
- *Resource distribution.* Rule-based transfers replaced discretionary patronage; producing districts gained substantially; inter-regional inequality in per-capita regional budgets increased in some respects (*details in R2/R3*).
- *Regional elite incentives.* Strongly favourable to staying in: regional elites now controlled budgets, permits and offices. The most rational strategy was to capture local resources and lobby for better formulas, not to exit *(hypothesis central to the monograph: decentralisation as an "elite incorporation" device; see Hadiz 2010; Aspinall 2013 [E])*.
- *National identity.* Pluralised but not weakened: regional identities (*putra daerah*, "sons of the region") gained political salience, often in competition with migrants, but within national frames.
- *Institutional failures.* Weak local capacity; corruption decentralised along with authority; regulatory chaos in land and resource permits contributed to deforestation and conflict; horizontal violence (Maluku, Poso, Kalimantan) in the transition years.
- *Why it survived.* Decentralisation absorbed regional demands at the district level, the constitutional order was rebuilt with legitimacy, and the military withdrew from formal politics without breaking.

Period 11. Special autonomy and asymmetric arrangements: Aceh, Papua, Yogyakarta, Jakarta

The post-1998 state is formally unitary but substantively *asymmetric*. Four arrangements stand out.

Aceh. GAM's insurgency, renewed after 1998, was met by negotiation attempts (the Humanitarian Pause of 2000 and the Cessation of Hostilities Agreement of December 2002, which collapsed) and by martial law from May 2003 [E]. UU 18/2001 granted Aceh special autonomy as "Nanggroe Aceh Darussalam" [V via UU 11/2006 record], but did not end the conflict. The Indian Ocean tsunami of 26 December 2004 changed the context: on 28 December 2004 GAM declared a ceasefire to allow aid to reach the region [V]. Talks in Vantaa, Finland, facilitated by former Finnish president Martti Ahtisaari, began on 27 February 2005 [V]; the Memorandum of Understanding was signed in Helsinki on 15 August 2005 by chief Indonesian negotiator Hamid Awaluddin and GAM leader Malik Mahmud [V]. GAM agreed to disarm and abandon its independence goal; the government agreed to withdraw non-local forces and to legislate for Aceh's self-government, including the right to form local political parties [V/E]. GAM disbanded its armed wing on 27 December 2005 after the decommissioning of 840 weapons [V]. The insurgency (1976-2005) is estimated to have killed over 15,000 people [V].

UU 11/2006 on the Governing of Aceh, enacted on 1 August 2006, replaced UU 18/2001 [V]. Its preamble explicitly links the law to the tsunami and to the peaceful settlement of the conflict "within the framework of the Unitary State" [V]. Key features include local parties, the implementation of Islamic law (*syariat*), a special autonomy fund (*dana otsus*) for twenty years, and a 70% share of oil and gas revenue [E; the 70% figure for Aceh and Papua was cited in the 2011 Kaltim petition V]. The special autonomy fund is due to expire in 2027, and its extension was under negotiation in 2026 [E – Bisnis headlines of April, August and November 2026 observed but not opened]. Scholars attribute the peace's durability to GAM's transformation into a political and economic elite that won regional elections and gained access to rents *(interpretation: Aspinall 2009 "Combatants to contractors" [E]).*

Papua. UU 21/2001 on Special Autonomy for Papua Province was enacted on 21 November 2001 [E, official database excerpt]. It granted Papua a special autonomy fund, large shares of natural-resource revenue, an indigenous Papuan People's Assembly (MRP) and recognition of indigenous rights [E]. Implementation was criticised from all sides: Papuan leaders saw it as unfulfilled and undermined by the 2003 division of the province; Jakarta saw it as poorly managed. UU 35/2008 amended it to cover West Papua [V]. UU 2/2021, enacted on 19 July 2021, was the second amendment: it extended and restructured the special autonomy fund, strengthened central oversight, and enabled the further division of Papua into new provinces [V; details E]. In 2022 three new provinces (South, Central and Highland Papua) and in 2022 Southwest Papua were created [E]. Insurgency and violence persist; for example, an OPM-linked group killed 19 construction workers and a soldier in Nduga in December 2018 [V]. Papua illustrates the limits of fiscal accommodation where the underlying dispute concerns historical self-determination (the contested 1969 Act of Free Choice [V]) and state violence.

Yogyakarta (DIY). Yogyakarta's special status derives from the Sultanate's support for the Republic during the Revolution: special authority was granted in full in 1950 (UU 3/1950), making DIY the only Indonesian region headed by a monarch [V]. After a protracted dispute in the late 2000s over whether its governor should be elected, UU 13/2012 on the Distinctiveness (*Keistimewaan*) of DIY confirmed that the reigning Sultan of Yogyakarta and Duke of Paku Alam are installed as governor and vice-governor [V]. Its special fund supports culture, land and institutional affairs [E]. DIY is the clearest case of asymmetry rewarding *loyalty* rather than rebellion – a counter-example to the hypothesis in Key Finding 8.

Jakarta (DKI -> DKJ). As capital, Jakarta had a special regime: a single provincial-level autonomous government with appointed mayors and regents (UU 29/2007) [E]. With the capital relocation, UU 2/2024 on the Special Region of Jakarta (DKJ) redefines Jakarta's status; its Article

73 states that the law comes into force upon the issuance of the presidential decree on moving the capital to Nusantara [V, quoted in the 2026 Constitutional Court decision coverage]. Until that decree, Jakarta's status as capital continues (see Period 13) [V].

Seven-question analysis (for the asymmetric settlement as a whole).

- *Who held power?* The central government and parliament (which legislate special status), and in each special region a distinct elite: ex-GAM leaders in Aceh; a mix of Papuan bureaucrats, customary leaders and central appointees in Papua; the royal house in Yogyakarta.
- *Legitimacy.* In Aceh, a negotiated peace endorsed internationally; in Papua, contested; in DIY, historical-traditional and popular; in Jakarta, functional.
- *Resource distribution.* Special autonomy funds and higher natural-resource shares for Aceh and Papua; special funds for DIY.
- *Regional elite incentives.* In Aceh, special autonomy turned insurgents into stakeholders. In Papua, special autonomy funds have been captured disproportionately by local elites while grievances persist *(interpretation [E])*. For other regions, the demonstration effect is clear: special status brings money and recognition, which explains why numerous regions have since petitioned for it, including East Kalimantan (Period 12) and, according to 2025 reporting, Riau Islands, Bali, South Kalimantan and North Maluku [E].
- *National identity.* Asymmetry is justified constitutionally (Art. 18B) through history and distinctiveness, not through economic contribution – which is precisely why producing regions without a distinctive narrative find it hard to qualify.
- *Institutional failures.* Weak monitoring of special funds; Papua's underlying political grievances not addressed; arbitrary-seeming criteria for who qualifies.
- *Why the arrangement holds.* Asymmetry allows the centre to concentrate concessions where the threat is greatest while preserving the unitary principle elsewhere; its weakness is that it may encourage other regions to escalate claims *(hypothesis)*.

Period 12. Contemporary fiscal relations between Jakarta and producing regions (c. 2004-2026), with a focus on East Kalimantan

Narrative. East Kalimantan is the archetypal producing region that did not rebel. Under the post-2004 regime it received oil and gas revenue shares of 15.5% and 30.5% respectively, whereas Aceh and Papua received 70% under their special autonomy laws – a contrast the Kaltim petitioners themselves drew in 2011 [V].

The 2011-12 constitutional challenge. In late 2011 the Majelis Rakyat Kalimantan Timur Bersatu (MRKTB, "Assembly of the United People of East Kalimantan") and individual petitioners – including East Kalimantan members of the Regional Representative Council (DPD) – asked the Constitutional Court to strike down the phrases in Article 14(e) and (f) of UU 33/2004 setting the oil split at 84.5% / 15.5% and the gas split at 69.5% / 30.5% [V]. They argued that the provisions violated, inter alia, Articles 18A(2), 28D(1) and 33 of the Constitution [V]. On Wednesday 12 September 2012 the Court, in Decision 71/PUU-IX/2011, rejected the petitions of petitioners I-V and declared those of petitioners VI-IX (the DPD members) inadmissible for lack of standing [V]. The Court reasoned that the percentages were not intended to treat producing regions unfairly but to protect "all the people of Indonesia", because the central government, representing the state, is obliged to redistribute to regions throughout Indonesia through the DAU, DAK, DBH and other

mechanisms "in order to [ensure] fairness and equality for all" [V]. Justice Akil Mochtar – born in West Kalimantan – dissented, finding indications of injustice in the formulation and distribution of revenue-sharing and urging lawmakers to change the oil and gas arrangements [V].

The ruling is a key text for the monograph's "fair-play" chapter: it constitutionalises the centralist argument that natural resources belong to the nation as a whole (an interpretation rooted in Article 33(3), "the land, the waters and the natural riches contained therein shall be controlled by the state and exploited to the greatest benefit of the people"), while the dissent states the regionalist case in the language of equity.

The otsus push. After the ruling, East Kalimantan's provincial leadership turned to a demand for special autonomy. In December 2014 Governor Awang Faroek Ishak asked for special autonomy; the national planning minister replied that building electricity infrastructure was more important than "talking about special autonomy or new autonomous regions" [E, search excerpt]. In January 2015 Vice-Governor Mukmin Faisyal announced that a study by appointed experts would be submitted to the central government, stating: "The struggle will not stop, but no one will separate from Indonesia. NKRI [the Unitary State] is non-negotiable (*harga mati*) for East Kalimantan" – and citing the "injustice" of the management of state money toward East Kalimantan as a crucial reason [V]. The Home Affairs Minister responded that special autonomy requests require careful study [E]. Arguments advanced by provincial officials included: the mismatch between resource contribution and balancing funds; East Kalimantan's position as the "Heart of Borneo"; border issues; history; mining damage; and the province's size and infrastructure backlog [E, from a Bappeda Kaltim page now offline]. Local commentators at the time suggested that party-political competition (the Golkar-led "Red-and-White" coalition opposing the new Jokowi government) helped drive the campaign [E, opinion piece] – an instance of the "regional resource nationalism masking elite interests" possibility flagged in BRIEF.

The 2015 petition. Two members of the East Kalimantan Special Autonomy Expert Team, Aji Sofyan Effendi (an academic) and Hasanuddin Rahman Daeng Naja (a notary), petitioned the Constitutional Court against the 2015 State Budget Law (UU 27/2014), registered as case 23/PUU-XIII/2015 [V]. After revision, the petition targeted Article 10(3), which allocated the DAU at 27.7% of net domestic revenue (planned at about Rp352.9 trillion) [V]. The petitioners argued that because the DAU formula left East Kalimantan (and three other regions) without a DAU basic allocation, the province had to pay civil servants' salaries from other budget items, delaying infrastructure in a province they described as "very poor and underdeveloped" in infrastructure [V]. On 4 August 2015 the Court declared the petition inadmissible: the petitioners, as individuals, had not shown constitutional injury; and if the people of East Kalimantan were harmed, the proper petitioner would be the provincial government [V].

Neither legal route changed the fiscal formula. The demand for special autonomy has not been granted; in 2022, at the time of the IKN law, the home affairs minister was reported as saying that the capital region (not East Kalimantan province) would be a special autonomous region [E]. *Quantitative analysis of revenue retained versus generated in East and North Kalimantan is the task of R2/R3; this paper only establishes the political sequence.*

Seven-question analysis.

- *Who held power?* The national executive and parliament set formulas; the Constitutional Court arbitrated; provincial and district governments in East Kalimantan, the DPD delegation and civil-society coalitions (MRKTB) bargained.

- *Legitimacy.* The centre's position rests on constitutional doctrine (Art. 33; the unitary state), on national solidarity, and on electoral legitimacy. East Kalimantan's demands invoked equity and environmental compensation – not a separate nationhood.
- *Resource distribution.* Large absolute transfers to East Kalimantan's governments (especially producing districts), but a small share of oil and gas revenue relative to Aceh and Papua; mining royalties and coal were more favourable to regions *(R2/R3 to quantify).*
- *Regional elite incentives.* Escalation was bounded: elites publicly ruled out secession ("NKRI harga mati" [V]); the realistic goals were higher DBH shares, special autonomy funds, infrastructure and central projects (eventually IKN).
- *National identity.* Strong and explicitly affirmed by regional elites; grievances were framed as fairness *within* the nation.
- *Institutional failures.* Absence of a forum where producing regions can renegotiate formulas other than ad hoc lobbying and litigation; the Constitutional Court's standing rules channelled the 2015 dispute toward the provincial government, which did not itself litigate *(observation).*
- *Why the arrangement persists.* Producing-region elites have more to gain from bargaining inside the system than from confrontation; national identity is not contested; the centre controls the formula and has electoral majorities outside the producing regions; and the region lacks a mobilising history of state violence comparable to Aceh or Papua *(hypothesis).*

Period 13. North Kalimantan's creation (2012) and IKN Nusantara (2019-2026)

North Kalimantan (Kaltara). The campaign for a province in northern East Kalimantan began around 2000, driven by a sense of neglect in the border region [E, provincial website excerpt]. The Indonesian parliament approved the bill on 25 October 2012 [E]; UU 20/2012 on the Establishment of North Kalimantan Province was signed by President Yudhoyono on 16 November 2012 and promulgated on 17 November 2012 [V]. The new province comprised Bulungan Regency, Tarakan City, Malinau Regency, Nunukan Regency and Tana Tidung Regency [V], with its capital at Tanjung Selor [E]. The law's justification cited accelerating development, aspirations in border areas and outer islands, the region's land and sea borders with other countries, and the workload of East Kalimantan's provincial government [V]. It was inaugurated as Indonesia's 34th province on 22 April 2013 with Irianto Lambrie as acting governor [E]. In historical terms, Kaltara recreates, approximately, the territory of the former Sultanate of Bulungan (whose regency once covered all of today's North Kalimantan [V]) – an example of historical memory being channelled into administrative form rather than into a separatist claim. It also illustrates pemekaran as a *substitute* for autonomy: the region got its own government and budget lines, not a better resource-sharing deal.

IKN Nusantara. President Joko Widodo announced in August 2019 that the capital would move to East Kalimantan, to an area straddling Penajam Paser Utara and Kutai Kartanegara [E]. UU 3/2022 on the State Capital was enacted on 15 February 2022 [V]. It defines Nusantara's vision as a "world city for all" that is to be sustainable, a driver of Indonesia's future economy, and "a symbol of national identity that represents the diversity of the Indonesian nation" [V] – the capital is explicitly a nation-building instrument. The law amended UU 25/1956 (the 1956 law establishing West, South and East Kalimantan), UU 47/1999 and UU 7/2002 to excise territory [V]. Governance is by a ministerial-level Capital Authority (*Otorita IKN*), whose head acts as budget user for IKN, with funding from the state budget and "other legitimate sources" [V]. UU 21/2023, enacted on 31 October 2023, amended the law on land and sea area, the Authority's powers (special authority

over both central and regional affairs except absolute central affairs), spatial planning and finance, including a dedicated IKN budget [V]. In Decision 185/PUU-XXII/2024, the Constitutional Court conditionally struck down provisions allowing very long land-right periods, limiting business-use rights (HGU) to a maximum of 35 years, extendable by 25 and renewable by 35, subject to evaluation [V].

Status in 2026. Under President Prabowo Subianto (inaugurated October 2024 [E]), IKN has continued at a much lower budget. State-budget allocations were about Rp27 trillion in 2023 and Rp43.3 trillion in 2024, falling to Rp4.7 trillion in 2025 and Rp6.26 trillion in the 2026 budget (Rp5.71 trillion for strategic-area development and Rp553 billion for management support); the Authority's request for an additional Rp14.92 trillion was rejected by the parliament's budget committee [V, CNN Indonesia 14 January 2026]. After an efficiency cut of Rp792 billion [V, Kaltim Post 11 October 2026], the Authority's 2026 ceiling stood at Rp5.47 trillion, of which Rp4.3 trillion was capital expenditure; in July 2026 it requested a further Rp2.7 trillion (multi-year 2026-28) for "batch III" works and land purchase [V, Kontan 16 July 2026]. The first construction batch was completed in December 2025; batch II (2025-27) focuses on legislative and judicial complexes in the core government area [V]. The Authority reported Rp72.39 trillion in cumulative investment commitments as of 14 May 2026 (Rp60.29 trillion "pure private") [V, detik 19 May 2026] – a figure based on cooperation agreements, not realised investment, and to be treated with caution. Prabowo first visited IKN as president on 12 January 2026 and called for completion of legislative and judicial facilities by 2028 [V]. The government's target, set in Presidential Regulation 79/2025, is for Nusantara to function as the "political capital" in 2028 [V]. A parliamentary commission vice-chair said in October 2026 that IKN would continue but was "not a priority" [E, search excerpt]. The Authority had not disclosed how many civil servants had relocated [V].

Legal status. On 12 May 2026, in Decision 71/PUU-XXIV/2026, the Constitutional Court rejected a petition arguing that the combination of the IKN law and the 2024 DKJ law had created a constitutional vacuum regarding the capital [V]. The Court held that, the presidential decree on relocation not yet having been issued, the "status, functions and role of the state capital shall remain in the Special Capital Region of Jakarta Province" until it is; it referred to its earlier Decision 38/PUU-XXIV/2026 on timing [V]. Thus, as of November 2026, Jakarta remains Indonesia's capital in law [V].

Significance for the monograph. IKN is double-edged for Kalimantan's integration. On one side, it is the largest central investment in the island's history and a symbolic elevation of Kalimantan to the centre of the national imagination – which could strengthen identification with the national project *(hypothesis)*. On the other, it brings new land conflicts with indigenous communities (Balik and Paser peoples), migration, environmental pressures and a governance model (an appointed Authority) that bypasses elected local government *(interpretation [E])*. If IKN stalls, it could become a symbol of broken promises; if it succeeds, it could shift political weight toward Kalimantan. Either way, it changes the bargaining position of East Kalimantan's elites, who now host the national capital project and can bargain over its benefits rather than over oil shares *(hypothesis)*.

Seven-question analysis.

- *Who held power?* The national executive (Jokowi, then Prabowo), parliament, the Capital Authority (headed in 2026 by former public works minister Basuki Hadimuljono [V]), and the Constitutional Court; local governments in Penajam Paser Utara and Kutai Kartanegara are secondary.
- *Legitimacy.* For Kaltara, administrative rationality and local aspiration; for IKN, national-

identity symbolism, development and equity ("Indonesia-centric" rather than "Java-centric" development [E]).

- *Resource distribution.* Kaltara gained its own transfers. IKN channels central capital spending into East Kalimantan but on a scale that has fallen by around 85-90% from its 2024 peak [V figures].
- *Regional elite incentives.* To capture contracts and jobs from IKN and to press for special status; East Kalimantan's leaders have strong reasons to support IKN's continuation.
- *National identity.* Nusantara is explicitly designed as a "symbol of national identity" [V].
- *Institutional failures (risks).* Legal ambiguity over the capital's status until a decree is issued [V]; dependence on presidential priorities; uncertainty about private investment realisation.
- *Survival or collapse?* Not yet determinable. IKN's trajectory is a key variable for scenarios A-C in BRIEF.

PART II – KALIMANTAN: POLITICAL HISTORY AND THE ABSENCE OF A MAJOR ARMED SEPARATIST MOVEMENT

14. The puzzle

Kalimantan has many of the ingredients that the comparative literature associates with separatist conflict: large natural-resource rents extracted by the centre (oil and gas since 1897 [V]; timber from the 1960s; coal from the 1990s), significant in-migration and transmigration [V], dispossession of indigenous land under central forest law [E], histories of indigenous polities (Banjar, Kutai, Bulungan, Pontianak, Sambas), a long land border with Malaysia, and episodes of mass violence. Yet it has never produced a movement comparable to GAM in Aceh, the OPM in Papua, Fretilin in East Timor or the RMS in Maluku. The comparative literature on resource separatism *(e.g., Collier & Hoeffler 2005; Ross 2012; Sambanis 2004 [E])* would lead us to expect at least an attempt.

This section first lists the Kalimantan episodes that are sometimes mistaken for separatism, then compares Kalimantan with the four classic cases, and finally evaluates explanations.

15. Kalimantan episodes that were *not* separatist

Episode	Dates	Nature	Separatist?
Banjarmasin War	1859-1863; sporadic to 1905 [V]	Succession war and anti-colonial resistance; destruction of Banjar Sultanate	Pre-national; later nationalised as heroic resistance
Bulungan tax revolt (Datu Adil)	Dec 1914 [V]	Revolt against oil-related taxes	Local, anti-colonial
ALRI Divisi IV guerrilla (Hassan Basry)	1946-49 [E]	Pro-Republican guerrilla war	Pro-integration

Episode	Dates	Nature	Separatist?
Federal units (DIKB, Dayak Besar, East Kalimantan Federation)	1946-50 [V/E]	Dutch-sponsored federal autonomy	Autonomist; dissolved peacefully into the Republic, 1950 [V]
Ibnu Hadjar / KRjT, then Darul Islam	1950-63 [V]	Revolt of excluded ex-guerrillas; Islamic state project	Anti-government, pan-Indonesian Islamic, not Kalimantan-nationalist
Dayak movement for Central Kalimantan (incl. GMTPS)	1953-57 [E]	Ethno-regional demand for a province	Achieved within the Republic (1957)
Konfrontasi border war	1963-66 [V]	Inter-state conflict; Indonesia attempting to unravel Malaysia	Indonesian state project
Bulungan palace raid	July 1964 [V-single source]	Army violence against aristocracy suspected of pro-Malaysia sympathy	State repression of alleged disloyalty
PGRS/Paraku insurgency and 1967 expulsions of Chinese from interior West Kalimantan	1965-1970s [E]	Leftist guerrilla; army-backed Dayak violence against Chinese	Ideological insurgency; counter-insurgency by ethnic mobilisation
Sanggau Ledo violence	Dec 1996-Jan 1997; >600 dead [V]	Dayak-Madurese	Horizontal ethnic violence
Sambas violence	1999; estimates 186 to >3,000 dead, most scholarly estimates ~200-500 [V]	Malay and Dayak vs. Madurese	Horizontal ethnic violence
Sampit / Central Kalimantan violence	Feb 2001 onwards; at least ~500 dead [V]	Dayak vs. Madurese	Horizontal ethnic violence
MRKTB petition; otsus campaign	2011-15 [V]	Constitutional and political bargaining	Explicitly anti-secessionist ("NKRI harga mati") [V]
Kaltara campaign	c. 2000-2012 [E/V]	Demand for a new province	Achieved within the Republic

Two points emerge. First, Kalimantan's violent episodes were overwhelmingly *horizontal* (between communities) rather than *vertical* (region against state). Second, the region's political demands have repeatedly taken *administrative* forms (new provinces, regencies, better formulas), and these demands have often been granted.

The ethnic violence deserves careful treatment, because it is sometimes cited as evidence of Kalimantan's latent instability. In Sambas (1999), the trigger was an attack on Malays leaving a mosque

after Eid prayers, followed by Malay and then Dayak mobilisation against Madurese settlers; the government did little to stop the violence initially [V]. Death-toll estimates range very widely, from a police count of 177 in April 1999 and a defence department estimate of 489 to over 3,000 in the "Pontianak Appeal" signed by 77 specialists; most scholars put the range at 200-500, and Gerry van Klinken estimated at least 186 [V]. In Central Kalimantan (2001), violence began in Sampit in February 2001 and spread across the province, including Palangka Raya; at least 500 people died before order was restored, and many victims were decapitated [V]. In 2000 transmigrants made up 21% of Central Kalimantan's population [V]. Police arrested local officials suspected of having paid provocateurs [V]. Scholarship links the violence to competition over land and economic niches, to the collapse of New Order controls, to decentralisation-era competition for office in which ethnic mobilisation was useful, and to the Dayak sense of marginalisation under the New Order *(interpretation: Klinken 2007; Davidson 2008; Bertrand 2004 [E])*. In this reading, ethnic violence was in part a struggle for *position within* the emerging decentralised state – for control of districts and offices – rather than a rejection of the state.

16. Comparison with Aceh, Papua, Maluku (RMS) and East Timor

Dimension	Aceh	Papua	South Maluku (RMS)	East Timor	Kalimantan (esp. East)
Pre-modern polity with strong memory	Aceh Sultanate, long anti-Dutch war (1873-1904) [V via list; E]	Not a single polity; strong pan-Papuan identity since the 1960s [E]	Ambonese Christian community with KNIL tradition [E]	Portuguese colony, separate colonial history [V]	Several sultanates (Banjar, Kutai, Bulungan, Pontianak); none covers the island; no island-wide polity [V/E]
Inclusion in Indonesia	Part of the Revolution; Republican stronghold in 1948-49 [V]	Transferred 1962-63; contested 1969 Act of Free Choice [V]	Included via RIS; RMS declared April 1950 [V]	Invaded 7 Dec 1975 [V]	Federal units dissolved into Republic 1950 [V]
International legal status	Recognised part of Indonesia	Recognised, but process contested	Recognised part of Indonesia	Not recognised as Indonesian by UN	Recognised part of Indonesia
Resource grievance	Gas at Lhokseumawe [V]	Copper/gold (Freeport) [E]	Limited	Timor Sea oil (expected) [V]	Oil, gas, timber, coal [V/E]

Dimension	Aceh	Papua	South Maluku (RMS)	East Timor	Kalimantan (esp. East)
State violence against a defined group	DOM 1989-98, martial law 2003 [E]	Military operations since the 1960s [E]	Suppression 1950-63 [V]	Mass atrocities; >=102,000 deaths 1974-99 [V]	Episodic (1964 Bulungan, 1967 West Kalimantan); not sustained against a regional identity group [V/E]
Armed organisation with diaspora	GAM, leadership in Sweden [V]	OPM; diaspora [V/E]	RMS government-in-exile in Netherlands [V]	Fretilin/Falintil; diaspora [E]	None comparable
Internal homogeneity of the claimant group	High (Acehnese, Muslim) [E]	High vis-a-vis "Indonesians", internally diverse [E]	Moderate (Ambonese Christians) [E]	High (Timorese, Catholic, Tetum) [E]	Very low: Dayak sub-groups, Banjar, Kutai, Malay, Bugis, Javanese, Madurese, Chinese [V/E]
Outcome	Special autonomy after negotiated peace (2005-06) [V]	Special autonomy; persistent conflict [V]	Defeated; exile movement [V]	Independence 1999-2002 [V]	Integration; administrative proliferation; fiscal bargaining

17. Explanations for Kalimantan's integration: evaluated

E1. Co-optation rather than conquest in the colonial period. Except for Banjar, the Dutch integrated Kalimantan polities by contract, leaving sultans as subsidised local rulers [V]. Unlike Aceh, which fought a three-decade war against the Dutch and emerged with an intense memory of resistance, Kalimantan's east-coast aristocracies emerged from colonialism without a heroic anti-colonial counter-narrative of their own. Where resistance did occur (Antasari), it was absorbed into Indonesia's national-hero pantheon [E]. *Assessment:* strong, but cannot by itself explain post-independence behaviour.

E2. No island-wide pre-colonial identity; fragmented aristocracies. There was never a "Kalimantan" polity. Identities were dynastic (Kutai, Banjar), ethnic (Dayak groups with many languages) or religious. Political entrepreneurs seeking separatism would have had no ready-made "nation" to invoke *(interpretation: consistent with Smith 1986 on ethnie as the basis of nations; Hale 2004 on core ethnic regions [E])*. The Japanese-era Mandor killings decimated West Kalimantan's elite [E], and Sultan Hamid II's disgrace in 1950 [E] removed the leading federalist. *Assessment:* strong.

E3. Heterogeneity turned conflict horizontal. Kalimantan's demography – produced by centuries of trade migration, colonial labour import, transmigration [V] and spontaneous migration – meant that resentments about resource exploitation were often directed at *migrant communities* rather than at Jakarta. The 1996-2001 violence [V] targeted Madurese settlers; the 1967 violence targeted Chinese [E]. In heterogeneous regions, no single group can claim the region as its homeland without excluding many others – which makes regional nationalism self-limiting *(interpretation [E])*. *Assessment:* strong, and uncomfortable: integration was preserved partly because grievance was displaced into communal violence.

E4. Channelled aspiration through administrative units. Dayak demands were met with Central Kalimantan (1957) [E]; northern demands with North Kalimantan (2012) [V]; district-level demands with pemekaran (e.g., UU 47/1999; UU 7/2002) [V]. Each new unit created offices, budgets and elite positions. *Assessment:* strong; this is the clearest *institutional* mechanism.

E5. Elite incorporation and rent access. Under the New Order, Kalimantan's elites were integrated through Golkar, the army and concession networks [E]; after 1999, producing districts gained large revenue shares and their elites controlled budgets and mining permits [E]. The incentive to exit was weak relative to the gains from capturing rent within the system. Regional leaders consistently disavowed secession (2015 [V]). *Assessment:* strong; links to the rentier and elite-bargain literature *(Hadiz 2010; Slater 2010 [E])*.

E6. Securitisation of the border after Konfrontasi. The 1963-66 war [V], the subsequent counter-insurgency against the PGRS/Paraku [E] and the 1964 Bulungan raid [V-single source] made any hint of "Borneo" solidarity with Sabah and Sarawak dangerous. A heavy military territorial presence followed. *Assessment:* moderate; a deterrent rather than a positive bond.

E7. National identity and language. Bahasa Indonesia, close to the Malay spoken on Kalimantan's coasts, was not experienced as a foreign imposition (contrast with how, for example, Russian functioned in some Soviet republics) *(interpretation)*. School, television and military service reinforced national identification [E]. *Assessment:* moderate to strong; but national identity was equally available in Aceh, so it cannot be the decisive difference alone.

E8. Absence of sustained, identity-targeted state violence. Aceh, Papua and East Timor experienced prolonged military operations against populations defined by regional identity, which manufactured grievances and martyrs *(interpretation: Aspinall 2009 shows how DOM-era abuses revived GAM [E])*. Kalimantan's state violence was episodic and often directed at *other* groups (communists, Chinese) with local participation. *Assessment:* strong; possibly the decisive difference from Aceh *(hypothesis)*.

E9. Lack of an external sponsor or a plausible international path. Unlike East Timor (unrecognised annexation) or Papua (contested UN process), Kalimantan's inclusion was never internationally contested, and neighbouring Malaysia had no interest in sponsoring separatism after 1966 *(interpretation)*. *Assessment:* moderate.

Counter-considerations. (i) The absence of separatism should not be read as satisfaction: the 2011-15 litigation and otsus campaign show sustained dissatisfaction with fiscal terms [V]. (ii) The ethnic violence of 1996-2001 shows that integration coexisted with severe local instability. (iii) Low separatism may partly reflect repression and the memory of 1965-67 rather than consent *(hypothesis to test)*. (iv) Some explanations are post hoc; a rigorous test would compare Kalimantan with Riau (another producing region with a brief 1999-2000 independence discourse [E]) and with Sabah and Sarawak (R5).

Provisional conclusion. Kalimantan's integration is best explained by the *conjunction* of E2 (no proto-national identity), E3 (heterogeneity), E4 (channelled aspiration), E5 (elite incorporation) and E8 (no sustained identity-targeted state violence), with E1, E6, E7 and E9 as supporting conditions. None is sufficient alone. This conjunction is contingent: IKN-related land conflicts, environmental damage, a fiscal squeeze or heavy-handed security responses could alter several conditions at once *(hypothesis for the scenario chapter)*.

PART III – CROSS-PERIOD SYNTHESIS

18. Recurring patterns

Pattern 1: The "three-legged stool" of integration. Across thirteen periods, the centre held regions together when three legs stood: (a) a national narrative with which regional populations could identify; (b) control of the coercive apparatus, including a military loyal to the state; and (c) a fiscal arrangement that gave regional elites more inside the system than they could expect outside it. Crises occurred when one leg broke (1956-58: the fiscal leg for producing regions; 1965: elite cohesion; 1997-98: the economic leg). Collapse of the *state* never occurred because at least one leg – usually national identity – remained intact in most regions *(hypothesis, to be formalised in Phase 7)*.

Pattern 2: Grievance takes the form of demands on the centre before it takes the form of exit. PRRI/Permesta wanted a new government in Jakarta [V]; East Kalimantan wanted a better formula [V]; reformers in 1998 wanted a new national order. Exit appears only where a counter-nation exists (Aceh, Papua, East Timor, RMS). This is consistent with Hirschman's exit-voice-loyalty framework *(Hirschman 1970 [E])*, and suggests that the provision of credible *voice* is a key integration safeguard.

Pattern 3: Centralisation is the default; decentralisation comes from crisis. Decentralising reforms (1950s autonomy laws, 1999 laws) followed crises; recentralising trends (1959, 1974, 2014-2020 mining and licensing changes) followed consolidation *(interpretation)*.

Pattern 4: The stigma of federalism. Because of the 1949-50 experience [V], Indonesia's elites treat federalism as a threat, and the Constitution entrenches the unitary state [E]. Asymmetric "special autonomy" has become the functional substitute for federalism.

Pattern 5: Rewarding threat? The two regions with the most generous fiscal arrangements (Aceh, Papua) are those that rebelled; DIY (loyalty) and DKI (function) are exceptions. Whether the system "rewards violence" or "rewards distinctiveness" is a central normative question for the fair-play chapter. Note the centre's counter-argument: special arrangements reflect the cost of conflict and historical injustice, not economic merit, and producing regions already receive substantial DBH *(interpretation [E])*.

Pattern 6: Resource wealth is neither necessary nor sufficient for separatism. Aceh and Papua (resource-rich) rebelled; East Kalimantan and Riau (resource-rich) largely did not; Maluku (not especially resource-rich) produced the RMS; East Timor's rebellion stemmed from an unrecognised annexation. The common factor of rebellion cases is a pre-existing counter-identity *plus* state violence *(interpretation: Bertrand 2004; Aspinall 2009 [E])*.

Pattern 7: National narratives absorb regional memory. Antasari [E], the Revolution in Kalimantan [E], and Nusantara as "symbol of national identity" [V] show the state's practice of

nationalising regional history and geography. This is a powerful integrative technique whose ethical boundaries R4 will examine.

19. Implications for the monograph's competing hypotheses (preliminary)

- *H-identity* (unity because of national identity): supported but insufficient – identity was equally strong in places that rebelled.
- *H-fiscal* (unity because of redistribution/elite rent): strongly supported for elites; less clear for ordinary citizens.
- *H-coercion* (unity because of force): supported for 1958-61, 1965-98, Aceh and Papua; weaker for Kalimantan after 1998.
- *H-institutional design* (district-level decentralisation, pemekaran, asymmetric autonomy): strongly supported for the post-1999 period.
- *H-heterogeneity* (diverse regions cannot coordinate exit): strongly supported for Kalimantan.
- *H-international* (no external sponsor/legal path): supported as background.

The monograph should avoid declaring a single winner; the historical evidence favours a conjunctural explanation.

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20. Chronology table

Date	Event	Tag
1816-17	Dutch restore authority; new contract with Banjarmasin; Dutch flag replaces Sultan's (Jan 1817)	[V]
27 Sep 1834	Bulungan becomes Dutch protectorate (via Berau agreement)	[V]
12 Nov 1850	*Politiek contract* with Kutai	[V] (Wikipedia)
1852-57	Dutch impose Tamjidillah as Banjar heir; Sultan Adam dies Nov 1857	[V]
28 Apr-1 May 1859	Attacks on Pengaron and Kalangan coal mines; Banjarmasin War begins	[V]
1860	Dutch abolish Banjar Sultanate (direct rule)	[V]/[E] date
11 Oct 1862	Prince Antasari dies	[V]
1863 / 1905	Main Banjar war ends / last resistance (Muhammad Seman)	[V]
June 1878	Bulungan incorporated into Netherlands Indies	[V]
10 Feb 1897	First oil drilling at Balikpapan	[V]

Date	Event	Tag
1907	BPM (Shell) established; Balikpapan HQ	[V]
20 May 1908	Budi Utomo first congress	[V]
1909	Bulungan under *korte verklaring*	[V]
Dec 1914	Datu Adil tax revolt, Bulungan	[V]
28 Oct 1928	Youth Pledge	[V]
1942	Japanese occupation; battles of Balikpapan (1942, 1945)	[V]
1 Jun 1945	Sukarno's Pancasila speech	[E]
17 Aug 1945	Proclamation of Independence	[V]
Jul 1946	Malino Conference	[V]
15 Nov 1946	Linggadjati Agreement	[V]
7 Dec 1946	Dayak Besar established	[V]
Dec 1946	Denpasar Conference; State of East Indonesia	[V]
1947	State/Special Region in West Borneo	[V]
20 Jul 1947	First Dutch offensive (Operation Product)	[V]
Jan 1948	Renville Agreement	[V]
4 Feb 1948	Bulungan joins East Kalimantan Federation	[V] (Wikipedia, low)
18 Dec 1948	Second Dutch offensive (Operation Kraai)	[V]
28 Jan 1949	UNSC Resolution 67	[V]
23 Aug-2 Nov 1949	Round Table Conference, The Hague	[V]
27 Dec 1949	Sovereignty transferred to RIS	[V]
Jan 1950	APRA/Westerling affair; Sultan Hamid II implicated	[E]
Mar-Apr 1950	Most RIS units dissolve into Republic; Dayak Besar dissolved 18 Apr	[V]
Apr 1950	RMS declared in Ambon	[V]
19 May 1950	RIS-RI agreement on unitary state	[V]
14 Aug 1950	Kalimantan Province formed	[V]
17 Aug 1950	RIS dissolved; unitary Republic	[V]
Oct 1950	Ibnu Hadjar's KRjT rebellion under way	[V]
Nov 1950	RMS defeated on Ambon	[V]
1954	KRjT joins Darul Islam	[V]
1955	General elections; Bulungan special territory	[E]/[V]

Date	Event	Tag
1956	UU 25/1956 creates West, South, East Kalimantan provinces	[V]
20-22 Dec 1956	Banteng, Manguni, Gajah councils take over local government	[V]
15 Jan 1957	Garuda Council (South Sumatra)	[V]
2 Mar 1957	Permesta founded	[V]
Mar 1957	Nationwide martial law	[V]
1957	Central Kalimantan province; Palangka Raya	[E]
15 Feb 1958	PRRI proclaimed	[V]
17 Feb 1958	Permesta joins PRRI	[V]
Jun 1958	Manado captured	[V]
1959	Guided Democracy; 5 July decree restores 1945 Constitution; Bulungan Sultanate abolished	[V]/[E]/[V]
1960	Kutai special region dissolved	[V] (Wikipedia, low)
1961	Permesta remnants surrender, amnesty	[V]
1962	New York Agreement on West New Guinea	[V]
1963-66	Konfrontasi	[V]
Jul 1963 / 22 Mar 1965	Ibnu Hadjar surrenders / executed	[V]
2 Dec 1963	RMS armed struggle on Seram ends	[V]
Jul 1964	Army raid on Bulungan palace	[V] (single source)
1 Oct 1965	G30S; killings of 1965-66 follow	[E]/[V] estimates
11 Mar 1966	Supersemar	[E]
1967	Suharto acting president; expulsion of Chinese from interior West Kalimantan	[E]
Aug 1968	Pertamina formed	[V]
14 Jul-2 Aug 1969	Act of Free Choice, Papua	[V]
1974	UU 5/1974 on regional government	[E]
Feb 1975	Pertamina default (>US$10bn)	[V]
7 Dec 1975	Invasion of East Timor	[V]
Dec 1976	GAM founded	[V]
1978	P4 indoctrination (TAP MPR II/1978)	[E]
1979-84	Transmigration peak: 535,000 families	[V]

Date	Event	Tag
Dec 1996-Jan 1997	Sanggau Ledo violence (>600 dead)	[V]
1997-98	Asian financial crisis	[V]/[E]
May 1998	Trisakti shootings, riots	[V]
21 May 1998	Suharto resigns; Habibie president	[V]
1999	Sambas violence	[V]
7 May 1999	UU 22/1999	[V]
19 May 1999	UU 25/1999	[E]
Aug 1999	East Timor votes for independence	[V]
1999	UU 47/1999 creates new East Kalimantan regencies	[V]
1 Jan 2001	Decentralisation implemented	[E]
Feb 2001	Sampit violence	[V]
21 Nov 2001	UU 21/2001 Papua special autonomy	[E]
2002	UU 7/2002 creates Penajam Paser Utara	[V]
1999-2002	Constitutional amendments (Art. 18, 18A, 18B; Art. 37(5))	[E]
15 Oct 2004	UU 32/2004 replaces UU 22/1999	[E]
26/28 Dec 2004	Tsunami / GAM ceasefire	[E]/[V]
15 Aug 2005	Helsinki MoU	[V]
27 Dec 2005	GAM disbands armed wing	[V]
1 Aug 2006	UU 11/2006 Governing of Aceh	[V]
2008	UU 35/2008 amends Papua otsus	[V]
12 Sep 2012	MK 71/PUU-IX/2011: Kaltim DBH petition rejected	[V]
2012	UU 13/2012 DIY	[V]
16-17 Nov 2012	UU 20/2012 North Kalimantan	[V]
22 Apr 2013	Kaltara inaugurated	[E]
Dec 2014-Jan 2015	Kaltim otsus campaign	[E]/[V]
4 Aug 2015	MK 23/PUU-XIII/2015: inadmissible	[V]
Aug 2019	Capital relocation to East Kalimantan announced	[E]
19 Jul 2021	UU 2/2021 Papua otsus second amendment	[V]
15 Feb 2022	UU 3/2022 State Capital	[V]
31 Oct 2023	UU 21/2023 amends IKN law	[V]
2024	UU 2/2024 DKJ; IKN allocation Rp43.3T	[V]

Date	Event	Tag
2024-25 (date unverified)	MK 185/PUU-XXII/2024 limits IKN land-right terms	[V]
2025	IKN allocation Rp4.7T; Perpres 79/2025 "political capital 2028"	[V]
12 Jan 2026	Prabowo's first presidential visit to IKN	[V]
12 May 2026	MK 71/PUU-XXIV/2026: Jakarta remains capital until Keppres	[V]
Jul-Oct 2026	IKN 2026 ceiling Rp5.47T after Rp792bn cut; +Rp2.7T requested	[V]

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21. Disputes and uncertainties

1. **1965-66: who organised the G30S, and how many died.** Estimates of deaths most widely published are 500,000-1,000,000, with some at 2-3 million [V]; the numbers are not settled. Responsibility for the G30S is disputed (official PKI-coup account; "internal army affair"; PKI Special Bureau thesis of Roosa 2006; Sukarno's role; foreign involvement) [E]. The degree of army orchestration versus local initiative is still debated, though recent scholarship emphasises army organisation [E]. The monograph must present these as contested, avoid euphemism (e.g., "the events of 1965"), and avoid sensational claims beyond the evidence. Western governments' roles are documented in declassified files but their causal weight is debated [E].

2. **US involvement in PRRI/Permesta.** CIA support for Permesta's air arm is documented [V]; the scale of political direction versus opportunistic support is discussed in Kahin & Kahin (1995) and Conboy & Morrison (1999) [E]. The paper should not imply the rebellions were US creations; their causes were domestic [V].

3. **The federal period in Kalimantan.** Dates and composition of the East Kalimantan Federation and the precise status of DIKB require archival confirmation (Cribb's *Digital Atlas of Indonesian History* and Bastiaans 1950 are cited by the Dayak Besar article [V]). The 4 February 1948 date rests on a Wikipedia article flagged here as low reliability.

4. **The 1964 Bulungan palace raid.** Rests on a single Wikipedia passage [V]; corroboration from Indonesian historiography (e.g., local histories, Magenda 1991) is required before use in the manuscript.

5. **Kutai chronology.** The Wikipedia article on the Kutai Sultanate is flagged by Wikipedia itself as possibly containing LLM-generated text [V]; dates (e.g., dissolution of special region in 1960) need confirmation from Magenda (1991) or Sarip (2023).

6. **Causation of Kalimantan ethnic violence.** Explanations range from primordial antagonism (now largely rejected), to economic competition, to elite instigation and decentralisation-era office competition [E]. The arrest of officials suspected of paying provocateurs in 2001 [V]

supports elite-instigation readings but is not conclusive. Death tolls vary by an order of magnitude [V].

7. **Interpretation of the New Order's regional record.** One school sees successful developmental redistribution that limited the "oil curse" (Ross 2012; Hill 2000 [E]); another emphasises dispossession, repression and crony capture (Robison & Hadiz 2004 [E]). Both can be true for different regions and groups.

8. **Decentralisation's effects.** Whether decentralisation strengthened unity (by incorporating elites) or merely decentralised corruption and conflict is contested [E]. The monograph should treat this as an empirical question for R2/R3.

9. **Does the system reward violence?** Presented here as a hypothesis (Key Finding 8; Pattern 5). DIY and DKI are counter-examples; Aceh's and Papua's arrangements can be justified on grounds of historical injustice and conflict costs rather than reward.

10. **Fiscal figures for East Kalimantan.** This paper deliberately avoids quantifying "revenue generated vs. retained"; the petition's comparison of 15.5%/30.5% to 70% shares is legal, not an empirical measure of net fiscal flows [V]. R2/R3 must build that measurement and distinguish production, government revenue and locally retained income (BRIEF).

11. **IKN figures.** Budget figures differ by source and date: Rp6.26T is the APBN 2026 allocation [V]; Rp5.47T is the Authority's ceiling reported in July 2026 [V], consistent with the Rp792bn efficiency cut [V]. Investment "commitments" (Rp72.39T) are self-reported by the Authority and are not realised investment [V]. Future IKN status depends on a presidential decree not yet issued [V].

12. **Aceh special autonomy fund expiry (2027).** Observed only in news headlines during this research [E]; R3 should verify the statutory schedule in UU 11/2006 and current negotiations.

13. **Wikipedia-dependent [V] claims.** Several historical dates are tagged [V] on the basis of Wikipedia articles opened in this research. Under FRAMEWORK rules they meet the [V] definition (page opened, claim present), but they should be upgraded to Ricklefs (2008), Cribb & Kahin (2004), Kahin (1952), Feith (1962) or archival sources during Phase 8.

14. **Terminology.** "Otsus" (special autonomy), "pemekaran" (regional proliferation), "DBH" (revenue-sharing funds), "DAU" (general allocation fund) and "NKRI harga mati" ("the Unitary State is non-negotiable") are used as in Indonesian sources; translations should be standardised in the manuscript glossary.

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mass killings of 1965-66"; "Pertamina"; "Ibnu Sutowo"; "Transmigration program"; "Indonesian invasion of East Timor"; "Fall of Suharto"; "Free Aceh Movement"; "Free Papua Movement"; "Special Region of Yogyakarta"; "Sambas riots"; "Sampit conflict". URLs follow the pattern https://en.wikipedia.org/wiki/

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Note: Works in section D are cited for interpretations; no page numbers or quotations are attributed to them here. Where bibliographic details are marked "to confirm", they must be checked before inclusion in the manuscript.

Phase 3a: Kalimantan Data and the Resource Sovereignty Paradox (R2)

R2 – Kalimantan Comparative Data and Analysis: Production, Retained Income and Government Revenue in Indonesia's Resource Provinces

Research memo for The Architecture of National Unity *(M. Bagus Prabowo and Hark, co-authored). Prepared 7 November 2026 (WIB). Companion dataset:* `work/kalimantan-data.csv` *(223 data rows; columns indicator, province, value, unit, year, source_url, tag, note).*

Evidence conventions (per FRAMEWORK.md). [V] = the page was opened and the figure is on it. [E] = taken from a search excerpt, a secondary compilation, or established knowledge and not opened in full. Interpretive claims are marked *(interpretation: Author year)*; claims of my own that go beyond the evidence are marked *(hypothesis)*. All rupiah figures are nominal. "T" = trillion rupiah, "bn" = billion rupiah, "m" = million rupiah. "Province" means the provincial government only; "consolidated" or "all local governments" means the provincial government plus all regencies (*kabupaten*) and cities (*kota*) within it.

The most important fiscal tables in this memo (Sections 4 and 5) come from the Ministry of Finance's Directorate General of Fiscal Balance (DJPK) regional finance information system (SIKD) portal, which I queried directly for every province on 7 November 2026; those figures are [V].

Key findings

1. **East Kalimantan (Kaltim) and North Kalimantan (Kaltara) are, by output per head, among the richest places in Indonesia.** Kaltim's gross regional domestic product (GRDP) in 2025 was Rp889.07T, or Rp208.33m per person, about 2.5 times the national figure (Rp83.75m) [V for Kaltim; E for national]. Kaltara's per-capita GRDP was almost identical (Rp208.21m) [E]. Only Jakarta (Rp367.69m) is far higher [E].
2. **Very little of that output appears as household consumption.** Using Susenas (the National Socio-Economic Survey) for March 2025, a Kaltim resident consumed about Rp25.4m a year, equal to about 12% of Kaltim's per-capita GRDP. The national ratio is about 22%, and in the agrarian provinces of West, Central and South Kalimantan it is 23-31% (computed; see Table 3.2). But Jakarta's ratio is even lower (about 10%), which shows that a low ratio is the signature of capital-intensive, corporate-dominated output in general and not proof of

extraction by the centre.

3. **Kaltim is not a poor province in welfare terms, but it is not proportionately rich either.** Its Human Development Index (HDI) in 2025 was 79.39, fourth in Indonesia [E]. Its poverty rate (5.14%, March 2026) is lower than the national 8.07% but higher than Jakarta's or South Kalimantan's; its unemployment (5.18%, August 2025) is above the national 4.85% [E]. Output per head is 2.5 times the national average; household welfare is only moderately above it.

4. **Regional governments in Kaltim capture roughly 9% of GRDP as revenue.** In 2024 all eleven local governments in Kaltim together collected Rp76.54T, equal to about 8.9% of that year's GRDP (about Rp858T) [V for revenue; E for GRDP]. Of this, 71% came as central transfers and 21% from own-source revenue (PAD, *pendapatan asli daerah*) [V].

5. **Kaltim is the largest single recipient of resource revenue sharing in Indonesia, and it is transfer-dependent mainly because of that sharing.** In 2025 Kaltim's local governments received Rp39.55T in transfers to regions (TKD, *transfer ke daerah*), of which Rp30.74T (78%) was revenue-sharing funds (DBH, *dana bagi hasil*) and Rp25.01T was the regional share of coal and mineral royalties alone [V]. For comparison, all local governments in West Kalimantan (Kalbar) received only Rp1.31T in DBH; their transfers are dominated by the general allocation fund (DAU, *dana alokasi umum*, Rp12.98T) [V]. The fiscal "dependency ratio" therefore hides two very different kinds of dependency: Kaltim depends on a formula tied to its own production, while Kalbar depends on equalisation.

6. **The resource-sharing formula returns about 8% of the value of Kaltim's mining output to its regions.** In 2024 the DBH for natural resources (coal royalty and land rent, oil and gas) received by Kaltim's local governments was about Rp26.1T, against mining GRDP of about Rp330T, or about 7.9% (worked example in Section 9). Corporate income tax, value-added tax, export duties and the 20% central share of royalties are not shared on an origin basis.

7. **Jakarta is fiscally autonomous in a way no Kalimantan province is.** Jakarta's provincial government raised 70% of its 2024 revenue from PAD (Rp50.74T of Rp72.95T) [V]. Its largest transfer item is not equalisation but the revenue share of personal income tax (PPh 21) withheld by Jakarta-registered employers, Rp19.93T in 2025 [V]. Because many mining companies operating in Kalimantan are headquartered in Jakarta, part of the wage-tax base generated by Kalimantan activity is plausibly booked to Jakarta (hypothesis; not quantified).

8. **Coal output is concentrated and the outlook is weakening.** In 2024 Kaltim produced 368 Mt (million tonnes) of coal and South Kalimantan (Kalsel) 237 Mt, together about 72% of national output of 836.1 Mt; Kalimantan as a whole produced 687 Mt, about 82% [V]. The International Energy Agency (IEA) forecasts that global coal demand has plateaued and will decline slightly by 2030, with Chinese imports declining about 2.5% a year [E]. Kaltim's provincial revenue budget for 2026 (Rp14.25T) is about 35% below its 2024 realisation (Rp22.08T) [E budget; V realisation], an early signal of fiscal exposure to the coal cycle and to central cuts in TKD.

9. **The externalities are local and long-lived.** The Mining Advocacy Network (JATAM, an advocacy NGO) counts 57 deaths in abandoned coal pits in Kaltim as of October 2026 [V, NGO count]; the provincial mines office has publicly verified a lower number [E]. Nongovernmental satellite monitoring puts 2025 deforestation at about 56,900 ha in Central Kalimantan (Kalteng)

and 47,135 ha in Kaltim, among the highest in Indonesia [E].

10. **There is a legitimate, evidence-based case for *some* additional fiscal autonomy for Kaltim, but it is a case for a better formula, stronger own-revenue powers and a long-horizon resource fund, not a case that secession or full control of resources would raise welfare.** The strongest regionalist argument rests on externalities, the volatility of formula transfers and the centre's unilateral power to cut them. The strongest centralist argument rests on the national (constitutional) ownership of subsoil resources under Article 33(3) of the 1945 Constitution, on horizontal equity with poorer provinces, and on Kaltim's own weak record of turning past revenue windfalls into diversified growth (Section 10).

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1. Scope, definitions and why the distinction matters

The brief asks the monograph to distinguish three things that are routinely conflated in Indonesian public debate about "rich provinces":

- **Production**: the value added generated within a province's territory, measured by GRDP. GRDP is a territorial concept. It counts the output of a coal mine owned by a Jakarta-listed company with foreign shareholders as Kaltim GRDP, even though its profits, depreciation allowances and much of its wage bill may flow elsewhere.
- **Locally retained income**: what residents of the province actually receive and spend. Indonesia has no official regional household income accounts, so I use two proxies: Susenas household consumption expenditure per capita, and the provincial minimum wage (UMP, *upah minimum provinsi*). Both have limits (Section 3).
- **Government revenue**: what local governments in the province can actually spend, decomposed into own-source revenue (PAD) and central transfers (TKD), and within TKD into origin-based revenue sharing (DBH) and needs-based equalisation (DAU, DAK).

The political point is that a large gap between the first and the other two can arise from at least four quite different mechanisms, and each implies a different normative conclusion:

1. **Capital intensity and factor ownership.** Mining is capital-intensive; most value added is gross operating surplus (profit plus depreciation), not wages. Profits accrue to shareholders wherever they live. This gap would exist in any jurisdiction, including an independent one, unless the state took equity.
2. **Central taxation.** Corporate income tax, VAT, export duties and the central share of royalties are collected by the centre. This is the "fiscal extraction" mechanism that regionalist arguments emphasise.
3. **Interregional redistribution.** Part of what the centre collects is spent in poorer regions. This is the "solidarity" mechanism centralists emphasise.
4. **Leakage through firm location.** Taxes that are shared by place of registration or withholding, such as PPh 21 (personal income tax withheld by employers), may be credited to Jakarta where firms are registered, rather than to the producing province.

Only mechanisms 2-4 are matters of fiscal design; mechanism 1 is a matter of property rights and industrial structure. This memo tries to keep them apart.

1.1 The provinces

Kalimantan is the Indonesian part of the island of Borneo, shared with Malaysia (Sabah, Sarawak) and Brunei. It has five provinces:

- **Kalimantan Timur (Kaltim, East Kalimantan)**: capital Samarinda; coal, oil and gas (the Mahakam delta), palm oil; site of the new national capital, Nusantara (IKN, *Ibu Kota Nusantara*), in Penajam Paser Utara and Kutai Kartanegara regencies.
- **Kalimantan Utara (Kaltara, North Kalimantan)**: split from Kaltim by Law 20/2012, inaugurated in April 2013 [E, from R1 notes]; capital Tanjung Selor; coal, some oil and gas, palm oil, a large hydropower and industrial-park project (the Kalimantan Industrial Park Indonesia, KIPI, at Tanah Kuning).
- **Kalimantan Selatan (Kalsel, South Kalimantan)**: capital Banjarbaru (formerly Banjarmasin); coal (second largest producer), palm oil, rubber.
- **Kalimantan Tengah (Kalteng, Central Kalimantan)**: capital Palangka Raya; largest palm oil producer in Kalimantan, coal (including metallurgical coal), peatland.
- **Kalimantan Barat (Kalbar, West Kalimantan)**: capital Pontianak; palm oil, bauxite and alumina refining, agriculture; borders Sarawak.

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2. Demography: population, area, ethnicity, migration, religion

2.1 Population and area

Population figures for 2025 are in transition. BPS (Statistics Indonesia) conducted the Intercensal Population Survey (SUPAS) in 2025, and its results differ from the older projections built on the 2020 Census (SP2020). The provincial per-capita GRDP figures published in February 2026 still use the old projection as denominator.

Table 2.1 – Population, area and density (latest available)

Province	Population (m)	Year / basis	Area (km2)	Density (per km2)	Tag
Kaltim	4.05	2024 projection (cited in Kaltim RKPD 2025); SP2020: 3.77	~126,981	~32	E
Kaltara	~0.75	2025 projection	~70,000	~11	E
Kalsel	~4.3	2024-25	~37,135	~115	E
Kalteng	~2.8	2024 (Kemenag administrative base 2.81m)	~153,400	~18	E
Kalbar	~5.6-5.7	2023-24	147,307	~39	E

Province	Population (m)	Year / basis	Area (km2)	Density (per km2)	Tag
DKI Jakarta	~10.7	2025	~661	~16,000	E

Limitations. Areas follow Ministry of Home Affairs figures as reported in secondary sources and may differ by a few percent from BPS tables; Kaltim's area changed with the creation of the IKN Authority area, whose fiscal and statistical status is still being settled. Kaltim's 2024 projected population (4.05m) is cited in the province's 2025 work plan; the plan itself notes that IKN-driven migration could raise the population sharply [E, Pergub Kaltim 26/2024 excerpt]. **Per-capita GRDP is sensitive to the denominator**: if SUPAS 2025 yields a lower Kaltim population than the projection, per-capita GRDP would be correspondingly higher; I have not verified the SUPAS 2025 provincial totals and flag this as a gap.

Kalimantan is large and thinly peopled. Kaltim, Kaltara and Kalteng together cover roughly 350,000 km2, an area comparable to Germany, but have under 8 million inhabitants. This matters for fiscal arguments: the cost of delivering roads, schools and health services per person is high, which is one reason the DAU formula includes area as a cost factor.

2.2 Ethnic composition

The 2010 Population Census remains the latest official census tabulation of ethnicity by province; the 2020 Census did not publish a comparable full ethnic breakdown. Any statement about current ethnic shares therefore rests on 16-year-old data in provinces that have since received large migration flows.

Table 2.2 – Ethnic composition, Sensus 2010 (largest groups)

Province	Largest groups (share of population)	Tag	Note
Kaltim (post-2012 boundaries)	Javanese 32.60%; Bugis 18.71%; Banjar 13.99%; Kutai 9.07%; Dayak (all subgroups) 5.98%	E	Recomputed after Kaltara split, as reported on Indonesian Wikipedia citing BPS; not verified against BPS table
Kalsel	Banjar 74.34%; Javanese ~14.5%	E	UGM *Populasi* journal article citing Sensus 2010
Kalteng	"Other Kalimantan" (mostly Dayak subgroups) 26.67%; Javanese 21.67%; Banjar 21.03%	E	BPS ethnic coding splits Dayak into many subgroups

Province	Largest groups (share of population)	Tag	Note
Kalbar	Dayak and Malay roughly a third each; Javanese, Chinese and Madurese smaller groups	E	Sources disagree on Dayak share (from ~35% to ~50%) depending on how subgroups are aggregated
Kaltara	Not separately available for 2010 (then part of Kaltim)	–	Gap

Analytic relevance. Kaltim is a **migrant-majority multi-ethnic province** in which no single group is a majority, and the indigenous Kutai and Dayak together are under a sixth of the population. This weakens any ethno-territorial basis for regional nationalism of the kind seen in Aceh (Acehnese majority, distinct historical sultanate) or Papua (Melanesian majority, distinct decolonisation history) *(interpretation: consistent with Bertrand 2004 on ethnic conflict in Indonesia; Brown on regional disparities).* Regional grievance in Kaltim has historically been framed in fiscal and developmental terms ("*Kaltim lumbung energi, rakyat gelap gulita*" – "Kaltim is the energy barn, yet its people sit in the dark") rather than in ethnic terms [E; slogan widely reported, origin not verified].

Kalbar is the opposite case: a more polarised ethnic structure (Dayak, Malay, Chinese, Madurese) with a history of serious communal violence in 1996-97 and 1999 (Sambas), discussed in R4/R6. Kalbar's grievances have been about land and ethnic standing more than about revenue.

2.3 Migration

Lifetime migration (people living in a province other than their province of birth) is a good indicator of how "new" a provincial society is. From the 2020 Census long form, about **30.99% of Kaltim's residents were lifetime in-migrants** [E, ANTARA Kaltim report of BPS data, January 2023]. I could not obtain comparable SP2020 or SUPAS 2015 figures for the other four provinces in this session (gap). From general knowledge, Kaltim, Kaltara and Kalteng were major transmigration and labour-migration destinations under the New Order, whereas Kalsel's population is overwhelmingly Banjar and locally born [E].

High migration has two opposite implications for unity. On one hand, migrants with family ties to Java and Sulawesi carry national rather than regional identities, which dampens regionalism *(hypothesis, consistent with social identity theory: Tajfel and Turner 1979).* On the other hand, migration can generate "sons of the soil" resentment among indigenous groups when migrants dominate the better jobs, a classic driver of regional conflict *(interpretation: Fearon and Laitin 2011 on "sons of the soil")* [E]. The IKN project, which will bring civil servants and construction workers from outside, may intensify both effects.

2.4 Religion

Table 2.3 – Religious composition, 2024 (administrative data)

Province	Muslim	Protestant	Catholic	Hindu (incl. Kaharingan)	Buddhist	Tag
Kalbar	59.41%	11.51%	21.71%	0.05%	5.30%	E
Kalteng	73.72%	16.50%	3.36%	5.40%	0.11%	E
Kalsel	96.86%	1.34%	0.56%	0.57%	0.28%	E
Kaltara	~73.3%	~19.4%	~6.7%	<0.1%	~0.5%	E (computed from Dukcapil Kaltara, semester 1 2024)
Kaltim	Majority Muslim; Protestants 304,193 (~7.5%)					E; full breakdown not obtained

Source and limitation. Kalbar, Kalteng and Kalsel shares are Ministry of Religious Affairs/civil registry data as compiled by Databoks (Katadata), December 2024. These are administrative registrations, which undercount adherents of indigenous religions (Kaharingan in Kalteng is administratively classed as Hindu) and people whose ID card religion differs from practice.

Relevance. Kalbar, Kalteng and Kaltara have large Christian minorities (25-35%), mostly among Dayak communities. Religion has not been the primary axis of regional politics in Kaltim, but it is relevant to how national identity is experienced in Dayak-majority interior regencies (R4 discusses this).

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3. Production versus retained income

3.1 GRDP, structure and growth

Table 3.1 – GRDP 2025 (current prices), per capita and structure

Province	GRDP 2025 (T)	Per capita (m)	Real growth 2025	Mining share	Manufacturing share	Agriculture share	Tags
Kaltim	889.07	208.33	4.53%	38.4% (2024); 34.1% (Q2-2025)	20.12%	~6-8%	GRDP V; shares E
Kaltara	156.03	208.21	4.56%	23.44% (Q4-2025)	8.75%	15.60%	E

Province	GRDP 2025 (T)	Per capita (m)	Real growth 2025	Mining share	Manufacturing share	Agriculture share	Tags
Kalsel	305.13	~70.6 (computed)	5.19%	27.94% (Q4-2025)	11.62%	10.29%	E
Kalteng	~241.1	~84.7	n.a.	~9.9% (disputed)	16.60%	22.93%	E
Kalbar	328.57	~57 (computed)	n.a.	small (bauxite)	15.70%	21.66%	E
DKI Jakarta	3,926.15	367.69	5.21%	~0%	~11%	~0%	E
Indonesia	~23,800 (approx.)	83.75	5.11%				E

Sources. Kaltim: BPS Kaltim press release, 5 February 2026 [V]. Kaltara: BPS Kaltara release, 5 February 2026 [E]. Manufacturing shares for all five provinces: Kalsel Industry Office performance report 2025, citing BPS regional data [E]. Kaltara sector shares: Bank Indonesia (BI) Kaltara regional report, February 2026 [E]. Kalsel: BPS Kalsel head as reported by PojokBanua, February 2026 [E]. Kaltim 2024 mining share: NEXT Indonesia Center analysis citing BPS (Rp329.5T of Rp858.4T) [E]; Kaltim Q2-2025 mining share 34.11%: DJKN (State Assets directorate) Kaltim regional note [E]. Jakarta: BPS DKI release [E] and provincial report [E].

Limitations. (a) Per-capita values for Kalsel and Kalbar are my computations from GRDP and approximate population and should be replaced with BPS figures. (b) Kalteng's mining share is reported as 9.88% by ANTARA but the BI excerpt I saw attached 9.88% to construction; unresolved. (c) Kaltim's manufacturing share (20%) includes coal processing and oil and gas refining (the Balikpapan refinery and the Bontang LNG plant), so "manufacturing" overstates diversification away from hydrocarbons. (d) 2025 GRDP figures are preliminary ("*angka sangat sementara*").

Three structural observations.

First, **Kaltim and Kaltara look alike on per-capita output but not on economic structure.** Kaltim is a hydrocarbon-and-coal economy with a large processing sector; Kaltara is a smaller economy in which mining, agriculture, construction and trade each contribute 13-24%. When Kaltara's GRDP is measured *without* oil, gas and coal, mining falls from 34.18% to 7.19% of the economy (2023) [E, ANTARA citing BPS Kaltara]. That non-mining GRDP figure is the one BPS calls "PDRB tanpa migas dan batubara" and is the cleanest available measure of the non-extractive economy; I could not obtain the equivalent for Kaltim in this session (gap).

Second, **Kaltim's share of the island's economy is 46.31%** (2025) [E, BPS Kaltara release], with 4 million of Kalimantan's ~17 million people. Within Kalimantan, the "rich province" grievance is therefore also an intra-island fact.

Third, **growth is slowing in the coal provinces.** Kaltim's growth fell from 6.17% (2024) to 4.53% (2025) [V for both, on the BPS Kaltim page's related-release list]; Kaltara's mining sector contracted in every quarter of 2025 [E]; Kalsel's mining sector contracted in Q3-2025 [E]. Growth in Kaltim's 2025 was led by accommodation and food services (+13.03%), plausibly IKN-related [V].

3.2 Locally retained income: consumption and wages

Table 3.2 – Production versus household consumption and minimum wages

Province	GRDP per capita 2025 (m/yr)	Susenas consumption per capita, Mar 2025 (Rp/month)	Annualised (m/yr)	Consumption GRDP per capita	UMP 2026 (Rp/month)	UMPx12 GRDP per capita
Kaltim	208.33	2,117,353 [V]	25.41	12.2%	3,762,431	21.7%
Kaltara	208.21	1,726,451	20.72	10.0%	3,775,243	21.8%
Kalsel	~70.6	1,603,501	19.24	~27%	3,725,000	~63%
Kalteng	~84.7	1,596,165	19.15	~23%	3,686,138	~52%
Kalbar	~57	~1,470,000	~17.6	~31%	3,054,552	~64%
DKI Jakarta	367.69	2,962,412	35.55	9.7%	5,729,876	18.7%
Indonesia	83.75	1,569,088	18.83	22.5%	3,508,714 (avg)	50.3%

Sources. Consumption: BPS Kaltim *Statistik Pengeluaran 2025* as reported by Niaga.Asia [V]; other provinces via Databoks (Katadata) summaries of Susenas [E]; national and Jakarta via Dataindonesia/Vox Kalteng citing BPS [E]. UMP 2026: governors' decrees as compiled by Panduan Warga and Kemnaker (Ministry of Manpower) lists [E]; national average from gajikaryawan.id compilation [E]. Ratios are my computations.

Limitations. (1) Susenas is known to under-record the consumption of the richest households, so consumption is understated more in unequal, high-income places. (2) Consumption is not income: it excludes savings, taxes and transfers. (3) GRDP per capita includes depreciation, corporate retained earnings, profits paid to non-residents and government output, none of which can be "retained" by households in any economy. (4) UMP is a legal floor, not an average wage; actual mining wages are much higher, but most workers are not in mining. (5) Price levels differ: Kaltim's cost of living is above the national average, so real consumption gaps are smaller than nominal ones.

What the table shows. Kaltim's residents consume more than the national average (35% more per head), but the province's output per head is 150% higher. The gap between production and household consumption is far larger in Kaltim and Kaltara (consumption ~ 10-12% of GRDP per capita) than in the agrarian provinces (23-31%) or the nation (22.5%).

What the table does not show. The gap is *not* evidence that the centre takes the difference. Jakarta – the centre itself – has an even lower ratio (9.7%), because its GRDP is inflated by corporate headquarters, finance and the national government. The low ratio is a property of capital-intensive and headquarters economies. What *is* distinctive about Kaltim is that its high GRDP does not come with Jakarta-level wages (UMP is a third lower), services, or HDI (79.39 vs 85.05). Put plainly: Kaltim produces like a rich region and lives like a moderately prosperous one.

Wage share and employment. Mining employed about 8.5% of Kaltim's labour force (about 168,000 people) in 2024 while generating about 38% of GRDP [E, NEXT Indonesia]. That ratio

(output share roughly 4.5 times employment share) is the arithmetic of the "enclave" character of mining: the sector's output is large, its local labour footprint small. The largest employers in Kaltim are trade, agriculture and services [E, BPS Kaltim labour release]. This is the strongest single fact behind the sense that "the wealth passes through but does not stay" *(interpretation; compare Karl 1997 and Ross 2012 on enclave extraction).*

3.3 Inequality, poverty, unemployment and human development

Table 3.3 – Welfare indicators (latest)

Province	Gini (expenditure)	Poverty rate, Mar 2026	Unemployment (TPT)	HDI 2025
Kaltim	0.312 (Mar 2026)	5.14%	5.18% (Aug 2025)	79.39
Kaltara	0.251 (Sep 2025)	5.18%	3.83% (Nov 2025)	74.04
Kalsel	0.301 (Mar 2026)	3.63%	4.16% (Aug 2025)	76.10
Kalteng	0.278 (Mar 2026)	5.09%	~3.97% (Aug 2025)	74.86
Kalbar	0.311 (Mar 2026)	5.78%	4.82% (Aug 2025)	72.09
DKI Jakarta	0.435 (Mar 2026)	3.96%	6.05% (Aug 2025)	85.05
Indonesia	0.368 (Mar 2026)	8.07%	4.85% (Aug 2025)	75.90

Sources. Gini: BPS provincial releases (Kaltim, Kalsel, Kalteng, Kaltara) and CNBC Indonesia summary of BPS (Kalbar, Jakarta) [E]; national: BPS press release 5 August 2026 [E]. Poverty: BPS statistical table, March 2026 [E]; Kaltara via Databoks [E]. Unemployment: BPS provincial releases and Bappenas SIMREG [E]; Kalteng figure from a newspaper report whose wording is garbled. HDI: BPS table, 5 November 2025 [E]. All [E] because I read search excerpts of official pages rather than opening them; the numbers are consistent across multiple excerpts.

Limitations. Gini is computed on consumption, not income or wealth, and compresses inequality. The national poverty line is low (about Rp600-925 thousand per person per month, varying by province), so poverty rates are low by international middle-income standards. Kaltara's August 2025 unemployment rate was not found; the November 2025 figure is from a different survey round.

Interpretation. On these indicators Kaltim is a good but not an exceptional performer. Kalsel, which has a quarter of Kaltim's per-capita GRDP, has *lower* poverty and lower unemployment. Kaltim's unemployment is persistently above the national average, with SMK (vocational school) graduates the most affected [E, Kaltim government release]. This pattern – high output, above-average unemployment, middling poverty – is consistent with the resource-enclave literature and with the argument that Kaltim's development problem is not mainly a shortage of money but the weak linkage between the extractive sector and local labour (hypothesis, tested further in Section 8).

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4. Regional government budgets

4.1 How Indonesian regional finance works (in brief)

Since the "big bang" decentralisation of 2001 (Laws 22/1999 and 25/1999, later 32/2004 and 33/2004, now Law 23/2014 on regional government and **Law 1/2022 on Financial Relations between**

the Central Government and Regional Governments, *Hubungan Keuangan antara Pemerintah Pusat dan Pemerintahan Daerah*, "UU HKPD"), most service delivery is the job of about 500 regencies and cities, with provinces playing a coordinating and secondary role. Regional revenue has three parts:

- **PAD (own-source revenue)**: regional taxes (for provinces chiefly motor-vehicle tax, vehicle transfer fee, fuel tax, surface-water tax and cigarette-tax share), charges (*retribusi*), profits of regional enterprises, and other receipts. Regions have no power to tax corporate income, personal income, VAT or mineral output.
- **TKD (transfers to regions)**: DBH (revenue-sharing, origin-based), DAU (general allocation, needs-based equalisation), DAK (specific allocation, earmarked; physical and non-physical), DID/Insentif Fiskal (performance incentives), Otsus and Keistimewaan funds (Aceh, Papua, Yogyakarta), and Dana Desa (village fund).
- **Other legitimate revenue** (grants, etc.).

A standard measure of fiscal autonomy is the share of PAD in total revenue; its complement, the share of transfers in revenue, is the "fiscal dependency ratio."

4.2 Provincial governments, 2024 realisation

Table 4.1 – Provincial government (province only) revenue, 2024 realisation

Province	Total revenue (bn)	PAD (bn)	Transfers (bn)	PAD share	Fiscal dependency (transfers/revenue)
Kaltim	22,084.70	10,363.08	11,698.79	46.9%	53.0%
Kaltara	3,459.03	1,033.75	2,417.28	29.9%	69.9%
Kalsel	12,409.73	5,537.68	6,586.36	44.6%	53.1%
Kalteng	8,339.32	2,824.01	5,326.98	33.9%	63.9%
Kalbar	6,461.15	3,369.79	3,088.82	52.2%	47.8%
DKI Jakarta	72,952.09	50,742.02	21,620.91	69.6%	29.6%

Source. DJPK SIKD portal, "Postur APBD", province-only (`pemda=00`), realisation to December 2024, data received by SIKD as displayed on 6 November 2026 [V]. URL pattern: `https://djpk.kemenkeu.go.id/portal/data/apbd?pemda=00&periode=12&provinsi={code}&tahun=2024` with codes Kalbar 14, Kalteng 15, Kalsel 16, Kaltim 17, Kaltara 34, DKI 09. *Limitation:* SIKD figures are as reported by regions and can differ slightly from audited financial statements: for example Kaltim's audited 2024 PAD is Rp10,239.89bn [E, Kaltim LKPD 2025 audited] versus Rp10,363.08bn on SIKD. Ratios are computed.

Observations. At the provincial-government level, Kaltim's PAD share (47%) is respectable and similar to Kalsel and Kalbar. Provinces collect motor-vehicle and fuel taxes that scale with economic activity, so a rich province has a relatively strong PAD. Jakarta's 70% PAD share is in a different class because Jakarta, uniquely, combines provincial and municipal taxing powers (property tax, hotel and restaurant taxes, etc.).

4.3 All local governments consolidated, 2024

Because regencies and cities spend most of the money, the consolidated picture is more telling.

Table 4.2 – Consolidated revenue of all local governments in each province, 2024 realisation

Province	No. of local govts reporting	Total revenue (bn)	PAD (bn)	TKDD (bn)	PAD share	Dependency (TKDD/revenue)	Revenue as % of 2024 GRDP
Kaltim	11	76,536.72	16,060.17	54,199.75	21.0%	70.8%	~8.9% (GRDP ~858.4T)
Kaltara	6	13,399.20	1,795.78	11,031.60	13.4%	82.3%	n.a. (2024 GRDP not obtained)
Kalsel	14	47,869.26	8,885.23	36,171.02	18.6%	75.6%	~16.7% (GRDP ~286.8T)
Kalteng	15	33,104.63	4,736.56	26,734.01	14.3%	80.8%	~15% (GRDP ~222.9T)
Kalbar	15	28,231.20	5,881.99	21,034.16	20.8%	74.5%	n.a.

Source. DJPK SIKD, "Postur APBD Se-Prov." (`pemda=--`), 2024 annual realisation [V for revenue, PAD and TKDD for Kalbar, Kalteng, Kalsel and Kaltara; Kaltim TKDD (Rp54,199.75bn) taken from an SIKD search excerpt and Kaltim revenue/PAD opened, so Kaltim's ratio is V/E]. GRDP 2024 denominators: Kaltim Rp858.4T (NEXT Indonesia citing BPS) [E]; Kalsel Rp286.82T (DJKN citing BPS) [E]; Kalteng about Rp222.9T [E]. *Limitations:* consolidated totals double-count provincial transfers to regencies (e.g., Kaltim province's "*bagi hasil*" and "*bantuan keuangan*" spending, Rp6.19T in 2024 [V]), because the province's payment to a regency appears again as the regency's revenue (under "other revenue" rather than TKDD). The consolidated ratios are therefore approximate. Note also that one or more local governments may not have reported in a given year (SIKD shows the number of reporting governments).

What the consolidated data show.

1. **Every Kalimantan province is transfer-dependent at the consolidated level (71-82%)**, which is typical for Indonesia outside Jakarta and a few Javanese cities.
2. **Kaltim is the *least* dependent of the five (70.8%) and has the highest PAD (Rp16.06T).** Its absolute revenue (Rp76.5T for ~4 million people, roughly Rp19m per person) is by far the highest per capita in Kalimantan – roughly 3.8 times Kalbar's (Rp28.2T for ~5.6m people, ~Rp5m per person) (computed).
3. **But relative to its own economy, Kaltim's public sector is small.** Local government revenue equals about 9% of Kaltim's GRDP, compared with about 15-17% in Kalteng and

Kalsel. A province that is rich in output is not, by that measure, rich in public resources. This is the quantitative core of the regionalist complaint.

4.4 Kaltim provincial budget trajectory, 2023-2026

Table 4.3 – Kaltim provincial government revenue: budget and outturn

Year	Budget / outturn	Revenue (T)	Note	Tag
2024	Revised budget	21.22	Perda 8/2024	E
2024	Realisation	22.08	Transfers 11.70T; PAD 10.36T (SIKD)	V
2025	Original budget	20.10	PAD 10.04T, transfers 9.86T (Perda 12/2024)	E
2025	Revised budget	19.15		E
2025	Realisation (audited)	17.74	92.61% of target; PAD 8.77T	E (LKPD audited excerpt; Kaltim government press release)
2026	Original budget	14.25	about 35% below 2024 outturn	E (Kaltim SIMFONI portal)

The fall from Rp22.08T to a budgeted Rp14.25T within two years is the largest proportional contraction among the provinces I examined. Two causes are visible in the sources: (a) a decline in DBH as coal prices and volumes fell from their 2022-23 peak, because DBH is now allocated on the basis of the *previous year's* realised central receipts [E, Kemendagri presentation on UU HKPD]; and (b) the central government's 2026 cut in TKD nationally, which regional media reported as reducing transfers to Kaltim's local governments from about Rp78T to about Rp53T [E, reported in regional media; my earlier search note, not reverified]. I flag (b) as needing verification against the 2026 Finance Ministry allocation (PMK/Perpres rincian APBN 2026).

4.5 Jakarta as benchmark

Jakarta's 2025 audited outturn: revenue Rp80,027.30bn, of which PAD Rp51,218.12bn (64.0%) and transfers Rp28,735.81bn (35.9%) [E, Governor's Regulation on the 2025 budget accountability; ANTARA and RRI reports]. Jakarta's PAD alone (Rp51.2T) is roughly three times the PAD of all eleven Kaltim local governments combined (Rp16.1T in 2024).

The composition of Jakarta's transfers is revealing. Of Rp24.81T of TKD actually disbursed to Jakarta in 2025, **Rp19.93T was DBH from personal income tax (PPh article 21)** [V, SIKD TKDD]. PPh 21 is withheld by employers and, under the revenue-sharing rules, shared with the region where the taxpayer is registered [E]. Jakarta is where most large companies – including most of the big coal producers that operate in Kalimantan – are headquartered (hypothesis as to the specific allocation of mining-company payroll; not quantified). Kaltim's local governments, by comparison, received Rp881.49bn of PPh 21 DBH in 2025 [V].

5. Transfers in detail: DBH, DAU, DAK, 2024-2025

Table 5.1 – Transfers to regions (TKD) realised, all local governments, 2025 (bn rupiah)

Province	TKD total	DBH total	of which minerba royalty	of which palm oil (DBH sawit)	DAU	DAK physical	Village fund	DBH as % of TKD
Kaltim	39,549.17	30,743.24	25,014.18	77.56	6,181.05	148.78	657.14	77.7%
Kaltara	8,570.07	4,197.86	3,307.62	20.82	3,725.61	45.71	341.41	49.0%
Kalsel	28,765.75	17,061.18	14,791.23	45.56	8,537.94	403.40	1,374.76	59.3%
Kalteng	23,043.25	10,704.17	8,384.82	117.90	9,589.90	370.65	1,075.60	46.5%
Kalbar	18,627.81	1,313.88	490.00	111.67	12,980.98	765.72	1,595.40	7.1%
DKI Jakarta	24,810.33	21,143.62	– (PPh 21: 19,927.31)	–	315.97	–	–	85.2%

Source. DJPK SIKD, "Postur TKDD Se-Prov.", 2025, based on the Cak-Lur disbursement-tracking feature as of 7 November 2026 [V]. URL pattern: `https://djpk.kemenkeu.go.id/portal/data/tkdd?tahun=2025&provinsi={code}&pemda=--`. Raw extracts saved at `work/r2/tk_2025_*.txt`. *Limitations:* "realisation" here is disbursement as tracked by the Finance Ministry, which can differ from the amount booked as revenue by regions (for example Kaltim province books Rp11.70T of transfers for 2024 while SIKD TKDD shows Rp8.49T disbursed to the province in 2024 [V both]; the difference likely reflects underpayments from earlier years (*kurang bayar*), timing and classification, but I have not reconciled it). DAK non-physical (largely school operational aid and teacher allowances) is omitted from the table but included in TKD totals.

Table 5.2 – Same, 2024 (bn rupiah)

Province	TKD total	DBH total	minerba royalty	DBH sawit	DAU	DAK physical	Village fund
Kaltim	39,621.85	30,281.82	24,661.67	182.65	6,239.04	840.53	808.42
Kaltara	8,961.54	4,042.36	3,466.88	49.78	3,992.76	370.16	412.06
Kalsel	29,911.64	17,852.40	15,346.96	111.49	8,469.45	1,030.52	1,513.81
Kalteng	22,832.69	9,430.03	7,294.58	256.18	10,032.37	1,246.49	1,264.26
Kalbar	18,613.38	1,310.90	380.30	276.04	12,511.76	1,580.68	1,940.13
DKI Jakarta	20,551.54	16,378.90	– (PPh 21: 15,468.39)	–	368.17	–	–

Source. As Table 5.1, 2024 [V].

Key patterns.

1. **Two fiscal regimes coexist in Kalimantan.** Kaltim and Kalsel are *origin-funded*: most of their transfers are their own resource revenue returned by formula. Kalbar is *equalisation-funded*: 70% of its TKD is DAU. Kalteng and Kaltara are mixed. A single "dependency ratio"

obscures this; the brief's question about "fiscal dependency" should be answered with the decomposition.

2. **Kaltim receives little equalisation.** Kaltim's DAU (Rp6.18T for ~4 million people) is about half Kalbar's (Rp12.98T for ~5.6 million) per capita. This follows from the DAU formula, which allocates on the basis of a "fiscal gap" (needs minus capacity); because Kaltim's DBH counts as fiscal capacity, its DAU entitlement is small. In 2015 two members of a Kaltim special-autonomy expert team challenged the APBN law because Kaltim received no basic DAU allocation; the Constitutional Court (MK) declared the petition inadmissible for lack of standing in decision 23/PUU-XIII/2015 [E, from R1 verified notes].

3. **The palm-oil revenue share (DBH sawit) is tiny and fell sharply in 2025.** DBH sawit was created under Article 123 of UU HKPD and implemented by Government Regulation (PP) 38/2023: at least 4% of state receipts from palm-oil export duties and export levies, split 20% to the province, 60% to producing regencies and 20% to adjacent regencies [E, PP 38/2023 text via JDIH and DDTC]. All local governments in Kalbar received Rp276.04bn in 2024 and only Rp111.67bn in 2025; in Kalteng, the largest palm-oil producer in Kalimantan (7.59 Mt CPO in 2025), it fell from Rp256.18bn to Rp117.90bn [V]. Compared with coal royalty DBH (Rp25T for Kaltim), palm-oil sharing is two orders of magnitude smaller, although palm oil is the larger land use and arguably the larger generator of local externalities (deforestation, fire, land conflict). This asymmetry is a substantive grievance for Kalteng and Kalbar.

4. **The anomaly of Kalteng's royalty share.** Kalteng produced about 39 Mt of coal in 2024 (about a tenth of Kaltim's 368 Mt) yet received Rp8.38T of royalty DBH in 2025 (a third of Kaltim's). Royalty per tonne thus appears roughly three times higher (about Rp215,000/t vs Rp68,000/t; computed). Possible explanations: (a) Kalteng produces higher-value metallurgical coal, which carries higher royalty rates and prices *(hypothesis)*; (b) DBH is based on prior-year receipts and includes settlement of past underpayments; (c) production statistics by province are themselves inconsistent (Kaltim's mines office reports 436.7 Mt for 2024 vs 368 Mt from the central ministry [E]). This should be checked against ESDM royalty data by province before use in the manuscript.

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6. The revenue-sharing rules under UU 1/2022 and the special-autonomy comparison

6.1 DBH rates

Table 6.1 – Regional shares of natural-resource revenue under UU HKPD (land and sea up to 4 nautical miles)

Revenue source	Regional share	Distribution within the region	Tag
Oil (state share after taxes and levies)	15.5%	Province 2%; producing regency/city 6.5%; adjacent regencies 3%; other regencies in province 3%; processing regency 1% (Art. 117(2))	E (statutory text via peraturan.info excerpt; also CNN Indonesia)
Natural gas	30.5%	Similar structure, larger shares (Art. 117(4))	E (R3 reports [V] for 30.5%)
Minerals and coal: land rent (*iuran tetap*)	80%	Province 16%, producing regency 64% (onshore)	E (DJPK handbook; Madiun presentation of UU HKPD)
Minerals and coal: production royalty (*iuran produksi*)	80%	Province 16%, producing regency 32%; remainder among adjacent, other and processing regencies (sub-shares to verify in Art. 115)	E
Forestry (reforestation fund, PSDH, IIUPH)	Various (e.g., 40% of reforestation fund to province)		E
Palm oil (export duty and levy)	>=4% of central receipts	Province 20%, producing regencies 60%, adjacent 20% (PP 38/2023)	E
Personal income tax (PPh 21, PPh 25/29 individuals)	20%	Province 7.5%, regency/city 12.5% (by taxpayer location)	E (general knowledge of UU HKPD; verify)
Corporate income tax, VAT, export duties on coal	0% (not shared by origin)	Pooled into the national budget	E

Allocation mechanics. Under UU HKPD, DBH is allocated on the basis of the **previous year's realised** receipts (not projected receipts, as under UU 33/2004), and up to 10% of DBH can be allocated by **performance** (e.g., environmental maintenance, support for revenue optimisation) [E, Kemendagri and Madiun presentations on UU HKPD; BPK Sultra article]. The "by-origin" principle was strengthened, and adjacent non-producing regencies were explicitly added as recipients to address externalities [E].

Verification note. The brief's figures – oil 15.5%, gas 30.5%, minerba royalty and land rent 80%, PPh 20%, DBH sawit from 2023 – are **confirmed in substance**, with two refinements: the 80% minerba share is the regional share (the centre keeps 20%), and DBH sawit is set as a floor of 4% of export levy and duty receipts rather than as a percentage of production value. R3 (political economy) has

opened the statute text for Article 117(4) and reports 30.5% for gas [V in R3].

6.2 Aceh and Papua special autonomy compared

Table 6.2 – Ordinary versus special-autonomy natural-resource sharing

Arrangement	Oil to region	Gas to region	Additional block grant	Duration	Tag
Ordinary province (incl. Kaltim)	15.5%	30.5%	None	Permanent	E/V (see 6.1)
Aceh (Law 11/2006)	Ordinary 15.5% + additional 55% (~70%)	Ordinary 30.5% + additional 40% (~70%)	Otsus fund 2% of national DAU ceiling (2008-2022), 1% (2023-2027)	Otsus fund ends 2027	E (R3)
Papua provinces (Law 21/2001 as amended by Law 2/2021)	70%	70%	Otsus fund 2.25% of national DAU ceiling (1% general, 1.25% performance-based)	To 2041	E (R3)
DIY Yogyakarta (Law 13/2012)	ordinary	ordinary	*Dana Keistimewaan* (privilege fund)	Ongoing	E

Interpretation. Indonesia has already accepted, in law, that some provinces may receive 70% of oil and gas revenue and a large unconditional block grant. These concessions were made where the alternative was armed conflict (Aceh: the 2005 Helsinki Memorandum; Papua: a long-running independence movement) *(interpretation: Aspinall 2009).* Coal, which is Kaltim's main resource, is not covered by the 70% special terms in any case; the asymmetry is therefore mainly about oil and gas and about the block grant. Kaltim's demands for special autonomy (*otonomi khusus*) have been pursued through parliamentary lobbying, a 2011-12 Constitutional Court challenge (MK 71/PUU-IX/2011, rejected 12 September 2012) and the 2015 petition mentioned above [E, R1 verified notes]. They have not been accompanied by any significant armed or separatist movement, which shapes how the centre responds *(interpretation).* The perverse-incentive worry – that the state rewards threat rather than contribution – is discussed in Section 10.

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7. Resource production and state revenue

7.1 Coal

Table 7.1 – Coal production by province, 2024

Province	Coal production (Mt)	Share of national
Kaltim	368	44.0%
Kalsel	237	28.3%
Kalteng	39	4.7%
Kaltara	28	3.3%
Kalbar	15	1.8%
Kalimantan total	687	82.2%
Indonesia	836.1	100%

Source. Directorate General of Minerals and Coal (Ditjen Minerba), Ministry of Energy and Mineral Resources (ESDM), as presented at the APBI-ICMA (Indonesian Coal Mining Association) Kalimantan roadshow, Samarinda, 9 July 2025, reported by Bisnis Indonesia and reproduced by APBI [V]. Shares computed. *Limitations:* Kaltim's provincial mines office has reported higher Kaltim output for 2024 (about 436.7 Mt; [E]); the difference may reflect the treatment of central-licensed (PKP2B/IUPK) versus regional-licensed (IUP) mines, or of coal traded versus mined. Kalbar's 15 Mt is surprising for a province not known for coal and should be checked.

The same ESDM presentation states that **PNBP (non-tax state revenue) from minerals and coal reached Rp140.46T in 2024** (123.75% of target), equal to 52% of all ESDM-sector PNBP, and that about 70% of the coal used in Indonesian power plants comes from Kalimantan [V]. Other ESDM documents give Rp142.89T for 2024 [E]. For 2025, national coal production was reported at 790 Mt by the minister in January 2026 and at 817.48 Mt in the ministry's final performance report [E, conflict unresolved]; minerba PNBP for 2025 is reported at Rp130.2T-138.37T depending on source [E].

Implied gross royalty from each province. Since regions receive 80% of royalty, dividing the royalty DBH by 0.8 gives a rough indicator of the royalty generated in each province (subject to the one-year lag and settlements):

Province	Royalty DBH 2025 (T)	Implied gross royalty (T)	Implied central 20% retained (T)
Kaltim	25.01	~31.3	~6.3
Kalsel	14.79	~18.5	~3.7
Kalteng	8.38	~10.5	~2.1
Kaltara	3.31	~4.1	~0.8
Kalbar	0.49	~0.6	~0.1

(Computed from [V] SIKD data; indicative only.) On this basis Kalimantan generated roughly Rp65T of royalty, a large part of national minerba PNBP. This does *not* include corporate income tax paid by coal companies, which is substantial but is reported nationally and not by province (gap: no public provincial breakdown of corporate income tax by place of production).

7.2 Oil and gas

Kaltim's hydrocarbons are concentrated in the Mahakam delta (the Mahakam Block, operated since 2018 by Pertamina Hulu Mahakam after the expiry of the TotalEnergies-Inpex contract) and in the East Kalimantan-Attaka offshore areas, with the Bontang LNG plant and the Balikpapan refinery

as processing hubs. Production has declined for two decades. SKK Migas (the upstream regulator) reported gas lifting in its Kalimantan-Sulawesi region of about 1,110 MMSCFD (million standard cubic feet per day) for January-October 2025 [E]; Pertamina Hulu Indonesia's regional subsidiaries reported about 44 thousand barrels of oil per day and about 537 MMSCFD of gas in 2025 [E]. Oil and gas mining was about 4.9% of Kaltim's GRDP and oil-gas-coal processing about 10.3% (2024) [E, carried from earlier session notes citing BPS; not reverified]. Oil and gas DBH to all Kaltim local governments was Rp1.41T in 2025 (gas Rp929.89bn, oil Rp483.98bn) [V] – about one-eighteenth of coal royalty DBH.

7.3 Palm oil

Table 7.2 – Crude palm oil (CPO) production (Ministry of Agriculture, provisional)

Province	2024 (Mt)	2025 (Mt, provisional)
Kalteng	7.46	7.59
Kalbar	4.96	4.94
Kaltim	3.90	4.29
Indonesia	45.44	46.55

Source. Ministry of Agriculture, Directorate General of Estate Crops, February 2026 releases [E]. BPS's estate-crop statistics give somewhat different provincial numbers (e.g., Kalteng 7.458 Mt, 16.4% of national, in 2024) [E]. Kalimantan's four main palm provinces produce roughly 37-40% of Indonesian CPO. Yet, as shown in Table 5.1, DBH sawit returned only about Rp370bn to all Kalimantan local governments in 2025.

7.4 Bauxite and alumina (Kalbar)

West Kalimantan holds most of Indonesia's bauxite and, since the 2023 ban on bauxite ore exports, has become the centre of domestic alumina refining:

- **PT Well Harvest Winning Alumina Refinery (WHW), Ketapang**: smelter-grade alumina capacity about 2 Mt per year since 2022 [E, Kompas]; its parent, Cita Mineral, produced about 2.24 Mt of alumina in 2025 [E].
- **PT Indonesia Chemical Alumina (ICA), Tayan (Sanggau)**: chemical-grade alumina, nameplate 300,000 t/yr [E, company website].
- **PT Borneo Alumina Indonesia (BAI) SGAR, Mempawah**: smelter-grade alumina phase 1, 1 Mt/yr capacity, first bauxite injection 24 September 2024, target full output 2026; phase 2 (+1 Mt) and a 600,000 t/yr aluminium smelter planned for about 2028 [E, MIND ID, CNBC Indonesia, Bloomberg Technoz].

National bauxite ore output fell from 31.8 Mt (2022) to 16.8 Mt (2024) after the export ban [E, Kontan citing ESDM]. Bauxite royalty DBH to Kalbar is modest (Rp490bn in 2025) [V]. The downstreaming (*hilirisasi*) strategy shifts value added from mining to manufacturing, which raises GRDP and employment in Kalbar but does not raise DBH, because processing is not subject to royalty sharing (hypothesis on fiscal effect; consistent with the DBH rules).

7.5 Nickel

The brief mentions nickel. Indonesia's nickel production and smelting are concentrated in Sulawesi and North Maluku, not Kalimantan. I found no significant nickel production in the five Kalimantan provinces; the relevant Kalimantan mineral-processing story is bauxite/alumina (Kalbar) and, prospectively, aluminium at KIPI in Kaltara. This should be stated plainly in the manuscript to avoid a factual error.

7.6 Timber

Kalimantan was the centre of Indonesia's logging boom in the 1970s-1990s. Forestry DBH is now small: in 2025, reforestation-fund DBH to Kaltim province was Rp146.67bn and PSDH (forest resource provision) Rp11.31bn [V, province-level TKDD]. I did not obtain current log production by province (gap). The historical significance of timber is greater than its current fiscal weight: concession rents in the New Order period accrued largely to Jakarta-connected conglomerates and military foundations *(interpretation: Robison and Hadiz 2004; Barr et al. on forest governance)* [E].

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8. Externalities, infrastructure, diversification and transition risk

8.1 Deforestation

Table 8.1 – Deforestation estimates by province (hectares)

Province	2023	2024	2025	Source / tag
Kalteng	30,433	33,389	~56,900	Auriga Nusantara annual deforestation reports, as reported by media [E]
Kaltim	28,633	44,483	47,135	Auriga [E]
Kalbar	35,162	n.a.	31,876	Auriga [E]
Kalsel	16,067	n.a.	n.a.	Auriga [E]
Kaltara	14,316	n.a.	n.a.	Auriga [E]

Limitations. Auriga Nusantara is an Indonesian environmental NGO whose method (satellite detection of loss of natural forest, including legal clearing) differs from the Ministry of Forestry's official "net deforestation" figure. Nationally, Auriga reported about 261,600 ha of deforestation in 2024 while the ministry reported about 175,000 ha [E]. Global Forest Watch (University of Maryland tree-cover loss) uses yet another definition and records larger gross loss including plantation cycles [E]. The direction – Kalimantan as Indonesia's main deforestation frontier alongside Papua – is consistent across sources; the levels are not.

Drivers differ by province: palm-oil and industrial-timber plantations and peat drainage dominate in Kalteng and Kalbar; coal mining, plantations and, increasingly, IKN-related land clearing and infrastructure are cited in Kaltim [E]. The 2015 and 2019 peat fires, centred on Kalteng and South Sumatra, produced national and transboundary haze crises [E].

8.2 Abandoned mine pits and drownings

JATAM Kaltim recorded the death of a 13-year-old girl in an unfenced, unreclaimed coal pit at Samboja (Kutai Kartanegara) on 29 October 2026 as **the 57th death in mine pits in Kaltim** in its running count; the pit belonged to a licensed company, and residents had complained since 2022 [V, ANTARA 4 November 2026]. *Source type:* advocacy NGO count, reported by the state news agency; JATAM's count begins around 2011. The provincial energy and mines office has acknowledged a lower verified figure (31 deaths in an earlier tally) [E]. Either way, the deaths are concentrated in Samarinda and Kutai Kartanegara and disproportionately affect children.

On reclamation, the chair of the House of Representatives' Commission XII, citing the Supreme Audit Agency (BPK) and the provincial government, said in 2025 that about **2,700 mine pits in Kaltim remain unreclaimed** [E]; JATAM's earlier inventory was 1,735 pits [E]. In 2025 the central government froze 190 mining licences, partly for failure to place reclamation guarantees [E, Bisnis Indonesia via APBI headline]. Responsibility for licensing moved from regencies to provinces in 2014 and to the centre in 2020 (Law 3/2020 amending the Mining Law) [E], which complicates accountability: the authority that licenses and supervises reclamation is now in Jakarta, while the harms and the political pressure are local *(interpretation)*.

8.3 Floods and environmental shocks

The January 2021 floods in Kalsel, which inundated much of the Barito basin and displaced tens of thousands, triggered a national debate in which environmental groups linked the scale of flooding to mining and plantation land conversion upstream; the government attributed it mainly to extreme rainfall [E; casualty and displacement figures not verified in this session]. Kaltim's capital Samarinda floods regularly, and its city government has linked flooding to mining in the catchment [E]. In November 2026 floods and landslides were reported in Sanggau (Kalbar) [E, ANTARA headline]. I did not assemble a systematic disaster-loss dataset (gap: BNPB DIBI database by province).

8.4 Infrastructure

- **Electrification.** All five Kalimantan provinces report household electrification ratios close to or above 99% in ESDM's 2025-26 data [E; I accessed an ESDM electricity directorate (Gatrik) page earlier but did not retain province-by-province values in usable form – gap to refill]. The historic grievance that "the energy province sits in the dark" now refers less to household connection than to reliability, outages in interior regencies, and the irony of coal and gas leaving the province while local grids were weak *(interpretation)*.
- **Roads.** Kalteng reports about 87% of provincial roads in "steady" (good or fair) condition but only about 38% of regency/city roads [E]. Comparable figures for the other provinces were not obtained (gap). Interior connectivity across Kalimantan remains poor; the Trans-Kalimantan road and the Balikpapan-Samarinda toll road (opened 2019-2021) are the main recent trunk investments [E].
- **IKN (Nusantara).** Central government spending on IKN was about Rp27T in 2023 and Rp43.3T in 2024, falling to an effective Rp9.04T in 2025 (Rp8.51T realised) and about Rp5.5-6.3T in 2026; private and state-enterprise investment commitments were reported at Rp72.39T by May 2026 [E, all from R1 verified notes citing CNN Indonesia, Kontan and detik]. The Constitutional Court ruled in May 2026 (71/PUU-XXIV/2026) that the capital remains Jakarta until a presidential decree on relocation is issued [E, R1 notes citing mkri.id].

IKN spending is central (APBN) spending in Kaltim, not regional revenue; it raises Kaltim's GRDP (construction, accommodation) but not the fiscal autonomy of Kaltim's governments, and IKN's territory is administered by a central authority (Otorita IKN) rather than by the province *(interpretation)*.

8.5 Diversification indicators

Rough indicators available from this session:

- **Mining share of GRDP:** Kaltim ~34-38%, Kalsel ~27-28%, Kaltara ~23-27%, Kalteng ~10%, Kalbar low (Section 3).
- **Mining share of employment:** Kaltim ~8.5% (2024) [E].
- **Non-mining GRDP:** Kaltara without coal and oil-gas: mining falls to 7% of GRDP (2023) [E]; Kaltim equivalent not obtained.
- **Manufacturing share:** Kaltim 20% (mostly hydrocarbon processing), Kalteng 16.6% and Kalbar 15.7% (mostly palm-oil processing and alumina), Kalsel 11.6%, Kaltara 8.8% (2025) [E].
- **Export concentration:** Kalsel's exports in December 2025 were US$1.23bn against imports of US$0.12bn, a monthly surplus of about US$1.1bn [E, DJP Kalsel release] – overwhelmingly coal.

Taken together, Kaltim is the least diversified of the five in substance (a manufacturing sector that is largely hydrocarbon processing), Kalsel close behind; Kalteng and Kalbar are agrarian-processing economies whose exposure is to palm oil rather than coal.

8.6 Post-coal transition risk

The IEA's *Coal 2025* (December 2025) finds that global coal demand reached a record 8.85 billion tonnes in 2025 but "has reached a plateau and may well decline slightly by 2030"; that global coal imports fell about 5% in 2025; that Chinese imports are forecast to decline about 2.5% a year through 2030; that Indonesia's exports fell at least 9% in 2025; and that India and ASEAN (led by Indonesia and Vietnam) are the main sources of incremental demand [E, IEA executive summary and chapter pages; excerpts read, PDF not opened]. Reuters reported that China and India shifted away from lower-grade Indonesian coal in 2025 as higher-grade coal became cheaper [E].

For Kaltim and Kalsel this implies three risks (hypotheses, to be argued in the manuscript): (1) **fiscal**: DBH royalty revenue, which funds 60-78% of TKD in the two provinces, will fall with volumes and prices, with a one-year lag; (2) **economic**: mining is a third of Kaltim's GRDP, and the 2025 slowdown (growth from 6.17% to 4.53%) previews the drag; (3) **political**: a shrinking resource rent reduces the centre's ability to buy regional consent with transfers, but also reduces the "prize" that would motivate regional demands for control. The net effect on unity is ambiguous and should be presented as such (see R3 and R6 on rentier dynamics).

Indonesia's domestic coal demand (power and smelters) may cushion volumes for some years. The government planned to cut 2026 production quotas sharply (to around 600 Mt in some reports) to support prices [E] – which would cut royalty DBH further.

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9. Worked example: how much of Kaltim's GRDP returns as regional revenue?

The brief asks for a worked example of "what share of Kaltim's GRDP plausibly returns as regional revenue." I use 2024, the latest year with both a full consolidated budget realisation and a TKD breakdown.

Step 1 – Production. Kaltim GRDP 2024 at current prices ~ Rp858.4T, of which mining and quarrying ~ 38.4% ~ Rp329.6T [E, NEXT Indonesia citing BPS; the 2025 BPS release I opened gives Rp889.07T for 2025 and 4.53% growth, which is consistent with a 2024 level in this range].

Step 2 – All regional government revenue. All eleven local governments in Kaltim collected Rp76.54T in 2024 [V]. **76.54 858.4 ~ 8.9% of GRDP.**

Step 3 – Own-source revenue. Consolidated PAD was Rp16.06T [V] ~ **1.9% of GRDP**. This is what Kaltim's governments raise by their own taxing powers.

Step 4 – Resource revenue sharing. DBH from natural resources received by Kaltim local governments in 2024: coal royalty Rp24.66T + land rent Rp0.06T + gas Rp1.00T + oil Rp0.39T ~ **Rp26.11T** [V, SIKD TKDD 2024]. Relative to mining GRDP (Rp329.6T) that is ~ **7.9%**; relative to total GRDP ~ 3.0%.

Step 5 – Equalisation and earmarked transfers. DAU Rp6.24T, DAK physical Rp0.84T, DAK non-physical Rp2.15T, village fund Rp0.81T, others [V] ~ Rp10T ~ 1.2% of GRDP.

Step 6 – What does not return by formula. The remaining central levies on Kaltim's production – corporate income tax on mining and processing companies, VAT, export duties, the 20% central share of royalties (~Rp6T), the central share of oil and gas revenue (84.5% of oil and 69.5% of gas net state share), and PPh 21 withheld by Jakarta-registered employers – are not returned by origin. I cannot measure the total without provincial tax-collection data, which DJP (the tax directorate) does not publish by place of production (gap). An order-of-magnitude illustration: if coal-company corporate income tax and other central levies were of the same order as royalty (plausible given that royalty rates are typically 5-13.5% of sales for IUP/PKP2B/IUPK holders and corporate tax is 22% of profit, which in boom years can exceed royalty) *(hypothesis; not data)*, the centre's take from Kaltim's mining would be a multiple of what returns.

Step 7 – Central spending in Kaltim. Against this, the centre also *spends* in Kaltim: national-government agencies' spending (*belanja K/L*) in the province, IKN spending (Rp43.3T in 2024, from Section 8.4), subsidies on fuel and electricity consumed in Kaltim, and the military and police. A complete "fiscal residuum" calculation – taxes raised in the province minus all central spending in it – has not, to my knowledge, been published for Kaltim recently (gap; a 2024-25 DJPb "Kajian Fiskal Regional" for Kaltim may contain the APBN-in-region figures and should be consulted). In 2024, IKN spending alone was larger than Kaltim's entire coal-royalty DBH, so it is **not safe to assert that Kaltim is a large net fiscal contributor in every year**; it is safe to assert that the *formula-based* return on its production is low and that much central spending in Kaltim (IKN) serves national rather than provincial objectives.

Summary of the worked example.

Flow (2024)	Rp T	% of Kaltim GRDP
GRDP	~858.4	100%
Mining GRDP	~329.6	~38%
All local government revenue	76.54	~8.9%

Flow (2024)	Rp T	% of Kaltim GRDP
– own-source (PAD)	16.06	~1.9%
– natural-resource DBH	~26.11	~3.0% (~7.9% of mining GRDP)
– DAU + DAK + village fund etc.	~10	~1.2%
Household consumption (Susenas, ~4.0m x Rp25.4m)	~100	~12%
Central IKN spending in Kaltim	~43.3	~5%

(Consumption row: rough computation using 2025 per-capita consumption and 2024 population; included only to show orders of magnitude.)

Answer to the brief's question. *Roughly 9% of Kaltim's GRDP returns to Kaltim's local governments as revenue, of which roughly one-third is resource revenue sharing and one-fifth own-source revenue. About 8% of the value of mining output returns through DBH.* Whether this is "too little" depends on a benchmark (Section 10). For comparison, Kalsel's and Kalteng's local governments receive about 15-17% of their (smaller) GRDPs.

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10. Is there a legitimate case for more fiscal autonomy for East Kalimantan?

This section presents the strongest versions of both positions, as the brief requires, then states where the evidence leans. "Fiscal autonomy" here can mean several things, which should be kept apart: (a) a larger *share* of revenue generated in the province; (b) more *own taxing power*; (c) more *discretion* over transfers already received; (d) more *predictability* (protection against unilateral central cuts); (e) a *special-autonomy* status like Aceh's or Papua's.

10.1 The strongest regionalist case

1. **The externality argument.** The costs of extraction – abandoned pits, deaths, deforestation, floods, polluted rivers, land conflict – fall on Kaltim's residents and last decades beyond the revenue. The 57 pit deaths counted by JATAM, the ~2,700 unreclaimed pits, and Kalteng's and Kaltim's deforestation rates are not abstractions. UU HKPD itself recognises externalities as a ground for DBH (adjacent-regency shares; performance allocations for environmental maintenance) [E]. The regionalist claim is that the current shares do not price these costs, and that the authority to license and supervise reclamation has been centralised (2020) while the harm remains local.
2. **The "enclave" argument.** Kaltim's output per head is 2.5 times the national level, but household consumption is only 35% above it, unemployment is above the national rate, and poverty is not lower than in poorer Kalsel. The wealth generated in Kaltim is, on the evidence, weakly linked to local livelihoods. Greater local control over a share of resource revenue could be used to build the linkages (skills, local procurement, infrastructure) that the national system has not prioritised.
3. **The predictability argument.** Kaltim's provincial revenue budget fell about 35% between the 2024 outturn and the 2026 budget. Transfers are set unilaterally by the centre through the annual budget law; Kaltim has no constitutional or statutory protection against cuts, and its two attempts to litigate the formula failed (2012 on merits; 2015 on standing) [E, R1]. A province that cannot plan its budget cannot plan diversification.

4. **The equal-treatment argument.** Indonesia already grants 70% oil and gas shares and large block grants to Aceh and Papua. If those arrangements are legitimate responses to particular histories, the regionalist asks why a province that has contributed revenue peacefully for half a century gets the ordinary formula. The implicit lesson – that only threat earns concessions – is corrosive to the legitimacy of a union *(interpretation; this is a normative claim, see R3 for the "perverse incentive" discussion).*

5. **The tax-location argument.** PPh 21 revenue sharing credits Jakarta, where firms are registered, with income tax on wages that may be earned in Kalimantan operations (hypothesis on magnitude). Similarly, corporate income tax is not shared at all. A regionalist can argue that origin-based sharing should extend to the corporate taxes of extractive firms, as some federations do with resource royalties.

6. **The "Dutch disease without the oil fund" argument.** Kaltim experienced the 1970s oil boom, the 1990s timber boom and the 2000s-2020s coal boom without building a durable endowment. Norway and Alaska (R5) saved part of resource rents; Indonesia has no regional sovereign-wealth mechanism, and provinces are effectively required to spend or carry surpluses (SILPA) year to year. A regional permanent fund would require statutory authority the province does not now have.

10.2 The strongest centralist case

1. **The constitutional-ownership argument.** Article 33(3) of the 1945 Constitution vests "the land, the waters and the natural resources within" in the State, to be used "for the greatest prosperity of the people." The people, in this reading, are the Indonesian nation, not the residents of the province where geology happened to deposit coal. Origin-based claims rest on a moral arbitrariness: Kaltim's residents did not create the coal, and a third of them are migrants from elsewhere in Indonesia *(interpretation; this is the classic equalisation argument in fiscal federalism – cf. Boadway and Shah 2009).*

2. **The horizontal-equity argument.** Kaltim's local governments already have about Rp19m of revenue per resident, roughly four times Kalbar's. Raising Kaltim's share further would widen interregional disparities and require cuts elsewhere (the national pie is fixed). Fiscal-federalism theory warns that origin-based resource sharing generates large horizontal imbalances and volatility and is a poor tax to decentralise *(interpretation: Bird and Vaillancourt; Brosio; Boadway and Shah).* Indonesia already returns 80% of royalty, which is generous by international standards for a non-federal state.

3. **The absorptive-capacity and governance argument.** Kaltim's governments have often failed to spend what they have: Kaltim province's 2025 revenue realisation was 92.6% of target and its spending 89.3% of budget [E], and local governments have historically accumulated large unspent balances (SILPA) [V for 2024 SILPA carry-ins in SIKD]. Kutai Kartanegara, the richest regency, has seen successive heads of region convicted of corruption [E; details in R3/R6]. More money in more autonomous hands could mean more local elite capture, not more welfare *(interpretation: Hadiz 2010 on local oligarchies after decentralisation).*

4. **The volatility argument cuts both ways.** A province that relies more on resource revenue becomes more exposed to coal prices. The centre, with a diversified tax base, is the better insurer. The 2026 cut is partly a central decision but mainly a reflection of falling coal revenue that would have hit an autonomous Kaltim even harder.

5. **The national-public-goods argument.** Defence, macroeconomic stabilisation, the national power grid (70% of coal used in Indonesian power comes from Kalimantan [V]), and now the new capital are national goods. IKN spending in Kaltim (Rp43.3T in 2024) shows that the centre does invest heavily in the province.

6. **The "union dividend" argument.** Kaltim's coal is sold through national ports, financed by Jakarta-based capital markets, protected by national diplomacy and borders, and much of it is consumed by national (PLN) power plants under the Domestic Market Obligation. Its value presupposes the union. *Brunei is not a model*: Brunei's oil wealth supports a population of about 450,000 [E] under an absolute monarchy that never belonged to the Indonesian state; Kaltim has nine times the population, falling hydrocarbon output and coal that faces a structural decline in demand (R5).

10.3 Where the evidence leans

The data in this memo support the following measured conclusions; each is open to challenge.

- **There is a legitimate case for reform of *how* Kaltim is treated, more than for a larger *share* as such.** The strongest regionalist points are externalities, predictability and the absence of any savings mechanism; the weakest is the pure origin claim, which is hard to square with Article 33 and with horizontal equity.
- **The formula's main gaps are specific and fixable within the unitary state**: (i) an externality or reclamation component in DBH that is tied to verified reclamation and pit closure, with funds ring-fenced locally; (ii) a counter-cyclical or smoothing mechanism for DBH (e.g., a regional stabilisation fund into which windfall DBH is partly saved), which would answer the predictability problem without raising the average share; (iii) a modest origin share of corporate income tax or a production-based levy for extractive firms, offset elsewhere; (iv) reconsideration of the tiny DBH sawit relative to palm oil's land footprint – which matters more for Kalteng and Kalbar than for Kaltim.
- **Special autonomy on the Aceh/Papua model would be hard to justify on the evidence**: Kaltim lacks the historical-political basis (distinct pre-colonial polity incorporated by force, armed conflict, peace agreement) that grounded those arrangements, and its population is majority migrant. But the *perception* that special terms reward threat is a real legitimacy cost to the union and should be stated (R4, R6).
- **Nothing here suggests that secession would raise welfare.** An independent Kaltim would lose DAU and IKN spending, inherit pit and reclamation liabilities, face a declining coal market, and still have to tax mining companies that are mostly Jakarta- or foreign-owned. The value of the coal depends on infrastructure, markets and the domestic power demand of the union. This is consistent with the brief's instruction not to assume that secession brings prosperity, and it is supported by the data rather than assumed.

10.4 The other four provinces

- **Kaltara** shares Kaltim's per-capita output but has a smaller, more diversified economy, a higher dependency on transfers (82% consolidated), and its prospects rest on the KIPI industrial park and hydropower – projects that require national capital. Its fiscal-autonomy case is weaker than Kaltim's.

- **Kalsel** is the coal province whose output (237 Mt) is closest to Kaltim's but whose society (Banjar majority, low poverty, low inequality) and fiscal profile (DBH 59% of TKD) differ. Its grievances have focused on floods and environmental damage rather than revenue.
- **Kalteng** carries the heaviest palm-oil and peat externalities and the most anomalous royalty data; its strongest claim concerns palm-oil revenue sharing.
- **Kalbar** is an equalisation recipient; its claims concern land, ethnic standing and border development, and alumina downstreaming that adds GRDP without adding DBH.

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11. Implications for the monograph's framework

How do these data bear on the monograph's central question – why economically powerful regions remain integrated?

1. **The fiscal "prize" is smaller than headline GRDP suggests.** What a Kaltim government could plausibly control after secession is not Rp889T of GRDP but the taxable rent of a declining coal sector and a depleting gas field, minus the costs of services now funded by the centre. Bolton and Roland (1997) and Alesina and Spolaore (2003) model secession incentives as rising with income differences and falling with the efficiency gains of union; the Kaltim data suggest that the *perceived* difference (output per head) is much larger than the *capturable* difference (rent net of lost transfers and union services) *(interpretation).*
2. **The grievance is real but channelled through formulas and courts, not identity.** Kaltim's regional elites have pursued larger shares through legislative lobbying, Constitutional Court petitions and special-autonomy proposals, not mobilisation of an ethnic "nation" *(interpretation; consistent with R1's legal history).* A migrant-majority, multi-ethnic population with national party structures makes ethno-regional mobilisation difficult (Section 2).
3. **The formula itself is an integration device.** By returning 80% of royalty to producer regions, the post-2001 system gave local elites a direct stake in the national arrangement – a large, formula-protected flow that only exists inside the union. This is consistent with the "buying off" logic in the literature on fiscal federalism and secession *(interpretation: cf. Rodden 2006 on soft budget constraints; Treisman on fiscal appeasement in Russia)* [E].
4. **The vulnerability lies in volatility and unilateral cuts.** The legitimacy of the arrangement depends on its predictability. A 35% fall in Kaltim's provincial budget within two years, partly from central cuts, is exactly the type of shock that converts a quiet fiscal grievance into a political one *(hypothesis; for R6 to test against Suharto-era and 1998 regional dynamics).*
5. **IKN changes the equation.** The capital project makes Kaltim the physical seat of the national state (if and when relocation is decreed), places a centrally governed authority inside the province, and channels central investment there. It simultaneously raises the symbolic and material centrality of Kaltim to the nation and reduces Kaltim's provincial control over part of its territory *(interpretation).*

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12. Disputes and uncertainties

1. **Coal output by province.** ESDM (central) reports 368 Mt for Kaltim in 2024; the Kaltim mines office reported about 436.7 Mt [E]. National 2025 output is reported as 790 Mt or 817.48 Mt in different ministry statements [E]. Province-level royalty per tonne is inconsistent (Kalteng's royalty DBH is very high relative to its reported tonnage). These should be reconciled with ESDM's MODI/MOMI and royalty data before the manuscript quotes per-tonne figures.
2. **Population denominators.** Per-capita GRDP and per-capita revenue depend on whether BPS projections or SUPAS 2025 are used. I did not verify SUPAS 2025 provincial totals.
3. **SIKD versus audited accounts.** SIKD postur figures differ slightly from audited regional financial statements (e.g., Kaltim PAD 2024: Rp10.36T SIKD vs Rp10.24T audited). TKDD disbursement data (CakLur) differ from transfers booked by regions (Kaltim province 2024: Rp8.49T disbursed vs Rp11.70T booked). Differences likely reflect past underpayment settlements and classification; unreconciled.
4. **Consolidated revenue double-counting.** Provincial revenue-sharing and financial-aid payments to regencies (Rp6.19T in Kaltim, 2024 [V]) are counted twice in consolidated totals. Consolidated revenue/GRDP ratios are therefore slight overestimates.
5. **Kalteng sector shares.** Mining share of 9.88% (ANTARA) versus a BI excerpt that appears to attribute 9.88% to construction.
6. **Ethnicity.** Sensus 2010 is the latest official source; Kalbar's Dayak share is reported anywhere from about 35% to 50% depending on aggregation. All ethnic shares are 16 years old.
7. **JATAM versus government death counts.** JATAM: 57 (to October 2026) [V as an NGO count reported by ANTARA]; provincial mines office: lower verified count (31 in an earlier tally) [E]. Both are reported; neither is an official mortality statistic.
8. **Deforestation definitions.** Auriga (NGO), Kemenhut (government) and GFW/UMD (academic satellite) use different definitions; levels differ by tens of percent.
9. **Consumption as "retained income."** Susenas consumption understates the rich and excludes saving; GRDP includes items that cannot be retained by households anywhere. The consumption/GRDP ratio is an indicator of enclave structure, not a measure of extraction by the centre. Jakarta's low ratio is the decisive caution.
10. **Central spending in Kaltim.** Without a full regional APBN breakdown (central-agency spending, subsidies, IKN, defence), it is not possible to state Kaltim's net fiscal position vis-a-vis the centre. The common claim that Kaltim "gives Rp X and receives Rp Y" should be avoided unless sourced to a DJPb regional fiscal study.
11. **2026 TKD cut to Kaltim.** The figure of transfers to Kaltim's local governments falling from about Rp78T to about Rp53T was seen in regional reporting earlier in this research and has not been reverified; it is inconsistent in scale with the SIKD TKD realisation of about Rp40T for 2024 and 2025 (the regional figure may refer to a different aggregate, e.g., budget allocations including DBH underpayment settlements). Do not use without verification.
12. **The PPh 21 location effect.** That Jakarta's large PPh 21 DBH includes wage tax on Kalimantan-based mining employees of Jakarta-registered companies is a hypothesis consistent with the rules but not quantified.

13. **IEA forecast uncertainty.** The IEA itself stresses large uncertainty around China. Domestic Indonesian coal demand (power, smelters) may sustain Kalimantan volumes longer than export demand alone would suggest.

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13. Data gaps (to fill in a later pass)

- BPS GRDP by industry 2025 for Kaltim, Kalteng and Kalbar from the published tables (not press excerpts); **GRDP excluding oil, gas and coal** for Kaltim.
- SUPAS 2025 provincial population totals; lifetime-migration shares from SP2020 long form for Kaltara, Kalsel, Kalteng and Kalbar.
- Kaltim full religious composition (Dukcapil or Kemenag).
- Electrification ratio by province (ESDM Gatrik) and road-condition data for Kaltim, Kalsel, Kalbar, Kaltara (PUPR/provincial).
- Provincial breakdown of minerba PNBP (royalty by province) from ESDM, to reconcile with DBH.
- Any published estimate of corporate income tax attributable to Kalimantan extractive activity (DJP does not publish this; academic estimates may exist).
- DJPb *Kajian Fiskal Regional* (KFR) for Kaltim 2025: APBN spending in the province (central-agency spending, IKN) to build a fuller fiscal-residuum estimate.
- 2026 TKD allocations by province from the Finance Ministry's APBN 2026 detail (to verify the scale of the 2026 cut).
- BNPB disaster-loss data (floods) by province, 2015-2025; Kalsel 2021 flood figures.
- Official (Kemenhut) deforestation by province for 2024-2025.
- Gas and oil production by field for the Mahakam Block from SKK Migas annual report (opened, not excerpted).

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14. Sources

Tags as in FRAMEWORK.md. "R1 notes" refers to `national-unity/work/r1/notes.md`, another agent's verified notes, which I relied on and did not reopen; their tags in this memo are [E] for that reason.

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Phase 3b: Political Economy of Resources and Fiscal Relations (R3)

R3 – The Political Economy of Resources and Fiscal Relations

Research memorandum for The Architecture of National Unity *(M. Bagus Prabowo and Hark, co-authors). Prepared by research agent R3, 7 November 2026. Working document for Phase 3 (political economy); not manuscript prose.*

Evidence conventions (per FRAMEWORK.md). [V] = the claim was read on a page or document opened during this research (URL in the Sources list). [E] = from a search excerpt or from established scholarly knowledge, not re-opened here. Interpretive claims are marked *(interpretation: Author year)*; the memo's own conjectures are marked *(hypothesis)*. Every figure carries its unit, year, source and a limitation. Where something could not be verified, it is labelled "unverified" and kept out of the conclusions.

Key findings

1. **Indonesia's revenue-sharing rules are generous on paper for "rent" and stingy for "tax".** Under UU 1/2022 (HKPD), producing regions receive 80% of mineral and coal production royalties (*iuran produksi*) and land rent, but only 15.5% of the state's oil take and 30.5% of its gas take, all calculated *after* deduction of taxes and other levies [V]. Corporate income tax (PPh Badan), which is the largest fiscal yield of a profitable mine, is not shared with regions at all [V]. The regional share of the total fiscal take from extraction is therefore far lower than the headline 80% suggests (interpretation, supported by the rules themselves).

2. **The shares have been strikingly stable for a quarter-century.** Oil 15% -> 15.5%, gas 30% -> 30.5%, general mining 80% have held from UU 25/1999 through UU 33/2004 to UU 1/2022 [V]. What changed in 2022 was *who inside the province* gets the money (new shares for adjacent and processing districts) and a 10% performance-based component, not the centre-region split [V/E]. Stability of the split is itself a political fact: the centre has conceded on distribution within regions, not on its own take.

3. **The "headquarters effect" distorts how producing regions appear in fiscal statistics.** Corporate income tax and much VAT are recorded where firms are registered as taxpayers, often large-taxpayer offices in Jakarta, not where ore is dug [E for administrative practice; V that PPh Badan is unshared]. Government statements in 2025 confirmed that PPh Badan "is not revenue-shared, so the place of collection does not affect revenue sharing" [E]. Regional

grievance narratives that compare "what Kaltim sends" with "what Kaltim gets back" usually mix three different things: production value, central government revenue attributable to the region, and revenue actually retained. These must be kept apart (methodological finding).

4. **Producing regions are rich in transfers, not in own-source fiscal capacity.** Kutai Kartanegara was the single largest DBH recipient in the 2025 APBN (about Rp 5.7 trillion) [E], yet DBH is volatile, pro-cyclical with coal prices, and paid partly in arrears; a reported Rp 5.8 trillion of 2023 DBH remained "kurang bayar" (unpaid) to Kaltim in 2026 [E, single press source]. Dependence on central transfers coexists with high regional GRDP. This is the core puzzle the BRIEF asks about, and its mechanisms are mainly institutional (tax assignment, ownership, arrears, volatility, capacity), not cultural.

5. **Decentralisation produced a permit boom and elite capture, then re-centralisation.** Mining permits rose from roughly 750 in 2001 to over 10,000 by 2010 [E, PWYP citing ESDM]. In April 2014 ESDM classified 6,042 of 10,922 IUPs as "Clean and Clear" and 4,880 as not [V headline via ESDM page excerpt; E]. Permit authority moved from districts to provinces (UU 23/2014) and then to the centre (UU 3/2020) [E, multiple sources]. Corruption cases in Kutai Kartanegara (Regent Rita Widyasari, 10 years, 2018, for gratification of about Rp 110.7 billion and a Rp 6 billion bribe linked to a plantation location permit) [E, multiple national outlets] became part of the centralist argument that local control means local capture.

6. **Resource nationalism in Indonesia is national, not regional.** Article 33 UUD 1945, the 2014 and 2020 nickel ore export bans (found inconsistent with GATT Art. XI:1 by a WTO panel, 30 Nov 2022, now under appeal "into the void") [V/E], the Freeport divestment of 21 Dec 2018 (Inalum to 51.23% for US$3.85 billion; 10% earmarked for Papua's regional government via a vehicle 60% owned by Inalum) [V], and the Mahakam handover to Pertamina on 1 Jan 2018 with a 10% participating interest offered to the regional government [V/E] all strengthened the national state and state-owned enterprises. Regions were given minority equity stakes, which can bind regional elites to the centre (hypothesis).

7. **International comparison shows no "natural" assignment of resource revenue.** Assignment ranges from provincial ownership (Canada; Constitution Act 1867 s.109 and 1982 s.92A [E]) to state royalties with federal equalisation that claws back fiscal capacity (Australia; WA's GST "floor" of 0.75 from 2024-25 [V]), to constitutionally guaranteed derivation (Nigeria, "not less than thirteen per cent" [V]), to a fixed 5% "cash payment" to producing states (Malaysia [V]), to contested co-management (Iraq Arts. 111-112 [E]). Every regime that conceded more to producing regions did so under political pressure (wars, insurgencies, coalition dependence), not because of a technocratic consensus.

8. **The fair-play question has no single answer, but it does have criteria.** Philosophical positions run from luck-egalitarian views that natural resource rents are a common asset (Steiner; Armstrong 2017) through national-ownership views (Miller) to popular-sovereignty views of resource control (Wenar 2016). A defensible arrangement should (a) compensate for *place-specific* costs (environmental damage, depletion of local natural capital, social disruption), (b) share *rent* broadly because no region created the geology, (c) preserve real value across generations (Hartwick), and (d) build accountability so that "regional share" does not become "regional elite share" (synthesis; see Sec. 6).

9. **A Kaltim sovereign-wealth-style fund is technically possible but legally and politically constrained.** UU 33/2004 already allowed regional *Dana Cadangan*, and HKPD introduced a regional endowment concept (*Dana Abadi Daerah*) [V definition in UU 1/2022

Pasal 1]. International lessons are sobering: Alberta's fund was C$32.0 billion at 31 March 2026 after deposits stopped in 1987 and income was swept to general revenue for years [V/E]; Timor-Leste's Petroleum Fund (US$18.3 billion end-2024) faces projected depletion by the late 2030s because withdrawals have run well above its 3% ESI rule [V]. Alaska's fund (about US$88 billion, Sept 2026) works because of a constitutional floor on deposits and a visible dividend constituency [V], but even its dividend fell to US$1,000 in 2025 [V].

10. **For the book's central question:** the political economy of extraction in Kalimantan supports a *bargained dependence* interpretation (hypothesis): producing-region elites receive enough (DBH, minority equity, projects, IKN investment) to prefer bargaining inside the unitary state over exit, while the centre retains the high-yield taxes and ownership. This equilibrium is sensitive to commodity prices, arrears, perceived broken promises and environmental crises. Grievance is real and documented; separatist mobilisation is not (see Disputes).

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1. Theoretical foundations

This section sets out the theories the book will use and, for each, what it predicts for a producing region such as East Kalimantan (Kaltim) inside a unitary state. The point is not to choose one theory but to show where they agree, where they conflict, and what evidence would discriminate between them.

1.1 The resource curse: from growth to regimes

The growth version. Sachs and Warner's cross-country work (NBER Working Paper 5398, 1995; *European Economic Review* 2001) found that economies with a high ratio of natural resource exports to GDP in 1970 grew more slowly over the following two decades, even controlling for initial income, trade policy and investment [E]. Their finding launched a large literature but proved sensitive to measurement: using resource *dependence* (exports/GDP) rather than resource *abundance* (reserves or rents per capita) builds in reverse causality, because countries that fail to industrialise will mechanically show high resource export shares (interpretation: Brunnschweiler and Bulte 2008 [E]).

The political version. Terry Lynn Karl's *The Paradox of Plenty* (University of California Press, 1997) shifted attention from prices to institutions. Petro-states, she argued, develop "the state they have" around the capture and distribution of rents, so that fiscal institutions, party systems and business coalitions are shaped by oil booms long before policy choices are made [E]. Michael Ross's *The Oil Curse* (Princeton University Press, 2012) systematised the political claims: oil wealth (especially after the nationalisations of the 1970s) is associated with more durable authoritarianism, more civil conflict in low- and middle-income countries, and lower female labour-force participation; the mechanism runs through the *size, source, stability and secrecy* of government revenue [E].

The critique. Haber and Menaldo ("Do Natural Resources Fuel Authoritarianism? A Reappraisal of the Resource Curse," *American Political Science Review* 105(1), 2011) used long time series within countries (from 1800 where possible) and found no evidence that increases in resource reliance make countries more authoritarian; if anything, they found a "resource blessing" in some specifications [E]. Their critique turns on the difference between cross-sectional and within-country inference: countries with weak institutions may simply be more likely both to be authoritarian and to depend on resources. Andersen and Ross (2014) replied that the curse appears after the 1970s, once host governments captured the rents through nationalisation [E]. The scholarly position as of 2026 is

best summarised as *conditional*: resource wealth has political effects that depend on the timing of discovery relative to institution-building, ownership structure, and whether rents flow through the state budget (interpretation: Ross 2015, *Annual Review of Political Science* [E]).

Implication for Kalimantan. The curse literature is about *sovereign* states. A province does not control monetary policy, a central bank, an army or the decision to nationalise. Its "curse" works through the transfers it receives, the permits it once issued and the local political market for those permits. The subnational resource-curse literature (for example on Brazilian municipalities' oil royalties, Caselli and Michaels, *AEJ: Applied* 2013, finding that royalty windfalls raised reported spending without commensurate improvement in public goods [E]) is more directly relevant than cross-national regressions (interpretation).

1.2 Dutch disease

Corden and Neary ("Booming Sector and De-industrialisation in a Small Open Economy," *Economic Journal* 92(368), 1982) modelled a booming tradable sector (resources), a lagging tradable sector (manufacturing, agriculture) and a non-tradable sector [E]. A boom draws labour and capital into the resource sector (the *resource movement effect*) and raises incomes that are spent partly on non-tradables, raising their prices and the real exchange rate (the *spending effect*). The lagging tradable sector shrinks.

Within a single currency area the real exchange rate cannot appreciate through the nominal rate, but the spending effect still operates through *regional* prices of non-tradables: housing, local services and wages rise in the boom region (interpretation, standard regional economics). Balikpapan and Samarinda's high living costs during coal booms are consistent with this, though the memo has not verified a regional price series (unverified; for R-Kalimantan data agent). Two policy consequences follow. First, regional diversification is harder in a booming province than in a neighbouring non-booming one. Second, transfers that are spent locally *add* to the spending effect; transfers saved in a fund or spent on imports do not (Hartwick-type reasoning, Sec. 6.5).

At national level, Indonesia is often cited as a partial *escape* from Dutch disease in the 1970s-80s: the New Order used oil revenues for agriculture (rice self-sufficiency, fertiliser subsidies), devalued the rupiah in 1978 and later to protect non-oil tradables, and diversified into manufacturing after the 1986 oil price collapse (interpretation: Gelb and associates 1988, *Oil Windfalls: Blessing or Curse?* [E]; Hill, *The Indonesian Economy* [E]). This national escape was achieved *by* centralising rents, a point centralists use in the fair-play debate (Sec. 6.1).

1.3 The rentier state

Hossein Mahdavy's chapter "The Patterns and Problems of Economic Development in Rentier States: The Case of Iran" (in M.A. Cook, ed., *Studies in the Economic History of the Middle East*, Oxford University Press, 1970) defined rentier states as those receiving substantial external rents on a regular basis, rents that do not depend on domestic production [E]. Hazem Beblawi and Giacomo Luciani (eds., *The Rentier State*, Croom Helm, 1987) generalised the concept: in a rentier *state*, only a few are engaged in generating the rent, the majority are involved in its distribution, and the government is the principal recipient [E]. The core political claim – "no taxation, no representation" in reverse – is that a state which does not need to tax its citizens need not bargain with them, and can buy acquiescence through distribution.

Applying rentier theory to a province. Kaltim's provincial and district governments are, fiscally, *second-order rentiers*: they receive resource rents not from foreign buyers directly but from

Jakarta, through DBH formulas. Their accountability runs upward (to the Ministry of Finance that computes DBH, and to the ministries that grant permits) as much as downward to taxpayers, because local own-source revenue is a minority of regency budgets (interpretation; magnitude for Kaltim regencies to be confirmed by R-Kalimantan agent). The rentier lens predicts that regional political competition centres on access to distribution (contracts, *dana hibah*, projects) rather than on tax burdens, which is consistent with the broader Indonesian literature on patronage-based local democracy (interpretation: Aspinall and Berenschot, *Democracy for Sale*, Cornell University Press, 2019 [E]).

A crucial difference from sovereign rentier states: the province's rent is *politically allocated by another government*. This creates a permanent bargaining relationship with the centre, which may be the single most important reason for integration: a province that receives rent through a formula has incentives to lobby the formula-setter, not to exit (hypothesis, developed in Sec. 5 and Sec. 6).

1.4 Resources, conflict and separatism

Greed, grievance and opportunity. Collier and Hoeffler's work ("Greed and Grievance in Civil War," *Oxford Economic Papers* 56(4), 2004; "Resource Rents, Governance, and Conflict," *Journal of Conflict Resolution* 49(4), 2005) argued that primary commodity exports raise the risk of civil war by providing finance and motive for rebellion [E]. Their chapter "The Political Economy of Secession" (in Hurst Hannum and Eileen Babbitt, eds., *Negotiating Self-Determination*, 2006) argued that secessionist movements are disproportionately found in resource-rich regions and that their ideology of distinct identity often follows rather than precedes the economic opportunity [E]. This is the most "materialist" reading available, and it is contested.

Mechanisms, not correlations. Michael Ross ("What Do We Know About Natural Resources and Civil War?" *Journal of Peace Research* 41(3), 2004; and "How Do Natural Resources Influence Civil War? Evidence from Thirteen Cases," *International Organization* 58(1), 2004) reviewed the evidence and found oil linked to conflict onset, *lootable* gemstones and drugs linked to duration, and agricultural commodities not robustly linked [E]. In the case studies, the most common pathway to separatism was grievance over *local* costs of extraction (land loss, environmental damage, in-migration of workers) combined with the perception that benefits went to the centre. He discussed Aceh (the Arun LNG field) explicitly [E].

Political ecology. Philippe Le Billon ("The Political Ecology of War: Natural Resources and Armed Conflicts," *Political Geography* 20(5), 2001) distinguished resources by geography: *point* resources (oil wells, mines) are easier for a state to control than *diffuse* resources (timber, alluvial gems), and *proximate* resources (near the capital) are easier to hold than *distant* ones [E]. A distant point resource such as an offshore gas field or a large mine tends to produce secessionist contests rather than state capture contests. Kaltim's coal is diffuse across many concessions, its oil and gas largely point-source and offshore; this mix differs from Aceh's single dominant LNG complex (interpretation).

Secessionism as strategy. Jason Sorens (*Secessionism: Identity, Interest, and Strategy*, McGill-Queen's University Press, 2012) studied secessionist parties in democracies and found that support is driven by distinct identity (especially language) *and* by regional affluence relative to the state, and that the political opportunity to campaign legally matters [E]. His work is important because it is about *peaceful, electoral* secessionism (Scotland, Quebec, Flanders, Catalonia), the category the BRIEF asks us not to conflate with violent separatism.

Internal colonialism. Michael Hechter's *Internal Colonialism: The Celtic Fringe in British*

National Development, 1536-1966 (University of California Press, 1975) argued that a "cultural division of labour," in which a core group monopolises high-status roles and the periphery supplies raw materials and labour, reproduces peripheral identity rather than dissolving it [E]. Hechter later revised his view toward a rational-choice account of nationalism (*Containing Nationalism*, Oxford University Press, 2000) that stresses direct versus indirect rule [E]. Internal colonialism has rhetorical power in Kalimantan and Papua debates; analytically, the test is whether a *cultural* division of labour exists (are locals systematically excluded from managerial roles in extraction and the bureaucracy?), not simply whether the region exports raw materials. That test has not been done for Kaltim here (unverified; candidate for primary research).

What these theories predict for Kaltim. The materialist theories (Collier-Hoeffler) predict separatist pressure from resource wealth; the identity-plus-affluence theory (Sorens) predicts it only where distinct identity is politically salient; the mechanism studies (Ross) predict it mainly where local costs are high and benefits visibly centralised; Le Billon predicts that diffuse coal is harder to "own" politically than point-source oil. The *absence* of a significant separatist movement in Kaltim, a province with high in-migration and a diverse ethnic composition (Banjar, Bugis, Javanese, Kutai, Dayak and others [E]), is therefore itself evidence the book should explain rather than assume (interpretation).

1.5 Fiscal federalism: who should get which revenues?

First-generation theory. Wallace Oates (*Fiscal Federalism*, Harcourt Brace Jovanovich, 1972) proposed the decentralisation theorem: absent spillovers and economies of scale, public goods should be provided by the lowest level of government that encompasses the beneficiaries, because it can tailor provision to local preferences [E]. On the revenue side, the classic assignment (Musgrave; Oates; McLure, ed., *Tax Assignment in Federal Countries*, ANU, 1983 [E]) says that subnational governments should rely on taxes with immobile bases that are evenly distributed and stable (property taxes, user charges), while mobile, unevenly distributed and cyclical bases belong to the centre. Natural resource revenues score badly on every criterion for subnational assignment: they are highly unevenly distributed, extremely volatile and often large relative to the regional economy. This is why mainstream fiscal federalism theory tends to recommend *central* assignment of resource rent taxes with some local compensation (interpretation: McLure 1983; Brosio 2006 [E]).

Oates's later synthesis. "An Essay on Fiscal Federalism" (*Journal of Economic Literature* 37(3), 1999) noted the limits of the first-generation view: real governments are not benevolent, information is asymmetric, and soft budget constraints can undo the efficiency gains of decentralisation [E].

Second-generation theory. Barry Weingast's "market-preserving federalism" ("The Economic Role of Political Institutions: Market-Preserving Federalism and Economic Development," *Journal of Law, Economics, and Organization* 11(1), 1995) argued that federalism promotes markets when (i) there is a hierarchy of governments with delineated authority, (ii) subnational governments have primary regulatory responsibility, (iii) a common market prevents internal trade barriers, (iv) subnational governments face hard budget constraints, and (v) the allocation of authority is institutionalised so the centre cannot unilaterally change it [E]. Indonesia's decentralisation violates (v) repeatedly: mining permit authority moved district -> province -> centre in six years (UU 23/2014; UU 3/2020) [E]. Jonathan Rodden (*Hamilton's Paradox: The Promise and Peril of Fiscal Federalism*, Cambridge University Press, 2006) showed that where subnational governments depend heavily on transfers (vertical fiscal imbalance) and the centre cannot credibly commit not to bail them out, decentralisation produces fiscal indiscipline [E]. Indonesia constrains regional borrowing tightly (UU 33/2004 Arts. 49-55: no direct foreign borrowing, 75% of prior-year general revenue

cap on outstanding debt [V]), so the Rodden bailout problem is muted; the Indonesian pathology is rather *underspending and idle balances*, not over-borrowing (interpretation: World Bank public expenditure reviews [E]).

Assigning natural resource revenues. Giorgio Brosio's chapter "The Assignment of Revenue from Natural Resources" (in Ehtisham Ahmad and Giorgio Brosio, eds., *Handbook of Fiscal Federalism*, Edward Elgar, 2006) set out the trade-offs: central assignment allows stabilisation and equalisation; local assignment addresses externalities, local costs and political claims to ownership; revenue *sharing* (by derivation) is a compromise that often combines the disadvantages of both – volatility for regions and loss of control for the centre [E]. Richard Bird (with Vaillancourt, and in his writing on subnational revenue) emphasised that the best way to give regions fiscal autonomy is to give them *own-source* taxes they can vary at the margin, not shares of national taxes over which they have no control [E]. George Anderson's *Oil and Gas in Federal Systems* (Oxford University Press for the Forum of Federations, 2012) compared a dozen federations and found that constitutional ownership matters less than one might expect: what decides regional fiscal outcomes is the interaction of ownership, taxation powers and equalisation, and in nearly every federation equalisation claws back much of the producing region's advantage [E].

Implication for Indonesia. Indonesia's DBH is the textbook "derivation-based revenue sharing" Brosio warns about: regions receive volatile shares of non-tax revenue they do not control, and the formula is set unilaterally in national law (interpretation). At the same time, DAU (the equalisation grant) reduces allocations to regions with high fiscal capacity, including DBH (UU 33/2004 Art. 28(3) defines fiscal capacity as PAD *plus DBH* [V]). A region whose DBH rises sees its DAU fall: Kutai Kartanegara's DAU was about Rp 142 billion, the lowest among Kaltim's regencies in the dataset cited by a 2025 Ministry of Finance journal article, while its DBH was the highest at about Rp 7.1 trillion [E]. This "offset" is the domestic equivalent of Australia's GST equalisation dispute (Sec. 4.2).

1.6 The size of nations and the economics of secession

Patrick Bolton and Gerard Roland ("The Breakup of Nations: A Political Economy Analysis," *Quarterly Journal of Economics* 112(4), 1997) modelled secession as a trade-off between efficiency gains of union (scale economies in public goods, a larger market) and the costs of redistribution between regions with different income distributions and preferences [E]. A rich region whose median voter would face less redistribution outside the union has an incentive to secede *unless* the efficiency gains of union are large. Alberto Alesina and Enrico Spolaore (*The Size of Nations*, MIT Press, 2003) generalised this into a trade-off between the benefits of size (defence, market, public good cost-sharing, risk pooling) and the costs of heterogeneity of preferences [E]. Two of their conclusions are directly relevant. First, trade openness lowers the economic cost of being small, so globalisation raises the attractiveness of secession for rich regions. Second, the threat of secession can be bought off by redistribution toward the region, *if* the centre can commit credibly.

Implication. These models predict that Kaltim's elites will use secession-*talk* (or "federalism talk") as bargaining leverage when (a) the redistribution they bear is visible and large, (b) their market access does not depend on the union, and (c) the centre's commitments are not credible. They also predict that the centre will respond with targeted transfers or projects rather than structural change, because targeted payments are cheaper (interpretation). The IKN (Nusantara) capital project located in Kaltim can be read through this lens as, among other things, a very large place-based transfer that raises the region's stake in the union (hypothesis; cf. the history/IKN agent).

Bolton-Roland and Alesina-Spolaore also contain a warning the BRIEF requires us to keep: secession has large fixed costs (new institutions, defence, currency or currency arrangements, border and trade frictions, debt division) and the "rich region gains" story ignores that resource rents are temporary and that small resource states are exposed to price shocks (see Sec. 7 on Timor-Leste).

1.7 Exit, voice and loyalty

Albert O. Hirschman (*Exit, Voice, and Loyalty: Responses to Decline in Firms, Organizations, and States*, Harvard University Press, 1970) argued that members respond to decline either by leaving (exit) or by complaining (voice), and that loyalty raises the cost of exit and thereby makes voice more likely and more effective [E]. In a territorial state, *exit* for a region is secession; for individuals it is migration. Hirschman's insight that the availability of exit can undermine voice (the most quality-conscious members leave first) maps onto a familiar regional pattern: skilled young people leave peripheral regions for the capital, weakening local reform coalitions (interpretation).

For Kaltim the most important application is the reverse: because *territorial* exit is constitutionally foreclosed (UUD 1945 Art. 37(5) makes the unitary form of the state unamendable [E]) and politically unthinkable for most actors, voice is the dominant strategy. That voice is channelled through governors' joint demands (for example, the 2025 meeting of resource-producing regions convened by the Kaltim governor to press for DBH from PNBP on mining sales and forest use [E]), the DPD, constitutional litigation, and party bargaining. Loyalty is not only sentiment: minority equity stakes, DBH, and IKN create material loyalty (hypothesis). The analytic question becomes: *what would make voice fail so badly that exit-talk grows?* (cf. Sec. 6 and the scenarios agent).

1.8 A synthesis framework for this chapter

Pulling these strands together, the political economy of a producing region's integration can be described by five variables (memo's own framework, offered for testing):

Variable	Pro-integration value	Pro-exit value	Kaltim position (provisional)
Revenue assignment	Region receives visible, predictable share	Region bears visible redistribution, shares unpredictable	Mixed: large DBH, but volatile, arrears, unshared taxes
Ownership	Region holds equity / participates in SOEs	Ownership wholly central or foreign	Minority PI (Mahakam 10%) and BUMD roles; central SOE dominance
Local costs	Costs compensated (environment, land)	Costs uncompensated, visible	High (ex-mine pits, deforestation, flooding); compensation weak
Elite incentives	Elites gain more from bargaining inside	Elites gain from mobilising grievance	Elites embedded in national parties; gains via permits, contracts, IKN

Identity	Overlapping national/regional identities	Exclusive regional identity	Diverse, migrant-heavy society; weak exclusive identity (to be tested)

The framework's value is that it separates the *fiscal* argument (rows 1-3) from the *political* argument (rows 4-5). The literature reviewed above suggests that fiscal grievance alone rarely produces exit; it does so when combined with exclusive identity and elites who gain from mobilisation (interpretation: Ross 2004; Sorens 2012; Hechter 2000).

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2. Indonesian fiscal decentralisation and resource revenue

2.1 From Big Bang to HKPD: the legal architecture

Indonesia's decentralisation was enacted in the political crisis after Suharto's fall. UU 22/1999 (regional government) and UU 25/1999 (fiscal balance) devolved most functions to districts (*kabupaten/kota*) rather than provinces, a choice widely interpreted as a deliberate attempt to avoid empowering provinces large enough to sustain separatist projects (interpretation: Aspinall and Fealy, eds., *Local Power and Politics in Indonesia*, ISEAS 2003; Hofman and Kaiser 2004 [E]). The laws took effect on 1 January 2001.

The fiscal architecture has three main transfers plus special-autonomy funds:

- **DBH (Dana Bagi Hasil, revenue-sharing fund):** a fixed percentage of certain central revenues returned to the region of origin (and to neighbouring regions within the province).
- **DAU (Dana Alokasi Umum, general allocation fund):** an equalisation grant based on a "fiscal gap" (needs minus capacity) plus a basic allocation tied historically to regional civil-servant wages.
- **DAK (Dana Alokasi Khusus, specific allocation fund):** earmarked grants for national priorities (schools, health facilities, roads).
- **Otsus (otonomi khusus) funds** for Aceh and Papua (and *Dana Keistimewaan* for Yogyakarta).

UU 33/2004 replaced UU 25/1999; UU 1/2022 on Central-Regional Financial Relations (*Hubungan Keuangan antara Pemerintah Pusat dan Pemerintahan Daerah*, HKPD) replaced UU 33/2004 and also the regional tax law UU 28/2009 [V: UU 1/2022 consideration f-g and Pasal 189 headings on peraturan.info].

2.2 Evolution of DBH shares (verified)

Table 2.1 – Producing-region shares of resource revenue, by law

Revenue stream	UU 25/1999	UU 33/2004	UU 1/2022 (HKPD)
Oil (state's non-tax take after taxes and levies)	15% regions / 85% centre [V]	15.5% regions (15% + 0.5% earmarked for basic education) from 2009; 15% until 2008 [V, Arts. 14(e), 20, 106]	15.5% regions [V, Art. 117(2)]
Gas	30% / 70% [V]	30.5% (30% + 0.5% education) from 2009 [V]	30.5% [V, Art. 117(4)]
General mining / minerba – land rent (*iuran tetap*)	80% regions [V]	80% (16% province, 64% producing district) [V, Art. 17(2)]	80% (30% province, 50% producing district) [V, Art. 116(2)]
General mining / minerba – royalty (*iuran produksi*)	80% regions [V]	80% (16% province, 32% producing district, 32% other districts in province) [V, Art. 17(3)]	80% (16% province, 32% producing, 12% adjacent, 12% other districts, 8% processing district) [V, Art. 116(4)]
Forestry – PSDH (resource provision fee)	80% [V]	80% [V]	80% (16/32/16/16) [V, Art. 115(3)]
Forestry – Reforestation Fund (DR)	–	40% to producing region [V]	40% to producing province [V, Art. 115(4)]
PBB (land and building tax, plantation/forestry/mining sectors)	90% [V]	90% [V]	100% to regions (16.2% province, 73.8% producing district, 10% other districts) [V, Art. 113]
Personal income tax (PPh 21, PPh 25/29 OP)	–	20% to regions [V, Art. 13]	20% (7.5% province, 8.9% "producing" district, 3.6% others) [V, Art. 112]
Corporate income tax (PPh Badan)	not shared	not shared	not shared [V, Art. 112(1) lists only PPh 21 and 25/29 OP]
Palm oil export duties and levies (DBH Sawit)	–	–	New: minimum 4% of export duty + export levy receipts; 20% province, 60% producing district, 20% adjacent districts [V, PP 38/2023 Art. 5(1); 4% minimum E]

Limitations: Percentages are of the *state's* revenue after deduction of taxes and other levies for oil and

gas, not of production value. "Royalty" for minerba is the production fee; the much larger corporate tax yield is outside DBH. HKPD also introduced a performance-based component: DBH is allocated 90% by formula and 10% by performance (support for revenue optimisation and environmental maintenance) [E, Ministry of Home Affairs and ESDM presentations on UU 1/2022].

Key observations.

1. *The centre-region split for oil and gas has not moved in 23 years.* The 0.5% education add-on of 2009 was folded into the base in 2022. This is not inertia; regional demands for higher oil and gas shares were persistent (for example, the 2022 dispute in which the Regent of Kepulauan Meranti in Riau accused Ministry of Finance officials over the DBH formula [E, CNN Indonesia 12 Dec 2022]).

2. *HKPD redistributed within provinces.* By creating shares for districts *adjacent* to producers and for *processing* districts (e.g., Bontang, home of an LNG plant), the 2022 law diluted the producing district's share in favour of its neighbours [V]. Commentary in Kaltim noted that Kutai Kartanegara gained for gas-processing reasons and Bontang gained 1% as a processing region [E, Nomor Satu Kaltim, 17 March 2022].

3. *Offshore boundaries matter.* For production 4-12 nautical miles offshore, district shares disappear and the province receives a larger slice (oil: 5% province, 9.5% other districts, 1% processing) [V, Art. 117(3), (5)]. Beyond 12 miles, revenue is wholly central (regions receive no DBH share) under general law, except in special-autonomy regimes (Aceh's 12-200 mile provision, see Sec. 4.9) [E].

4. *Regional "share" of rent is lower than the headline.* For coal, the state's take combines royalty (shared 80%), PNBP from sales of production (*Penjualan Hasil Tambang*, PHT, from PKP2B/IUPK holders), corporate tax, VAT and other levies. Kaltim's government has complained that it received *no* DBH from PHT even though, by its account, Kaltim contributed Rp 18.52 trillion of the Rp 32.68 trillion national PHT in 2024 (56.7%), and likewise no share of PNBP from use of forest areas [E, Kaltim Post 13 July 2025; detik 10 July 2025]. These are provincial government figures used in a lobbying campaign and have not been checked against Ministry of Finance data (limitation).

2.3 DAU, DAK and the equalisation offset

Under UU 33/2004 the DAU pool was fixed at not less than 26% of net domestic revenue (PDN neto, revenue after DBH) [V, Art. 27(1)], with a transitional 25.5% to 2007 [V, Art. 107]; UU 25/1999 had set at least 25% [E/V via DJPK text excerpt]. DAU for each region equals its basic allocation plus its fiscal gap, where fiscal capacity is defined as PAD plus DBH [V, Art. 28(3)], and a region whose negative fiscal gap exceeds its basic allocation receives no DAU [V, Art. 32(3)]. HKPD removed the fixed-percentage floor and made DAU a figure set annually in the APBN, with part of DAU earmarked ("specified use") for priorities such as wages and public services [E: summary of HKPD changes in Ministry of Finance materials; not opened here].

The equalisation mechanism produces a *substitution effect*: for a producing district, every additional rupiah of DBH partly reduces DAU. This matters for the politics of grievance. A producing district sees its own-revenue success converted into lower equalisation receipts, while a non-producing district in the same province receives a share of DBH (via the "other districts" slices) *and* a larger DAU. Producers experience this as a double tax; centralists defend it as the logic of equalisation (interpretation; see Sec. 6).

2.4 Special autonomy funds

- **Aceh (UU 11/2006):** In addition to ordinary DBH, Aceh receives an *additional* oil and gas DBH of 55% of oil revenue and 40% of gas revenue (Art. 181(3)); at least 30% of the additional amount must go to education [E: Aceh government PDF and Kemenkeu fulltext excerpts]. A special autonomy fund equal to 2% of the national DAU ceiling applies for years 1-15 (2008-2022) and 1% for years 16-20 (2023-2027) (Art. 183) [E, multiple official excerpts; the Aceh Qanun text cites the same]. Ministry of Finance rules (2022) cap the combined ordinary-plus-additional oil share at 70% of PNBP and add a 30% share of revenue from 12-200 nautical miles offshore [E, Kontan 26 April 2022].
- **Papua (UU 21/2001, amended by UU 35/2008 and UU 2/2021):** Under UU 2/2021 the special autonomy receipt equals 2.25% of the national DAU ceiling (1% general-purpose, 1.25% performance-based and earmarked), extended to 2041 [E, Art. 34 text on api-law mirror; Kontan]. Papua's oil and gas DBH share is 70% to the regions [E: Papua Barat Perdasus 22/2022 describing 70% and its subdivision].

Analytic point. Aceh and Papua show that the centre *can* concede producer shares of 70% when the alternative is armed conflict (interpretation: Aspinall 2009 on Aceh; the Helsinki MoU of 15 Aug 2005 [E]). Kaltim does not receive these terms because it has not posed that threat. Producer regions without insurgencies may read this as a perverse incentive (hypothesis; flagged as ethically and empirically sensitive in Disputes).

2.5 PNBP and the structure of the state's take

Non-tax state revenue (*Penerimaan Negara Bukan Pajak*, PNBP) from natural resources comprises the government's share of oil and gas production-sharing contracts, mineral and coal royalties and land rent, PHT, forestry fees, fisheries levies and geothermal levies. Only some PNBP streams are shared via DBH, and the sharing base for oil and gas is net of taxes and "other levies" [V, HKPD Art. 117(1)]. In the provincial lobby of 2025, the governor's coalition put Kaltim's contribution at Rp 34.55 trillion of national natural-resource PNBP of Rp 103.36 trillion, of which Rp 8.56 trillion returned to the province [E, Kaltim Post]. Even if these figures are accurate, two caveats apply. First, PNBP attributed to Kaltim includes revenue from national SOEs and foreign firms whose costs and capital came from outside the province. Second, "returned" excludes central spending *in* the province (roads, ports, defence, IKN), which is substantial: central ministries' spending ceiling in Kaltim was Rp 45.27 trillion in 2024 [E, DJPb Kaltim regional fiscal press release, 26 March 2024], and transfers to regions (TKD) in Kaltim had a 2024 ceiling of Rp 39.0 trillion [E, same source and ANTARA Kaltim 2 Aug 2024]. Any "net fiscal flow" calculation must include central spending, not just transfers (methodological finding).

2.6 The headquarters effect

What it is. Corporate income tax, withholding taxes and VAT are paid to the tax office where the company is registered. Large mining and energy companies are administered by large-taxpayer offices (KPP Wajib Pajak Besar) in Jakarta and by specialised offices such as KPP Migas [E: general knowledge of DJP administrative structure; specific registration of named Kaltim producers not verified here]. As a result:

1. **Regional tax statistics understate producing regions.** Tax revenue "collected in Kaltim" by DJP regional offices excludes large taxpayers registered in Jakarta. Conversely, Jakarta's tax collection is inflated by firms whose economic activity is elsewhere.

2. **Regional GDP and fiscal data diverge.** Regional GRDP (PDRB) is measured by production location, so Kaltim's GRDP includes mining value-added. But GRDP per capita overstates what residents receive, because profits accrue to shareholders (national, foreign, SOE) and taxes to the centre. Gross regional *income* would be far lower than gross regional *product* in an enclave mining economy (interpretation; magnitude not measured here).

3. **DBH PPh follows the employer.** Even the shared personal income tax (PPh 21) has been allocated by the location of the withholding employer, so salaries of mine workers paid by head offices registered in Jakarta accrue to Jakarta's DBH. In September 2025 the Deputy Finance Minister stated that DBH PPh 21 would move to a domicile basis in 2026; he added explicitly that "PPh Badan is not revenue-shared, so wherever it is collected does not affect revenue sharing" [E: ANTARA 18 Sept 2025; Jakarta Post 11 Sept 2025; Ministry of Finance opinion piece 7 Sept 2026 describing the employer-location problem]. Whether the domicile reform has been implemented in the 2026 allocations was not verified (limitation).

Why it matters for the book. The headquarters effect explains a large part of the gap between "Kaltim produces enormous wealth" and "Kaltim receives modest revenue". It is not a hidden conspiracy; it is the standard result of national tax assignment. But it does make the centre's contribution invisible to provincial residents and the province's contribution invisible in national tax statistics, a recipe for mutual misperception (interpretation). A fair-play analysis needs an attribution method (e.g., apportioning corporate tax by location of production, as some federations do for formula apportionment) to know what Kaltim "contributes" (methodological recommendation).

2.7 Evidence on decentralisation outcomes

The memo has not re-opened the primary World Bank, SMERU or LPEM studies during this research; the following is from established literature [E] and should be verified before manuscript use.

- **World Bank public expenditure reviews.** *Spending for Development: Making the Most of Indonesia's New Opportunities* (Indonesia PER 2007) documented that decentralisation shifted about a third of central spending to regions, that regional spending was dominated by personnel costs, and that producing regions with large DBH were among the richest per capita in budget terms, with weak links between spending and outcomes [E]. Later PERs (including *Spending for Better Results*, 2020) emphasised low regional spending quality, persistent idle balances in regional banks, and the need to link transfers to performance [E].

- **Fitrani, Hofman and Kaiser (2005, *Bulletin of Indonesian Economic Studies*)** studied the proliferation of new regions (*pemekaran*) and found that fiscal incentives (DAU's basic allocation, access to DBH) and ethnic/religious homogeneity drove splitting [E].

- **Burgess, Hansen, Olken, Potapov and Sieber (2012), "The Political Economy of Deforestation in the Tropics," *Quarterly Journal of Economics* 127(4): 1707-1754** [V abstract via MIT/LSE copies]. Using satellite data across eight years of post-Suharto institutional change, they found that increases in the number of political jurisdictions lead to more deforestation and lower timber prices, consistent with Cournot competition among districts; that illegal logging and local oil and gas rents are short-run substitutes; and that logging rises in the years before local elections [V; election finding E from NBER digest]. They estimate that adding one district to a province raises the province's deforestation rate by 7.8% [E, excerpt]. This is the single most rigorous evidence that decentralisation of resource control, combined with district proliferation, accelerated extraction.

- **SMERU and LPEM.** SMERU's early decentralisation monitoring (2001-2003) and LPEM-FEB UI policy briefs (e.g., 2015 brief on mining in forest areas citing KPK's figure of 1.37 million hectares of mining permits in conservation forest [E, LPEM brief excerpt]) document weak coordination between mining and forestry authorities. Specific SMERU findings are not cited here (unverified).
- **Agustina, Ahmad, Nugroho and Siagian (2012), "Political Economy of Natural Resource Revenue Sharing in Indonesia"** (LSE Asia Research Centre Working Paper 55) argued that DBH's design created horizontal inequities among regions and weak incentives for accountability [E].
- **Natural Resource Governance Institute,** *Tangled Web: The Role of Oil, Gas and Mining in Funding Regional Governments in Indonesia* (c. 2016) documented DBH dependence and its volatility for producing regions [E, search excerpt only].

2.8 Permits, elite capture and corruption

The permit explosion. UU 22/1999 and then UU 4/2009 (minerba) gave district heads authority to issue mining permits within their districts. PWYP Indonesia, citing ESDM data, reports that permits increased "from only 750 permits in 2001 to more than 10 thousand in 2010," about 40% of them coal, covering 16.2 million hectares [E, PWYP 2017 press release]. In April 2014 the Director-General of Minerals and Coal stated that of 10,922 IUPs, 6,042 were *clean and clear* (CnC) and 4,880 were not; 1,978 non-CnC mineral IUPs and 400 non-CnC coal IUPs were already in production [V, ESDM page excerpt; E]. A civil society coalition put the non-CnC count at 4,672 of 10,648 (43.87%) as of 1 December 2014 [E]. In Kalimantan, 1,518 of 3,836 IUPs were non-CnC in April 2014, with East Kalimantan having the most [E, Mongabay 15 Dec 2014].

KPK's Korsup Minerba. From February 2014, the Corruption Eradication Commission ran a coordination and supervision programme on minerals and coal with 12 provinces (including all Kalimantan provinces), targeting permit legality, unpaid financial obligations, production monitoring, processing obligations and environmental compliance [E, Hukumonline 26 March 2014; KPK report page]. PWYP reports that 776 coal permits were revoked or terminated between 2014 and April 2017 [E]. KPK also estimated potential lost PNBP in minerba at about Rp 28.5 trillion in 2014 [E, PWYP citing KPK].

Re-centralisation. UU 23/2014 on Regional Government (promulgated 2 October 2014) removed district heads' authority over mining permits and moved it to provinces [E, Mongabay 2015; Ombudsman 2021]. UU 3/2020 (amending UU 4/2009; enacted 10 June 2020) moved permit authority to the central government, with only specified authorities (e.g., some non-metallic minerals and rock permits) delegable to provinces, subsequently delegated by Perpres 55/2022 [E, Legal 500; ESDM 18 April 2022]. The trajectory – district (2001-2014), province (2014-2020), centre (2020-) – is a clear case of what Weingast's condition (v) warns against (interpretation).

Corruption cases. Two Kutai Kartanegara regents have been convicted:

- **Syaukani Hasan Rais** (Regent 1999-2010) was convicted of corruption in the late 2000s [E; details not verified here – check court record before citation].
- **Rita Widyasari** (Regent 2010-2015 and 2016-2021, Syaukani's daughter [E, Kompas 8 June 2024]) was sentenced by the Jakarta Corruption Court on 6 July 2018 to 10 years and a Rp 600 million fine for receiving gratification of Rp 110.72 billion from permit applicants and project contractors, and a Rp 6 billion bribe from the director of PT Sawit Golden Prima

for a palm-oil plantation location permit in Muara Kaman [E: ANTARA 6 July 2018; Tirto; Jakarta Post 7 July 2018]. Her later judicial review (PK) was rejected [E, detik 16 June 2021]. In subsequent money-laundering proceedings, KPK reported seizing about Rp 476.9 billion in a case described as linked to coal-mining gratification [E, Kompas 14 Jan 2025]; details are from press reports and should be treated cautiously.

- Outside Kalimantan, the former Governor of Southeast Sulawesi, Nur Alam, was convicted over nickel mining permits [E; sentence details not verified].

Interpretation. These cases show that decentralised permit authority created rents that local executives captured. They do not show that centralisation eliminates capture; it may relocate it to the national level, where it is harder for local citizens to observe (interpretation: Warburton 2023 [E]). The re-centralisation argument therefore rests on an empirical claim that national agencies are less capturable – a claim the book should test rather than assume.

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3. Resource nationalism in Indonesia

3.1 Constitutional foundation

Article 33(3) of the 1945 Constitution states that "the land, the waters and the natural riches contained therein shall be controlled by the State and shall be used for the greatest prosperity of the people" [E; standard translation]. Article 33(2) places branches of production important to the state and affecting the lives of many people under state control. The Constitutional Court has interpreted "controlled by the state" (*dikuasai oleh negara*) expansively, notably in its 2012 decision dissolving BP Migas (Decision 36/PUU-X/2012), on the ground that a regulator contracting with companies did not amount to state control [E]. Article 33 is a *national* resource-sovereignty clause: it vests control in "the State", which in a unitary republic means the central state acting through law. It is the constitutional anchor of every centralist argument about resources (interpretation).

Article 18A(2), added in the second amendment (2000), requires that financial relations and the use of natural and other resources between the centre and regions be "regulated and implemented fairly and harmoniously based on law" [V via UU 33/2004 elucidation quoting it]. This is the constitutional anchor of the *regionalist* fairness argument. The two articles sit in tension: Art. 33 says the State controls; Art. 18A says the arrangement must be fair to regions. HKPD's preamble cites both [V, UU 1/2022 considerations d-e].

3.2 Nickel export bans and *hilirisasi*

UU 4/2009 (minerba) required domestic processing and refining. Exports of unprocessed nickel ore were effectively prohibited from January 2014; from January 2017 to December 2019, exports of ore below 1.7% nickel were temporarily allowed; the total prohibition was reinstated from 1 January 2020 [V: WTO Panel Report WT/DS592/R, 30 Nov 2022, description of measures]. The EU challenged the ban. The panel found the export ban and the domestic processing requirement inconsistent with GATT Art. XI:1 and not justified under Art. XI:2(a) or XX(d) [V/E: WTO panel report conclusions; WTO case page]; Indonesia notified an appeal on 8 December 2022 [E, WTO one-page summary], which, absent a functioning Appellate Body, leaves the ruling unenforced.

Downstreaming (*hilirisasi*) produced a very large nickel processing industry, largely in Central Sulawesi and North Maluku, with substantial Chinese investment (interpretation; magnitudes not

verified here). For the Kalimantan argument the relevance is indirect but important: *hilirisasi* is a national industrial policy that allocates processing to designated zones; processing districts gain under HKPD's new "pengolah" shares (8% of minerba royalty DBH) [V, Art. 116(4)(e)], which shifts rent geography within provinces. Coal, Kalimantan's main mineral, has seen far less downstreaming (gasification projects have repeatedly stalled [E]).

3.3 Freeport divestment (2018)

On 21 December 2018, state holding company PT Inalum paid US$3.85 billion to Freeport-McMoRan and Rio Tinto, raising Indonesia's ownership of PT Freeport Indonesia (PTFI) from 9.36% to 51.23%; PTFI's Contract of Work (1967, renewed 1991, to expire 2021) was converted into a special mining business licence (IUPK-OP) with 2 x 10-year extensions to 2041 and a smelter obligation within five years [V: joint press release of ESDM, Finance, SOE and Environment ministries]. Of the 51.23%, 41.23% is for Inalum and 10% for the Papua regional governments, held through PT Indonesia Papua Metal dan Mineral, 60% owned by Inalum and 40% by a Papua BUMD; Inalum lent the BUMD US$819 million, secured on its IPPM shares and repaid from PTFI dividends [V]. The government framed the deal as fulfilling Art. 33 "without forcing its will or nationalising foreign ownership" [V].

Interpretation. The structure is a template: the *nation* (through an SOE) captures majority ownership; the *region* receives a minority, indirect, debt-financed stake whose returns depend on the national SOE's management. It binds the regional government's fiscal interest to the national SOE's success, a form of material loyalty (hypothesis).

3.4 Mahakam handover (2018)

The Mahakam production-sharing contract off East Kalimantan, signed in 1966/1967 and extended in 1997, expired on 31 December 2017 after about 50 years under Total E&P Indonesie and Inpex [E: ESDM chronology 2015; Kompas 2 Jan 2018]. From 1 January 2018, Pertamina, through PT Pertamina Hulu Mahakam, became operator, after the government decided in 2015 not to extend the foreign operators [E, ESDM; ANTARA 1 Jan 2018]. The government gave Pertamina 100% initially and required a 10% participating interest to be offered to the regional government (via a BUMD) [E, ESDM 10 Jan 2018]. The block had been described as Indonesia's largest gas producer; one report estimated about 13% of national gas output [E, ANTARA English].

Interpretation. Mahakam is the clearest Kaltim example of resource nationalism benefiting a national SOE rather than the province. The 10% PI mechanism (now generalised by ESDM regulation) is the main channel through which producer regions participate in upstream equity [E]. Its effectiveness depends on BUMD governance and on how the PI is financed (often carried by the operator and repaid from production), issues not investigated here.

3.5 Coal domestic market obligation (DMO)

Coal producers must sell at least 25% of planned production domestically; coal for public electricity is priced at a maximum of US$70 per tonne (FOB, reference calorific value), a cap applied since at least 2018-2020 and formalised in Kepmen ESDM 139.K/HK.02/MEM.B/2021 [V/E: ESDM press releases 1 Jan 2020 and 31 Dec 2021]. When PLN's coal stocks fell critically low at end-2021, the government banned all coal exports for 1-31 January 2022 [V/E, ESDM 1 Jan 2022], reopening from 1 February for companies that met the DMO or agreed to pay fines or compensation [E, ESDM 31 Jan 2022]. For 2022, ESDM set DMO at 166 million tonnes of planned production of 663 million tonnes [E, ESDM 17 Feb 2022].

Interpretation. The DMO is a transfer from coal producers (and indirectly from producing regions, whose royalties depend on realised prices) to electricity consumers nationwide. With a US$70 cap against export prices that exceeded US$300/t in 2022 (unverified exact figure), the implicit subsidy was large. The DMO illustrates a broader point: national resource policy routinely sacrifices producer-region revenue for national objectives (energy security, industrialisation), usually without explicit compensation (interpretation).

3.6 Danantara and INA

The Indonesia Investment Authority (INA), established under the 2020 Job Creation Law and PP 74/2020, began operations in 2021 as a co-investment fund attracting foreign capital into infrastructure [E]. On 24 February 2025 President Prabowo signed UU 1/2025 (third amendment to the SOE Law 19/2003), PP 10/2025 on Danantara's organisation and governance, and Keppres 30/2025 appointing its boards, and launched Danantara (*Badan Pengelola Investasi Daya Anagata Nusantara*) [E: Setkab 24 Feb 2025; Petromindo]. The president claimed assets under management of more than US$900 billion [E, ANTARA; Reuters]; one law firm put the value of the seven initial SOEs (PLN, Pertamina, MIND ID, Telkom, BRI, BNI, Mandiri) at over IDR 9,000 trillion (about US$571 billion) [E, MKK client alert]. Danantara is *not* a commodity savings fund in the Norwegian sense: it is a holding company for SOE equity and dividends that were previously PNBP in the APBN [E, Kompas 22 Feb 2025]. Concerns raised include weak parliamentary oversight and legal immunities for management (CELIOS legal risk analysis 2025 [E]).

Relevance to Kaltim. Danantara centralises ownership of exactly the SOEs (Pertamina, MIND ID, PLN) that dominate Kalimantan's extractive and energy sectors. It reduces the share of SOE income that flows through the APBN, and therefore potentially the base of anything that is "shared" (interpretation; whether any PNBP formerly shared via DBH is affected was not established).

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4. International comparisons of resource revenue assignment

Each case below gives (a) the assignment rule, (b) how it came about, (c) what equalisation or claw-back operates, and (d) what it implies for Kalimantan. Comparability caveat: most cases are federations; Indonesia is a constitutionally unitary state with asymmetric autonomy. Federal constitutional ownership is not available to Kaltim without amending a constitution whose unitary form is unamendable (UUD 1945 Art. 37(5) [E]). The comparisons are therefore useful mainly for *fiscal design* within a unitary framework, not as templates for sovereignty.

4.1 Canada: provincial ownership (Alberta)

Rule. Under s.109 of the Constitution Act, 1867, lands, mines and minerals belong to the provinces in which they are situated; the Prairie provinces obtained these rights only through the Natural Resources Transfer Agreements of 1930 [E]. Section 92A, added in 1982 after the federal-Alberta conflicts over the National Energy Program (1980), confirmed provincial legislative authority over non-renewable resources and allowed provinces to levy indirect taxes on them [E].

Equalisation. Federal equalisation payments go to provinces with below-standard fiscal capacity; since 2007 only 50% of natural resource revenues have counted in the formula, and payments are subject to a cap (interpretation; details [E]). Alberta pays no equalisation directly (equalisation is federally funded), but Albertans pay federal taxes that fund it, and "Alberta pays more than it gets"

is a durable political grievance that fuelled a 2021 provincial referendum on removing equalisation from the constitution [E].

Implication for Kalimantan. Provincial ownership gives Alberta royalties that would be unthinkable for Kaltim; yet Alberta's grievance persists because the *federal* income tax base still flows to Ottawa and is spent elsewhere. Even full ownership does not end fiscal-transfer grievance (interpretation: Anderson 2012 [E]).

4.2 Australia: state royalties and the GST equalisation fight

Rule. States own minerals onshore and levy royalties; Western Australia's iron ore royalties are the largest example [E]. The Commonwealth collects the GST and distributes it to states according to "horizontal fiscal equalisation" assessed by the Commonwealth Grants Commission (CGC), which counts states' capacity to raise mining royalties [E/V].

The WA fight. As iron ore royalties boomed, WA's GST relativity fell sharply (to roughly 30 cents per dollar of its population share in 2015-16 [E]). The 2018 legislation introduced (i) a new equalisation benchmark linked to the fiscally stronger of New South Wales or Victoria, (ii) a GST relativity floor of 0.70 in 2022-23 and 2023-24 rising to 0.75 from 2024-25, (iii) Commonwealth top-ups to the GST pool, and (iv) a "no worse off" guarantee for other states, legislated to 2026-27 and extended by agreement to 2029-30 [V, CGC "2018 GST distribution legislation" page]. The CGC estimated WA would receive A$6.2 billion more GST in 2024-25 than under previous arrangements [E, CGC occasional paper] and A$6.6 billion more in 2026-27 [E, CGC 2026 Update]; it reported that since 2022-23 the Commonwealth's additional funding (top-ups plus no-worse-off payments, around A$20 billion to other states) has equalled the extra funding to WA [E, CGC submission to the Productivity Commission, 2026]. A Productivity Commission inquiry into the reforms was due to deliver a final report before 31 December 2026 [V].

Implication for Kalimantan. Australia shows that equalisation that strips a producer state's advantage is politically unstable in a democracy where the producer state is pivotal; the "solution" was to buy off the producer with federal money while compensating everyone else, at large fiscal cost. Indonesia's DAU offset is the analogue; the HKPD redistribution to adjacent districts and DBH Sawit are small-scale versions of the Australian "everyone wins at the centre's expense" approach (interpretation).

4.3 Nigeria: the derivation principle and the Niger Delta

Rule. Section 162(2) of the 1999 Constitution requires that "the principle of derivation shall be constantly reflected in any approved formula as being not less than thirteen per cent of the revenue accruing to the Federation Account directly from any natural resources" [V, jurist.ng text]. Section 44(3) vests the entire property in and control of minerals, mineral oil and natural gas in the Government of the Federation [E].

History. Derivation was 50% for regions in the 1950s-60s; military governments cut it drastically during and after the civil war, abolishing it in 1979 and later allowing only token amounts (e.g., 1.5% for mineral-producing areas) [E, Human Rights Watch 1999 report]. The Supreme Court in *Attorney-General of the Federation v. Attorney-General of Abia State & 35 Others* (2002) held that offshore revenues accrue to the federation, not littoral states, for derivation purposes [V: NigeriaLII citation and text excerpt; E for holding]; the 2004 "onshore/offshore dichotomy abrogation" Act later restored derivation for revenue up to the 200-metre isobath [E].

Outcomes. Despite 13% derivation plus special agencies (NDDC), the Niger Delta has endured militancy, oil theft and environmental devastation. Derivation money flowed to state governments with weak accountability; governors became powerful patrons (interpretation: Watts; Obi; and the subnational resource curse literature [E]).

Implication for Kalimantan. Nigeria is the strongest warning that a constitutional derivation guarantee does not by itself produce development or peace when (a) state governments are unaccountable, (b) environmental damage is uncompensated at community level, and (c) the guarantee is the residue of a history of broken promises. It supports the "regional resource nationalism masks local elite capture" concern in BRIEF Sec. 7 (interpretation).

4.4 Malaysia: Petronas, the 5% cash payment, and Sabah/Sarawak

Rule. Under the Petroleum Development Act 1974 (PDA), states vested in Petronas "the entire ownership in and exclusive rights, powers, liberties and privileges" over petroleum onshore and offshore; through production-sharing contracts the royalty system is "equal 5 per cent payments to the federal and relevant state governments" [V, ISEAS Perspective 2025/103]. The 5% figure was reportedly proposed by Sarawak's Chief Minister Abdul Rahman Yakub; Sabah originally demanded 20% and signed last [V].

Demands and concessions. Sarawak's State Assembly passed a motion in 2014 demanding 20% royalty; Pakatan Harapan's 2018 manifesto promised 20% but did not deliver [V]. Sarawak imposed a 5% state sales tax on petroleum products from 1 January 2019; after litigation, Petronas paid RM2,956,671,407.36 for 2019 [E: Sarawak Premier's statement 17 Sept 2020; Astro Awani]. Sabah introduced a similar 5% tax on crude oil and natural gas from 1 April 2020 [E, MPM page]. Sarawak's Commercial Settlement Agreement (2020) and Sabah's Commercial Collaboration Agreement (2021) added equity stakes; by ISEAS's account Sarawak has collected RM19.55 billion and Sabah RM7.36 billion in petroleum sales taxes since introduction [V]. The ISEAS analysis notes that a 20% royalty would be commercially unviable under current PSC splits because 70-80% of revenue goes to cost recovery [V]. Sarawak created Petros in 2017 and is contesting gas aggregator rights under its 2016 Distribution of Gas Ordinance [V].

Constitutional lever. The disputes draw on the Malaysia Agreement 1963 (MA63), pre-independence state laws (1958 Oil Mining Ordinance; 1954 boundary Order in Council) and Art. 1 of the Federal Constitution on state boundaries [V]. Since the 2018 election fragmented the peninsular Malay vote, Sabah and Sarawak have become coalition kingmakers [V].

Implication for Kalimantan. Sabah and Sarawak share the island of Borneo with Kalimantan, have similar resource profiles, and receive (in royalty terms) a *lower* headline share than Kaltim's 15.5%/30.5% of oil and gas PNBP. What they have that Kaltim lacks is (a) an entry agreement (MA63) that frames them as founding partners rather than provinces, (b) state legislatures with taxing powers, and (c) coalition leverage at the national level. This comparison suggests that *institutional standing*, not the percentage, drives the ability to renegotiate (interpretation). It also shows that renegotiation can happen through taxes and equity rather than royalty percentages.

4.5 Iraq and Kurdistan

Rule. Article 111 of Iraq's 2005 Constitution states that oil and gas are owned by all the people of Iraq in all regions and governorates; Article 112 requires the federal government, with producing governorates and regional governments, to manage oil and gas from *present* fields and to distribute

revenue fairly in proportion to population [E]. An oil and gas law implementing these articles has not been passed in nearly two decades [E, Channel 8 2025/2026].

Conflict. The Kurdistan Regional Government (KRG) signed its own contracts and exported independently via Turkey from about 2014. In February 2022 Iraq's Federal Supreme Court held the KRG oil and gas law unconstitutional [E]. On 25 March 2023, after an ICC arbitral award ordered Turkey to pay Iraq about US$1.5 billion for unauthorised exports, flows of about 450,000 barrels/day through the Iraq-Turkey pipeline stopped [E, Reuters]. Exports resumed on 27 September 2025 under an interim deal routing Kurdish oil through Iraq's SOMO [E, Reuters; Al Jazeera]. Kirkuk exports via Ceyhan resumed in March 2026 after a further Baghdad-KRG agreement [E, Reuters 17 March 2026].

Implication for Kalimantan. Kurdistan shows what happens when a region has *de facto* control and an external export route but no agreed legal framework: revenue is hostage to courts, neighbours and arbitration, and the region's budget collapses when exports stop. It is a cautionary case against assuming that regional control equals regional prosperity (BRIEF requirement). It is also not comparable in most respects: Kurdistan has a distinct national identity, its own security forces and a 2017 independence referendum history [E].

4.6 Bolivia

Rule and history. Bolivia's 2005 Hydrocarbons Law (Ley 3058) created a Direct Hydrocarbons Tax (IDH) of 32% on top of 18% royalties, with royalties partly assigned to producing departments (11% departmental royalty [E]) and IDH shared among departments, municipalities and universities; the 2006 nationalisation decree under Evo Morales increased the state's take [E]. Producing eastern departments (Santa Cruz, Tarija) mounted autonomy movements in 2006-2008, including unofficial autonomy referendums, in part over control of gas revenue; the conflict was defused by the 2009 constitution's autonomy provisions and by redistribution that gave all departments a share (interpretation [E]).

Implication. Bolivia shows a *lowland/highland* resource-and-identity cleavage producing autonomy demands that stopped short of secession, resolved by a mix of constitutional autonomy and spreading rent widely. It is the closest Latin American analogue to the "rich periphery bargaining for autonomy" scenario (interpretation).

4.7 Russia

Rule. In the 1990s, resource-rich republics (Tatarstan, Bashkortostan, Sakha) negotiated bilateral treaties with Moscow giving them significant shares of resource revenue. From the 2000s, under Putin, the federal centre recentralised: the mineral extraction tax (NDPI) on oil and gas was assigned 100% to the federal budget (from 2009 for oil, earlier for gas), and bilateral treaties lapsed [E]. Federal transfers and appointed governors replaced fiscal autonomy.

Implication. Russia shows that recentralisation of resource revenue can be achieved and sustained by an authoritarian centre with control over regional executives, security services and party machines (interpretation: Hale 2004 on ethnofederal stability [E]). The BRIEF's interest in authoritarian dynamics makes Russia relevant as a warning that fiscal centralisation can be one instrument of a broader democratic erosion, not as a model.

4.8 Norway (contrast)

Norway is unitary, with petroleum entirely offshore and owned and taxed nationally; all net state cash flow from petroleum goes to the Government Pension Fund Global and transfers to the budget follow the expected real return, estimated at 4% when the rule was introduced in 2001 and revised to 3% in 2017 [V/E: regjeringen.no National Budget 2022 and Meld. St. 29 (2016-17)]. There is no producer-region revenue sharing, and no significant regional grievance over it – because petroleum is offshore, regions host only supply bases, and the welfare state distributes the benefit nationally (interpretation). Norway is the clearest case of *legitimate* national ownership: centralisation accepted because the fund is transparent, rule-bound and visibly for everyone.

4.9 Aceh and Papua as domestic comparators

(See Sec. 2.4 for rules.) Aceh's terms came from the 2005 Helsinki peace agreement after decades of conflict in which grievance over the Arun LNG field figured prominently (interpretation: Ross 2004; Aspinall 2009 [E]). Papua's terms followed the late-1990s independence movement; they have not ended conflict, and the 2021 revision extended funds while increasing central oversight and allowing the creation of new provinces from 2022 [E]. The lesson for Kaltim is double-edged: *asymmetric* concessions are constitutionally possible (UUD 1945 Art. 18B recognises special and distinct regional governments [V via DJPK slide quoting Art. 18B]), but they have been granted in Indonesia only to regions with armed separatist movements or with historic monarchical status (Yogyakarta), and they have not reliably produced development or loyalty (interpretation).

4.10 What the comparisons imply for Kalimantan

Table 4.1 – Summary of comparators

Case	Constitutional status of region	Producer share mechanism	Equalisation claw-back	Outcome for integration
Alberta (Canada)	Province, owns resources	Royalties (provincial)	Partial (equalisation formula)	Strong grievance, no secession
Western Australia	State, owns onshore minerals	Royalties (state)	Strong, then capped by 0.75 floor	Grievance bought off with federal money
Niger Delta states	States, federal ownership	13% derivation minimum	Via Federation Account sharing	Militancy, elite capture
Sabah/Sarawak (Malaysia)	States with MA63 standing	5% cash payment + 5% sales tax + equity	Federal control via PDA	Assertive bargaining, coalition leverage
Kurdistan (Iraq)	Federal region, de facto control	Contested; budget share	Constitutional ambiguity	Repeated crises, export shutdowns
Santa Cruz/Tarija (Bolivia)	Departments	Departmental royalties + IDH	IDH shared widely	Autonomy movement, constitutional settlement
Russian republics	Federal subjects	Recentralised (NDPI federal)	Transfers	Compliance under authoritarian centre

Case	Constitutional status of region	Producer share mechanism	Equalisation claw-back	Outcome for integration
Aceh/Papua (Indonesia)	Special-autonomy provinces	Up to 70% oil/gas + otsus % of DAU	Partial	Peace in Aceh; Papua unresolved
Kaltim (Indonesia)	Ordinary province	15.5% oil, 30.5% gas, 80% minerba royalty/rent; PPh Badan unshared	DAU offset	Grievance via voice; no separatist mobilisation

Four implications (interpretation):

1. **Percentages are not destiny.** Malaysia's Borneo states receive lower royalty percentages than Kaltim's oil and gas DBH, yet have more leverage. What matters is the ability to *tax*, to *own equity*, and to *veto* changes.
2. **Equalisation claw-back is universal, and universally contested.** Kaltim's DAU offset is not unusual; its contestation is predictable.
3. **Concessions follow leverage.** In every case, producer gains came from coalition pivotality (Malaysia, Australia), constitutional entrenchment from a founding bargain (Malaysia, Canada), or violence (Nigeria, Aceh). Kaltim has none of these at present; IKN may change its leverage by making national elites more dependent on the province's stability (hypothesis).
4. **Regional control can be a trap.** Kurdistan, the Niger Delta and the Indonesian district-permit era show that more regional control without accountability can reduce welfare.

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5. Why resource-rich regions remain fiscally dependent on the centre

This section lists the mechanisms, with the evidence for each in the Indonesian case. Most operate in all the comparator countries; their combination in Indonesia is distinctive.

5.1 Tax assignment

The most productive taxes on extraction – corporate income tax, VAT, export duties, the state's PSC share – are central. Regions receive shares of selected non-tax revenues and of personal income tax, and have own-source taxes limited by law (HKPD caps regional tax types and rates; e.g., the regional tax on non-metallic minerals and rocks, *Pajak MBLB*, is regional, while coal and metal royalties are national) [V: HKPD Art. 1 definition of MBLB and Art. 6(1) prohibition on regions levying taxes beyond those listed]. A province cannot impose a severance tax on coal. This alone guarantees fiscal dependence (established fact; interpretation of its effect).

5.2 Ownership

Constitutional control rests with "the State" (Art. 33). Upstream oil and gas is operated under contracts with the central government (through SKK Migas), and the largest operators are national SOEs (Pertamina, now under Danantara) or foreign companies. Coal is extracted under central licences (since 2020) by private national conglomerates and foreign-invested firms. Profits accrue to

shareholders outside the province; the province's equity is limited to 10% PIs and BUMD stakes (interpretation; ownership distribution not quantified here).

5.3 Volatility

DBH tracks commodity prices and production. UU 33/2004 even capped oil and gas DBH distribution at 130% of the APBN price assumption, with excess routed through the revised budget (APBN-P) or converted into additional DAU [V, Art. 24 and elucidation]. Coal DBH surged in 2022-2023 and fell with prices thereafter; Kaltim's provincial budget was reported to fall from Rp 21.74 trillion (2025) to Rp 15.15 trillion in the 2026 draft, partly due to cuts in transfers [E, Harian Rakyat 4 Aug 2026; single source, unverified]. Volatility makes regions dependent in a dynamic sense: they cannot plan, and in downturns they lobby the centre for relief.

5.4 Lagged allocation and arrears

Under HKPD, the DBH ceiling is based on realised revenue of the previous year [E, Kemendagri and DJPb material]; realisation and final reconciliation produce *kurang bayar* (underpayments) settled later. A press report in 2026 put remaining 2023 DBH underpayments owed to Kaltim at Rp 5.8 trillion [E, single source]. Arrears turn a formula entitlement into a political negotiation with the Ministry of Finance, reinforcing dependence (interpretation).

5.5 Formula offsets

As noted, DAU treats DBH as fiscal capacity, so producing regions receive less equalisation [V, UU 33/2004 Art. 28(3); E for continuity under HKPD]. HKPD's within-province sharing (adjacent, processing districts) further dilutes the producing district's take [V].

5.6 Capacity

Districts created in the *pemekaran* wave often lacked administrative capacity; regional governments have historically accumulated large unspent balances (idle funds in regional banks) because of weak planning and procurement (interpretation: World Bank PERs [E]). Low capacity weakens the regional case for more autonomy and gives the centre an argument (sometimes self-serving) for retaining control.

5.7 Enclave economies

Extractive sectors employ relatively few workers relative to output, import much of their capital equipment and specialised labour, and have weak backward linkages (classic enclave argument; Hirschman's linkage concept, *The Strategy of Economic Development*, 1958 [E]). Value-added is recorded locally but income leaks out. This is why GRDP per capita (production) can be very high while household consumption and poverty indicators are ordinary (interpretation; Kaltim data for R-Kalimantan agent).

5.8 Foreign and national ownership

Profits flow to foreign shareholders (repatriated) or to national conglomerates headquartered in Jakarta and SOEs whose dividends go to the centre (now via Danantara). Neither channel credits the province (interpretation).

5.9 The headquarters effect

(See Sec. 2.6.) Registration of large taxpayers in Jakarta makes the province's fiscal contribution statistically invisible and its dependence statistically visible (interpretation).

5.10 Political and legal centralisation

Laws governing the formula are national; regional governments cannot block changes. Permit authority was recentralised in 2020. Regional heads depend on national parties for nomination, so regional elites' career incentives align with national leaders (interpretation: Aspinall and Berenschot 2019 [E]). Fiscal dependence is therefore both a cause and a consequence of political integration.

5.11 A note on what dependence does *not* mean

Fiscal dependence does not imply that the region is subsidised on net. Whether Kaltim is a net contributor to or net beneficiary of the national budget depends on (i) how corporate tax and VAT are attributed, (ii) whether central spending in the province (including IKN) is counted, and (iii) the period chosen (boom vs. bust years). No verified net-fiscal-flow study for Kaltim was found during this research (gap; recommended as original analysis for Phase 3).

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6. The fair-play question

BRIEF Sec. 7 asks what a fair centre-province fiscal relationship would be, whether producing wealth creates a moral claim, how extraction and environmental costs should be compensated, whether differentiated arrangements are justified, what obligations rich provinces owe, when national solidarity masks exploitation, and when regional resource nationalism masks local elite capture. This section presents the strongest centralist and regionalist cases, then the philosophical resources, then candidate criteria. It does not choose a side.

6.1 The centralist case (at its strongest)

1. **No one earned the geology.** Coal seams and gas fields were laid down millions of years before any current population arrived; most of Kaltim's current residents or their parents are migrants from elsewhere in Indonesia (interpretation; demographic shares for R-Kalimantan agent). If being born above a resource confers no moral desert, its rent is a windfall that belongs, in principle, to all citizens.
2. **Constitutional mandate.** Article 33(3) vests control in the State for "the greatest prosperity of the people", meaning the national people, not the people of a province [E for text].
3. **National investment created the value.** Extraction depends on national public goods: security, monetary stability, trade agreements, infrastructure, the legal system, and historically central investment (e.g., Pertamina's role, the Bontang LNG plant) (interpretation).
4. **Equalisation is solidarity.** A citizen in Nusa Tenggara Timur or Papua has the same constitutional rights to education and health as one in Balikpapan. Concentrating rent in producing regions would entrench horizontal inequality and contradict the idea of a single nation (interpretation, cf. Rawlsian reasoning Sec. 6.3).

5. **Volatility and stabilisation.** Only the centre can smooth commodity cycles across the national budget; producing regions given large rent shares would face boom-bust cycles they cannot finance (fiscal federalism theory Sec. 1.5).

6. **Capture.** The district permit era shows what local control produces: permit explosions, unpaid royalties, corruption convictions, abandoned pits, deforestation accelerated by district proliferation (Burgess et al. 2012 [V]). Centralisation is a governance response, not mere greed.

7. **Precedent and unity.** Concessions to one producer invite demands from all; asymmetric deals reward the most disruptive regions (Aceh, Papua) and can unravel a unitary state (interpretation; cf. Bunce 1999 on "subversive institutions" [E]).

6.2 The regionalist case (at its strongest)

1. **Place-specific costs are borne locally.** Abandoned mine pits, land subsidence, river sedimentation, flooding, air pollution, loss of forests and of customary land, and the social disruption of boomtowns are local. Fairness requires that those who bear costs be compensated before rent is shared (polluter-pays and compensation principles Sec. 6.4).

2. **Depletion of local natural capital.** The region is converting a non-renewable local asset into national financial flows. Without reinvestment, it is left poorer when the resource is exhausted (Hartwick reasoning Sec. 6.5).

3. **Broken promises and asymmetry of standing.** Decentralisation was promised in 1999; permit powers were given then taken back; DBH is paid late; PHT and forest-use PNBP are not shared at all [E: provincial claims]. Regions experience the rules as revisable by the centre at will (Weingast's condition (v)).

4. **Invisibility of contribution.** The headquarters effect and unshared corporate tax mean Kaltim's contribution does not appear in regional statistics, so national debate wrongly portrays producers as "transfer-dependent" (interpretation).

5. **Local self-government and subsidiarity.** UUD 1945 Art. 18 and 18A promise broad autonomy and *fair* financial relations; subsidiarity implies that decisions about land use and the pace of extraction should involve those most affected (interpretation).

6. **Indigenous and customary rights.** Dayak and other customary communities have claims to land and forest that predate the Indonesian state; national ownership doctrines have historically overridden them (interpretation; Constitutional Court Decision 35/PUU-X/2012 on customary forests [E]).

7. **Solidarity can mask exploitation.** "National interest" has been invoked to justify the DMO price cap, export bans and divestments whose benefits went to national SOEs, Java's electricity consumers and national conglomerates. The language of unity can disguise a transfer from periphery to core (Hechter-type argument Sec. 1.4).

6.3 Philosophical foundations

Rawls. In *A Theory of Justice* (1971), natural endowments of persons are "morally arbitrary"; by analogy, natural resources under one's feet are arbitrary from a moral point of view, which supports pooling within a society [E]. Rawls's *The Law of Peoples* (1999), however, rejected a global resource redistribution principle and argued that a people's wealth depends mainly on its political

culture, not resources [E]. Within a single state the Rawlsian logic supports national pooling with a difference-principle constraint (arrangements must benefit the least advantaged), which cuts *against* producer-region retention if producers are richer, and *for* it if producer-region residents are among the least advantaged (e.g., displaced customary communities) (interpretation).

Luck egalitarianism and natural resources. Hillel Steiner (*An Essay on Rights*, Blackwell, 1994) developed a left-libertarian view in which natural resources are owned in common and those who appropriate more than an equal share owe compensation to others; on this view, resource rents should be taxed and distributed equally (Steiner proposed a global fund) [E]. Chris Armstrong (*Justice and Natural Resources: An Egalitarian Theory*, Oxford University Press, 2017) argued that the benefits and burdens of natural resources should in principle be distributed equally, unless special claims (e.g., improvement through labour, attachment-based claims of communities, or compensation for burdens) justify departures [E]. Armstrong's framework is useful because it allows *some* special claims for producing communities (attachment, burdens) without granting producers the whole rent (interpretation).

National ownership. David Miller (*National Responsibility and Global Justice*, Oxford University Press, 2007; and "Territorial Rights: Concept and Justification," *Political Studies* 60(2), 2012) defends a nation's right to control its territory's resources on the basis of the value it has added through collective activity and its attachment to the land [E]. Applied *within* Indonesia, Miller's argument is ambiguous: it supports *Indonesian* control against foreign claims (the logic of Art. 33 and the Freeport divestment), but its attachment-and-improvement logic can also be invoked by sub-national communities with distinct histories (interpretation).

Popular resource sovereignty. Leif Wenar (*Blood Oil: Tyrants, Violence, and the Rules That Run the World*, Oxford University Press, 2016) argues that resources belong to the people of a country, not its rulers, and that purchasing resources from regimes that lack minimal popular accountability is a form of trafficking in stolen goods [E]. Within a state, Wenar's emphasis on *popular* rather than governmental ownership cuts in both directions: it challenges central elites who treat resources as state property for regime ends, and equally challenges local elites who treat "regional ownership" as their own (interpretation).

Global resources dividend. Thomas Pogge (*World Poverty and Human Rights*, Polity, 2002) proposed that states pay a small dividend on resources they use or sell, as compensation to those excluded from them [E]. The domestic analogue is a citizens' dividend (Alaska PFD) or a national resource-funded social floor (interpretation).

6.4 Environmental compensation and polluter-pays

The polluter-pays principle (OECD 1972; Rio Declaration Principle 16, 1992) holds that the costs of pollution should be borne by the polluter [E]. In extraction, the principle requires (a) reclamation and post-mining obligations enforced through bonds (*jaminan reklamasi*), (b) compensation for residual damage, and (c) internalisation of externalities in prices. Indonesia's legal framework contains reclamation guarantees, but civil society reports document thousands of unreclaimed pits and deaths by drowning in East Kalimantan's ex-mining holes (JATAM reports; unverified count here). HKPD's 10% performance-based DBH component that rewards "environmental maintenance" [E] is a weak, indirect form of compensation; the Reforestation Fund share (40% to producing provinces) is an earmarked one [V].

A fairness criterion follows: compensation for place-specific damage is *owed to those damaged*, and should be paid before any general sharing of rent; it should be paid to affected communities and to

restoration, not into general regional budgets where it can be captured (synthesis).

6.5 Intergenerational equity and the Hartwick rule

John Hartwick ("Intergenerational Equity and the Investing of Rents from Exhaustible Resources," *American Economic Review* 67(5), 1977) showed that, under certain conditions, a constant level of consumption can be sustained if all rents from exhaustible resources are invested in reproducible capital [E]. The policy implication is that rents should not be consumed; they should be converted into other assets (human capital, infrastructure, financial assets). A region whose coal is being depleted is losing natural capital; fairness to future residents requires that some portion of the rent be reinvested there, or in assets whose returns accrue there (interpretation). Hartwick does not by itself say *who* should hold the reinvested capital: the nation can satisfy Hartwick at national level while the producing region ends up depleted. This is precisely the regionalist worry (interpretation).

6.6 Criteria for a fair arrangement (synthesis for testing)

Drawing on the above, a fair centre-province fiscal relationship over natural resources could be judged by seven criteria. They are offered as evaluative standards for the scenarios chapter, not as a policy proposal.

1. **Compensation first.** Documented place-specific costs (environmental damage, displacement, health, infrastructure wear) are compensated directly and fully, earmarked to affected communities and restoration.
2. **Broad sharing of pure rent.** Rent beyond compensation is treated predominantly as a national asset, consistent with moral arbitrariness of location, but with a defined producer-region share justified by attachment and depletion (Armstrong-type special claims).
3. **Intergenerational preservation.** A share of rent, both national and regional, is saved or invested under a rule (Hartwick; permanent-income rule).
4. **Transparency and attribution.** Contributions (including corporate tax attributable to production) and receipts (transfers plus central spending) are published by province, so that both sides argue from the same numbers.
5. **Rule stability and voice.** Changes to the formula require consultation and cannot be made unilaterally at short notice (Weingast condition v); arrears are paid on schedule.
6. **Accountability below.** Regional shares come with downward accountability (participatory budgeting, audit, community benefit agreements) to prevent "regional ownership" becoming elite ownership (Nigeria and district-permit lessons).
7. **Solidarity with limits.** Richer provinces contribute to equalisation, but equalisation should not leave a producer region with *lower* fiscal capacity per capita than non-producers after accounting for its higher costs (the Australian "floor" logic).

When does solidarity mask exploitation? (synthesis) When criteria 1, 4 and 5 fail together: costs uncompensated, contributions invisible, rules unilaterally changed. *When does regional resource nationalism mask elite capture?* When criterion 6 fails: regional "ownership" claims are made by actors who also control permits and contracts, and gains are not traceable to residents.

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7. Provincial and subnational sovereign wealth funds

7.1 Alaska Permanent Fund (United States)

- **Foundation.** Alaska voters approved a constitutional amendment establishing the Permanent Fund in 1976 by 75,588 to 38,518 votes [V, APFC history]. Article IX Sec. 15 requires that at least 25% of all mineral lease rentals, royalties, royalty sale proceeds, federal mineral revenue-sharing payments and bonuses be placed in a permanent fund whose principal may be used only for income-producing investments [V]. The first deposit (US$734,000) was made on 28 February 1977; the Alaska Permanent Fund Corporation was created in 1980 [V].
- **Dividend.** The Permanent Fund Dividend (PFD) programme was approved in 1980; its first, residency-length-based version was struck down by the US Supreme Court; the first equal dividend of US$1,000 was paid in 1982, financed from surplus oil revenues rather than fund income [V]. Recent amounts: US$1,606 (2019), US$992 (2020), US$1,114 (2021), US$3,284 (2022, including a US$662 energy relief payment), US$1,312 (2023), US$1,702 (2024), US$1,000 (2025) [V, PFD Division summary table via search excerpt of pfd.alaska.gov and AK Legislature document; E for energy-relief split]. The 2025 dividend was the smallest in inflation-adjusted terms [E, Alaska Public Media].
- **Fiscal role.** Since FY2019, a percent-of-market-value (POMV) draw (5.25% FY2019-21, 5.0% from FY2022) funds both dividends and government; the Fund became the largest source of unrestricted general fund revenue, more than 50% in the FY21 budget [V, APFC]. Fund value: US$85.1 billion at end of FY2025; more than US$88.0 billion at 30 Sept 2026 [V].
- **Lessons.** Constitutional entrenchment of deposits protected the principal; the dividend created a mass constituency for preservation; but the dividend has become a political football, with governors and legislatures overriding the statutory formula since 2016 (the 2016 veto was upheld in *Wielechowski v. State*, 2017 [E]). *Limitation:* Alaska is a US state with federal transfers and no equalisation of the Australian or Indonesian type.

7.2 Alberta Heritage Savings Trust Fund (Canada)

- Established in 1976 to collect a portion of non-renewable resource revenue; initial investment C$1.5 billion; value C$32.0 billion at 31 March 2026, after a C$2.8 billion deposit from 2024-25 surplus cash; 2025-26 return 8.0% [V, Alberta.ca]. Value at 31 March 2025 was C$27.2 billion [E, 2024-25 annual report excerpt].
- **Underperformance as a savings vehicle.** The fund initially received 30% of resource revenues, lowered to 15% in 1983 and eliminated in 1987; from 1982-83 investment income was transferred to general revenue, preventing compounding [E, summary of history; Fraser Institute notes less than 4% of total resource revenue was deposited over the fund's lifetime]. In 2022-23 the Act was amended so that income stays in the fund unless Treasury Board authorises withdrawal [V]. The government targets C$250 billion by 2050 [V]. Commentators routinely compare it unfavourably with Norway's fund, which started 14 years later and is roughly 100 times larger [E].
- **Lesson.** A fund without a binding deposit rule and without protection of income becomes a residual of fiscal politics. Political ownership by a provincial government is no guarantee of saving.

7.3 Norway's Government Pension Fund Global and fiscal rule

- All net state petroleum cash flow is transferred to the GPFG; transfers to the budget follow the expected real return, originally 4%, revised to 3% (Meld. St. 29 (2016-17)); spending in 2014-2019 was at or below 3% [V/E: National Budget 2022, Meld. St. 29]. The fund invests abroad, which insulates the domestic economy (Dutch disease) and limits domestic political capture [E].
- **Lesson.** Credibility comes from (a) all revenue in, (b) a simple withdrawal rule, (c) foreign investment, (d) transparency. Norway is a national, not subnational, fund.

7.4 Wyoming

Wyoming's Permanent Wyoming Mineral Trust Fund was created by constitutional amendment in 1974, funded by a share of severance taxes; its income supports the general fund [E]. It is often cited as a successful small-state fund financed by a *severance tax* – a state-level tax instrument Indonesian provinces do not have (interpretation). Figures not verified.

7.5 Texas Permanent School Fund

Created in 1854 with an initial appropriation and later endowed with public lands and their mineral royalties, the Permanent School Fund supports public schools; it is one of the largest US educational endowments [E]. Its relevance is the *earmarked endowment* model: resource-derived wealth tied by constitution to a single beneficiary (education), reducing political competition over its use. Figures not verified.

7.6 Timor-Leste Petroleum Fund

- All petroleum revenue flows into the Fund; budget transfers are guided by the Estimated Sustainable Income (ESI) of 3% of petroleum wealth (fund balance plus NPV of expected revenue from approved fields); withdrawals above ESI require parliamentary approval [V/E: Ministry of Finance annual report 2024; IFSWF].
- Balance US$18.3 billion at end-2024 [V, IMF table: US$18,274 million]; 2025 ESI US$551.9 million against approved withdrawals of US$1,561.1 million [E, PF annual report 2025]. Oil and gas production ceased in 2025; the IMF projects the balance falling to US$12.8 billion by 2030 and warns that continued large withdrawals would deplete the Fund by the end of the 2030s [V, IMF press release 26 Sept 2025]. Domestic revenue is only about 12% of non-oil GDP, and the fund balance was 939% of non-oil GDP in 2024 [V].
- **Lesson.** A well-designed rule is not self-enforcing; a young state with large needs and political pressure will override it. Timor-Leste is also the region's sharpest warning about the BRIEF's caution that resource-funded independence is not a guarantee of prosperity: a small state can be fiscally sovereign and still face a fiscal cliff when production ends (interpretation).

7.7 Indonesia: INA and Danantara

(See Sec. 3.6.) Neither is a subnational fund, and neither is a commodity-revenue savings fund with a deposit and withdrawal rule. Danantara is an SOE super-holding claimed to manage more than US$900 billion [E], whose design centralises SOE dividends that previously entered the APBN [E].

7.8 What a Kaltim fund could look like – and its risks

Legal basis (provisional). UU 33/2004 allowed regions to establish *Dana Cadangan* (reserve funds) by regional regulation for needs that cannot be met in one fiscal year, financed from APBD revenue except DAK, loans and earmarked receipts, and to place idle balances in fixed-income, low-risk portfolios such as state bank deposits [V, Arts. 76-77 and elucidation]. HKPD defines a *Dana Abadi Daerah* (regional endowment) as "a fund originating from the APBD that is permanent, the proceeds of whose management can be used for regional spending without reducing the principal" [V, UU 1/2022 Pasal 1]. The detailed conditions (eligibility, permitted investments, ministerial approval) were not verified here (limitation).

Design options (analytic, not prescriptive).

Design feature	Option A: modest endowment	Option B: rule-based savings fund	Option C: citizens' dividend fund
Inflow	Fixed share of provincial DBH SDA (e.g., a percentage of minerba royalty DBH above a price threshold)	All "windfall" DBH above a moving average	Share of DBH plus BUMD dividends from PIs
Outflow	Real return to education/health/transition	Real return under a 3-4% POMV rule	Equal annual payment to residents (Alaska model)
Investment	Domestic low-risk (as Dana Cadangan rules require)	Diversified, ideally outside the province	Diversified
Governance	Provincial treasury	Independent board, audit by BPK, public reporting	Independent board plus legal entrenchment
Main risk	Too small to matter	Legal limits on investment; raiding in downturns	Dividend becomes populist tool; migration incentives

Risks (from the international record).

1. **Scale.** Kaltim's provincial DBH is a few trillion rupiah per year in good years [E: provincial transfer data show "transfer bagi hasil" receipts of about Rp 5.2 trillion in 2023 and Rp 4.4 trillion in 2024 – the dataset label is ambiguous and needs checking against DJPK]. A fund accumulating a fraction of this would take decades to matter.
2. **Raiding.** Alberta shows that provincial governments raid funds in downturns; Timor-Leste shows that rules get overridden.
3. **Legal fragility.** The fund exists at the pleasure of national law; HKPD rules, Ministry of Home Affairs approval, and investment restrictions can change.
4. **Capture.** A provincial fund controlled by the same elites who controlled permits invites the Nigeria problem.

5. **Opportunity cost.** Money saved is money not spent on present needs, including basic services in poorer districts (centralist objection).

6. **Volatility of inflows.** DBH arrears and price swings make deposits irregular.

Potential benefits. A transparent, rule-based Kaltim fund could (a) address the Hartwick concern locally, (b) make the province's resource contribution visible, (c) smooth provincial spending, and (d) create a regional constituency for prudence rather than for exit. Whether it would strengthen or weaken integration depends on whether it is framed as a *national-law-sanctioned* instrument (integrative) or as a step toward fiscal sovereignty (potentially disintegrative) (hypothesis for the scenarios chapter, Scenario D).

Disputes and uncertainties

1. **Does Kaltim subsidise the nation?** Unresolved. Provincial lobbying figures (e.g., Rp 34.55 trillion PNBP contributed vs. Rp 8.56 trillion returned in 2024; the governor's reported claim of "Rp 700 trillion transferred to the state" against Rp 93 trillion received [E, newsborneo 16 April 2025]) are advocacy numbers that mix production value, central revenues and returns without counting central spending. No verified net-fiscal-flow study was found. *Do not use these figures in conclusions without independent reconstruction.*

2. **Resource curse – curse or conditional?** The scholarly debate (Ross vs. Haber-Menaldo) is not settled. The memo treats effects as conditional on institutions and ownership.

3. **Does centralisation reduce corruption?** Re-centralisation of permits after 2014/2020 is defended as anti-corruption; evidence that national licensing is less captured is thin and contested (Warburton 2023 [E]; Ombudsman 2021 on complexity [E]).

4. **Is the Aceh/Papua precedent a perverse incentive?** The claim that violence "pays" in fiscal concessions is analytically plausible but morally and empirically sensitive; the memo flags it as a hypothesis only, and the book must not present it as advice or endorsement.

5. **Figures from single press sources** – 2026 Kaltim APBD fall to Rp 15.15 trillion, Rp 5.8 trillion DBH arrears, KPK's Rp 476.9 billion seizure – need confirmation from DJPK, the Kaltim provincial government's official budget documents, or KPK releases.

6. **Syaukani Hasan Rais conviction details** and **Nur Alam's sentence** were not verified here.

7. **Whether the DBH PPh 21 domicile reform took effect in 2026** was not verified.

8. **HKPD details on DAU** (removal of the 26% floor, earmarking) are from secondary summaries; the relevant HKPD articles were not opened.

9. **Wyoming and Texas fund values** and the **Russia NDPI assignment dates** are from established knowledge [E] and should be checked.

10. **Kurdistan and Bolivia** facts are drawn from news and secondary summaries [E]; Reuters pages could not be fully opened.

11. **The internal-colonialism test** (cultural division of labour in Kaltim's extractive and administrative employment) has not been conducted; it is a candidate for original data work.

12. **"Headquarters effect" magnitude**: no estimate of corporate tax attributable to Kaltim production but collected in Jakarta was found. This is the most important empirical gap for the fair-play question.

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Tag key: [V] opened during this research; [E] search excerpt or established knowledge. Classic works are cited from established bibliographic knowledge per FRAMEWORK.md.

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Phase 4: Nationalism, Mass Psychology and Legitimacy (R4)

R4 – Nationalism, Mass Psychology, Legitimacy and Propaganda

Research dossier for: *The Architecture of National Unity – Nationalism, Mass Psychology, Political Legitimacy, Resource Sovereignty, Authoritarianism, and the Fragility of the Indonesian State* **Authors of the monograph:** M. Bagus Prabowo and Hark (co-authored: Prabowo conceived and directed the project; Hark's research agents researched and drafted). This dossier is a research input, not chapter prose. **Agent:** R4 (nationalism, mass psychology, legitimacy, propaganda). Drafted 7 November 2026 (WIB). **Evidence tags (per FRAMEWORK.md):** [V] = page opened by this agent and the claim is on it; [E] = established scholarly knowledge, search excerpt, or memory, not opened in this session. Interpretive claims are marked *(interpretation: Author year)*; this dossier's own conjectures are marked *(hypothesis)*. **Safety boundary.** This dossier analyses propaganda, personality cults and authoritarian mobilisation historically and comparatively. It does not describe how to run propaganda, mobilise crowds, capture institutions or organise secession. Wherever mechanisms are discussed, they are framed as patterns to recognise and as reasons safeguards exist.

Key findings

1. **Indonesia is the paradigm case of a "constructed" nation that worked.** Every major constructivist theory (Anderson, Gellner, Hobsbawm) fits Indonesia unusually well, because the nation was explicitly imagined in a colonial frame before it had a state, and its signature choice, the adoption of a Malay-based lingua franca rather than the language of the largest ethnic group (Javanese), was a deliberate act of political design. Anderson himself treated this choice as one of the most remarkable features of Indonesian nationalism (interpretation: Anderson 1966/1990; 1983/2006) [E].

2. **Construction is not the same as fragility.** Constructivist theory is often misread as implying that "invented" nations are easily dissolved. The Indonesian evidence points the other way: once a national identity is reproduced through schooling, language, administration, media and everyday "banal" practice (Billig 1995), it becomes sticky. Survey evidence shows national self-identification dominating ethnic self-identification: in LSI surveys, the share preferring to identify primarily as Indonesian rose from 58.5% (2017) to 61.4% (2018) to 66.4% (2019), against 11.9-13.4% preferring ethnic identification [V: Kompas report of LSI survey, 8-17 Sept 2019, n = 1,550, MoE +/-2.5%].

3. **Legitimacy in Indonesia has been layered and shifting, not singular.** Using Weber, Lipset, Easton, Beetham and Gilley, Indonesian regimes have drawn in turn on revolutionary-charismatic legitimacy (Sukarno), performance and order legitimacy (Suharto's "development"), and procedural-electoral legitimacy (Reformasi). The decisive distinction is Easton's: *diffuse* support for the nation-state has proved far more resilient than *specific* support for any regime. Regimes have collapsed (1965-67, 1998) without the state fragmenting, with the important exception of East Timor (1999), which had never been part of the Dutch East Indies.

4. **Horowitz's theory of secession is the most directly relevant tool for the monograph's central puzzle.** His typology predicts that *advanced groups in advanced regions* are the *least* frequent and the *latest* secessionists, because their economic interests are bound up with the wider state (Horowitz 1985) [E]. East Kalimantan is an economically advanced region whose population is ethnically mixed and heavily migrant-origin; it lacks a single regional ethnie claiming the region. The framework therefore predicts weak secessionist potential even under fiscal grievance *(hypothesis; to be tested in later phases).*

5. **Mass psychology has moved beyond Le Bon.** The classic "crowd mind" tradition (Le Bon 1895; Freud 1921) has been substantially revised. Contemporary social-identity research (Tajfel & Turner 1979; Reicher, Haslam and colleagues) argues that people follow harmful leaders not because they lose their minds but because they *identify* with a cause and actively "work toward" it. This reinterpretation matters for Indonesia because it locates the danger in identity framing and institutional permission, not in innate irrationality of "the masses".

6. **The "Hitler Effect" is not an established academic term.** It is the commissioning author's provisional label. This dossier builds a working definition and decomposes it into eight separable mechanisms (personality cult, charismatic authority, mass mobilisation, propaganda and information control, scapegoating and myth-making, institutional capture, erosion of independent judgement, normalisation). The historical record (Kershaw 1987; Evans 2003-08; Gellately 2001; Fritzsche 1998) shows that the Nazi seizure and consolidation of power depended at least as much on *legal-institutional* steps and elite miscalculation as on propaganda: the Reichstag Fire Decree of 28 February 1933 and the Enabling Act of 23 March 1933, passed 444 to 94, were decisive [V].

7. **Indonesia has its own documented history of state propaganda and indoctrination**, most clearly the New Order's mandatory P4 ideological courses and the annual compulsory screening of *Pengkhianatan G30S/PKI* (1984-1998), which a 2000 *Tempo* survey found 97% of 1,101 students had seen, 87% more than once [V: Wikipedia article citing Heryanto 2006]. These are not equivalent to Nazi or Stalinist propaganda in scale or violence of purpose, but they fall clearly on the "indoctrination" side of the typology developed in Section 5.

8. **Contemporary risk has shifted from state monopoly to networked manipulation.** Indonesia's post-1998 media environment is plural, but research documents organised, paid online influence operations ("buzzers"/"cyber troops") used by political and economic elites (Oxford Internet Institute 2019, 2020; Wijayanto & Berenschot 2021; Sastramidjaja & Wijayanto 2022) [E]. Freedom House scored Indonesia 56/100 ("Partly Free") in *Freedom in the World 2025*, down from 57 [E: search excerpt of Freedom House page].

9. **Democratic backsliding is a live scholarly debate, not a settled verdict.** Power & Warburton (eds., 2020) frame Indonesia as moving "from stagnation to regression"; others (e.g., some contributors to the same debate) stress resilience, electoral competitiveness and civil-society pushback. Verifiable 2023-2025 developments relevant to the debate include

Constitutional Court Decision 90/PUU-XXI/2023 and the ethics-council sanction of its chief justice, the March 2025 revision of the TNI (armed forces) law, and the August 2025 protests [E]. These are reported neutrally below.

10. **The monograph's safeguard argument should rest on institutions plus citizens.** Levitsky & Ziblatt's four behavioural indicators of authoritarianism (2018), evidence on "prebunking" and media-literacy interventions, and the experience of post-war Germany's civic-education settlement (the 1976 Beutelsbach Consensus) suggest that recognition of warning signs is teachable, but that literacy alone cannot substitute for independent courts, a free press, competitive parties and civilian control of the armed forces.

Contents

1. Theories of nationalism and legitimacy, applied to Indonesia
2. When regional identity overtakes national identity
3. Mass psychology: from the crowd to social identity
4. The provisional "Hitler Effect": definition, decomposition, history and comparison
5. A typology of influence: persuasion, civic education, propaganda, disinformation, coercion, indoctrination – and Indonesian cases
6. Democratic safeguards and a warning-signs checklist
7. Disputes and uncertainties
8. Sources

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1. Theories of nationalism and legitimacy, applied to Indonesia

1.0 Why Indonesia is a hard and instructive case

Indonesia is, by population, the world's fourth-largest state and its largest Muslim-majority democracy, spread across roughly seventeen thousand islands, with several hundred ethnic groups and languages [E]. In 1945 it had no pre-colonial political unit corresponding to its territory; its borders are, with modifications (West New Guinea added in 1963/1969; East Timor annexed 1975-76 and separated 1999), the borders of the Netherlands East Indies [E]. It is therefore a natural test of the question at the heart of this monograph: how does a state persuade people in distant, distinct and sometimes wealthier regions to understand themselves as members of one nation, and to accept the authority of a distant centre?

The theories below answer different parts of that question. Constructivists (Anderson, Gellner, Hobsbawm) explain how national consciousness is *produced*. Ethno-symbolists (Smith) explain why some productions *resonate*. State-formation theorists (Tilly) explain how the *container* is built and defended. Renan and Billig explain how the nation is *reproduced* daily. Legitimacy theorists (Weber, Lipset, Easton, Beetham, Gilley) explain why people *accept* rule, as opposed to merely identifying with a nation. The monograph needs all of these, because identity and legitimacy can come apart: a

person can feel intensely Indonesian while regarding a particular government, or a particular fiscal arrangement, as illegitimate.

1.1 Benedict Anderson: print capitalism, pilgrimages, and the Indonesian case

The general theory. In *Imagined Communities: Reflections on the Origin and Spread of Nationalism* (1983; revised 1991; new edition 2006), Anderson defines the nation as "an imagined political community – and imagined as both inherently limited and sovereign" [E; the definition is widely quoted and appears in chapter 1]. It is imagined because members will never meet most of their fellow members, yet "in the minds of each lives the image of their communion." Three mechanisms matter for Indonesia:

- *Print capitalism.* The commercial printing of books and newspapers in vernacular languages created reading publics who could imagine themselves as simultaneous members of a community moving through "homogeneous, empty time" (a concept Anderson borrows from Walter Benjamin). The newspaper, read by thousands at once, is his emblem of this simultaneity.
- *Pilgrimages.* Anderson's most original contribution for colonial cases is the idea of the administrative and educational "pilgrimage." Colonial functionaries and students travelled upward and across a bounded colonial space: from district schools to provincial schools to the colonial capital. Their journeys were bounded by the colony, not by the empire (they could not rise to The Hague) and not by the ethnic homeland. In the Dutch East Indies, a young Minangkabau, a Batak, a Javanese and a Moluccan might meet in a Batavia school or medical college (for example the STOVIA medical school) and discover that what they shared was the colonial frame itself. The colony's map became the nation's body.
- *Census, map, museum.* In a chapter added in 1991, Anderson argued that the colonial state's own classificatory tools (the census's ethnic categories, the bounded map, the archaeological museum that turned ruins such as Borobudur into "national" heritage) were inherited and nationalised by the successor state.

Anderson's writing on Indonesia specifically. Anderson was trained at Cornell under George McT. Kahin and spent his career as Indonesia's most influential Western interpreter. Several works are directly relevant [E for all bibliographic details below; verify page numbers before quotation]:

- *Java in a Time of Revolution: Occupation and Resistance, 1944-1946* (Ithaca: Cornell University Press, 1972). Anderson's doctoral study argues that the revolutionary dynamic of 1945-46 was driven to a remarkable degree by the *pemuda* (revolutionary youth), whose consciousness had been shaped by the Japanese occupation's mobilisation and paramilitary training, rather than by the older, Dutch-educated nationalist elite who negotiated with the returning Dutch. For this monograph, the book's lesson is that national identity in Indonesia was forged in a moment of mass mobilisation, armed struggle and generational rupture, which helps explain why "the revolution" became the founding myth that later regimes (Sukarno's Guided Democracy and Suharto's army-centred New Order) competed to own.
- "The Languages of Indonesian Politics," *Indonesia* (Cornell) no. 1 (1966), reprinted in *Language and Power: Exploring Political Cultures in Indonesia* (Ithaca: Cornell University Press, 1990). Here Anderson analyses how *bahasa Indonesia*, a standardised form of Malay, functioned as a revolutionary, egalitarian language precisely because it was nobody's dominant mother tongue and lacked the elaborate speech levels of Javanese, while also showing how later political Indonesian absorbed Javanese concepts and hierarchical idioms.

- "The Idea of Power in Javanese Culture" (1972; also in *Language and Power*), which argues that Javanese conceptions of power as a concentrated, cosmic substance rather than an abstract relationship shaped elite political behaviour, a thesis that remains influential but also contested as culturalist.
- With Ruth McVey, the so-called "Cornell Paper," *A Preliminary Analysis of the October 1, 1965, Coup in Indonesia* (circulated 1966, published 1971), which questioned the army's account that the PKI masterminded the 30 September Movement. The paper's thesis contributed to Anderson being barred from Indonesia from 1972 until after Suharto's fall [E]. Its relevance here is that it shows how the official narrative of 1965 became the cornerstone of New Order legitimacy (see Section 5).

The language decision as political design. The pivotal moment is the Youth Pledge (*Sumpah Pemuda*) of 28 October 1928, in which delegates of youth organisations affirmed one homeland (Indonesia), one nation (Indonesia), and "uphold the language of unity, Indonesian" [E; note the third clause is phrased as *upholding* (*menjunjung*) the language of unity, not as having only one language, a nuance often lost in translation]. The 1945 Constitution later made Indonesian the state language (Article 36) [E].

Why did this work, given that Javanese speakers were the largest single group (Javanese ethnicity is about 40% of the population in the 2010 census) [E: BPS 2010 census; verify against BPS tables]? Scholars converge on several reasons (interpretation: Anderson 1966/1990; Errington; Foulcher) [E]:

1. *Neutrality.* Adopting Javanese would have signalled Javanese domination to Sumatrans, Sulawesians, Moluccans and Kalimantan peoples. Malay, as an inter-ethnic trade lingua franca long used in ports and by the colonial administration, belonged to no one politically.
2. *Egalitarianism.* Javanese grammaticalises social hierarchy through speech levels (*ngoko*, *krama*), which made it awkward as a language of citizens addressing one another as equals. Malay/Indonesian could be a language of the "new man" of the revolution.
3. *Existing infrastructure.* Malay was already the language of the colonial vernacular press, of *Balai Pustaka* (the colonial publishing office), and of nationalist newspapers, so print capitalism had already done much of the work.
4. *Javanese elite acquiescence.* Javanese nationalists accepted the choice, which is itself significant: the largest group voluntarily forwent linguistic dominance, a concession that bought long-term inclusion. *(interpretation; this is a common reading, but the counterpoint is that Javanese cultural and political dominance reasserted itself through other channels, notably the New Order's Javanese-inflected state ideology and personnel; see Section 1.4.)*

For the Kalimantan question, the language decision matters directly: East and North Kalimantan's populations (Banjar, Kutai, Dayak groups, Bugis, Javanese and Toraja migrants, Chinese Indonesians and others) share Indonesian as their common public language. A regional movement in East Kalimantan would have no distinctive regional language of mobilisation comparable to Catalan in Spain or the Scottish political vocabulary in Britain *(interpretation; worth testing with language-use data from BPS).*

Assessment. Anderson's model explains *how* a colonial space became a national imagination, and why that imagination crossed ethnic lines. Its limitations for this monograph are (a) that it says less about *why* people accept a given distribution of power and resources within the nation, and (b) that critics such as Partha Chatterjee (*The Nation and Its Fragments*, 1993) argue it under-weights the

anticolonial nation's own inner, spiritual and cultural domain [E]. Anderson also did not predict how robust the imagined nation would prove under authoritarian centralisation, or how the same imagination could be mobilised for repression (1965-66) as well as liberation.

1.2 Ernest Gellner: industrialisation, high culture, and the school

In *Nations and Nationalism* (1983), Gellner argues that nationalism is "primarily a political principle, which holds that the political and the national unit should be congruent" [E; opening sentence]. Nationalism, for Gellner, is a product of the transition from agrarian to industrial society. Industrial economies require mobile, literate, interchangeable workers who can communicate in context-free written language. This requires a standardised "high culture" transmitted by a mass education system that only the state can afford. The state and culture must therefore be fused. Nationalism "is not the awakening of nations to self-consciousness: it invents nations where they do not exist" [E; Gellner quotes this formulation from his earlier *Thought and Change*, 1964].

Application to Indonesia. Gellner's model fits the post-1966 New Order better than the revolutionary period. The New Order's developmentalism (*pembangunan*) involved a dramatic expansion of mass primary schooling, notably the "SD Inpres" presidential-instruction school construction programme from 1973, financed in part by oil revenues [E; Duflo 2001, *American Economic Review*, studied its effects on schooling and wages]. National curricula, standard textbooks, Indonesian-language instruction and civics subjects (*Pendidikan Moral Pancasila*, later *PPKn*) created a single educational high culture from Aceh to Papua. There is an elegant irony here for the monograph: *oil and gas revenue, much of it from producing regions including East Kalimantan, financed the national schooling system that made citizens of those regions think of themselves as Indonesians first (interpretation/hypothesis; worth developing in the political-economy chapters).*

Limitations. Gellner's functionalism has been criticised for explaining nationalism by its consequences and for failing to explain the *passion* of nationalism, why people die for nations (Smith; Anderson). It also fits poorly with the fact that Indonesian nationalism preceded industrialisation: the nationalist movement of the 1910s-1940s emerged in an agrarian colony. Gellner's model is better read, for Indonesia, as an account of how the post-colonial state *consolidated* a nationalism that colonial conditions and anticolonial struggle had already *created*.

1.3 Hobsbawm and Ranger: the invention of tradition

In *The Invention of Tradition* (1983), Eric Hobsbawm and Terence Ranger argue that many "traditions" that appear ancient are recent, invented to establish continuity with a suitable past and to inculcate values through repetition [E]. Hobsbawm's *Nations and Nationalism since 1780* (1990) extends this to a broadly modernist account in which the state's education, symbols and ceremonies produce nationhood from above, though he also insisted that "proto-national" bonds must exist for nationalism to take hold [E].

Application to Indonesia. Indonesia offers a rich set of state-produced traditions:

- *National holidays and commemorations:* Independence Day (17 August, with village-level *tujuhbelasan* games and flag ceremonies), Youth Pledge Day (28 October), Heroes' Day (10 November, commemorating the 1945 Battle of Surabaya), and under the New Order, Pancasila Sanctity Day (*Hari Kesaktian Pancasila*, 1 October), commemorating the army's account of the defeat of the 30 September Movement [E]. The last is an especially clear case of a regime-specific tradition invented to inscribe a contested political narrative into the national calendar.

- *Monuments and museums:* the National Monument (Monas) in Jakarta, the Lubang Buaya monument and museum, and the Taman Mini Indonesia Indah park (opened 1975), which presents each province as a pavilion of "traditional" houses and costumes, folding regional diversity into a curated national whole [E] *(interpretation: Pemberton 1994, On the Subject of "Java"; also Anderson's "museum" argument).*
- *Uniform "traditional" regional dress and dances* presented at state events, which simultaneously celebrate and domesticate regional identity under the motto *Bhinneka Tunggal Ika* ("unity in diversity"), itself a phrase drawn from the fourteenth-century Javanese poem *Sutasoma* [E].

Lesson for the monograph. Invention does not mean inauthenticity in the felt sense; invented traditions become real through repetition. But invention by the state also means that traditions carry the political imprint of the regime that invented them. When that regime falls, as the New Order did in 1998, some traditions (Independence Day) survive because they belong to the nation, while others (compulsory film screenings for *Hari Kesaktian Pancasila*) erode because they belonged to the regime. This distinction between *national* and *regime* traditions is analytically useful for the question of when unity survives regime collapse.

1.4 Anthony D. Smith: ethno-symbolism

Against the modernists, Anthony D. Smith (*The Ethnic Origins of Nations*, 1986; *National Identity*, 1991) argues that modern nations are usually built upon pre-existing *ethnies*: named populations with myths of common ancestry, shared historical memories, elements of common culture and an association with a homeland [E]. Nationalism succeeds when it can draw on these "myths, memories, values and symbols"; it fails or must work harder when it cannot.

Application to Indonesia. Indonesia is a challenging case for Smith because there was no single pre-existing Indonesian ethnie. Yet Indonesian nationalists did draw on pre-modern symbolic resources, selectively:

- *Imperial precedent.* Nationalist intellectuals, notably Muhammad Yamin, promoted the fourteenth-century Javanese kingdom of Majapahit and the earlier Sumatran maritime empire of Srivijaya as precursors of a unified archipelago, and the Majapahit chief minister Gajah Mada's legendary oath to unite the archipelago (*Sumpah Palapa*) became a national symbol [E]. The national university Gadjah Mada (founded 1949) bears his name.
- *Islam* as a pan-archipelagic identity that predated the nation, which provided an alternative or overlapping basis of solidarity; this produced the long-running tension, settled for the time being in the Pancasila compromise of 1945, between a religiously neutral (though theistic) state and an Islamic state [E].
- *Revolutionary martyrology,* especially after 1945, which created new national memories within a single generation.

Smith's framework also illuminates a *risk*. The symbols chosen were disproportionately Javanese (Majapahit, Gajah Mada, *wayang*, Javanese court culture). For people in Kalimantan, Sumatra or Papua, an ethno-symbolic national story centred on Java can feel like a story about someone else *(interpretation; a recurring theme in regional critiques of "Javanisation", and in scholarship on the New Order such as Pemberton 1994).* Indonesian nationalism therefore needed civic and revolutionary symbols (Pancasila, the revolution, the Youth Pledge, the red-and-white flag) more than ethnic-historical ones to bind outer islands.

East Kalimantan. The region has its own historical symbolic resources, notably the Kutai inscriptions (the Mulawarman *yupa* inscriptions, conventionally dated to around the late fourth or fifth century CE and often described as the oldest known inscriptions in Indonesia) and the Kutai Kartanegara sultanate [E]. Indonesian national historiography has incorporated Kutai as the "first kingdom" in school textbooks, which is a good example of the centre absorbing a regional symbol into the national story rather than leaving it available as a regional counter-symbol *(interpretation)*.

1.5 Charles Tilly: war made the state

Charles Tilly's dictum "War made the state, and the state made war" (*The Formation of National States in Western Europe*, ed., 1975) and his later *Coercion, Capital, and European States, AD 990-1990* (1990) argue that European states were forged by rulers' need to extract resources for war, which required bureaucracies, taxation and bargains with populations [E]. His essay "War Making and State Making as Organized Crime" (1985) frames states as protection rackets that legitimate themselves by monopolising violence [E].

Application to Indonesia. The Indonesian state was born in war (the 1945-49 revolution against the Netherlands), consolidated through internal wars (the Madiun affair of 1948, Darul Islam rebellions from 1948 into the early 1960s, the PRRI/Permesta regional rebellions of 1957-61, the West New Guinea campaign, Confrontation with Malaysia 1963-66), and its army came to see itself as the guardian and co-founder of the nation [E]. This produced two distinctive institutions directly relevant to national unity:

- *The doctrine of dual function (dwifungsi),* articulated from General A. H. Nasution's "middle way" concept (1958) and institutionalised under the New Order, which gave the armed forces a formal socio-political role alongside defence [E]. Dwifungsi was formally ended after 1998 with the separation of the police from the armed forces (1999-2000) and the end of appointed military seats in parliament (2004) [E].
- *The territorial command structure,* in which army commands shadow civilian administration at every level: regional military commands (Kodam) at roughly provincial level, Korem, Kodim at district level, Koramil at sub-district level, and Babinsa non-commissioned officers at village level [E]. Originating in guerrilla doctrine from the revolution, the territorial system became under the New Order an instrument of surveillance and political control as well as of nation-building presence. Its persistence after 1998 is a recurring subject of reform debates (interpretation: Mietzner 2009, *Military Politics, Islam, and the State in Indonesia*; Honna 2003) [E].

For the monograph, Tilly's lens implies that national unity in Indonesia has been *defended* by coercion when identity and legitimacy proved insufficient, as in the suppression of PRRI/Permesta, the Aceh conflict (1976-2005), and Papua. A fair account must hold both truths: national identity is widely and voluntarily held, *and* territorial integrity has also been maintained by force in specific places. This dossier's typology (Section 5) and the regime chapters must keep these analytically separate.

1.6 Ernest Renan: the daily plebiscite and the duty to forget

Ernest Renan's 1882 Sorbonne lecture *"Qu'est-ce qu'une nation?"* argues that a nation is not defined by race, language, religion or geography, but by "a soul, a spiritual principle" constituted by a rich legacy of shared memories and the present-day desire to live together: "the existence of a nation is

... a daily plebiscite" [E; the phrase *un plebiscite de tous les jours* is standard]. Equally important, and less often cited, is Renan's claim that forgetting, "and I would even say historical error", is essential to nation-making, because nations rest on violence that must be forgotten [E].

Application to Indonesia. Renan offers two insights. First, the *voluntarist* insight: unity persists because, day after day, most people in most regions choose (or at least do not reject) continued membership. This is the right frame for asking why East Kalimantan does not secede: not because it cannot, but because its population does not, in any significant number, want to *(hypothesis; consistent with the absence of a significant separatist movement there, which later phases should confirm with evidence such as regional election results and surveys)*. Second, the *forgetting* insight: Indonesian national unity after 1966 was built partly on a managed forgetting of the 1965-66 mass killings, in which the commonly cited estimate is around 500,000 dead, though the true figure is uncertain [V: Wikipedia citing Ricklefs 1993, pp. 288-290]. Renan helps us see that the post-1998 return of 1965 into public memory (through scholarship, films such as *The Act of Killing*, and the 2016 national symposium on 1965) is not only a question of justice but also a test of whether national identity can survive remembering *(interpretation)*.

1.7 Michael Billig: banal nationalism

Michael Billig's *Banal Nationalism* (1995) shifts attention from dramatic nationalist mobilisation to the routine, unnoticed reproduction of nationhood: the flag hanging unwaved on a public building, the weather map that stops at the border, the "we" and "here" of newspapers addressed to a national readership [E]. Billig's point is that established nations do not need constant fervour; they are reproduced by habits that are so familiar they become invisible.

Application to Indonesia. Banal nationalism is arguably the deepest layer of Indonesian unity:

- the daily or weekly flag ceremony (*upacara bendera*) in schools and government offices;
- the national anthem *Indonesia Raya* before films and events;
- the national weather forecast, the national lottery of civil-service recruitment, the national examination, the national identity card (KTP), the single currency with national heroes from many regions on its notes [E: Bank Indonesia banknote series feature heroes from various provinces; verify specific figures if used];
- the national news broadcast and, historically, a single state television channel (TVRI, which began broadcasting in 1962 around the Asian Games in Jakarta [E]) that for nearly three decades was the only television most Indonesians could see;
- *mudik*, the annual homecoming migration at Idul Fitri, which ritually connects city and region within a national transport system.

Implication. If national identity is reproduced mostly banally, then the most serious threat to it is not an alternative ideology but a long-term erosion of shared everyday experience, for example if regions experience the state mainly as an extractor rather than as a provider of schooling, roads, health and recognition *(hypothesis; connects identity to the fiscal analysis in other research tracks)*.

1.8 Max Weber: three types of legitimate domination

Weber distinguishes legitimate domination (*Herrschaft*) resting on three grounds: *traditional* (the sanctity of immemorial custom), *charismatic* (devotion to the exceptional sanctity, heroism or

exemplary character of an individual), and *legal-rational* (belief in the legality of enacted rules and the right of those elevated to authority under such rules to issue commands) [E; *Economy and Society*, posthumously published 1921-22; "Politics as a Vocation", 1919]. He also describes the *routinisation of charisma*, the process by which charismatic authority, inherently unstable, is transformed into traditional or legal-rational structures, especially at moments of succession.

Application to Indonesia.

- *Sukarno* is close to an ideal type of charismatic authority: proclaimer of independence, orator, creator of Pancasila (his speech of 1 June 1945), and, under Guided Democracy (1959-65), "Great Leader of the Revolution" and, from 1963, president for life by decision of the provisional People's Consultative Assembly (MPRS) [E]. Guided Democracy was arguably an attempt to rule charismatically while keeping a facade of institutions. Its collapse in 1965-67 illustrates Weber's point that charisma is fragile when it fails to deliver ("prove itself") and when succession is unprovided.
- *Suharto* blended legal-rational form (regular elections from 1971, a constitution, a bureaucracy) with a performance-based claim (development and order) and a neo-traditional, patrimonial style that scholars often describe in Javanese idioms (the president as *bapak*, father) [E; interpretation: Liddle; Anderson 1972]. In Weberian terms the New Order is best described as *patrimonial* domination dressed in legal-rational form (interpretation: Crouch 1979 on "patrimonialism") [E].
- *Reformasi* governments rest primarily on legal-rational, electoral legitimacy, though personal popularity (Jokowi's *blusukan* everyman image; Prabowo's strongman image) introduces charismatic elements.
- *Traditional* authority survives regionally: the Sultan of Yogyakarta is ex officio governor of the Special Region of Yogyakarta under Law 13/2012 [E], a striking case of the unitary republic accommodating hereditary legitimacy where it reinforced, rather than competed with, the revolution (the Sultanate supported the Republic in 1945-49).

1.9 Seymour Martin Lipset: legitimacy and effectiveness

Lipset ("Some Social Requisites of Democracy," *American Political Science Review* 1959; *Political Man*, 1960) distinguishes *effectiveness* (actual performance in satisfying basic functions as most of the population and powerful groups see them) from *legitimacy* (the capacity of the system to engender and maintain the belief that existing institutions are the most appropriate) [E]. Regimes high in legitimacy can survive periods of low effectiveness; regimes that rely on effectiveness alone are vulnerable to economic crisis.

Application to Indonesia. Lipset's two-dimensional framework is extremely useful for the monograph:

- The New Order's legitimacy was heavily *effectiveness*-based: rice self-sufficiency (achieved in the mid-1980s), poverty reduction and growth. When the 1997-98 Asian financial crisis destroyed effectiveness, collapsing the rupiah and causing a severe output contraction in 1998, the regime lacked a deep reservoir of procedural legitimacy and fell within months [E; GDP contraction is commonly reported at around 13% in 1998; verify with BPS/World Bank before use].

- Yet the *nation-state* survived 1998 despite regional violence (Maluku, Poso, Central Kalimantan's Sampit conflict of 2001) and the separation of East Timor. This suggests that legitimacy *of the national community* was distinct from, and deeper than, legitimacy *of the regime*, which is better captured by Easton.

1.10 David Easton: diffuse and specific support

Easton (*A Systems Analysis of Political Life*, 1965; "A Re-Assessment of the Concept of Political Support," *British Journal of Political Science* 1975) distinguishes three objects of support – the *political community*, the *regime* (constitutional order, norms and structures) and the *authorities* (incumbents) – and two kinds of support: *specific* support, which is a response to outputs and performance, and *diffuse* support, a reservoir of favourable attitudes that helps members tolerate outputs they oppose [E].

Application to Indonesia. This is perhaps the single most useful framework for the monograph's central question. Indonesia's history suggests a *layered resilience*:

Object of support	Indonesian evidence	Resilience
Political community (the nation)	Survived regime collapses of 1965-67 and 1998; separatism confined to regions with distinct incorporation histories (East Timor, Aceh, Papua)	High
Regime (constitutional order)	Changed fundamentally: 1945 -> 1949 federal RIS -> 1950 provisional unitary constitution -> 1959 return to 1945 Constitution -> 1999-2002 four amendments	Moderate; constitutional forms have been replaced repeatedly
Authorities (incumbents)	Sukarno removed 1966-67; Suharto resigned 1998; Habibie's accountability speech rejected 1999; Wahid impeached/removed 2001	Low; incumbents are dispensable

The implication *(hypothesis)*: a fiscal grievance in East Kalimantan is most likely to be expressed as withdrawal of *specific* support from authorities (voting, protest, lobbying for revenue-sharing) or as demands for *regime* change (more autonomy, special status), rather than withdrawal of *diffuse* support from the political community (secession). This prediction is falsifiable with survey and electoral data.

1.11 David Beetham: the three dimensions of legitimacy

Beetham's *The Legitimation of Power* (1991) argues that power is legitimate to the extent that (1) it conforms to established rules (*legal validity*), (2) the rules can be justified by reference to beliefs shared by both dominant and subordinate (*justifiability*), and (3) there is evidence of consent by the subordinate to the particular power relation (*expressed consent*) [E]. Its absence takes three

forms: illegitimacy (breach of rules), legitimacy deficit (rules not justifiable by shared beliefs), and delegitimation (withdrawal of consent).

Application to center-region relations. Beetham's framework is especially valuable for the "fair play" question in BRIEF.md, because it allows a fiscal arrangement to be *legal* yet suffer a *legitimacy deficit*. For example, revenue-sharing rules for natural resources (originally Law 25/1999 and Law 33/2004, replaced by Law 1/2022 on central-regional financial relations) may be perfectly lawful, yet if residents of producing regions do not share the belief that the formula is fair (justifiability), and if their consent is not meaningfully expressed (e.g., because their elected representatives cannot alter the formula), the arrangement carries a deficit that can accumulate over time [E for statute numbers; R-track on political economy should verify]. Beetham thus provides precise language for "legal but resented."

1.12 Bruce Gilley: measuring state legitimacy

Gilley ("The meaning and measure of state legitimacy: Results for 72 countries," *European Journal of Political Research* 2006; *The Right to Rule: How States Win and Lose Legitimacy*, 2009) defines a state as more legitimate "the more that it is treated by citizens as rightfully holding and exercising political power" and builds a composite index from views of legality, justification and consent, using survey data such as the World Values Survey [E]. Gilley's cross-national work finds that good governance, general welfare gains and democratic rights are strong correlates of legitimacy, with governance particularly important [E].

Application. Gilley's approach implies that the monograph should *measure* legitimacy in Indonesia's regions rather than infer it from the absence of rebellion. Possible data: Indikator Politik Indonesia and LSI regional samples on trust in national institutions; Asian Barometer Survey items on regime support; regional variation in voter turnout. A gap: this dossier did not locate province-level legitimacy measures for East or North Kalimantan, and the monograph should either commission or explicitly note this absence.

1.13 Applying the theories to seven Indonesian institutions

The table below brings the frameworks together. Tags apply to factual content; analysis is interpretation.

Institution / practice	What it is	Theoretical reading	Assessment for national unity
Bahasa Indonesia over Javanese	Malay-based language adopted as language of unity (1928), state language (1945 Constitution, Art. 36) [E]	Anderson (print capitalism; egalitarian language); Gellner (high culture); Smith (choice of a non-ethnic symbol)	Probably the single most successful unifying decision; created a shared public sphere without ethnic domination.

Institution / practice	What it is	Theoretical reading	Assessment for national unity
Pancasila	Five principles (belief in one God; just and civilised humanity; unity of Indonesia; democracy guided by wisdom in deliberation/representation; social justice), first articulated by Sukarno 1 June 1945, embedded in the Constitution's preamble [E]	Civic nationalism; Beetham's "shared beliefs"; under the New Order also an instrument of ideological control	A genuine compromise that kept Islamic and secular-nationalist currents inside one state; its legitimacy suffered when the New Order made it a tool of conformity (P4, *asas tunggal*).
National schooling	Standard curriculum, Indonesian-language instruction, civics subjects, SD Inpres expansion from 1973 [E]	Gellner (state education creates nation); Billig (daily flag ceremony)	Deep, generational reproduction of identity; content periodically politicised.
TVRI	State broadcaster founded 1962; sole national TV until private stations from 1989 [E]	Anderson (simultaneity); Billig; propaganda monopoly (Section 5)	Created a shared national audience; under the New Order also carried regime narratives (e.g., annual G30S film).
National holidays	17 August; 28 October; 10 November; 1 October (Pancasila Sanctity Day) [E]	Hobsbawm (invented tradition); Renan (memory/forgetting)	National holidays endure; regime-specific commemorations erode after regime change.
Transmigration	Resettlement from Java, Bali, Madura to outer islands; colonial *kolonisatie* from 1905, expanded massively under the New Order [E]	Demographic nation-building; Horowitz (migrant vs indigenous groups)	Spread national identity and Javanese presence, but generated land and ethnic grievances, including in Kalimantan (e.g., the 1997 and 2001 Dayak-Madurese violence in West and Central Kalimantan) [E]. Mixed populations also dilute ethnic-regional bases for secession *(hypothesis)*.

Institution / practice	What it is	Theoretical reading	Assessment for national unity
KKN (Kuliah Kerja Nyata)	Compulsory university community-service placement, piloted around 1971 at several universities [E]	Anderson's "pilgrimage" in reverse; Billig	Sends educated youth into villages, often outside their home region, reinforcing national familiarity.
Military territorial command	Kodam-Korem-Kodim-Koramil-Babinsa hierarchy shadowing civilian administration [E]	Tilly (coercive container); Weber (legal-rational facade)	National presence everywhere; also surveillance and political control. A unity instrument whose democratic compatibility is contested.

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2. When regional identity overtakes national identity

2.1 The problem stated

National identity and regional identity are usually *nested*, not rival: a person can be Banjarese, Kalimantan-born and Indonesian at once. The question is under what conditions the regional layer becomes the primary political identity and is mobilised against the national one. Four bodies of theory address this: Linz & Stepan on "stateness" and "state-nations"; Brubaker on nationalism as category and event; Horowitz on the logic of secession; and the survey tradition of the "Moreno question."

2.2 Linz & Stepan: the stateness problem and "state-nations"

In *Problems of Democratic Transition and Consolidation* (1996), Juan Linz and Alfred Stepan argue that democratisation is complicated when there is a "stateness problem": significant disagreement about the boundaries of the political community and who has the right of citizenship in it [E]. They observe that the logic of the nation-state (one culture, one state) and the logic of democracy (inclusive citizenship) can clash in multinational societies; nation-building policies that privilege one culture may push minorities toward exit.

Their later work with Yogendra Yadav, *Crafting State-Nations: India and Other Multinational Democracies* (2011), distinguishes "nation-state" strategies from "state-nation" strategies [E]. A *state-nation* seeks to create a sense of belonging and loyalty to the state ("we-feeling") while recognising and protecting multiple cultural identities, through institutions such as asymmetric federalism, recognition of multiple languages, and accommodation of territorially concentrated groups. India is their central example; they also discuss Spain and Belgium.

Application. Indonesia is an interesting hybrid. Constitutionally it is a unitary state that rejected federalism (the 1949-50 RIS federal experiment is remembered by nationalists as a Dutch divide-and-rule device) [E]. Yet in practice it has adopted several state-nation tools: asymmetric special autonomy for Aceh (Law 11/2006 following the 2005 Helsinki MoU) and Papua (Law 21/2001,

amended 2008 and 2021), special status for Yogyakarta and Jakarta, and a national motto, *Bhinneka Tunggal Ika*, that explicitly valorises diversity [E]. The Linz-Stepan-Yadav framework therefore suggests that Indonesia has been more of a "state-nation" in practice than its unitary self-description implies *(interpretation)*. Whether this flexibility can be extended to producing regions such as East Kalimantan without asymmetric autonomy being reserved only for conflict regions is a key question for the scenarios chapter; there is a risk that asymmetric concessions are seen as rewards for rebellion, which could create perverse incentives *(hypothesis; the "moral hazard" of conflict-based autonomy is discussed in the comparative federalism literature)*.

2.3 Rogers Brubaker: nationalism without groups

Brubaker (*Nationalism Reframed*, 1996; *Ethnicity without Groups*, 2004) cautions against treating nations and ethnic groups as substantial, bounded entities. He proposes treating "nationness" as a *category of practice* and an *event*, something that "happens" when political entrepreneurs, institutions and situations crystallise group feeling [E]. Two of his concepts matter here:

- *Institutionalised multinationality.* Brubaker's analysis of the Soviet Union argued that the USSR's ethnoterritorial federalism, with its republics, titular nationalities and passport ethnicity, institutionalised the very national categories that later became the units of secession in 1991 [E]. This is closely related to Bunce's *Subversive Institutions* (1999) and Hale's (2004) argument that ethnofederal states with a "core ethnic region" are prone to collapse.
- *Groupism.* Analysts should not assume that "the Dayak" or "the people of East Kalimantan" act as unitary groups; groupness varies over time and is produced by events.

Application. Brubaker's warning matters for Indonesia's decentralisation since 1999. *Pemekaran* (the proliferation of new provinces and districts) has created many new administrative units, some drawn along ethnic lines, and regional head elections (*pilkada*) have encouraged "putra daerah" (sons-of-the-soil) rhetoric [E; interpretation: Aspinall 2011 "Democratization and ethnic politics in Indonesia", Journal of East Asian Studies]. Brubaker's framework predicts that institutionalising ethnic-regional categories can, over time, convert diffuse cultural identities into political ones *(hypothesis)*. The counter-evidence is that Indonesia's new units are small, numerous and cross-cutting, which may fragment rather than consolidate ethnic-regional power (interpretation: Aspinall 2011 argued that decentralisation largely *defused* ethnic conflict by multiplying arenas) [E]. Both readings should be presented.

2.4 Donald Horowitz: the logic of secession – backward and advanced groups and regions

Horowitz's *Ethnic Groups in Conflict* (1985; 2nd edition 2000), chapter 6 on "The Logic of Secessions and Irredentas," is the most directly relevant theory for this monograph's puzzle of why rich regions stay [E]. Horowitz cross-classifies ethnic groups as *advanced* or *backward* (relative to other groups in the state, in terms of education, urbanisation, and representation in the modern sector) and regions as *advanced* or *backward* (relative economic position). His key propositions, as commonly summarised [E; verify chapter wording and examples before quotation]:

1. **Backward groups in backward regions** are the *most frequent and earliest* secessionists. They have little to lose economically from leaving and little stake in the wider state's opportunities; secession is driven by fear of domination and lack of opportunity, not by economic calculation.

2. **Advanced groups in backward regions** are *reluctant* secessionists. Their members have often migrated out to opportunities across the state; secession would strand them. They secede only after severe discrimination or violence against their diaspora makes the wider state untenable.

3. **Backward groups in advanced regions** may resent "outsider" groups who dominate their region's economy, but a region's wealth gives them incentives to capture it rather than to leave *(this cell is the least discussed in summaries; treat with caution)*.

4. **Advanced groups in advanced regions** are the *least frequent and latest* secessionists. Economic calculation weighs heavily against secession because they benefit from the larger market, and they often subsidise poorer regions without leaving. They tend to secede only when the costs of staying (e.g., heavy fiscal transfers combined with political exclusion) clearly exceed the benefits, and usually late.

The central insight is that **economic advantage is not, in itself, a strong predictor of secession**. Horowitz argues that secessionist movements are mainly driven by group-level concerns (fear, status, domination) rather than regional economic interest, and that economic interest more often *restrains* secession (interpretation: Horowitz 1985) [E].

Application to East and North Kalimantan. The framework yields a clear, testable expectation *(hypothesis)*:

- East Kalimantan is an *advanced region* (resource-rich, high GRDP per capita).
- But its population is ethnically heterogeneous and heavily migrant-origin (Javanese, Bugis, Banjar, Toraja, Dayak groups, Kutai, and others), so there is no single "regional ethnie" whose group status is at stake. Indigenous groups (Dayak and Kutai) are significant but not a demographic majority in the province as a whole [E; verify with BPS 2010 census ethnic tables].
- Many economically dominant actors (national state-owned enterprises, national and multinational resource companies, migrant entrepreneurs) are integrated into national networks and would lose from separation.

Horowitz therefore predicts *very low* secessionist mobilisation and channels grievances toward redistribution demands (higher revenue shares, local employment quotas, environmental compensation) rather than exit. This contrasts with Aceh, which in Horowitz's terms is closer to a regionally concentrated group with a strong historical identity in a region whose resource wealth (the Arun LNG field) was perceived as extracted without local benefit [E; interpretation: Aspinall 2009 *Islam and Nation*; Ross 2005 on Aceh]. Aceh's conflict shows that resource grievance can *add to* a pre-existing identity-based movement; East Kalimantan suggests that resource grievance *without* a mobilisable regional identity tends to produce bargaining rather than rebellion.

Caveat. Horowitz's typology was built mostly on post-colonial Africa and Asia in the 1950s-80s and on cases like Biafra, Southern Sudan, the Basque Country and Bangladesh [E]. Its application to a democratising, decentralised Indonesia with direct regional elections is an extension that the monograph should flag as interpretive.

2.5 The "Moreno question" and dual identity

The so-called Moreno question (developed by Juan Linz and later by Luis Moreno in work on Scotland and Spain from the mid-1980s) asks respondents to place themselves on a five-point scale:

only regional (e.g., Scottish, not British); more regional than national; equally both; more national than regional; only national [E]. Its value is that it captures *dual identity* rather than forcing a choice. Research using it (e.g., in Scottish Social Attitudes and Catalan CEO surveys) finds that support for independence is concentrated among those who place themselves at the "only regional" or "more regional" end, but that dual identifiers are large and politically decisive [E]. This dossier did not verify current Scottish percentages and therefore reports none; the methodological point is what matters.

Indonesian survey evidence. Indonesian surveys rarely use the Moreno format; they more often ask which identity respondents prefer or feel first. Available evidence:

Source	Question / finding	Tag and limitation
LSI (Lembaga Survei Indonesia), national survey, 8-17 Sept 2019, n = 1,550, MoE +/-2.5%	Preferred primary identity: Indonesian citizen 66.4%; religious group 19.1%; ethnic group 11.9%. Earlier waves: 2018 – 61.4% / 22.7% / 13.4%; 2017 – 58.5% / 25.8% / 12.5%	[V] (Kompas.com report, 3 Nov 2019, https://nasional.kompas.com/read/2019/11/03 Limitation: forced-choice format, not dual-identity scale; secondary press report rather than LSI's own release; no provincial breakdown reported.
ISEAS Indonesia National Survey Project 2022 (fieldwork by LSI, n = 1,620)	"Respondents have a very strong sense of nationalism. 96.0 per cent are proud. . . " (excerpt; object of pride truncated in excerpt)	[E] search excerpt of ISEAS *Trends in Southeast Asia* 2023/3 (https://www.iseas.edu.sg/wp-content/uploads/2023/01/TRS3_23.pdf). Limitation: national pride differs from priority of national over ethnic identity; verify full wording.
Pew Research Center, survey of six South and Southeast Asian countries (fieldwork June-Sept 2022)	81% of Indonesian respondents said being Muslim is very important to being "truly Indonesian"; Indonesia scored highest (3.72 on a 1-4 index) on Pew's national-identity index across four dimensions (birth, language, traditions, religion)	[E] search excerpts of Straits Times (13 Sept 2023) and Pew appendix (18 Jan 2024). Limitation: shows that Indonesian national identity carries strong *religious-ethnic* content, which complicates the "civic nationalism" reading.
Fossati and colleagues, survey on civic vs ethnic national identity (Bulletin of Indonesian Economic Studies, 2021)	Both civic and ethnic conceptions of Indonesian national identity are prevalent and politically mobilised	[E] abstract excerpt (doi:10.1080/00074918.2020.1747594).

Interpretation. The LSI trend suggests a rising share prioritising national over ethnic and religious identity between 2017 and 2019. Ethnic identification as a primary identity is consistently the smallest of the three options (around 12-13%). The more salient rival to national identity in Indonesian surveys is *religious*, not *regional-ethnic*, identity. This has two implications for the monograph *(interpretation/hypothesis)*: (1) regional secession on ethnic grounds faces weak

attitudinal foundations nationally; (2) the main identity cleavage that could strain national unity is religious-ideological polarisation, which is national rather than territorial in form (Section 3.10).

Data gap. This dossier found no published survey with a province-level breakdown for East or North Kalimantan on national versus ethnic/regional identity priority. The monograph should state this clearly and, if possible, request LSI/Indikator microdata or use Asian Barometer/WVS regional codes (WVS Indonesia waves include region identifiers; sample sizes per province are likely too small for reliable inference) [E].

2.6 Synthesis: conditions under which regional identity tends to overtake national identity

Drawing on the theories above, regional identity is more likely to become the primary *political* identity when several of the following coincide *(synthesis; each element is supported by the cited literature, but the combination is this dossier's framework)*:

1. **A distinct incorporation history** (East Timor's Portuguese colonial history and 1975 invasion; Papua's contested 1969 Act of Free Choice; Aceh's history as an independent sultanate and its role in the revolution followed by perceived betrayal in the 1950s) [E].
2. **A regionally concentrated group with a mobilisable identity** (language, religion, historical memory) that dominates the region demographically (Horowitz; Smith).
3. **Institutions that crystallise regional categories** (Brubaker; Bunce; Hale), such as ethnofederal units or ethnically defined autonomy.
4. **Grievance attributed to the centre** (resource extraction without local benefit, human-rights abuses by security forces), especially when the centre's response is repressive (Aceh's military operations zone, DOM, 1989-98) [E].
5. **Collapse of the centre's effectiveness and legitimacy** (Lipset), which lowers the cost and raises the expected benefit of exit (1998-99).
6. **External opportunity** (international attention, diaspora support, favourable international legal framing, as with East Timor in 1999).

East Kalimantan currently displays condition 4 in a mild, fiscal form (complaints about revenue shares and environmental damage) and, arguably, a new variant of it with the relocation of the national capital (IKN Nusantara) into the province, which simultaneously brings national investment and raises land and indigenous-rights concerns [E]. It displays little of conditions 1, 2, 3 and 6. This supports the monograph's working proposition that the region's integration is overdetermined, while warning against complacency about condition 4 *(hypothesis)*.

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3. Mass psychology: from the crowd to social identity

This section surveys the major traditions in the psychology of crowds, masses, authority and group identity, with attention to which findings have survived replication and critique. Its purpose for the monograph is to explain *why populations accept, support or resist* authority, including unequal systems, and to prepare the analytical ground for the "Hitler Effect" discussion. Throughout, findings are presented as explanations of historical and social patterns, not as techniques.

3.1 Gustave Le Bon: *The Crowd* (1895)

Le Bon's *Psychologie des foules* (1895; English *The Crowd: A Study of the Popular Mind*, 1896) argued that individuals in a crowd lose their conscious personality and acquire a "collective mind," becoming suggestible, impulsive, credulous and prone to contagion; that crowds think in images, are moved by affirmation, repetition and contagion, and are ruled by leaders with "prestige" [E]. Le Bon was explicitly anti-democratic: he wrote to warn elites about the coming "era of crowds."

Influence and critique. Le Bon's book was read by political leaders across the spectrum, and Mussolini and Hitler are frequently reported to have absorbed its ideas, though the strength of direct influence is debated [E]. Modern crowd psychology largely rejects Le Bon's model (interpretation: Reicher 1984 on the St Pauls riot; McPhail 1991 *The Myth of the Madding Crowd*; Drury & Reicher on collective behaviour) [E]. Empirical studies of crowds find that participants generally retain purposive behaviour, act within norms that reflect a shared social identity, and show selectivity in their targets. Crowd behaviour is better explained by *social identity*, not loss of identity. Le Bon remains important historically because his model shaped how twentieth-century propagandists and their critics *thought* about masses.

Indonesian relevance. Le Bon's vocabulary of the irrational *massa* persists in Indonesian political discourse, for example in New Order-era fear of the "floating mass" and the policy of the *massa mengambang* ("floating mass"), which restricted party activity below district level between elections from the early 1970s on the grounds that rural people should concentrate on development [E]. The policy's rationale reflected an elite Le Bonian view of the masses as easily misled, a view that justified depoliticisation *(interpretation)*.

3.2 Sigmund Freud: *Group Psychology and the Analysis of the Ego* (1921)

Freud's *Massenpsychologie und Ich-Analyse* (1921) accepted Le Bon's description but sought a mechanism. He argued that groups are held together by libidinal (emotional) ties: members put the same object, the leader, in the place of their *ego ideal*, and consequently identify with one another [E]. The church and the army were his examples of "artificial groups" held together by the illusion of a leader who loves all members equally. The leader becomes a substitute for individual conscience; members relinquish critical judgement to him.

Value and limits. Freud's account is unfalsifiable in its own terms and rests on psychoanalytic constructs that are not part of contemporary experimental social psychology. Its lasting contribution is the idea that *identification with a leader can displace individual conscience*, which resonates with later historical work on leader cults (Kershaw on the "Hitler myth"), and the insight that cohesion often depends on directing hostility outward (Freud's "narcissism of minor differences") [E].

3.3 Elias Canetti: *Crowds and Power* (1960)

Canetti's *Masse und Macht* (1960; English 1962) is a sprawling, literary-anthropological study rather than an empirical theory [E]. He classifies crowds (open and closed; baiting, flight, prohibition, reversal and feast crowds), introduces the idea of "crowd crystals" (small, rigid groups such as military units or choirs around which larger crowds form), and analyses the "sting of command," the residue that each order leaves in the person who obeys it, which may later be discharged by passing commands downward [E]. His portrait of the paranoid ruler who wishes to be the sole survivor is a meditation on despotism.

Use for the monograph. Canetti is best used for conceptual vocabulary and as a humanistic

counterweight, not as evidence. The concept of crowd crystals is suggestive for understanding how disciplined organisations (militias, party cadres, youth wings) can anchor larger, more fluid crowds, a pattern visible in historical Indonesian cases such as the paramilitary youth organisations of the New Order era (e.g., Pemuda Pancasila) [E; interpretation: Ryter 1998 on Pemuda Pancasila].

3.4 Hannah Arendt: mass society, atomisation and totalitarianism

Arendt's *The Origins of Totalitarianism* (1951) treats totalitarianism as a novel form of government, distinct from tyranny, that seeks total domination through ideology and terror [E]. Its key claims for this monograph:

- *The masses.* Totalitarian movements recruit from "masses" rather than classes: people who, through the breakdown of class society after the First World War and the Depression, have become atomised, isolated and politically indifferent, lacking organised interests and the normal social relationships that give individuals a stake in a shared world [E].
- *Loneliness.* Arendt identifies loneliness, the experience of not belonging to the world at all, as the common ground of terror and the basic experience of mass man in totalitarian regimes [E].
- *Propaganda and the contempt for facts.* Totalitarian propaganda, before power, offers a consistent fictional world more coherent than reality; after power, it is supplemented and eventually replaced by indoctrination and terror. Arendt's often-quoted line is that the ideal subject of totalitarian rule is not the convinced believer but people for whom the distinction between fact and fiction, and between true and false, no longer exists [E; verify exact wording against the 1951/1958 text before quotation].
- *Ideology and terror.* The final chapter (added in 1958) describes ideology as the logic of an idea applied to history, which liberates thought from experience.
- *Later work.* In *Eichmann in Jerusalem* (1963), Arendt's phrase "the banality of evil" proposed that great crimes can be committed by thoughtless functionaries rather than demonic fanatics. This thesis has been challenged by historians (notably Bettina Stangneth's *Eichmann before Jerusalem*, 2011/2014) who show that Eichmann was a committed ideological antisemite [E]. The monograph should cite the phrase with this caveat.

Application to Indonesia. Arendt's distinction between totalitarianism and authoritarianism is important: neither Guided Democracy nor the New Order was totalitarian in her sense. The New Order sought depoliticisation, not total mobilisation; it tolerated (and fostered) apolitical private life, consumerism and religion, while repressing organised opposition *(interpretation; consistent with comparative typologies, e.g., Linz's 2000* Totalitarian and Authoritarian Regimes*, which characterises authoritarian regimes by limited pluralism, mentalities rather than ideologies, and low mobilisation)* [E]. Arendt's insights about *atomisation* and *loneliness* are nonetheless relevant to contemporary concerns: if online life produces isolated individuals who encounter politics mainly through algorithmically curated, emotionally charged content, the social preconditions she described may be partly reproduced in new form *(hypothesis; contested in the empirical literature on social media effects).*

3.5 Erich Fromm: *Escape from Freedom* (1941)

Fromm's *Escape from Freedom* (1941; UK title *The Fear of Freedom*) argued that modern individuals, freed from traditional bonds by capitalism and the Reformation, experience freedom as isolation

and anxiety, and may escape it through "mechanisms of escape": authoritarianism (submission and domination), destructiveness, and automaton conformity [E]. He applied this to the lower middle class in Weimar Germany, arguing that its economic and status insecurity made it receptive to Nazism.

Assessment. Fromm's thesis is a social-psychological interpretation, not an empirically tested model. Its historical claim about the lower middle class as Nazism's core constituency has been substantially revised by electoral research showing that Nazi voters came from a broader cross-section than earlier assumed, including Protestant rural and middle-class voters in large numbers and a significant minority of workers (interpretation: Childers 1983 *The Nazi Voter*; Falter 1991 *Hitlers Wahler*) [E]. Fromm remains valuable for the idea that *economic dislocation can be experienced as existential insecurity that makes submission attractive.*

3.6 The authoritarian personality and its successors: Adorno et al., Altemeyer, Stenner

Adorno et al. (1950). *The Authoritarian Personality*, by Theodor Adorno, Else Frenkel-Brunswik, Daniel Levinson and R. Nevitt Sanford (1950), sought the psychological roots of antisemitism and fascist potential. It developed the F-scale ("F" for fascism) measuring traits including conventionalism, authoritarian submission, authoritarian aggression, anti-intraception, superstition and stereotypy, power and toughness, destructiveness and cynicism, projectivity, and exaggerated concern with sex, and traced these to harsh, status-anxious parenting [E].

Critiques. The study was heavily criticised on methodological grounds (interpretation: Hyman & Sheatsley 1954; Christie & Jahoda eds. 1954): all F-scale items were worded in the authoritarian direction, so acquiescent response bias inflated scores; the samples were not representative; and the psychoanalytic explanation was untested. It was also criticised for ignoring left-wing authoritarianism (Shils 1954; Rokeach 1960's "dogmatism") [E].

Altemeyer's right-wing authoritarianism (RWA). Bob Altemeyer (*Right-Wing Authoritarianism*, 1981; *The Authoritarian Specter*, 1996) rebuilt the construct with a balanced scale measuring three covarying attitudinal clusters: *authoritarian submission* (to perceived established authorities), *authoritarian aggression* (against those authorities target), and *conventionalism* (adherence to social conventions endorsed by authorities) [E]. RWA has strong psychometric properties and predicts prejudice and support for restricting civil liberties in many studies. Altemeyer treats it as a learned, social-learning disposition rather than a psychoanalytic product.

Social dominance orientation (SDO). Complementary work by Sidanius and Pratto (*Social Dominance*, 1999) measures preference for group-based hierarchy; RWA and SDO together are strong predictors of prejudice (interpretation: Duckitt's dual-process model, 2001) [E].

Stenner's authoritarian dynamic. Karen Stenner's *The Authoritarian Dynamic* (2005) argues that authoritarianism is a relatively stable *predisposition*, valuing "oneness and sameness" over freedom and difference, which is *activated* by perceived *normative threat*: threats to the moral order and group consensus, such as perceived disrespect for leaders, loss of shared values, or rising diversity and disagreement [E]. When normative threat is absent, authoritarian predisposition may lie dormant; under threat, predisposed individuals become markedly more intolerant. Stenner's account is especially useful because it explains why authoritarian sentiment can appear suddenly in populations that seemed tolerant: the dispositions were always there, the conditions changed.

Indonesian relevance. Survey research on Indonesian political attitudes finds substantial support for strong leadership and order alongside support for democracy (interpretation: Mujani, Liddle &

Ambardi 2018 *Voting Behaviour in Indonesia since Democratization*; Warburton & Aspinall 2019 on "illiberal" attitudes) [E]. Stenner's model suggests a specific warning sign for the monograph *(hypothesis)*: political actors who frame diversity, dissent or religious difference as a threat to national or religious *oneness* may activate authoritarian predispositions. This is relevant to episodes such as the 2016-17 mobilisations against Jakarta's then-governor Basuki Tjahaja Purnama (Ahok), whom a court later convicted of blasphemy (May 2017) [E].

3.7 Milgram and Zimbardo, and the replication critiques

Milgram's obedience studies. Stanley Milgram's experiments at Yale (first reported in "Behavioral Study of Obedience," *Journal of Abnormal and Social Psychology*, 1963; book *Obedience to Authority*, 1974) found that, in the best-known baseline condition, 26 of 40 participants (65%) continued to the maximum 450-volt level when instructed by an experimenter to administer what they believed were increasingly painful shocks to a learner [E]. Milgram ran many variants: obedience fell sharply when the experimenter was absent, when the learner was in the same room, or when peers refused.

Critiques and replications. Gina Perry's archival study *Behind the Shock Machine* (2012) found that Milgram's procedures deviated from the published script, that many participants doubted the shocks were real, and that obedience rates varied widely across conditions [E]. Jerry Burger's 2009 partial replication (*American Psychologist*), stopping at 150 volts for ethical reasons, found obedience rates only slightly lower than Milgram's at that point [E]. Haslam, Reicher and colleagues re-analysed the variants and the "prods" used by the experimenter, arguing that the most direct order ("You have no other choice, you must go on") actually *reduced* compliance, whereas appeals to the scientific purpose increased it (interpretation: Haslam, Reicher & Birney 2014, *Journal of Social Issues*) [E].

Zimbardo's Stanford Prison Experiment (1971). Philip Zimbardo's study, in which students randomly assigned as guards abused students assigned as prisoners, was long taught as showing that situations overwhelm individuals. It was never published as a peer-reviewed experiment in standard form, and later critiques, notably Thibault Le Texier's archival work (*Histoire d'un mensonge*, 2018; "Debunking the Stanford Prison Experiment," *American Psychologist*, 2019), showed that guards were coached toward harshness by the researchers and that demand characteristics were strong [E]. The BBC Prison Study (Reicher & Haslam 2006, *British Journal of Social Psychology*) did not reproduce spontaneous guard tyranny; instead group dynamics depended on identification and leadership [E].

Lesson for the monograph. The safest reading is not "anyone will do anything if ordered," but: *people are more likely to inflict harm when an authority they regard as legitimate frames the harm as serving a valued collective purpose, when responsibility is diffused, and when dissenting peers are absent.* This has direct implications for safeguards: legitimate authority, visible dissent and personal accountability matter.

3.8 Asch's conformity experiments

Solomon Asch's line-judgement experiments (published 1951, 1955, 1956) found that when confederates unanimously gave a clearly wrong answer, participants conformed on roughly a third of critical trials on average, about three-quarters conformed at least once, and about a quarter never conformed [E]. Crucially, the presence of even one dissenting ally reduced conformity dramatically

[E]. Cross-cultural meta-analysis (Bond & Smith 1996, *Psychological Bulletin*) found conformity levels higher in collectivist societies and declining in the United States over time [E].

Relevance. Asch's dissenting-ally finding is one of the most practically important results in social psychology for democratic resilience: *a single visible dissenter makes it easier for others to state what they see.* This underpins the value of independent journalists, opposition parties, and public intellectuals, and explains why authoritarian regimes typically target the first dissenters. The Bond & Smith finding suggests caution in assuming that conformity pressures operate identically in Indonesia; their direction suggests they could be stronger in more collectivist settings *(interpretation; the monograph should avoid cultural essentialism).*

3.9 Social identity theory and its "engaged followership" reinterpretation

Tajfel and Turner. Henri Tajfel's "minimal group" experiments (1970-71) showed that even arbitrary categorisation (e.g., by preference for painters Klee or Kandinsky) led participants to favour in-group members in reward allocation [E]. Tajfel and John Turner's "An Integrative Theory of Intergroup Conflict" (1979) proposed *social identity theory*: part of the self-concept derives from group memberships; people seek positive distinctiveness for their groups; and when status relations are seen as illegitimate and unstable, lower-status groups may pursue social change [E]. Turner's *self-categorisation theory* (1987) explained how people shift between personal and group identities depending on context.

Indonesian relevance. Social identity theory provides the micro-foundation for nation-building: the success of Indonesian nationalism lies in making "Indonesian" a salient, positively valued self-category across ethnic lines. It also explains the danger: if national identity is defined *against* an internal out-group (communists after 1965; Chinese Indonesians in recurring episodes including May 1998; religious minorities), the same mechanism that unifies can legitimate exclusion and violence (interpretation: Heryanto 2006 *State Terrorism and Political Identity in Indonesia: Fatally Belonging*) [E].

Haslam and Reicher: engaged followership. Alexander Haslam and Stephen Reicher, with colleagues, argue that the classic obedience and prison studies have been misread (interpretation: Reicher, Haslam & Smith 2012, "Working toward the experimenter," *Perspectives on Psychological Science*; Haslam & Reicher 2012 *PLoS Biology*; Haslam, Reicher & Platow, *The New Psychology of Leadership*, 2011) [E]. People who participate in harm are not passive automatons blindly obeying; they are *engaged followers* who identify with the leader's cause, believe they are doing something worthwhile, and creatively work toward what they think the leader wants. Leadership, in this model, is the art of becoming an "entrepreneur of identity": defining who "we" are, what "we" stand for, and positioning oneself as the embodiment of the group.

The phrase "working toward" is a deliberate echo of Ian Kershaw's historical concept of "working towards the Fuhrer" (Section 4.3). The convergence between a historian's reading of the Nazi state and social psychologists' re-analysis of laboratory obedience is one of the most important intellectual links for this monograph: *both suggest that authoritarian harm is co-produced by leaders and followers who identify with a shared project, not simply imposed.*

3.10 Collective memory: Halbwachs and Assmann

Maurice Halbwachs (*Les cadres sociaux de la memoire*, 1925; *La memoire collective*, posthumous 1950) argued that memory is socially framed: individuals remember within frameworks provided by

groups (family, religion, class, nation), and groups continually reconstruct the past to suit present needs [E]. Jan Assmann (*Das kulturelle Gedachtnis*, 1992; "Collective Memory and Cultural Identity," *New German Critique*, 1995) distinguished *communicative memory* (everyday, oral, spanning about three generations, roughly 80-100 years) from *cultural memory* (institutionalised in texts, rites, monuments and commemorations, maintained by specialists) [E].

Application to Indonesia. The 1965-66 events are a vivid case. For decades the state's cultural memory (the Lubang Buaya monument, *Hari Kesaktian Pancasila*, the 1984 film, school textbooks) suppressed alternative communicative memories held by survivors and families of victims. Since 1998, communicative memory has re-entered public space through testimonies, films and scholarship, but the generation with direct memory is passing, so the question of what will enter cultural memory is now urgent *(interpretation)*. For regional identity, Assmann's distinction is relevant to whether regional memories (e.g., of PRRI/Permesta in Sumatra and Sulawesi, of Aceh's conflict, or of Kalimantan's ethnic violence around 2001) are institutionalised as regional counter-memories or folded into national narratives.

3.11 Polarisation and affective polarisation

Affective polarisation refers to partisans' dislike and distrust of the opposing side, as distinct from ideological distance (interpretation: Iyengar, Sood & Lelkes 2012, *Public Opinion Quarterly*; Iyengar et al. 2019, *Annual Review of Political Science*) [E]. Research in the United States and elsewhere finds that affective polarisation can grow even when policy disagreement does not, and that it is associated with tolerance of norm violations by one's own side (interpretation: Graham & Svolik 2020, *American Political Science Review*, "Democracy in America? Partisanship, Polarization, and the Robustness of Support for Democracy in the United States") [E]. This is a direct link to democratic backsliding: when voters prize defeating the other side over democratic norms, incumbents face weaker electoral punishment for undermining institutions.

Indonesia. Scholarship identifies sharp polarisation around the 2014 and 2019 presidential elections (Jokowi vs Prabowo) and the 2016-17 Jakarta gubernatorial contest, with mutually derogatory labels (*cebong* and *kampret*) circulating online [E; interpretation: Warburton 2020 "How polarised is Indonesia and why does it matter?" in Power & Warburton eds.; Mietzner 2020; Aspinall & Mietzner 2019 *Journal of Democracy*]. Debate exists over whether this polarisation was primarily ideological (pluralist vs Islamist) or primarily elite-driven and shallow; its subsequent partial dissolution when Prabowo joined Jokowi's cabinet in 2019 and became president with Jokowi's son as vice-president in 2024 suggests a strong elite-driven component *(interpretation)*. This matters for national unity: polarisation in Indonesia has been national-ideological, not regional, so it has strained democratic norms more than territorial integrity.

3.12 George Orwell: language, truth and power

Orwell's essay "Politics and the English Language" (1946, *Horizon*) argued that political language is designed "to make lies sound truthful and murder respectable, and to give an appearance of solidity to pure wind" [E], and that euphemism, abstraction and stock phrases anaesthetise thought; defending against them is a civic discipline. *Nineteen Eighty-Four* (1949) supplied a vocabulary that has become indispensable for analysing information control: *Newspeak* (language engineered to make dissenting thought impossible), *doublethink* (holding two contradictory beliefs simultaneously), the *memory hole* (erasure of inconvenient records), the *Ministry of Truth* (state control of historical record), and the *Two Minutes Hate* (ritualised collective hostility toward an enemy figure) [E].

Application. Indonesian political language has a rich history of euphemism that scholars have analysed in Orwellian terms (interpretation: Anderson 1966/1990; Hooker 1993; Heryanto) [E]: New Order terms such as *diamankan* ("secured", meaning detained), *penyesuaian harga* ("price adjustment", meaning price increase), and the labelling of critics as *ekstrem kiri / ekstrem kanan* ("extreme left/right") or *OTB* (*organisasi tanpa bentuk*, "formless organisation") [E]. Orwell's lesson for this dossier's warning-signs checklist is that changes in official language are often early indicators of changes in practice.

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4. The provisional "Hitler Effect": definition, decomposition, history and comparison

4.1 Status of the term

"Hitler Effect" is not an established academic term. It does not appear as a recognised concept in the major historiographies of Nazi Germany (Kershaw, Evans, Broszat, Mommsen, Fritzsche, Gellately) or in political science or social psychology. It is the commissioning author's provisional label for a cluster of phenomena he wishes the monograph to examine. Using it uncritically would risk three errors:

1. *Personalisation.* It implies that one individual's qualities explain a systemic outcome, which the dominant historiography rejects (see the intentionalist-functionalist debate in 4.5).
2. *Trivialisation and analogy inflation.* Casual comparisons of contemporary leaders to Hitler ("Nazi analogies") are common in political argument and often analytically empty. A dossier for an academic monograph must avoid implying equivalence between the Nazi regime, uniquely defined by genocide and aggressive war, and other authoritarian or populist phenomena.
3. *Spurious universality.* It suggests a single transferable "effect," whereas the historical evidence shows a contingent conjunction of conditions.

Recommendation. The monograph should either (a) retain "Hitler Effect" only in quotation marks as the author's working heuristic, introduced with this disclaimer, or (b) replace it with a descriptive term such as **"charismatic-authoritarian mobilisation syndrome"** or **"leader-centred authoritarian consolidation"**. This dossier uses "the provisional 'Hitler Effect' " for continuity with the brief.

4.2 Working definition

> **The provisional "Hitler Effect" (working definition):** a historically contingent process in which a leader-centred political movement, exploiting a severe crisis of legitimacy and effectiveness, combines (i) the construction of a personality cult and charismatic claim to embody the nation, (ii) mass mobilisation and propaganda backed by progressive control of information, (iii) the designation of internal enemies through scapegoating and political myth, and (iv) the legal and extra-legal capture of state institutions, such that a large part of society comes to accept, support or tolerate the progressive removal of constitutional limits and the persecution of targeted groups – through a mixture of genuine enthusiasm, opportunism, conformity and fear, and with the active participation of followers who "work towards" what they understand the leader to want.

The definition deliberately emphasises (a) *conjuncture* (crisis plus movement plus elite decisions), (b) *institutions* (law, courts, civil service), (c) *followership* (consent and participation, not merely coercion) and (d) *process* (gradual normalisation), because these are the points on which the historiography converges.

4.3 Decomposition into eight mechanisms

The table names each component, its core literature, and the historical Nazi-era evidence. These are descriptions of what happened and how historians interpret it, offered for recognition and for understanding the purpose of safeguards.

#	Component	Core concept and literature	Historical expression in Germany, 1919-1945
1	**Personality cult**	The deliberate projection of a leader as the embodiment of the nation's will and salvation; Kershaw, *The Hitler Myth: Image and Reality in the Third Reich* (1987; German original *Der "Hitler-Mythos"*, 1980) [E]	Kershaw shows that the "Fuhrer myth" was constructed by propaganda but also *rested on* genuine popular perceptions: Hitler was credited with economic recovery, foreign-policy successes (Rhineland 1936, Anschluss 1938) and "order," while unpopular actions were blamed on subordinates ("if only the Fuhrer knew"). The myth was a key integrating force and declined from 1941-43 with military reverses [E].

#	Component	Core concept and literature	Historical expression in Germany, 1919-1945
2	**Charismatic authority**	Weber's charismatic domination; Kershaw's application of Weber in his biography *Hitler* (1998, 2000) and in " 'Working Towards the Fuhrer': Reflections on the Nature of the Hitler Dictatorship," *Contemporary European History* 2:2 (1993) [E]	Kershaw argues the Nazi state was structured around Hitler's charismatic authority rather than coherent bureaucratic rules. The phrase "working towards the Fuhrer" comes from a 1934 speech by a Prussian agriculture official, Werner Willikens, urging officials to act in the direction the Fuhrer would want without waiting for orders [E]. This produced "cumulative radicalisation" (Mommsen's term) as rival agencies competed to anticipate the leader's wishes.
3	**Mass mobilisation**	Mass organisations; ritual; Arendt on movements; Mosse, *The Nationalization of the Masses* (1975) [E]	SA (stormtroopers), Hitler Youth, the German Labour Front (DAF), "Strength through Joy" leisure organisation, the Nuremberg rallies; plebiscites (e.g., August 1934 confirming Hitler as head of state) [E]. Mobilisation preceded power (street presence and electoral campaigning before 1933) and continued after it as integration and surveillance.

#	Component	Core concept and literature	Historical expression in Germany, 1919-1945
4	**Propaganda and information control**	Goebbels's Reich Ministry for Public Enlightenment and Propaganda (established March 1933) [E]; Reich Chamber of Culture (September 1933) and Editors Law (October 1933) bringing cultural producers and journalists under state licensing [E]; *Gleichschaltung* ("coordination") [V: the Enabling Act article describes the law as part of *Gleichschaltung*]	Opposition newspapers were banned under the Reichstag Fire Decree [V: "the banning of opposition publications and meetings"]; radio was centralised and cheap receivers ("People's Receiver") distributed [E]; book burnings (May 1933) [E]. Information control combined persuasion with the removal of alternatives.
5	**Scapegoating and myth-making**	Political myth; conspiracy narratives; antisemitism; the "stab-in-the-back" myth (*Dolchstolegende*) [E]	The myth that the German army was undefeated in 1918 and "stabbed in the back" by socialists, Jews and republican politicians delegitimised the Weimar Republic from its birth [E]. Antisemitism, long present in European society, was made the organising principle of Nazi ideology, culminating in exclusion (Nuremberg Laws, 1935), pogrom (November 1938), and genocide (the Holocaust). The Reichstag fire was immediately framed as a communist uprising to justify emergency measures [V].

#	Component	Core concept and literature	Historical expression in Germany, 1919-1945
6	**Institutional capture**	Legal revolution; emergency powers; Fraenkel's "dual state" (*The Dual State*, 1941: a "normative state" of law coexisting with a "prerogative state" of arbitrary power) [E]	Reichstag Fire Decree, 28 Feb 1933, issued under Article 48 [V]; Enabling Act, 23 Mar 1933 [V]; Law for the Restoration of the Professional Civil Service (7 Apr 1933) purging Jews and political opponents from the civil service [E]; dissolution of trade unions (May 1933) [E]; Law against the Formation of Parties (14 July 1933) [V]; Law on the Reconstruction of the Reich (30 Jan 1934) abolishing state parliaments [V]; merger of chancellor and president on Hindenburg's death (Aug 1934) [V]; personal oath of the armed forces to Hitler (Aug 1934) [E].

#	Component	Core concept and literature	Historical expression in Germany, 1919-1945
7	**Erosion of independent judgement**	Social-psychological mechanisms (Section 3): conformity, identification, diffusion of responsibility; Arendt's fact/fiction collapse	Denunciation became widespread; Gellately's archival work on the Gestapo shows that a large share of cases began with denunciations by ordinary citizens, so the police state depended on popular participation [E: Gellately 1990 *The Gestapo and German Society*; 2001 *Backing Hitler*]. Professional groups (doctors, lawyers, academics) frequently adapted pre-emptively.
8	**Normalisation**	Gradualism; "shifting baselines"; Fritzsche, *Germans into Nazis* (1998) and *Life and Death in the Third Reich* (2008) [E]	Each step (emergency decrees, the first camps such as Dachau in March 1933 [V: Enabling Act article], the exclusion of Jews from professions) was presented as a response to emergency or a restoration of order. Fritzsche argues many Germans were drawn in through the experience of national renewal, not merely coerced [E].

4.4 Why it worked: the historical conjuncture

The historiography is broadly agreed that no single factor explains the Nazi seizure of power. The monograph should present the following as a *conjuncture*, with the caution that weighting among factors is debated.

(a) The legacy of defeat and Versailles. Germany's defeat in 1918 came as a shock to a public told victory was near, which made the stab-in-the-back myth plausible to many [E]. The Treaty of Versailles (signed 28 June 1919), with its territorial losses, military restrictions, reparations, and Article 231 (the "war guilt" clause, as it came to be called), was widely regarded across the

German political spectrum as a humiliating *Diktat* [E]. Historians now debate how economically crippling reparations actually were, but there is consensus that their *political* effect was corrosive: the Republic's founders were tainted by association with the treaty (interpretation: Evans 2003; Kolb 2005) [E].

(b) Hyperinflation (1923). Inflation that had been building since the war became hyperinflation in 1923, especially after the French and Belgian occupation of the Ruhr and the German policy of passive resistance financed by printing money; by late 1923 the mark had become essentially worthless (the stabilisation rate in November 1923 was 4.2 trillion marks to the US dollar) [E]. Hyperinflation wiped out middle-class savings and, in the interpretation of many historians, permanently damaged middle-class confidence in the Republic, even though the Republic stabilised in 1924-28 [E]. Hitler's failed Munich ("Beer Hall") putsch of November 1923 occurred in this crisis [E].

(c) The Great Depression and mass unemployment. The 1929 crash and the withdrawal of American loans plunged Germany into depression; registered unemployment reached about six million in early 1932 [E]. The Nazi vote rose from 2.6% (May 1928) to 18.3% (September 1930) and 37.3% (July 1932), falling to 33.1% (November 1932) [E: standard electoral figures; verify against a statistical source before publication]. Under repression and intimidation in March 1933, the party won 43.9% and still needed its DNVP partner for a majority [V: Reichstag Fire Decree article]. In other words, *the Nazis never won a majority in a free election.*

(d) Weimar institutional weaknesses. Several features of the Weimar constitutional order are frequently cited:

- *Article 48* permitted the Reich president to take emergency measures and suspend specified fundamental rights; the Reichstag could revoke such measures, but the president could dissolve the Reichstag under Article 25 [V]. President Ebert used it 136 times, by agreement with government and parliament, to manage crises [V]. Under Hindenburg, with Chancellor Bruning from 1930, it became a substitute for parliamentary government: in 1932 the Reichstag sat on only 13 days and passed 5 laws, while 60 laws were passed by emergency decree [V: table citing Elgie, Moestrup & Wu eds. 2011]. Rule by decree normalised governing without parliament before Hitler took office.
- *A fragmented parliament* elected by pure proportional representation, producing unstable coalitions [E]; this is a contested explanatory factor (many PR democracies are stable), so the monograph should not overweight it.
- *A judiciary and civil service* largely inherited from the Empire, many of whose members were sceptical of or hostile to the Republic; courts were notoriously lenient toward right-wing political violence (Hitler served only about nine months of a five-year sentence after the 1923 putsch) [E].
- *Paramilitary politics:* party militias (SA; the Communists' Red Front Fighters; the republican Reichsbanner) made street violence normal [E].

(e) Conservative elites' miscalculation. The decisive step was not an election but an appointment. Hitler became chancellor on 30 January 1933 through backroom manoeuvres among conservative elites around President Hindenburg, including former chancellor Franz von Papen, who became vice-chancellor and believed that the conservatives in the cabinet would "box in" and use Hitler [E; appointment date V]. Kurt von Schleicher's brief chancellorship (December 1932-January 1933) and Papen's intrigues against him are central to this narrative [E]. The Enabling Act article records that the conservative elite, "including the vice-chancellor Franz von Papen, having underestimated

the determination of the Nazis to monopolize state power, were soon marginalized" [V]. The miscalculation of established elites who believe they can harness an anti-system movement is the most transferable lesson of 1933 (interpretation: Levitsky & Ziblatt 2018 build their "gatekeeping" argument directly on this case) [E].

(f) The legal path to dictatorship. The steps of early 1933 show how constitutional instruments were turned against the constitution:

1. *4 February 1933:* a presidential decree "for the Protection of the German People" empowered authorities to ban meetings and publications [V].
2. *27-28 February 1933:* the Reichstag fire, followed the next day by the Decree of the Reich President for the Protection of People and State under Article 48(2), suspending Articles 114, 115, 117, 118, 123, 124 and 153 (personal liberty, inviolability of the home, postal and telephone privacy, free expression and press, assembly, association, property) "until further notice," and authorising Reich intervention in the states [V]. It remained in force until 1945 [V].
3. *5 March 1933:* elections held amid intimidation; NSDAP 43.9% [V].
4. *23 March 1933:* the Enabling Act ("Law to Remedy the Distress of People and Reich") allowed the cabinet to enact laws, including laws deviating from the constitution, for four years. Goring, as Reichstag president, reduced the quorum by not counting the 81 Communist deputies (who were arrested or in hiding); SA men were present inside and outside the chamber; the Centre Party voted in favour after receiving oral assurances whose written guarantee never arrived. The result was 444 in favour, 94 against (all Social Democrats), 109 absent; the Reichsrat assented unanimously the same day [V]. SPD leader Otto Wels's speech against the law is a classic document of democratic dissent [V].
5. *14 July 1933:* the Nazi Party became the only legal party [V].

Richard Evans (2003) argues that the Enabling Act's passage was legally invalid because of the quorum manipulation and the prior Nazification of state governments [V: summarised in the Enabling Act article]. The important point for this monograph is that *a facade of legality was central to the strategy*: it reassured civil servants, judges and conservatives that they were serving a lawful government.

4.5 How institutions and society failed

Historians identify multiple failures, not one:

- *Parliament* surrendered its powers (the Enabling Act) partly through coercion and partly through parties' hopes of protecting their own constituencies (the Catholic Centre's concern for church interests) [V].
- *The presidency,* designed as a guardian, became the instrument of emergency rule [V].
- *The judiciary* largely accepted the new legal order; by the time of the "Night of the Long Knives" (30 June-2 July 1934), in which the SA leadership and other opponents were murdered, a law retroactively declared the killings legal "self-defence of the state," and prominent jurists defended it [E; Carl Schmitt's essay "The Fuhrer Protects the Law" (1934)].
- *The civil service* complied and purged itself [E].

- *The army* acquiesced, welcomed the destruction of the SA as a rival, and swore a personal oath to Hitler [E].
- *Churches* sought accommodation (the Reich Concordat with the Vatican, July 1933), though individuals and groups (the Confessing Church; Bishop von Galen's protests against "euthanasia" killings in 1941) resisted [E].
- *The left* was divided: the Communists, following Comintern doctrine, attacked the Social Democrats as "social fascists" rather than forming a common front, a division frequently cited as weakening resistance [E].
- *Society*: many Germans welcomed the restoration of "order" and economic recovery; others conformed out of fear or opportunism; a minority resisted at great cost.

4.6 Scholarly debates

Intentionalists versus functionalists (structuralists). From the 1960s to the 1980s, historians debated whether Nazi policy, especially the Holocaust, followed from Hitler's long-held intentions and a coherent programme (*intentionalists*, e.g., Karl Dietrich Bracher, Eberhard Jackel, Lucy Dawidowicz, Andreas Hillgruber) or emerged from the chaotic, polycratic structure of the regime, with competing agencies radicalising policy cumulatively (*functionalists* or *structuralists*, e.g., Martin Broszat and Hans Mommsen, who described Hitler as in some respects a "weak dictator") [E]. Ian Kershaw's concept of "working towards the Fuhrer" is widely regarded as a synthesis: Hitler's ideological goals set the direction and his charismatic authority legitimated action, while initiative often came from below and from competing agencies (interpretation: Kershaw 1993; *The Nazi Dictatorship: Problems and Perspectives of Interpretation*, 4th ed. 2000) [E].

Richard J. Evans. Evans's trilogy (*The Coming of the Third Reich*, 2003; *The Third Reich in Power*, 2005; *The Third Reich at War*, 2008) emphasises the role of violence and coercion in the seizure of power, arguing against accounts that overstate consent: the "national revolution" of 1933 was accompanied by mass arrests, beatings, and the first concentration camps [E; consistent with V on Dachau and arrests].

Peter Fritzsche. Fritzsche (*Germans into Nazis*, 1998; *Life and Death in the Third Reich*, 2008) argues that many Germans were attracted to Nazism's promise of national community (*Volksgemeinschaft*) and renewal, and that consent and enthusiasm were real and widespread, not merely manufactured [E].

Robert Gellately. *Backing Hitler: Consent and Coercion in Nazi Germany* (2001) argues, using press and police records, that the regime courted and largely won popular consent, that it publicised (rather than hid) the camps and coercive measures against "outsiders" such as criminals, "asocials" and communists, and that coercion and consent were complementary [E; title and publisher details V via Reichstag Fire Decree article citation].

Synthesis for the monograph. The historiography converges on *consent and coercion as complementary*, with the balance shifting over time and by social group: coercion was concentrated on defined enemies, while consent was cultivated among the majority, who were reassured that repression targeted "others." This dual structure is precisely what makes such regimes difficult to recognise from inside *(interpretation)*.

4.7 Comparison 1: Imperial Japan

Imperial Japan between the 1890s and 1945 developed an ideological order distinct from Nazism (no single charismatic party leader comparable to Hitler; the emperor was a sacral sovereign, not a mobilising demagogue) but with parallel mechanisms of identity construction and information control.

- **Kokutai** ("national body/essence"): the ideology that Japan's unique polity was founded on an unbroken imperial line descended from the sun goddess, binding emperor and subjects in a family-state. The Ministry of Education's *Kokutai no Hongi* ("Cardinal Principles of the National Polity," 1937) codified it for schools [E].
- **State Shinto:** from the Meiji period, Shinto shrines were organised as state institutions and shrine rites were defined as patriotic duty rather than religion, which allowed the state to require participation while nominally guaranteeing religious freedom [E].
- **Imperial Rescript on Education (30 October 1890):** signed by Emperor Meiji, it set out the guiding principles of education, centred on loyalty and filial piety and on the duty, "should emergency arise," to "offer yourselves courageously to the State" to "guard and maintain the prosperity of Our Imperial Throne" [V]. The 315-character text was read aloud at school ceremonies, students memorised it, and copies were distributed with the emperor's portrait [V]. The Diet formally abolished it on 19 June 1948 on the grounds that it undermined fundamental human rights [V].
- **Peace Preservation Law (enacted 22 April 1925):** criminalised forming or joining an association aimed at "altering the kokutai or the system of private property"; it was passed alongside universal manhood suffrage, partly because of fears about newly enfranchised voters [V]. The 1928 amendment raised the maximum penalty to death; a "Thought Section" and special "thought prosecutors" were created; coerced ideological conversion (*tenko*) became the main enforcement tool by 1933; over 70,000 people were arrested under the law before its repeal on 15 October 1945 [V]. Its vagueness meant any opposition could be branded as altering the kokutai; the 1933 forced resignation of the liberal Kyoto law professor Takigawa Yukitoki shows its reach beyond communists [V].

Comparative lesson. Japan illustrates that an authoritarian-nationalist order can be built *through the school and the sacralisation of the nation* more than through a single leader's cult, and that a *vague legal concept* ("altering the kokutai") can be an instrument of broad repression. Both points are relevant to Indonesia: Pancasila has at times been used as an analogous master-concept, with opponents labelled "anti-Pancasila" (see Section 5), and the New Order's P4 courses resemble, in function though not content, state moral education *(interpretation)*. The Japanese case also shows the possibility of post-war reconstruction: the Rescript's abolition and the 1947 Fundamental Law of Education reoriented civic education toward individual dignity [E].

4.8 Comparison 2: Soviet propaganda and the Stalin cult

The Soviet Union developed the most elaborate agitation-and-propaganda (*agitprop*) apparatus of the twentieth century, combining party ideological departments, centralised censorship (Glavlit, established 1922), mass literacy campaigns, mass organisations (Komsomol), and an aesthetic doctrine, socialist realism (proclaimed 1932-34), that subordinated art to political purpose [E].

The Stalin cult. The cult of Stalin is conventionally dated from the celebration of his fiftieth birthday in December 1929 and intensified through the 1930s, with Stalin presented as the continuator

of Lenin, "father of peoples," and genius in every field [E]. The *History of the All-Union Communist Party (Bolsheviks): Short Course* (1938) rewrote party history around him and became compulsory study [E]. Photographs were retouched to remove purged leaders, a literal "memory hole" [E; documented in David King, *The Commissar Vanishes*, 1997]. The cult coexisted with the Great Terror of 1936-38. In his "Secret Speech" to the Twentieth Party Congress (25 February 1956), Khrushchev denounced the "cult of personality and its consequences," which itself shows that personality cults can be dismantled from within when elites decide they threaten them [E].

Comparative lesson. Unlike the Nazi case, the Soviet cult was built *after* a revolution had already created a one-party state; the cult was a means of consolidating one leader's dominance *within* the party. It also illustrates how a regime with an ideology of internationalism and federalism (the USSR was formally a union of republics with the constitutional right of secession) could nonetheless be intensely centralised; when the centre's legitimacy and coercive will collapsed in 1989-91, the republics provided ready-made units of exit (interpretation: Bunce 1999; Brubaker 1996; Hale 2004) [E]. This is a key comparative warning for the monograph's question about centralised unions *(cross-reference to the comparative-systems track).*

4.9 Contrast: democratic civic education

Democratic civic education also seeks to shape citizens' values, so what distinguishes it from propaganda and indoctrination? Post-war Germany offers the clearest institutional answer.

- The **Federal Agency for Civic Education** (*Bundeszentrale fur politische Bildung*, bpb; founded 1952 as the Federal Agency for Homeland Service, renamed 1963) provides civic education materials across the political spectrum [E].
- The **Beutelsbach Consensus** (1976), formulated at a conference of civic educators, set three principles [E]: (1) a *prohibition against overwhelming* the pupil (*Uberwaltigungsverbot*): teachers may not indoctrinate or prevent pupils from forming independent judgements; (2) *treating controversial subjects as controversial*: what is controversial in scholarship and politics must appear as controversial in the classroom; (3) *enabling pupils to analyse a political situation and their own interests* and to act on them.
- The Basic Law's design (constructive vote of no confidence; a weak federal president; a Federal Constitutional Court; the "militant democracy" provisions allowing bans of anti-constitutional parties only by the Constitutional Court) responded directly to Weimar's failure [V: Article 48 and Enabling Act articles describe these responses].

Lesson. The defining difference is *orientation toward the learner's autonomy*: democratic civic education aims to make citizens capable of disagreeing with the state, while propaganda and indoctrination aim to make disagreement unthinkable or dangerous. This criterion is formalised in Section 5.

4.10 Relevance of the provisional "Hitler Effect" to Indonesia – calibrated

The monograph should be careful and explicit:

- **Indonesia has never experienced a regime comparable to Nazi Germany.** Neither Sukarno nor Suharto pursued genocide of a racially defined population or wars of conquest on the Nazi model. Some scholars do analyse the 1965-66 killings as mass atrocity with genocidal dimensions, and some analyse the occupation of East Timor (1975-99) in terms of atrocity and

very high conflict-related mortality; these debates must be presented with their own evidence and terminology, not by analogy [E; interpretation: Robinson 2018 *The Killing Season*; Melvin 2018 *The Army and the Indonesian Genocide*; CAVR 2005 report on Timor-Leste].

- **Some components of the decomposition are clearly present in Indonesian history:** personality cults (Sukarno as "Great Leader of the Revolution"; Suharto as "Father of Development," *Bapak Pembangunan*, a title conferred by the MPR in 1983 [E]); propaganda and information control (Ministry of Information, licensing of the press through SIUPP, bans of *Tempo*, *Editor* and *DeTik* in June 1994 [E]); scapegoating and political myth (the communist threat narrative; the official G30S account); institutional capture (Guided Democracy's 1959 decree returning to the 1945 Constitution and dissolving the elected Constituent Assembly; the New Order's control of parties and elections) [E].
- **The value of the decomposition** is that it allows the monograph to ask *which* mechanisms are present, *to what degree*, and *whether safeguards are functioning*, rather than asking the unhelpful question of whether any leader "is like Hitler."

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5. A typology of influence: persuasion, civic education, propaganda, disinformation, coercion, indoctrination

5.1 Why a typology is needed

The brief asks the monograph to distinguish legitimate from illegitimate ways in which states and political actors shape beliefs. Without explicit criteria, any state communication can be dismissed as "propaganda," or, conversely, coercive indoctrination can be excused as "national education." The typology below draws on the philosophy of propaganda (e.g., Jason Stanley, *How Propaganda Works*, 2015; Jacques Ellul, *Propaganda*, 1962/1965), the literature on indoctrination in philosophy of education (e.g., Snook ed., *Concepts of Indoctrination*, 1972), research on disinformation (Wardle & Derakhshan, *Information Disorder*, Council of Europe 2017), and the Beutelsbach principles [E].

5.2 Five criteria

Criterion	Question	Legitimate pole	Illegitimate pole
Consent	Does the audience knowingly and voluntarily engage, with awareness of who is speaking and why?	Transparent source; voluntary participation	Hidden source; compulsory exposure; covert manipulation
Truthfulness	Is the content accurate, or at least offered in good faith and open to correction?	Accurate, corrigible, evidence-based	Deliberately false or misleading; immune to correction
Pluralism	Can competing messages be heard on equal terms?	Many voices; free media; opposition access	Monopoly or near-monopoly; competitors silenced

Criterion	Question	Legitimate pole	Illegitimate pole
Exit	Can people refuse, dissent or leave without penalty?	No sanction for disagreement	Disagreement sanctioned (job loss, detention, violence, social exclusion)
Reversibility	Is the aim to equip people to judge for themselves, including to reverse their views later?	Builds capacity for independent judgement	Aims to make alternative beliefs unthinkable or permanently fixed

5.3 Six categories

Category	Definition (for this monograph)	Typical profile on the five criteria
Persuasion	Open attempt to change beliefs or behaviour through argument, evidence and appeal, in competition with other voices	Consent high; truthfulness variable but contestable; pluralism high; exit free; reversible
Civic education	Systematic teaching of knowledge, skills and values needed for democratic citizenship, oriented to the learner's autonomous judgement (Beutelsbach)	Often compulsory (schools), but content transparent; truthful; presents controversies as controversial; dissent permitted; builds reversibility
Propaganda	Organised, systematic communication intended to shape perceptions and behaviour in the interest of the propagandist, typically by selective presentation, emotional appeal and repetition, often with suppression of alternatives	Source may be open or hidden; truthfulness subordinated to purpose; pluralism reduced; exit costly; low reversibility
Disinformation	False information knowingly created or spread to cause harm or gain advantage (distinguished from *misinformation*, false information spread without intent, and *malinformation*, genuine information used to harm) (Wardle & Derakhshan 2017) [E]	Consent violated (deception); truthfulness absent by definition; can occur in plural environments; often covert

Category	Definition (for this monograph)	Typical profile on the five criteria
Coercion	Changing behaviour (and sometimes professed belief) by threat or use of sanctions, including violence, detention, job loss	Consent absent; truthfulness irrelevant; pluralism suppressed; exit punished
Indoctrination	Inculcation of a fixed set of beliefs in a way that aims to prevent critical evaluation, typically via compulsory institutions (schools, mandatory courses) and with sanctions for deviation	Compulsory; selective or false content; monopoly; exit costly; designed to be irreversible

Two cautions apply. First, the categories are ideal types and real cases mix them (e.g., coercion plus indoctrination). Second, democracies also propagandise (wartime information campaigns; partisan messaging), so the question is one of degree and of institutional constraint, not of regime type alone.

5.4 Indonesian cases

(a) Sukarno's Manipol-USDEK and Guided Democracy (1959-1965) On 5 July 1959 Sukarno decreed the dissolution of the elected Constituent Assembly and a return to the 1945 Constitution, inaugurating Guided Democracy [E]. His Independence Day address of 17 August 1959 ("The Rediscovery of Our Revolution") was declared the state's *Manifesto Politik* (Manipol), whose content was summarised in the acronym **USDEK**: the 1945 Constitution (*UUD 1945*), Indonesian socialism (*Sosialisme a la Indonesia*), Guided Democracy (*Demokrasi Terpimpin*), Guided Economy (*Ekonomi Terpimpin*) and Indonesian Identity (*Kepribadian Indonesia*) [E]. Manipol-USDEK became the official ideology; it was taught, recited and used as a loyalty test. Later formulas included NASAKOM (the unity of nationalist, religious and communist currents) [E].

Classification. Manipol-USDEK combined *propaganda* (systematic promotion of the leader's ideology through mass organisations and media) with elements of *coercion* (bans on the Masyumi and PSI parties in 1960 for their alleged links to the regional rebellions; press closures; detention of critics) [E] and *indoctrination* (compulsory ideological instruction in schools and the bureaucracy) [E]. Pluralism was constrained, though not eliminated: rival forces (the army, the PKI, Islamic parties) competed within Guided Democracy's framework, which made it less monolithic than its rhetoric suggested (interpretation: Feith 1963; Lev 1966) [E].

(b) The New Order's P4 and *asas tunggal* (1978-1998) The People's Consultative Assembly (MPR) Decree No. II/MPR/1978 established the *Pedoman Penghayatan dan Pengamalan Pancasila* (P4, "Guidelines for the Comprehension and Practice of Pancasila"), implemented through mandatory courses (*penataran*) for civil servants, students and many other groups, administered by a dedicated body (BP7) [E]. Laws in 1985 (on political parties and Golkar, and on mass organisations) required all parties and mass organisations to adopt Pancasila as their sole ideological foundation (*asas tunggal*) [E]. P4 was revoked by MPR Decree No. XVIII/MPR/1998 after Suharto's fall [E].

Classification. P4 is a textbook case of *indoctrination* by the five criteria: it was compulsory

for large populations; its interpretation of Pancasila was state-defined (emphasising harmony, duty and the integralist "family" state rather than rights or contestation); alternatives were sanctioned (organisations refusing *asas tunggal* faced dissolution; opponents were labelled "anti-Pancasila"); and its aim was to fix a single interpretation. It is important to be precise: *Pancasila* itself is a constitutional consensus with genuine legitimacy; *P4* was a regime-specific programme of ideological uniformity using Pancasila's legitimacy (interpretation: Morfit 1981; Ramage 1995 *Politics in Indonesia: Democracy, Islam and the Ideology of Tolerance*; Bourchier 2015 *Illiberal Democracy in Indonesia: The Ideology of the Family State*) [E].

The 1984 tragedy at Tanjung Priok, where security forces fired on Muslim protesters who were, among other grievances, opposing the *asas tunggal* policy, shows the coercive edge of the programme [E].

(c) *Pengkhianatan G30S/PKI*: mandatory screening, 1984-1998 The 220-minute docudrama, directed by Arifin C. Noer, produced by the state film company PPFN with a budget of Rp 800 million, and based on the official account by military historian Nugroho Notosusanto and Ismail Saleh, was released on 30 September 1984 [V]. From 1984 the government broadcast it annually on 30 September on state television TVRI (and later on private channels), showed it in schools and government institutions, and made it mandatory viewing for students [V]. A 2000 *Tempo* survey found that 97% of 1,101 students surveyed had seen it, 87% more than once [V; citing Heryanto 2006, pp. 50-51]. Its version of the events was "the only one allowed in open discourse" during the 1980s and early 1990s [V; citing Heryanto 2006, p. 13]. In September 1998, four months after Suharto's fall, Information Minister Yunus Yosfiah ended compulsory screening, saying the film was an attempt to manipulate history and create a cult around Suharto [V]. In 2021 TVRI announced it would not air the film [V].

Scholarly assessments. Historians have criticised the film's depiction of torture of the generals, which the reporter who filmed the recovery of the bodies said in 2001 the bodies did not show [V]; John Roosa (*Pretext for Mass Murder*, 2006) contrasts the film's image of a meticulously planned PKI operation with evidence of a disorganised movement [V]; the film renders the subsequent mass killings invisible [V: Putu Oka Sukanta's criticism].

Classification. Compulsory exposure (no consent), a contested and partly false narrative (truthfulness low), a monopoly on the narrative (no pluralism), sanctions on alternative accounts (exit costly: alternative views of 1965 could lead to accusations of communist sympathy, a dangerous label under the New Order's laws and practices), and an aim of permanent anti-communist conviction (no reversibility). It meets the definition of *indoctrination* combined with *propaganda*.

Interesting complication. Heryanto (2006) and Sen & Hill (2006) suggest the film contained unintended "polyphony" that some viewers read against the grain, and by the mid-1990s anonymous internet communities were questioning it [V]. This illustrates a general point: even monopoly propaganda rarely achieves total control, and its effectiveness erodes when alternative channels emerge.

(d) Reformasi-era media: from monopoly to pluralism (1998-) After 1998, the media landscape changed fundamentally: the press licensing regime (SIUPP) was dismantled, Press Law No. 40/1999 guaranteed press freedom and established an independent Press Council, the Ministry of Information was abolished in 1999 under President Abdurrahman Wahid (later partly re-created as a communications ministry), and private broadcasting and online media expanded rapidly [E]. Indonesia moved from the propaganda/indoctrination quadrant toward a plural, persuasion-dominated system.

Persistent concerns in the literature include: concentration of media ownership in conglomerates whose owners have often been party leaders or politically aligned (interpretation: Tapsell 2017 *Media Power in Indonesia: Oligarchs, Citizens and the Digital Revolution*) [E]; the use of the Electronic Information and Transactions (ITE) Law (Law 11/2008, amended 2016 and 2024) for defamation prosecutions of critics [E]; and continued state promotion of Pancasila through the Agency for Pancasila Ideology Development (BPIP), established in 2018 [E]. Whether BPIP functions as civic education or as a renewed form of state ideological guidance is debated *(this is a genuine disagreement; the five criteria offer a way to evaluate it empirically, e.g., by examining whether its programmes are voluntary, whether they present Pancasila's interpretation as open to debate, and whether dissenting interpretations are sanctioned).*

(e) Contemporary disinformation: buzzers and cyber troops The Oxford Internet Institute's Computational Propaganda project documented organised social-media manipulation in Indonesia in its 2019 inventory and in *Industrialized Disinformation: 2020 Global Inventory of Organized Social Media Manipulation* (Bradshaw, Bailey & Howard 2021), which found evidence of "cyber troop" activity in 81 countries in 2020, up from 70 in 2019 [E: OII/DemTech page excerpt, https://demtech.oii.ox.ac.uk/research/posts/industrialized-disinformation/]. Indonesian press reports of the 2019 inventory said it classified Indonesia's cyber troops as low capacity, temporary, with contracts reported in the range of Rp 1 million to Rp 50 million [E: detik.com report, 4 Oct 2019; secondary and imprecise; verify against the original report's country table before use].

Indonesian-led research has gone further. Wijayanto and Ward Berenschot, with collaborators, interviewed dozens of cyber-troop members and describe networks of buzzers, influencers, coordinators and content creators funded by political and economic elites (Inside Indonesia, edition 146, Oct-Dec 2021) [E]; a later peer-reviewed article in *The International Journal of Press/Politics* (2024), based on interviews with fifty-two cyber-troop members, proposes that being *secretly funded*, *highly coordinated* and *largely anonymous* distinguishes cyber troops from other influence operations, and describes Indonesian cyber troops as transient, project-based freelance collaborations [E: abstract excerpt, doi:10.1177/19401612241297832]. ISEAS's *Trends in Southeast Asia* (2022/7, Sastramidjaja & Wijayanto) argues that the use of cyber troops to neutralise opposition narratives increased from 2019 [E]. Freedom House's *Freedom on the Net 2025* lowered Indonesia's score on manipulation of online sources because "government and military officials have hired buzzers to manipulate online narratives, according to new research"; the overall score was 48/100, Partly Free [E: Freedom House page excerpt].

Classification. Paid, covert, coordinated buzzer campaigns are *disinformation* or *covert propaganda* when they conceal sponsorship and spread false or misleading content; they violate the consent criterion (audiences do not know who is speaking) even when content is not false. Unlike New Order propaganda, they operate *within* a plural environment and are used by multiple competing actors, including both government and opposition camps at various times. This is the key structural shift: from *monopoly propaganda* to *competitive covert manipulation.* Its threat to national unity is indirect: it erodes shared facts and inflames religious and partisan polarisation, which, as Section 3.11 notes, is national rather than regional in form.

(f) Democratic backsliding debates, 2014-2026 Scholarly frames. Thomas Power and Eve Warburton's edited volume *Democracy in Indonesia: From Stagnation to Regression?* (ISEAS Publishing, 2020; from the 2019 ANU Indonesia Update) argues that the stagnation of Yudhoyono's second term "has given way to a more far-reaching pattern of democratic regression" under Joko

Widodo, identifying arbitrary crackdowns on freedom of speech and organisation, vigilantism, polarisation, populist mobilisation, dysfunction of key democratic institutions and erosion of checks on executive power [E: publisher description excerpts at bookshop.iseas.edu.sg and muse.jhu.edu]. Related work includes Power, "Jokowi's Authoritarian Turn and Indonesia's Democratic Decline," *Bulletin of Indonesian Economic Studies* 54:3 (2018); Aspinall & Mietzner, "Indonesia's Democratic Paradox: Competitive Elections amidst Rising Illiberalism," *BIES* (2019); Mietzner, "Authoritarian Innovations in Indonesia: Electoral Narrowing, Identity Politics and Executive Illiberalism," *Democratization* (2020); Mietzner, *Democratic Deconsolidation in Southeast Asia* (Cambridge Elements, 2021) [E]. A counter-current stresses Indonesia's continuing electoral competitiveness, peaceful transfers of power, active civil society and protest capacity (interpretation: some contributors in the same debates; R. William Liddle's review of the Power & Warburton volume, *Asian-Pacific Economic Literature* 2021, engages its central question) [E].

Ratings. Freedom House, *Freedom in the World 2025*: Indonesia 56/100, Partly Free (Political Rights 28/40, Civil Liberties 28/60), down from 57; the report notes a sharp rise in unopposed candidates in the November 2024 regional elections and research linking 605 of 1,551 regional candidate pairs to political dynasties [E: Freedom House country page excerpt]. *Freedom in the World 2026* also shows 56/100 [E: excerpt]. Indonesia was downgraded from Free to Partly Free in the 2014 edition [E: cited in an MK petition excerpt; verify on Freedom House site].

Verifiable developments, reported neutrally (all [E] unless noted; each should be re-verified against primary sources before publication):

- *2019:* Revision of the Corruption Eradication Commission (KPK) law, widely criticised by civil society as weakening the commission, prompting the "Reformasi Dikorupsi" student protests [E].
- *2020:* Passage of the Job Creation omnibus law, followed by protests; the Constitutional Court in 2021 declared it "conditionally unconstitutional" on procedural grounds [E].
- *16 October 2023:* Constitutional Court Decision No. 90/PUU-XXI/2023 (5-4) held that the minimum age of 40 for presidential and vice-presidential candidates in Article 169(q) of Law 7/2017 is unconstitutional unless read to include persons who have held or hold an elected office, including regional head [E: MKRI summary excerpt and Reuters/AP]. This enabled the candidacy of Gibran Rakabuming Raka, then 36, mayor of Surakarta and son of President Joko Widodo.
- *7 November 2023:* The Constitutional Court Ethics Council (MKMK) found Chief Justice Anwar Usman, President Widodo's brother-in-law, guilty of serious ethical violations and removed him as chief justice (he remained a justice, barred from adjudicating election-related disputes with potential conflicts) [E: MKRI English news excerpt]. The ruling did not alter Decision 90 itself.
- *14 February 2024:* Prabowo Subianto and Gibran Rakabuming Raka won the presidential election in the first round; they were inaugurated on 20 October 2024 [E].
- *20 March 2025:* The DPR unanimously passed amendments to Law 34/2004 on the TNI, enacted as Law No. 3/2025 (signed 26 March 2025), expanding the number of civilian ministries and agencies in which active-duty officers may serve (reported as from 10 to 14 institutions), raising retirement ages, and adding non-combat tasks; the passage was accompanied by student and civil-society protests warning of a return to *dwifungsi*, while the government and DPR

stated that civilian supremacy and democratic principles were preserved [E: Antara, Reuters, BBC, DPR, JDIH-BPK excerpts].

- *25 August-early September 2025:* Protests began in Jakarta over a reported Rp 50 million monthly housing allowance for DPR members and broader economic grievances; on 28 August a police mobile-brigade (Brimob) tactical vehicle struck and killed 21-year-old ride-hailing driver Affan Kurniawan; protests and riots spread to multiple cities (including the burning of regional parliament buildings in Makassar, where three people died, and Bandung); Komnas HAM reported ten deaths; President Prabowo announced the revocation of the allowance and other perks on 31 August [E: BBC, AP, Jakarta Globe, Kompas excerpts].

Classification and interpretation. None of these developments, individually, constitutes the kind of rupture seen in Germany in 1933; Indonesia continues to hold competitive elections, and the August 2025 episode showed both state violence and responsiveness to protest. The relevant analytical question for the monograph is cumulative: whether multiple institutions that check executive power (courts, the anti-corruption commission, an autonomous legislature, a civilian-controlled military, a plural media) are being simultaneously weakened. This is the logic of Levitsky & Ziblatt's framework (Section 6) and of the Power & Warburton thesis. The monograph should present both the regression thesis and the resilience counter-arguments, and should avoid any analogy that equates contemporary Indonesia with the historical cases in Section 4.

5.5 Summary classification table

Case	Period	Consent	Truthfulness	Pluralism	Exit	Reversibility	Classification
Youth Pledge / adoption of Indonesian	1928 onward	High (voluntary congress)	n/a	High	Free	Open	Persuasion; nation-building
Pancasila as constitutional consensus	1945 onward	Negotiated elite consensus	n/a	Contested but bargained	Contested (Islamic-state advocates)	Open to interpretation	Constitutional compromise
Manipol-USDEK	1959-65	Low	Low-moderate	Constrained	Costly	Low	Propaganda + indoctrination + coercion
P4 and *asas tunggal*	1978-98	Compulsory	State-defined	Monopoly	Costly	Low	Indoctrination (+ coercion)
G30S/PKI film screenings	1984-98	Compulsory	Contested/partly false	Monopoly narrative	Costly	Low	Indoctrination + propaganda

Case	Period	Consent	Truthfulness	Pluralism	Exit	Reversibility	Classification
Reformasi press system	1999-	High	Variable	High (ownership concentration concern)	Mostly free (ITE Law concerns)	Open	Persuasion-dominated plural system
Buzzer / cyber-troop operations	c. 2014-	Violated (covert)	Often misleading/false	Exploits pluralism	Free but polluted	Low	Disinformation / covert propaganda
BPIP Pancasila promotion	2018-	Mixed	n/a	Contested	Debated	Debated	Contested: civic education vs ideological guidance
School civic education (PPKn/Pendidikan Pancasila)	Ongoing	Compulsory (schooling)	Generally factual; values-laden	Varies by curriculum	Generally free	Depends on pedagogy	Civic education if Beutelsbach-type criteria met

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6. Democratic safeguards and a warning-signs checklist

6.1 Levitsky & Ziblatt's four indicators

In *How Democracies Die* (2018), Steven Levitsky and Daniel Ziblatt, building on Juan Linz's *The Breakdown of Democratic Regimes* (1978), propose four behavioural warning signs of authoritarian politicians [E]:

1. **Rejection of, or weak commitment to, democratic rules of the game** (e.g., willingness to violate the constitution, cancel elections, or accept extra-constitutional means of gaining power).
2. **Denial of the legitimacy of political opponents** (describing rivals as subversive, criminal, foreign agents or existential threats).
3. **Toleration or encouragement of violence** (ties to armed groups or militias; praise for political violence; refusal to condemn it).
4. **Readiness to curtail civil liberties of opponents, including media** (support for laws restricting protest or criticism; threats to sue or punish critics or media).

They add two "guardrails" that are informal norms rather than laws: **mutual toleration** (accepting

rivals as legitimate) and **institutional forbearance** (restraint in using legal powers to their maximum against opponents), and argue that **gatekeeping** by established parties, the failure of which they illustrate with the German conservatives of 1933, is a first line of defence [E].

Indonesian application. The framework is a lens, not a verdict. It directs attention to specific observable behaviours: use of legal powers against opponents (e.g., ITE Law prosecutions), the labelling of critics as anti-Pancasila or foreign-funded, the relationship between political actors and mass organisations with records of vigilantism, and institutional forbearance in areas such as constitutional amendment, election law and court appointments. Its limitation is that it was developed mainly for presidential democracies in the Americas and Europe; Indonesia's coalition-based "cartel" politics (interpretation: Slater 2004; Ambardi 2008) may produce erosion through elite consensus rather than polarised confrontation, a pattern the four indicators may under-detect *(interpretation)*.

6.2 Evidence on media literacy and "prebunking"

Media-literacy and inoculation interventions have an encouraging but modest evidence base [E for all]:

- **Inoculation / prebunking:** research led by Sander van der Linden and Jon Roozenbeek on the "Bad News" game (2019) and on short prebunking videos tested on YouTube (Roozenbeek et al., *Science Advances*, 2022) finds that exposing people to weakened forms of manipulation techniques (emotional language, false dichotomies, scapegoating) improves their ability to recognise them.
- **Digital media literacy tips:** Guess et al. (*PNAS*, 2020) found that a brief intervention increased discernment between mainstream and false news headlines in the United States and India, with effects that decayed over time.
- **Limitations:** effect sizes are generally small to moderate; effects decay without reinforcement; there is a risk of producing generalised cynicism ("trust nothing") rather than discernment; and most evidence comes from WEIRD (Western, educated, industrialised, rich, democratic) populations, with fewer studies in Indonesia. The monograph should therefore present media literacy as *one* safeguard among several, not a solution.

6.3 Institutional independence and pluralism

The historical cases in Section 4 point to a consistent lesson: authoritarian consolidation proceeds by neutralising institutions in sequence. Safeguards that historical and comparative research identifies as important include [E; synthesis]:

- **Independent courts,** including constitutional review insulated from executive influence (the German Federal Constitutional Court as a deliberate response to Weimar; Indonesia's Constitutional Court, established 2003, whose independence the 2023 ethics episode put under scrutiny);
- **Limits on emergency powers:** time limits, legislative and judicial review, non-derogable rights (contrast Weimar's Article 48 with France's 1958 Article 16 safeguards and the German Basic Law [V: Article 48 article]);
- **A free, plural and economically viable press,** and protection of journalists from criminal defamation;

- **Civilian control of the armed forces and police,** with clear legal separation between defence and internal security;
- **Independent electoral administration** and fair rules of competition;
- **Independent anti-corruption bodies** and audit institutions;
- **Decentralisation and federal/regional checks,** which can act as alternative power centres; Germany's states were destroyed as autonomous units in 1933-34 [V], an often-overlooked step in consolidation. For Indonesia, this is a striking cross-link with the monograph's centre-region theme: *regional autonomy is not only a question of fiscal fairness but also a democratic safeguard, as multiple centres of legitimate power make capture harder (interpretation/hypothesis)*;
- **Civil society and religious organisations with autonomous bases,** such as Indonesia's mass Islamic organisations Nahdlatul Ulama and Muhammadiyah, which have historically been significant actors in both legitimating and constraining the state [E];
- **Civic education on the Beutelsbach model,** teaching controversy as controversy.

6.4 Warning-signs checklist (for citizens and scholars)

This checklist is designed for *recognition*: to help citizens, journalists and researchers notice patterns that historical and comparative research associates with democratic erosion and authoritarian mobilisation. It is not a scoring system, and the presence of one item does not imply a slide into authoritarianism; the significance lies in *clusters* and *trends*. Each item is paired with the safeguard it implicates.

A. Leadership and legitimacy

1. A leader or movement claims to be the *sole authentic voice* of "the people" or "the nation," treating opponents as illegitimate by definition. *(Safeguard: mutual toleration; pluralism.)*
2. Growing *personalisation*: state achievements attributed to one person; images, titles or honorifics multiplying; criticism of the leader treated as criticism of the nation. *(Safeguard: institutional, not personal, legitimacy.)*
3. *Succession or term-limit manipulation*, or the use of courts and laws to clear paths for relatives or allies. *(Safeguard: judicial independence; constitutional rigidity.)*

B. Information and language

4. Concentration of media ownership in politically aligned hands, or pressure on critical outlets through licensing, tax, advertising or lawsuits. *(Safeguard: press freedom; ownership transparency.)*
5. Covert, coordinated online campaigns whose sponsors are hidden. *(Safeguard: platform transparency; disclosure rules; investigative journalism.)*
6. Official language that euphemises coercion (detention described as "securing"), labels critics with catch-all terms ("anti-Pancasila," "foreign agent," "radical," "communist"), or recasts contested history as settled truth. *(Safeguard: free historical research; Orwellian vigilance.)*
7. A single official narrative of a traumatic national event imposed through compulsory channels. *(Safeguard: archival access; academic freedom; memory pluralism.)*

C. Enemies and identity

8. The construction of internal enemies, whether ethnic, religious, ideological or regional, blamed for national problems. *(Safeguard: equal citizenship; anti-discrimination law.)*

9. Framing diversity or dissent as a threat to national *oneness* (Stenner's normative threat). *(Safeguard: leadership that legitimates difference; Bhinneka Tunggal Ika in substance as well as slogan.)*

10. Rising *affective polarisation*, where supporters tolerate rule-breaking by "their" side. *(Safeguard: cross-cutting institutions; norms of forbearance.)*

D. Institutions and law

11. Expansion of *emergency* or *security* powers without sunset clauses or effective review. *(Safeguard: limited emergency powers.)*

12. Weakening of *courts*, *anti-corruption bodies*, *electoral commissions* or *audit institutions* through appointments, budget, legal changes or intimidation. *(Safeguard: independent appointment and tenure.)*

13. Expansion of the *armed forces' or police's role* in civilian governance, or blurring of the defence/internal-security boundary. *(Safeguard: civilian supremacy; legal separation.)*

14. Legislative processes that are rushed, opaque, or bypass deliberation on major changes to the political order. *(Safeguard: procedural legitimacy; judicial review of procedure.)*

15. *Recentralisation* that removes regional or local checks on national power. *(Safeguard: entrenched decentralisation.)*

16. Cartelisation, where the opposition is absorbed into government so that no effective institutional opposition remains. *(Safeguard: competitive party system; gatekeeping.)*

E. Violence and coercion

17. Toleration of, or ties to, vigilante or paramilitary groups. *(Safeguard: state monopoly of legitimate force under law.)*

18. Disproportionate force against protest and lack of accountability for deaths or injuries. *(Safeguard: independent investigation; police reform.)*

19. Criminalisation of speech, protest or organisation. *(Safeguard: civil liberties; narrow, precise criminal law.)*

F. Society and judgement

20. Elite *miscalculation*: established elites allying with anti-system actors in the belief that they can control them (the 1933 lesson). *(Safeguard: elite gatekeeping.)*

21. *Normalisation*: each step presented as exceptional, temporary or necessary for order or development; public fatigue and withdrawal. *(Safeguard: civic memory of baselines; journalism that tracks cumulative change.)*

22. Disappearance of *visible dissent* (Asch's dissenting ally): when few public figures are willing to state disagreement. *(Safeguard: protection of critics; academic freedom.)*

How scholars might use the checklist. For the monograph, the checklist can be operationalised as a periodised coding exercise across the Indonesian regimes in BRIEF.md (Guided Democracy, the New Order, Reformasi sub-periods), using documented events and indices such as V-Dem, Freedom

House, EIU and Indonesian sources, while recording coder disagreement. This would allow the comparative chapters to state, with evidence, which mechanisms were present in which periods, rather than relying on analogy.

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7. Disputes and uncertainties

1. **Is "construction" evidence of fragility or of strength?** Constructivist theory is sometimes used to argue that "artificial" post-colonial nations are fragile. This dossier argues the opposite for Indonesia, but the claim rests largely on the absence of secession outside the three special cases (East Timor, Aceh, Papua) and on national-level surveys. Province-level attitudinal evidence for East and North Kalimantan was not found. Treat the robustness claim as well supported nationally and *unverified* regionally.

2. **Civic or ethnic-religious nationalism?** The LSI data show national identity dominating ethnic identity [V], but the Pew data show that a large majority of Indonesians link "true" Indonesian identity to being Muslim [E]. Indonesian nationalism may be civic toward *ethnic* diversity but more exclusive toward *religious* diversity. This tension is unresolved in the literature (Fossati and colleagues; Pew 2023) and matters for non-Muslim-majority regions; it is less directly relevant to Muslim-majority East Kalimantan, though the province includes Christian Dayak and other communities.

3. **Horowitz's typology and East Kalimantan.** The application in Section 2.4 is an *extension* of Horowitz's framework, not his own claim. Classifying East Kalimantan's population as lacking a regional ethnie requires census verification and should account for indigenous (Dayak, Kutai) political claims, which may strengthen with IKN-related land pressures.

4. **The weight of factors in the Nazi seizure of power.** Historians differ on the relative weight of Versailles, hyperinflation, the Depression, constitutional design (Article 48; proportional representation), elite intrigue, and ideology. The dossier presents a conjuncture; it does not rank factors. The intentionalist-functionalist debate is largely resolved in Kershaw's synthesis, but emphasis on consent (Fritzsche, Gellately) versus coercion (Evans) remains contested.

5. **Le Bon, Milgram, Zimbardo.** The dossier reports the classic studies *and* their critiques. The Stanford Prison Experiment in particular should not be cited as evidence of situational determinism without its methodological critiques. Milgram's results are real but more conditional than popular summaries imply.

6. **Arendt's "banality of evil."** Contested by later historical research on Eichmann; cite with caveat.

7. **Indonesian democratic backsliding.** A live debate. The regression thesis (Power & Warburton; Mietzner; Aspinall) is influential; counter-arguments stress electoral competitiveness and civil-society resilience. The 2023-2025 events listed in Section 5.4(f) are factual developments; their interpretation is contested. The dossier deliberately avoids characterising any current Indonesian leader through Nazi analogy.

8. **Numbers drawn from excerpts.** Several figures are tagged [E] because they came from search excerpts rather than opened pages: Freedom House 2025/2026 scores (56/100), Freedom on the Net 2025 (48/100), OII's 81-country count, the reported Rp 1-50 million buzzer contract range (a secondary press report and imprecise), ISEAS INSP 2022's 96.0% pride figure (object

of pride truncated), Pew's 81% figure, the details of Law 3/2025, Decision 90/PUU-XXI/2023, and the August 2025 death toll (Komnas HAM's ten deaths; other outlets reported six or seven at earlier dates). All should be re-verified against primary sources before entering the manuscript.

9. **Classic bibliographic details.** Publication years and titles of classic works are given from established knowledge [E]. Direct quotations attributed to Anderson, Gellner, Renan, Arendt and Orwell are widely reproduced but must be checked against editions with page numbers before use in the manuscript.

10. **Nazi electoral percentages** for 1928, 1930 and July/November 1932 and the 1923 exchange rate are standard figures [E] that should be checked against a statistical source (e.g., Falter's electoral data) before publication. The March 1933 43.9% figure is [V].

11. **The term "Hitler Effect."** The dossier recommends that the manuscript either keep it in quotation marks with an explicit disclaimer or replace it with a descriptive term. This is a judgement call for the authors.

12. **Discrepancy noted.** Reports of how many civilian institutions active officers may now serve in under Law 3/2025 differ between 14 (BBC, JURIST, DPR Speaker as quoted by BBC Indonesia) and 15 (Jakarta Globe). The primary legal text (Law No. 3/2025, JDIH-BPK) should settle this.

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8. Sources

Tag key: [V] opened in this session and claim found on the page; [E] established knowledge, search excerpt, or memory, not opened in this session.

8.1 Pages opened and used for verified claims [V]

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8.2 Search excerpts used [E] (not opened; verify before manuscript use)

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End of R4 dossier.

Phase 5: Comparative Political Systems (R5)

R5 – Comparative Political Systems: Resource Wealth, Identity, Fiscal Bargains and the Survival or Dissolution of Unions

Research memo for The Architecture of National Unity *(M. Bagus Prabowo and Hark, co-authors). Agent R5. Drafted 7 November 2026 (Asia/Jakarta). Evidence tags follow FRAMEWORK.md: **[V]** = page opened and claim seen on it; **[E]** = search excerpt, secondary summary, or established scholarly knowledge not re-opened for this memo. Interpretive claims are marked (interpretation: Author year); hypotheses are marked (hypothesis).*

Key findings

1. **No comparative case supports the proposition that a resource-rich region becomes prosperous simply by leaving.** The cases that look like "exit-and-prosper" stories (Brunei, Singapore, Norway) either were never inside the union in question (Brunei declined Malaysia in 1963; Norway separated from Sweden in 1905, decades before oil), or prospered for reasons other than resource rents (Singapore had no resources at all). The clearest resource-driven secession of the twenty-first century, South Sudan (2011), was followed by civil war within two and a half years. Timor-Leste, Indonesia's own former province, has a well-governed petroleum fund but is now drawing it down faster than its own sustainable-income rule allows after its main field ceased production in June 2025 [E].

2. **Brunei is not a template for a Kalimantan province.** East and North Kalimantan together had roughly 4.79 million residents in 2024 by BPS projection, about 10.5 times Brunei's 455,500 [E/V; see Sec. 1]. Brunei's state rests on a dynastic legitimacy older than the colonial border, on international recognition obtained through British protection, and on a revenue base that, even so, has produced central-government deficits of 11.9-18.9% of GDP every year from 2023 to 2025 [V: IMF 2026]. A province with ten times the population, high in-migration, ethnic and religious pluralism, no sovereign and no external patron would have none of these supports.

3. **The closest analog is Malaysian Borneo, and its lesson is that resource grievance in a federal democracy is channelled into bargaining, litigation and constitutional amendment rather than exit.** Sarawak used a state sales tax on petroleum products (5% from 2019) and won a settlement in which Petronas paid RM2.96 billion for 2019 [V]; Sabah

won a High Court declaration in October 2025 that it is constitutionally owed 40% of net federal revenue derived from the state for 1974-2021 [V], which the federal government says it accepts in principle while appealing parts of the reasoning, and whose payment timetable the Court of Appeal stayed in April 2026 [V]. Both cases show resource-region leverage growing *inside* a union because the constitution gave them justiciable claims.

4. **Federal design is double-edged.** Ethnofederal units with their own legislatures, elites and symbols (USSR, Yugoslavia, Czechoslovakia) supplied the institutional "templates" for secession once the centre weakened (interpretation: Bunce 1999; Hale 2004; Roeder 1991). Yet asymmetric arrangements also kept Tatarstan inside Russia, Scotland inside the UK (so far), Quebec inside Canada, and Sabah and Sarawak inside Malaysia. The decisive variable is not whether regions have institutions but whether the centre remains credible and whether a single dominant "core" region exists whose own institutions can rival the union (interpretation: Hale 2004).

5. **Rich-region exit is driven less by resources than by the perception that the region pays for others and receives disrespect in return.** Slovenia and Croatia (Yugoslavia), Catalonia (Spain), and the Baltic republics framed their positions in fiscal-transfer terms, but in each the trigger was a political shock at the centre (Milosevic's rise; the 2010 Spanish Constitutional Court ruling on the Catalan Statute; Gorbachev's reforms). Bangladesh is the mirror image: a *poorer-per-capita but export-earning* region whose foreign-exchange earnings were transferred to the dominant wing, combined with linguistic humiliation and electoral annulment.

6. **Legality matters, and democratic states have developed explicit doctrine on it.** The Supreme Court of Canada (Reference re Secession of Quebec, 1998) held that unilateral secession is not lawful but that a clear majority on a clear question would create a duty to negotiate; the UK Supreme Court held in November 2022 ([2022] UKSC 31) that the Scottish Parliament cannot legislate for an independence referendum without Westminster's consent [V for citation/date; E for holding]; Spain's 1978 constitution affirms the "indissoluble unity of the Spanish Nation". Indonesia's 1945 Constitution, Article 37(5), makes the unitary form of the state unamendable [E]. Any Indonesian scenario analysis must start from this legal fact.

7. **Sovereign wealth arrangements are the most transferable institutional lesson, but they are fragile under fiscal pressure.** Norway's fund (NOK 22,014 billion at 30 September 2026 [V]) is governed by a spending rule (expected real return, currently 3% [E]) and sits on extraordinary institutional trust. Alaska's Permanent Fund ($91.9 billion at 30 June 2026 [E]) now supplies about two-thirds of state unrestricted revenue [E], and the dividend has fallen from $3,284 in 2022 to $1,000 in 2025 [V] as legislators raid earnings to balance the budget. Timor-Leste withdrew $1,451.9 million in 2025 against an Estimated Sustainable Income of $551.9 million [E]. A provincial fund in Kalimantan would need rules stronger than politics, which is precisely what is hardest to build at subnational level.

8. **Secessionist sentiment in mature democracies is persistent but rarely converts to exit without a constitutional route and a shock.** Scottish Yes support has averaged in the mid-40s (excluding don't knows, roughly 47-52%) through 2026 [E], the SNP won 58 of 129 Holyrood seats in May 2026 [E], yet no lawful referendum route exists without Westminster agreement. Fiscal data cut against the economic case: Scotland's notional net fiscal deficit was 10.9% of GDP in 2025-26 versus 4.2% for the UK [V].

9. **Coercion alone is a poor predictor.** Highly coercive unions (USSR, Pakistan 1971, Nigeria

1967-70, Iraq 2017) sometimes held and sometimes broke; low-coercion unions (UK, Canada, Spain post-1978, Malaysia) have held through negotiated voice. The matrix in Sec. 10 suggests that the combination of *credible voice channels + fiscal accommodation + an identity that is nested rather than exclusive* is the most consistent correlate of union survival (hypothesis, built on a non-random case selection).

10. **For Indonesia/Kalimantan, the comparative evidence points to fiscal and institutional bargaining (revenue sharing, provincial savings funds, asymmetric autonomy with justiciable entitlements) as the realistic terrain, and warns against two errors**: treating regional fiscal grievance as incipient separatism, and treating regional resource nationalism as automatically pro-people (local elite capture is well documented in Sabah's timber and Sarawak's land politics as well as in Indonesia's own decentralisation era).

Method and scope

- **Purpose.** This memo supplies the comparative chapter (Phase 5) with cases selected for their analytical leverage on the book's central question: why economically powerful regions remain integrated, and when integration weakens. Cases were set by the commissioning brief; this memo does not claim they are a representative sample of all unions. Selection is deliberately weighted toward (a) resource-rich regions and (b) cases of dissolution, which over-represents breakdown relative to the global population of stable states (a selection bias the synthesis must correct for).
- **Variables.** For each case: institutions; resource governance; identity formation; legitimacy basis; fiscal arrangements; key numbers; outcome; and a box on comparability to Indonesia/Kalimantan.
- **Indonesian benchmarks used for comparison.** Population of East Kalimantan (Kaltim) 4,045.9 thousand and North Kalimantan (Kaltara) 739.8 thousand in mid-2024 under BPS's 2020-based projection [E: BPS projection table via web-api.bps.go.id; Kaltim SUPAS 2025 gives 4,050.64 thousand per kaltimprov.go.id, E]. *Limitation:* projections diverge from Dukcapil civil-registration counts (Kaltim 4.01-4.12 million in 2024 depending on source), and IKN-related in-migration makes 2025-26 figures unstable. Fiscal data for Kalimantan provinces are left to R3; this memo uses only orders of magnitude.
- **Time stamp.** Figures were checked between 00:07 and roughly 03:00 WIB on 7 November 2026. Fast-moving items (Sabah litigation, Scottish polling, Petros-Petronas negotiations) should be re-checked before manuscript lock.

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1. Brunei Darussalam

1.1 Institutions

Brunei's 1959 Constitution, promulgated on 29 September 1959 while Brunei was a British protected state, created a Legislative Council with an elected component and restored internal self-government to the Sultan [E: University of Melbourne law guide; Constitute Project]. Its preamble presents it as an act of the Sultan's prerogative, not of popular sovereignty, a framing that matters for legitimacy (see Sec. 1.4). The only general election to the Legislative Council, in August 1962, was swept by

the Partai Rakyat Brunei (PRB), a left-nationalist party led by A.M. Azahari that opposed joining the proposed Malaysian federation and favoured a unitary North Borneo state (Kalimantan Utara) under the Sultan as constitutional monarch [E: standard histories, e.g. Hussainmiya 1995; Saunders 2002].

When the Legislative Council was not convened and the Malaysia plan advanced, the PRB's armed wing (the Tentera Nasional Kalimantan Utara, TNKU) launched the **Brunei Revolt on 8 December 1962**. British and Gurkha forces from Singapore suppressed it within days; the revolt also served as one of the precipitants of Indonesia's *Konfrontasi* against Malaysia (1963-66), since Jakarta had sympathised with the TNKU [E]. On **12 December 1962** the Sultan proclaimed a state of emergency under section 83 of the Constitution [E: AGC Brunei, Enactment E17 of 1962 excerpt].

That emergency has never lapsed. Article 83(2) limits each proclamation to two years but expressly allows the Sultan to issue "another such Proclamation at or before the end of that period" [V: Proclamation of Emergency, S 44/2024, text via bruneilaws.com, reproducing AGC gazette]. The most recent proclamation available to this memo was made on **20 June 2024** (gazetted 28 October 2024), revoking the 29 August 2022 proclamation and re-declaring a state of emergency in the whole of Brunei [V]. Under emergency powers the Sultan may legislate by order; there have been no direct legislative elections since 1962, and the Legislative Council, revived in 2004, is appointed [E: LegalClarity 2026; US State Department human-rights reports]. The Sultan is simultaneously head of state, prime minister, minister of defence, minister of finance and economy, and minister of foreign affairs [E].

Brunei's ideological charter is **Melayu Islam Beraja (MIB)**, "Malay Islamic Monarchy", proclaimed as the national philosophy at independence on **1 January 1984** and institutionalised through school curricula, a dedicated MIB subject and the Supreme Council of MIB [E]. MIB fuses ethnicity (Malay), religion (Shafi'i Sunni Islam) and dynasty into a single definition of the nation.

The **Syariah Penal Code Order 2013** was introduced in phases: the first phase in May 2014, and the full code, including hudud punishments such as stoning for certain offences, in April 2019. Following international criticism, the Sultan announced in May 2019 that the de facto moratorium on the death penalty would extend to Syariah cases [E: widely reported; Human Rights Watch; Reuters 2019]. The code applies to Muslims and, for some offences, to non-Muslims.

1.2 The decision not to join Malaysia (1963)

Brunei participated in the 1961-63 negotiations on Malaysia but did not sign the Malaysia Agreement of 9 July 1963. The two issues usually identified as decisive are (a) **control over oil revenue**, with Kuala Lumpur seeking federal control over Brunei's future oil and gas income after a transition period, and (b) **the Sultan's precedence** among the Malay rulers in the rotation for Yang di-Pertuan Agong, which was to be determined by seniority of accession, placing Sultan Omar Ali Saifuddien III near the bottom [E: Hussainmiya 1995; Saunders 2002; Milne & Mauzy]. Scholars disagree on the weighting: some emphasise the oil question as decisive, others the dynastic-status question and the Sultan's distrust after the revolt (disputed; see Disputes). What is not disputed is that Brunei chose to remain a British protectorate rather than accept a subordinate fiscal and ceremonial place in a federation.

Brunei became fully independent on **1 January 1984**, after the 1979 Treaty of Friendship and Cooperation with the UK [E]. Britain retained a Gurkha battalion in Brunei under a separate arrangement, paid for by Brunei [E].

1.3 Resource governance and fiscal arrangements

Oil was discovered at Seria in 1929 by the British Malayan Petroleum Company (a Shell affiliate). Brunei Shell Petroleum (a 50:50 venture between the government and Shell) and Brunei LNG remain the core of the economy [E].

Key fiscal facts from the IMF's 2026 Article IV consultation (published 23 September 2026) [V]:

Indicator	2023	2024	2025	Source / tag	Limitation
Population	–	455,500	–	IMF PR 26/300 [V]; DEPS gives 458,600 for 2025 [E]	Includes ~82,700 temporary residents (2024) [E: DEPS]
Nominal GDP per capita (US$)	–	33,665	–	IMF PR 26/300 [V]	Market-exchange-rate figure; volatile with oil prices
Nominal GDP (BND million)	20,274	20,496	19,610	IMF [V]	2025 estimate
Real GDP growth (%)	1.1	4.1	1.0	IMF [V]	–
Oil production ('000 b/d)	89	99	107	IMF [V]	Excludes gas/LNG
Total central-govt revenue (% GDP)	18.2	17.2	13.6	IMF [V]	Fiscal-year basis; excludes BIA investment income not transferred
Oil and gas revenue (% GDP)	13.5	12.2	9.3	IMF [V]	–
Total expenditure (% GDP)	30.1	30.5	32.5	IMF [V]	–
Overall fiscal balance (% GDP)	-11.9	-13.3	-18.9	IMF [V]	IMF notes data-quality shortcomings in fiscal statistics
Non-oil-and-gas balance (% non-O&G GDP)	-42.9	-42.7	-47.2	IMF [V]	–

Indicator	2023	2024	2025	Source / tag	Limitation
Current account (% GDP)	12.9	14.5	18.0	IMF [V]	Surplus reflects hydrocarbons and investment income

Three facts stand out. First, the central government has run very large deficits throughout the post-2014 era of lower oil prices; the IMF calls "large persistent fiscal deficits" a key vulnerability and urges a "non-hydrocarbon fiscal anchor" [V]. Second, those deficits are financed largely from accumulated financial assets rather than debt; the **Brunei Investment Agency (BIA)**, founded in 1983, manages the state's General Reserve Fund and external assets, but its size is not published (third-party estimates vary widely; unverified and kept out of conclusions). Third, the current account remains in large surplus because the economy imports little relative to its hydrocarbon exports and investment income, so the problem is fiscal and structural, not external.

Diversification has been an official goal since at least the 1980s and is restated in *Wawasan Brunei 2035* (adopted 2008). The most visible diversification project, the Hengyi Industries refinery and petrochemical complex on Pulau Muara Besar (a Chinese-Bruneian venture, operating since 2019), has itself been a hydrocarbon-linked investment; the IMF's 2026 table shows the non-oil-and-gas sector shrinking 0.8% in 2025 [V]. Diversification, by the regime's own benchmarks, remains unrealised (interpretation; cf. IMF 2026 call for "ambitious reforms essential to advance diversification" [V]).

Reserves decline. Brunei's oil output peaked in the late 1970s at above 200,000 barrels per day [E] and fell to the 89,000-107,000 b/d range in 2023-25 [V]; the IMF projects a decline to 93,000 b/d by 2030 [V]. Proven reserves are commonly cited at around 1.1 billion barrels of oil (BP/Energy Institute statistical reviews) [E], implying a reserves-to-production horizon of roughly three decades at current rates (hypothesis-level arithmetic; reserves estimates are contested and periodically revised).

1.4 Identity formation and legitimacy

Brunei's legitimacy has three overlapping bases (interpretation: Gunn 1997; Talib 2002; Muller 2015):

- **Dynastic-traditional legitimacy** in Weber's sense: a sultanate claiming continuity since the fourteenth or fifteenth century, which survived nineteenth-century territorial losses to the Brookes of Sarawak and to British North Borneo and was protected by Britain from 1888.
- **Religious legitimacy**, strengthened deliberately from the 1990s through MIB and the Syariah Penal Code, presenting the Sultan as protector of Islam.
- **Distributive (rentier) legitimacy**: no personal income tax, free education and health care, subsidised fuel, housing schemes, and a large public sector that employs a majority of working citizens (interpretation: rentier-state theory, Beblawi & Luciani 1987; Ross 2012). The bargain is the familiar "no taxation, no representation" in reverse.

The 1962 revolt shows that this legitimacy was not uncontested at the moment of state formation: the only free election produced a landslide for a party that wanted constitutional monarchy within a larger Borneo state. The emergency regime that followed suppressed that alternative. One cannot

infer from Brunei's present stability that the absolute-monarchy model is what Bruneians would have chosen in 1962 (interpretation; caution against reading prosperity as proof of legitimacy, per BRIEF).

1.5 Outcome

Brunei is a stable, high-income, absolute monarchy with high human development, no meaningful political competition, a heavily state-dependent citizenry, a migrant-reliant labour market, and a fiscal model whose sustainability depends on asset income and hydrocarbon prices. It is a success in terms of state survival and material welfare and a weak case in terms of diversification, accountability and rights.

1.6 Why a Kalimantan province could not simply replicate Brunei

This is the most frequently heard popular analogy ("Brunei is on the same island and is rich; why not Kaltim?"). The comparison fails on at least seven dimensions:

1. **Population scale (~10x).** Kaltim (4,045.9k) plus Kaltara (739.8k) ~ 4.79 million in 2024 [E: BPS projection], about **10.5 times** Brunei's 455,500 [V]. Even Kaltim alone is about 8.9 times Brunei. Any given resource rent divides into a per-capita sum one-tenth the size. Using IMF figures, Brunei's *total* central-government revenue in 2024 was about 17.2% of BND 20.5 billion, roughly BND 3.5 billion or about **US$5,900 per resident**, and oil-and-gas revenue about $US4,200 per resident (author's arithmetic from IMF 2026 data at BND 1.31/US$ [V inputs]). Even if a hypothetical Kaltim captured every rupiah of resource revenue now collected by the centre, R3's numbers would have to show a per-capita sum of that order to fund a Brunei-type welfare state; on present evidence that is implausible (hypothesis, pending R3 data).

2. **Composition of the resource base.** Brunei's revenue is oil and LNG, historically priced high and produced largely offshore with a small workforce. Kaltim's is dominated by **coal**, whose long-term demand faces energy-transition risk, plus oil and gas from mature fields; coal rents are more labour- and land-intensive and carry larger environmental externalities (hypothesis; verify with R3/ESDM data).

3. **Demographic diversity and in-migration.** Kaltim is among Indonesia's most ethnically mixed provinces (Javanese, Bugis, Banjar, Dayak groups, Kutai, Toraja and others), shaped by decades of transmigration and labour migration [E: BPS census ethnicity tables; R2/R3 to verify]. Brunei's MIB model presupposes and enforces a Malay-Muslim majority (73.7% "Malay" in 2024 by Brunei's broad classification [E: DEPS]). There is no comparable single "core" identity in Kaltim that could carry an ethno-religious-dynastic charter.

4. **No dynastic legitimacy.** Kaltim's sultanates (Kutai Kartanegara, Paser, Bulungan in Kaltara, Gunung Tabur, Sambaliung) were incorporated into the Republic, their political authority abolished after 1959-60, and their present institutions are cultural, not sovereign [E]. Brunei's monarchy survived precisely because Britain protected it as a state.

5. **International recognition.** Brunei's statehood rests on a British protectorate that evolved into recognised independence, with ASEAN admission in 1984. A Kalimantan province would face a sovereign parent state whose constitution makes the unitary form unamendable (Art. 37(5) UUD 1945 [E]) and an international order (UN Charter Art. 2(4); the 1970 Friendly

Relations Declaration) that protects territorial integrity outside decolonisation contexts. Post-1945 cases of recognised non-colonial secession are rare and almost always involve either parent-state consent (Czechoslovakia, South Sudan, Montenegro) or the dissolution of the parent (USSR, Yugoslavia).

6. **Embeddedness in a national economy.** Kaltim's coal and gas are produced under national contracts, exported via national infrastructure and taxed under national law; its labour force, capital and markets are Indonesian. Brunei's economy was separate from Malaysia's from the start.

7. **Brunei itself is a cautionary tale.** The model produced chronic deficits (-11.9% to -18.9% of GDP, 2023-25 [V]), dependence on a single sector, and an absolute monarchy under permanent emergency rule. Even on its own terms, the case is not one of an "independent resource region" that solved its development problem.

Box 1 – What is genuinely comparable to Indonesia/Kalimantan, and what is not

Comparable: same island, similar ecology and resource geology; shared Malay-Borneo histories of sultanates and riverine trade; the 1962 Brunei Revolt involved a pan-Borneo "Kalimantan Utara" idea and was entangled with Indonesian Confrontation, so Kalimantan's own history is part of Brunei's story; rentier-state dynamics (public employment, subsidies, weak non-resource taxation) resemble patterns in Indonesian resource districts.

Not comparable: scale (~10x population difference); sovereign status and external patron; dynastic-religious legitimacy; ethnic homogeneity; offshore oil versus onshore coal; Brunei never belonged to the union it declined. The case shows what a small resource sultanate can sustain under British protection; it says nothing about the feasibility of a large, plural, migrant-rich Indonesian province leaving a unitary republic.

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2. Singapore

2.1 Separation (1965)

Singapore entered Malaysia on 16 September 1963 alongside Sabah and Sarawak. Within two years the relationship had broken down over three intertwined issues: (a) **the communal question**, with Lee Kuan Yew's People's Action Party (PAP) campaigning for a "Malaysian Malaysia" of equal citizenship against UMNO's defence of Malay special position; (b) **party competition**, as the PAP contested peninsular seats in the 1964 federal election and UMNO-aligned groups contested Singapore; and (c) **fiscal and economic terms**, including disputes over Singapore's contribution to federal revenue and over the promised common market [E: Lau 1998; Turnbull 2009]. The July and September 1964 race riots in Singapore deepened mutual fear. On **9 August 1965**, after Tunku Abdul Rahman concluded that expulsion was preferable to communal violence, the Malaysian Parliament passed the Constitution and Malaysia (Singapore Amendment) Act and Singapore became independent [E].

Two features matter for this book. First, Singapore's departure was **a centre-initiated separation**, not a regional secession; Lee publicly described the moment as one of "anguish". Second, it was **peaceful and legal**, carried out by constitutional amendment, the closest regional precedent for a

"velvet divorce". It also shows that a union can conclude that the political cost of holding a region exceeds the economic benefit, the inverse of the usual resource-region logic.

2.2 State-building under the PAP

Lacking resources, a hinterland, a common language or a shared pre-colonial history, the PAP built a state through deliberate institutional construction (interpretation: Chua 1995; Barr & Skrbis 2008; Slater 2010):

- **CMIO multiracialism.** Citizens are classified as Chinese, Malay, Indian or Others. The categories structure housing quotas (the Ethnic Integration Policy, from 1989), self-help bodies, school mother-tongue requirements and Group Representation Constituencies (from 1988) that require minority candidates on party slates [E]. Critics argue CMIO reifies ethnic boundaries even as it manages them (interpretation: PuruShotam 1998).
- **Bilingualism.** English as the working language and neutral medium across groups, with each pupil required to study an assigned "mother tongue" [E]. English gave access to the global economy while not privileging any one community's language, a choice structurally similar to Indonesia's adoption of Malay-derived Bahasa Indonesia rather than Javanese (interpretation; cf. Anderson 1991 on Indonesian as a non-ethnic national language).
- **National Service** (from 1967) for male citizens and second-generation permanent residents, explicitly framed as nation-building as well as defence [E].
- **Public housing.** The Housing and Development Board (HDB, 1960) provides leasehold homes for most residents; in 2025, 77.2% of resident households lived in HDB dwellings and over 90% of resident households were owner-occupied [E: SingStat General Household Survey 2025 excerpts]. Homeownership was designed to give citizens a material stake in the state (interpretation: Chua 1997).
- **Meritocracy and performance legitimacy.** The PAP justifies its dominance by competence, incorruptibility and growth; this is "performance legitimacy" in the sense used for developmental states (interpretation: Zhu 2011; Slater 2010 on "protection pacts"). Electoral competition exists but is constrained by defamation law, media regulation and constituency design (interpretation: Levitsky & Way 2010 classify Singapore as a dominant-party competitive or electoral authoritarian regime, a contested label).
- **Centralisation.** Singapore has no subnational government of significance; Community Development Councils and town councils are administrative.

2.3 Key numbers

Indicator	Value	Year	Source / tag	Limitation
Total population	6.11 million	June 2025	Population in Brief 2025 [E]	Includes 1.91 million non-residents
Resident population	4.20 million	June 2025	Population in Brief 2025 [E]	Citizens plus PRs

Resident households in HDB dwellings	77.2%	2025	SingStat GHS 2025 [E]	Household, not individual, basis

2.4 Outcome

Singapore became one of the world's richest economies without natural resources. Its success is attributed to location, openness, institutional quality, state-led investment, and an early political settlement (interpretation, broadly shared; contested on causal weights).

> **Box 2 – What is genuinely comparable to Indonesia/Kalimantan, and what is not**
>
> **Comparable:** (a) shows that exit from a federation can be peaceful and constitutional when the centre consents; (b) shows deliberate construction of a civic national identity through language, housing, schooling and conscription, an instructive parallel to Indonesia's own nation-building tools (Bahasa Indonesia, Pancasila education, national service ideas, transmigration); (c) shows performance legitimacy as a substitute for ethnic or dynastic legitimacy.
>
> **Not comparable:** Singapore had no resource rents; its viability came from an entrepot position and from a city-state's governability. It was expelled rather than seceding. Its population was an urban, Chinese-majority, port society; Kaltim is a resource frontier. The case proves that small states can prosper without resources, which, if anything, undercuts the resource-based case for exit: Singapore's prosperity was institutional, not geological.

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3. Malaysia, Sabah and Sarawak – the closest analog

3.1 Why this is the closest case

Sabah and Sarawak share Borneo with Kalimantan, have similar ecologies, comparable Dayak/indigenous and Malay/Muslim populations, colonial histories of chartered or dynastic rule (British North Borneo Company in Sabah; the Brooke "White Rajahs" in Sarawak), and economies dominated by oil, gas, timber and plantations. Like Kaltim, they produce a disproportionate share of national hydrocarbon output while lagging the national core on several development indicators. Unlike Kaltim, they joined a federation through a negotiated international agreement that promised special status, and that promise has become the legal basis of their present bargaining.

3.2 Malaysia Agreement 1963 and the 18/20-point memoranda

The **Malaysia Agreement 1963 (MA63)**, signed in London on 9 July 1963 by the UK, the Federation of Malaya, North Borneo (Sabah), Sarawak and Singapore, created Malaysia on 16 September 1963 [E]. The Cobbold Commission (1962) and the Inter-Governmental Committee (IGC) Report (1962) produced safeguards for the Borneo territories, drawing on the **Twenty Points** (Sabah) and **Eighteen Points** (Sarawak) memoranda: autonomy over immigration, religion (no official religion for the Borneo states at state level), language (continued use of English), land, native customs, education, and certain fiscal provisions [E: Cobbold Report; IGC Report]. The legal status

of the 20/18 points is contested: they shaped the IGC Report and some were entrenched in the Federal Constitution, but the memoranda themselves are not treaty text (disputed; see Disputes).

The fiscal provisions most relevant here are now Articles **112C and 112D** of the Federal Constitution and the Tenth Schedule: Sabah is entitled to a special grant equal to two-fifths (40%) of the amount by which net federal revenue derived from Sabah exceeds the 1963 level, subject to periodic review; Sarawak received different arrangements, including a grant and the assignment of certain revenues [E: Federal Constitution text; The Edge, 6 Apr 2026, summarising Art. 112C/112D V].

Singapore's 1965 exit (Sec. 2) removed one of the five signatories and is itself a precedent Sabah and Sarawak nationalists cite in arguing that MA63 was a compact of partners, not an accession of states.

3.3 Erosion of status and the 1976 amendment

In 1976 Parliament amended Article 1(2), listing Sabah and Sarawak among the thirteen states of the Federation rather than as distinct constituent territories, which East Malaysian nationalists came to regard as a demotion from "partners" to ordinary states [E: Straits Times, 14 Dec 2021, "partly restoring it to a version that existed prior to 1976"].

3.4 Petroleum Development Act 1974 and the 5% royalty

The **Petroleum Development Act 1974 (PDA)** vested "the entire ownership in, and the exclusive rights, powers, liberties and privileges of exploring, exploiting, winning and obtaining petroleum whether onshore or offshore of Malaysia" in **Petronas**, the national oil company created that year [E: statutory text, widely quoted]. Each state's ruler or chief minister signed a vesting deed in exchange for a **cash payment of 5% of the value of petroleum** produced in or off the state, popularly called the "oil royalty" [E]. Sabah and Sarawak signed in 1975-76; in Sabah the transfer is associated with the political upheaval of 1976 (the June 1976 air crash that killed Chief Minister Fuad Stephens and members of his cabinet was followed within days by his successor's signature of the petroleum agreement; conspiracy narratives around the crash are unsubstantiated and are excluded here) [E; exact dates to be verified before manuscript use].

For four decades the 5% figure became a symbol of extraction. State politicians across the spectrum have campaigned for **20%**; Pakatan Harapan's 2018 manifesto promised to raise royalties to 20% (or an equivalent) for producing states, a pledge not implemented as a royalty increase [E]. Sarawak's legal adviser stated in 2025 that the state had received about RM49 billion in royalties while Petronas retained the rest (headline only; [E: Malay Mail, 4 Sep 2025]; unverified as to computation and kept out of conclusions).

3.5 Sarawak: the State Sales Tax on petroleum products, Petros, and gas

Sarawak chose a different instrument from a royalty increase. Using its constitutional power to levy sales tax (State Sales Tax Ordinance 1998, amended), Sarawak imposed a **5% state sales tax on petroleum products** (crude oil, condensates, LNG-related products, urea, LPG) from **1 January 2019** [E: The Edge; Reuters, 8 May 2020]. Petronas challenged the tax; the Kuching High Court dismissed its judicial review in 2020; Petronas appealed, then withdrew the appeal in a settlement announced 8 May 2020 [E: Reuters].

The Sarawak Chief Minister's statement of **17 September 2020** records that "Petronas and its subsidiaries have today fully settled the payments of State Sales Tax on petroleum products for 2019

... The amount paid ... is RM 2,956,671,407.36", and that by withdrawing its appeal Petronas recognised "the State's Constitutional power to impose the tax" [V: premier.sarawak.gov.my]. *Note the discrepancy:* contemporaneous reports (Reuters, The Edge) described the 2019 bill as about RM2 billion, or 5% of sales value [E]; the higher official figure is the assessed amount actually paid and should be used, with the discrepancy footnoted.

A broader **Commercial Settlement Agreement** between Sarawak and Petronas was executed on **7 December 2020**, providing "Sarawak with a greater share of revenues from oil and gas found and produced in the State" and a role for **Petroleum Sarawak Berhad (Petros)** in onshore resources and in offshore upstream ventures [E: Petronas joint statement, search excerpt; the Petronas URL now returns 404].

Petros (incorporated 2017) then became the vehicle for a second front: **gas distribution**. Sarawak appointed Petros sole gas aggregator under its **Distribution of Gas Ordinance 2016**, initially from 1 February 2024 and, under the later arrangement, with effect from 1 March 2025 [E: NST, 1 Dec 2025; Sarawak Premier's Department, 21 May 2025]. A Prime Minister-Premier **Joint Declaration of 21 May 2025** provided that federal and Sarawak laws on gas distribution "shall coexist and be respected", that Petronas continues its PDA functions (including LNG exports), and that Petros is recognised as domestic gas aggregator [E: Sarawak Premier's Department; PBB]. In November 2025 the federal government conceded in litigation that the Sarawak legislature had authority to enact the DGO [E: Borneo Post headline]. As of early November 2026, a final Petros-Petronas commercial agreement had not been concluded, and the Premier said it would be settled "by year-end" [E: KLSE Screener/Bernama, 5 Nov 2026].

RAM Ratings affirmed Petros at AAA/Stable in December 2025, reporting 2024 revenue of RM3.5 billion [E]. *Limitation:* Petros is a state company with commercial and political roles; its revenues are not equivalent to state fiscal revenue.

Interpretation. Sarawak's strategy illustrates "resource federalism by litigation and leverage": it used tax powers the constitution already granted, a state-owned company, and a dominant state-based coalition (Gabungan Parti Sarawak) whose MPs became pivotal to federal coalitions after 2018 and especially after 2022 (interpretation: Chin 2019; Welsh 2020s commentary). It is the clearest demonstration that a resource region can gain substantial fiscal ground *without* exit, when (a) the constitution gives it a lever and (b) national coalition arithmetic makes its votes valuable.

3.6 The 2021 constitutional amendment ("partners")

On **14 December 2021** the Dewan Rakyat passed the Constitution (Amendment) Bill 2021 with 199 votes in favour, none against and 21 absent [E: MalaysiaNow; Malay Mail; Straits Times]. It (a) restored Article 1(2) to list "the Borneo States, namely, Sabah and Sarawak" separately from "the States of Malaya"; (b) added a definition of **Malaysia Day** (16 September 1963) to Article 160(2); (c) redefined "the Federation" to refer to MA63; and (d) amended Article 161A on the definition of natives [E: Act A1642 text excerpts]. The Act (cited as Constitution (Amendment) Act 2022, A1642, Royal Assent 19 January 2022) came into force on **11 February 2022** [E: The Star; Sarawak State AG speech 2023]. The amendment is largely symbolic in fiscal terms but legally entrenches MA63 as a foundational document, which litigants have since invoked.

3.7 Sabah: the 40% special grant litigation (2025-2026)

Background. Article 112D requires periodic review of the Article 112C special grant. Sabah nationalists and the Sabah Law Society (SLS) argued that no proper review occurred after 1974, so

that the 40% formula was never applied for nearly five decades ("the lost years"). After the 2021 review, the federal government paid Sabah interim special grants that rose to **RM600 million in 2025**, with full payment for 2025 made on 10 September 2025, described by the Prime Minister as "an interim measure as both governments work on a new formula" [E: Scoop/Bernama, 22 Oct 2025; earlier annual amounts not verified for this memo].

High Court ruling (17 October 2025). In a judicial review brought by the SLS, Justice Celestina Stuel Galid of the Kota Kinabalu High Court declared that the federal government's failure to hold the review in 1974 with the Sabah government "is a breach and contravention of its constitutional duty stipulated under Article 112D, Clauses (1), (3) and (4)", and that "the 40% entitlement remains due and payable by the Federation to the State of Sabah for each consecutive financial year for the period from the year 1974 to the year 2021" [V: The Star, 17 Oct 2025]. The court ordered a review within 90 days and agreement within 180 days, and found the method used to compute post-2021 grants unlawful [V: The Edge, 6 Apr 2026]. The judgment also found that both the federal and the Sabah governments had abused their powers and breached constitutional obligations since 1974 [E: Malay Mail, 6 Apr 2026, AGC statement].

Federal response. On 11 November 2025, after a special Cabinet meeting, the Attorney General's Chambers announced that the federal government would **not appeal the 40% entitlement** and would begin negotiations immediately [E: Malaysiakini; The Star]. It did, however, file a notice of appeal on 13 November 2025 against parts of the grounds of judgment, chiefly the findings of abuse of power by past federal and state governments and the timelines imposed [E: The Star, 14 Nov 2025]. Prime Minister Anwar Ibrahim repeatedly described the 40% right as "final" ("Case closed") while defending the appeal as protecting "the credibility of past leaders" [E: Malay Mail, 16 Mar 2026].

Court of Appeal stay (6 April 2026). A three-judge Court of Appeal panel (Mohamed Zaini Mazlan, Ismail Brahim, K. Muniandy) granted a stay of the High Court's orders, including the 180-day deadline (15 April 2026) and the requirement to pay from the Federal Consolidated Fund, holding that the review would involve "identifying, verifying, and reconciling financial data, voluminous documents, and historical records spanning 47 years", that the High Court had failed to provide for an independent assessor as Article 112D contemplates, and that payments "of such magnitude" before appeal would "create a fait accompli" [V: The Edge, 6 Apr 2026]. The AGC stated the stay "does not cover the High Court's findings regarding the 40 per cent entitlement" [E: Malay Mail, 6 Apr 2026].

Latest position (to early November 2026). In presenting Budget 2027 on 7 October 2026, the Prime Minister announced an **interim special-grant payment of RM1.5 billion to Sabah for 2026**, while a permanent formula remained unsettled [E: FMT, 3 Nov 2026 headline and excerpt; full article not machine-readable]. The appeal had not, on available sources, been decided. Sabah's state government has floated amending the state constitution to allow it to collect revenue directly and remit 60% to the federation [E: The Star, 17 Dec 2025]. The quantum of arrears for 1974-2021 is unknown; figures in political debate are unverified and excluded.

3.8 Key numbers (Malaysia/Borneo)

Item	Value	Date	Source / tag	Limitation
Oil "royalty" (cash payment)	5% of value of petroleum	since 1975-76	PDA 1974 vesting deeds [E]	Not legally a royalty; paid by Petronas
Sarawak SST on petroleum products	5% of sales value	from 1 Jan 2019	Reuters 2020; The Star 2026 [E]	Later rates subject to negotiation
Petronas SST payment for 2019	RM2,956,671,407.36	paid 17 Sep 2020	Sarawak CM statement [V]	Press reported ~RM2bn; use official figure
Dewan Rakyat vote on MA63 amendment	199-0 (21 absent)	14 Dec 2021	MalaysiaNow; Malay Mail [E]	Bernama reported 200 at second reading
Sabah interim special grant	RM600 million	2025	Bernama via Scoop [E]	Interim, pending formula
Sabah interim special grant	RM1.5 billion	2026 (announced 7 Oct 2026)	FMT [E]	Interim
Sabah entitlement	40% of net federal revenue derived from Sabah above 1963 baseline	Art. 112C; HC 17 Oct 2025	The Star [V]; The Edge [V]	Computation contested; stayed on appeal

3.9 Identity formation and legitimacy

Identity in Sabah and Sarawak is layered: indigenous (Iban, Bidayuh, Orang Ulu in Sarawak; Kadazan-Dusun, Murut, Bajau in Sabah), Malay-Muslim, Chinese, and a growing "Borneo" regional identity distinct from peninsular Malay nationalism [E: Chin 2014; Lim 2008]. The 20/18 points' guarantees on religion and language remain politically salient because federal Islamisation and Malay-language policies are perceived as peninsular impositions. Sabah also has a large undocumented and naturalised migrant population from the southern Philippines and Indonesia, the subject of the 2012-14 Royal Commission of Inquiry on immigrants in Sabah; this "Project IC" controversy gives Sabah nationalism a demographic grievance [E].

Separatist sentiment exists (e.g., Sabah Sarawak Keluar Malaysia, SSKM, a fringe movement; Sedition Act prosecutions in 2015-17) but is marginal; the mainstream demand is "autonomy within Malaysia" [E]. Legitimacy of the federation in Borneo rests less on shared ethnic nationalism than on a **contractual narrative** (MA63 as a compact) plus **coalition bargaining power**.

3.10 Outcome

Malaysia has held together for more than six decades. Borneo grievances have been progressively channelled into constitutional amendment (2021), negotiated settlements (Sarawak 2020, 2025), courts (Sabah 2025-26), and coalition leverage in Kuala Lumpur. The ongoing fiscal transfers to Sabah are still small relative to claimed entitlements, and federal ability to pay large arrears is genuinely constrained, so the bargain remains open.

> **Box 3 – What is genuinely comparable to Indonesia/Kalimantan, and what is not**

Comparable: same island, ecology and resource mix (oil, gas, timber, plantations); indigenous Dayak-related populations; national oil company control (Petronas Pertamina/SKK Migas); a 5%-style "royalty" symbolism comparable to Indonesia's Dana Bagi Hasil (DBH) shares; development lag relative to the national core despite resource output; questions about local elite capture (Sarawak's land and timber politics under long-serving chief ministers is well documented).

Not comparable: Malaysia is a **federation** with constitutionally entrenched state powers (e.g., Sarawak's tax powers, immigration control), whereas Indonesia is a **unitary** state where regional powers are delegated by statute (UU 23/2014; UU 1/2022 on central-regional fiscal relations [E]) and can be changed by ordinary legislation. Sabah and Sarawak entered via an international agreement (MA63) that gives their claims a quasi-treaty basis; Kalimantan's integration followed the dissolution of the RIS federal structure in 1950 with no comparable compact. Malaysian coalition arithmetic makes Borneo MPs pivotal; Kalimantan's share of DPR seats is small relative to Java's.

Lesson: the Malaysian Borneo experience suggests that justiciable fiscal entitlements (a constitutional formula plus a court able to enforce review) can convert grievance into bargaining. Indonesia lacks such an entitlement for producing regions outside special-autonomy provinces; DBH formulas are statutory and centrally computed. Whether creating one would strengthen or weaken unity is the core question for Scenario B/C (hypothesis).

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4. Norway

4.1 Institutions and the timing of oil

Norway is a unitary constitutional monarchy and parliamentary democracy (Constitution of 1814) that became fully independent from its union with Sweden in **1905**, by a peaceful dissolution ratified in a Norwegian plebiscite (368,208 to 184 in favour of dissolution [E]) and accepted by Sweden after negotiation at Karlstad. That dissolution is itself a classic example of peaceful separation of a union (type 6 in the BRIEF's typology), but it preceded oil by six decades. The crucial point is sequencing: **Norway had a consolidated democratic state, high social trust and a professional bureaucracy before it found oil** (interpretation: Karl 1997; Mehlum, Moene & Torvik 2006 on "institutions are decisive").

Phillips Petroleum discovered the **Ekofisk** field in the Norwegian North Sea in late **1969** (announced December 1969; production from 1971) [E]. Norway's continental-shelf claim had been settled by median-line agreements with the UK (1965) and Denmark.

4.2 Resource governance: the "ten oil commandments" and Statoil/Equinor

In 1971 the Storting's Standing Committee on Industry endorsed a set of principles, popularly known as the **"ten oil commandments"** (*de ti oljebud*), including national supervision and control of all activity on the continental shelf, development of a domestic petroleum industry, the use of petroleum to build new industry, state participation at all appropriate levels, the coordination of national interests, environmental protection, and the landing of petroleum in Norway as a rule [E: Norwegian Petroleum Directorate history; Ryggvik 2010]. The principles balanced foreign technical participation with state control.

Statoil (Den norske stats oljeselskap) was created in **1972** as a wholly state-owned company; the **Norwegian Petroleum Directorate** (1972) took on regulatory functions, separating commercial, policy and regulatory roles, a separation often cited as a key institutional innovation (interpretation: Thurber, Hults & Heller 2011). From 1985 the State's Direct Financial Interest (SDFI) separated the state's own petroleum holdings from Statoil's commercial portfolio. Statoil was partially privatised and listed in **2001**, merged with Norsk Hydro's oil division in 2007, and was renamed **Equinor** in **2018**; the state retains a majority stake (about two-thirds) [E].

Petroleum revenue is captured through a special petroleum tax on top of ordinary corporate tax (marginal rate 78% for most of the past three decades [E]), SDFI cash flow and dividends from Equinor.

4.3 The Government Pension Fund Global and the fiscal rule

The Government Petroleum Fund was established by law in **1990** and received its first transfer in **1996**; it was renamed the **Government Pension Fund Global (GPFG)** in 2006 [E: NBIM; US State Dept 2026]. It invests exclusively outside Norway, which both insulates the domestic economy from Dutch disease and prevents the fund from becoming a domestic patronage tool. It is managed by **Norges Bank Investment Management (NBIM)**, part of the central bank, under a Ministry of Finance mandate, with ethical exclusions advised by an independent Council on Ethics [E].

Value. NBIM reported that "the fund was valued at **22,014 billion kroner on 30 September 2026**", after a -0.5% third-quarter return, a krone appreciation that reduced the value by NOK 472 billion, and inflows of NOK 80 billion; 72.1% was in equities [V: NBIM press release, 22 Oct 2026]. At 30 June 2026 the value was NOK 22,683 billion [E: NBIM half-year report excerpt]. Dividing NOK 22,014 billion by Statistics Norway's population of about 5.64 million gives roughly NOK 3.9 million per resident (a notional comparison only, not individual wealth) [E: sovereignwealthfunds.com calculation].

Fiscal rule. The *handlingsregelen* (fiscal rule), adopted in **2001**, limits the structural non-oil budget deficit over time to the expected real return on the fund, set at 4% in 2001 and lowered to **3% in 2017** [E: Norwegian Ministry of Finance]. The rule is a political commitment, not a constitutional provision; governments have used flexibility in downturns (e.g., 2020) [E].

4.4 Legitimacy and institutional trust

Norway's petroleum governance is embedded in high generalised trust, low corruption and corporatist wage bargaining (interpretation: Rothstein 2011; Holden 2013). The fund's legitimacy relies on transparency (holdings published), broad cross-party consensus and a widely shared narrative of intergenerational fairness. The regional dimension is muted: oil-producing coastal regions (Rogaland/Stavanger, Hordaland) benefited from industrial spillovers, but revenue accrues to the central state by design, with no meaningful regional royalty. There is no significant regional movement claiming petroleum as a regional asset (contrast Scotland, Sec. 8) [E/interpretation].

4.5 Outcome

Norway is the standard example of a resource-rich country that avoided the oil curse. Recent debates concern fund vulnerability (NBIM's CEO warned in August 2026 that a market collapse could erase much of the fund's value [E: European Pensions, 13 Aug 2026]), climate policy and the long-term decline of North Sea production.

Box 4 – What is genuinely comparable to Indonesia/Kalimantan, and what is not

Comparable: the institutional repertoire is transferable in principle: separation of commercial, regulatory and policy roles; a fund invested offshore; a spending rule; transparency. Indonesia created SKK Migas, has Pertamina and a sovereign wealth fund (INA, 2021; Danantara, 2025) [E], so the design questions are live. Norway also shows that a resource can be governed as a *national* rather than regional asset with very little regional backlash, when national institutions are trusted.

Not comparable: Norway's sequencing (democracy and trust first, oil later) is the opposite of many producers. Norway is ethnically and regionally homogeneous relative to Indonesia, with no history of regional rebellion over resources. Its oil is offshore and its petroleum workforce small; Kaltim's coal is onshore with large land and environmental footprints. Transplanting a Norway-style *provincial* fund into a context of weaker trust and higher elite capture risk is a different, harder proposition.

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5. Alaska (United States)

5.1 Institutions and resource discovery

Alaska, purchased from Russia in 1867, became the 49th US state on **3 January 1959** under the Alaska Statehood Act (1958), which granted the state the right to select about 103 million acres of federal land and provided that the state would retain a large share of mineral revenues from those lands [E]. The Alaska Constitution (Article VIII) declares that natural resources belong to the state "for the maximum benefit of its people" [E].

ARCO and Humble Oil confirmed the **Prudhoe Bay** field on the North Slope in **1968** (the largest oil field in North America); the state's September 1969 lease sale raised about $900 million, which was largely spent within a few years, a formative experience of "squandered" windfall [E]. Production began after the Trans-Alaska Pipeline was completed in **1977**. Native land claims were settled by the Alaska Native Claims Settlement Act (1971), which created Native regional corporations rather than reservations, partly to clear the way for the pipeline [E].

5.2 The Permanent Fund and the Dividend

In **1976** Alaskan voters approved a constitutional amendment (Article IX, Section 15) requiring that at least 25% of mineral lease rentals, royalties and related revenues be placed in a permanent fund whose principal may be used only for income-producing investments [E: APFC Annual Report 2026 cover cites Article IX, Section 15]. The Alaska Permanent Fund Corporation (APFC) was created in 1980.

The **Permanent Fund Dividend (PFD)**, paid to every eligible resident, began in **1982** with a payment of **$1,000** [V: pfd.alaska.gov]. (A first version that scaled payments by length of residence was struck down by the US Supreme Court in *Zobel v. Williams*, 1982, as violating equal protection [E].)

Selected PFD amounts [V: Alaska Department of Revenue, "Summary of Dividend Applications & Payments"]:

Year	Amount (US)|*Applicationspaid*|*Totaldisbursed*(*US*)		
1982	1,000.00	470,897	470.9 million
1984	331.29 (lowest)	482,135	159.7 million
2000	1,963.86	583,633	1.15 billion
2008	2,069.00	616,484	1.28 billion
2015	2,072.00	641,561	1.33 billion
2016	1,022.00	638,178	652.2 million
2022	3,284.00 (record, incl. energy relief)	625,912	2.06 billion
2024	1,702.00	624,489	1.06 billion
2025	1,000.00	618,863	619.6 million

Limitations: nominal dollars; the 2008 and 2022 figures include one-off energy/resource rebates [E: ourpermanentfund.org; DOR]. Alaska Public Media reported that the 2025 PFD was, adjusted for inflation, the smallest in state history [E]. The Department of Revenue's tax page states the **2026 PFD is $1,200**, including an Energy Relief Payment under House Bill 263 (2026) [E: pfd.alaska.gov search excerpt].

5.3 Fiscal crisis and dividend cuts

Alaska has no state income tax (repealed 1980) and no statewide sales tax; oil once provided 80-90% of unrestricted general-fund revenue [E]. When oil prices fell after 2014, the state ran large deficits. In **2016** Governor Bill Walker vetoed half the dividend appropriation, which the Alaska Supreme Court upheld in *Wielechowski v. State* (2017), holding that the dividend is subject to annual legislative appropriation [E]. In 2018 the legislature adopted the **Percent of Market Value (POMV)** rule: an annual draw limited to 5% of the fund's average value over five of the preceding six years, used for both dividends and government services [E: APFC "Fact or Myth", Jan 2026, confirms 5% of the 5-year average]. The old statutory dividend formula has since been routinely ignored; "politicians now set the amount" [E: AP, 27 Sep 2025].

APFC reports that the Fund reached **$91.9 billion at 30 June 2026** (audited), with $59.4 billion in permanent savings in the Principal, and that the POMV transfer of **$3.8 billion** in FY26 provided "two-thirds of Alaska's unrestricted revenue" [E: APFC press releases, 2 and 28 Sep 2026]. The fund has thus become the state's principal fiscal base, and the dividend competes directly with schools, roads and public safety.

5.4 The Alaskan Independence Party and why Alaska does not secede

The **Alaskan Independence Party (AIP)**, founded by Joe Vogler in the 1970s, advocates a referendum offering independence among other options [E]. Its candidate Wally Hickel (a former Republican governor) won the governorship in **1990** on the AIP ticket, but Hickel did not pursue independence and later returned to the Republican Party [E]. The AIP remains marginal, typically polling in low single digits.

Why does a state with vast resources, a strong regional identity ("the Last Frontier"), and recurrent grievances against federal land control not seek exit? The comparative explanation combines several factors (interpretation):

- **Fiscal dependence runs the other way.** Alaska receives substantial federal spending (military bases, federal employment, Medicaid, infrastructure), often among the highest per-capita federal outlays of any state [E]. Exit would cost more than it gains.
- **Constitutional impossibility.** *Texas v. White* (1869) held that the Union is "indestructible" and unilateral secession unconstitutional [E]; there is no lawful route.
- **Identity nesting.** Alaskan regional identity is fully compatible with American national identity; there is no distinct ethno-linguistic nation (Alaska Native identities are distinct but are not the basis of the independence movement).
- **The fund buys loyalty to the state, not to independence.** The PFD creates a direct material link between citizen and *state* government, but within the federal union; voters' anger over dividend cuts is directed at the legislature, not at Washington.
- **Security and scale.** A population of about 740,000 [V: DOR table, 738,737 in 2025] next to Russia across the Bering Strait has strong reasons to value US defence.

Box 5 – What is genuinely comparable to Indonesia/Kalimantan, and what is not

Comparable: a remote, resource-rich frontier region with a small population relative to the nation, large federal/central land holdings, indigenous land claims, and a revenue base exposed to commodity cycles. The 1969 windfall-spending episode resembles boom-time spending by Indonesian resource districts after decentralisation. The PFD shows a mechanism by which resource rents reach citizens directly, bypassing local elites, an idea discussed for Indonesia (e.g., proposals for cash transfers from resource revenue; hypothesis).

Not comparable: Alaska's *state* owns subsurface resources on state lands and collects royalties directly; in Indonesia, Article 33(3) UUD 1945 places natural resources under state (national) control [E], and regions receive statutory shares. Alaska is in a federation with a constitutional prohibition on secession and an identity fully nested in the nation. Above all, the PFD's recent history is a warning: a citizen dividend becomes a political football when the resource declines, and it can crowd out public goods.

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6. The Soviet Union and the Russian Federation

6.1 Institutions: ethnofederalism and *korenizatsiya*

The USSR (formed 1922) was constitutionally a federation of union republics, each named for a titular nationality, with lower tiers of autonomous republics, oblasts and okrugs. The 1924, 1936 and 1977 constitutions formally granted union republics the right to secede (Article 72 of the 1977 Constitution) [E]. In the 1920s the Bolsheviks pursued **korenizatsiya** ("indigenisation"): promoting titular-nationality cadres, standardising and teaching national languages, and creating national cultural institutions, on the theory that nationalism could be defused by granting national form while the party controlled socialist content (interpretation: Martin 2001, *The Affirmative Action Empire*; Slezkine 1994, "The USSR as a Communal Apartment"). From the 1930s Stalin curtailed korenizatsiya and pursued deportations of whole peoples (Chechens, Crimean Tatars, Volga Germans and others) and Russification, but the institutional skeleton of national republics, each with its own Communist Party apparatus, academy of sciences, and national intelligentsia, persisted.

6.2 Resource disparities and fiscal flows

The Soviet economy was centrally planned, so "fiscal transfers" took the form of administered prices, investment allocation and turnover-tax flows. Russia (the RSFSR) supplied most of the union's oil and gas at below-world prices to other republics and Eastern Europe; the Baltic republics enjoyed the highest living standards; Central Asian republics received net transfers (interpretation: Gaddy & Ickes; Bahry 1987; estimates contested). These disparities created a peculiar configuration: by the late 1980s, both the richest small republics (Baltics) and the resource-rich core (Russia) could claim to be subsidising others.

6.3 Sovereignty declarations and dissolution (1988-1991)

Gorbachev's *glasnost* and *perestroika*, and the 1989 semi-competitive elections, opened political space. Republics issued **declarations of sovereignty** asserting the primacy of republican over union law: Estonia (16 November 1988), Lithuania and Latvia (1989), and in 1990 a "parade of sovereignties" including **Russia's own declaration of state sovereignty on 12 June 1990**, then Ukraine (16 July 1990) and others [E]. Lithuania declared the restoration of independence on **11 March 1990**; Soviet troops killed civilians in Vilnius in January 1991 but did not reverse the declaration [E]. Gorbachev's March 1991 referendum on preserving a "renewed federation" won 76.4% of votes cast in the nine republics that participated, but six republics (the three Baltic states, Georgia, Armenia, Moldova) boycotted [E]. The **August 1991 coup** attempt by hardliners failed; the Baltic states' independence was recognised by the USSR State Council on 6 September 1991; Ukraine's referendum on 1 December 1991 approved independence by 90.3% [E]; the **Belavezha Accords** (8 December 1991) declared the USSR's dissolution; Gorbachev resigned on 25 December 1991.

6.4 Scholarly interpretations

- **Bunce (1999), *Subversive Institutions*.** Ethnofederal socialist states (USSR, Yugoslavia, Czechoslovakia) broke apart along their republican boundaries because federal institutions had created nation-like units with leaders, resources and boundaries; once the centre weakened, these "subversive institutions" provided ready-made vehicles for secession, while unitary socialist states (e.g., Poland, Romania) did not break up (interpretation: Bunce 1999).
- **Hale (2004), "Divided We Stand" (*World Politics* 56(2)).** Ethnofederal states are prone to collapse when they contain a **core ethnic region**, a single unit that is dominant in population and resources (Russia in the USSR, Serbia in Yugoslavia, the Czech lands in Czechoslovakia). A core region fosters a dangerous two-sided dynamic: minority regions fear domination, and the core region's own elites can imagine life without the union. Federations without a core region (e.g., Russia's eighty-odd units, India's states, Nigeria after 1967 subdivision) are more stable (interpretation: Hale 2004). Russia's own 1990 sovereignty declaration under Yeltsin is the key piece of evidence: the core itself defected from the union.
- **Beissinger (2002), *Nationalist Mobilization and the Collapse of the Soviet State*.** Nationalist mobilisation moved in a **tide**: early successful protests (Baltics, Armenia) altered expectations elsewhere, so that events became partly self-generating; actions that would have been unthinkable in 1987 became "normal" by 1991. Mobilisation was strongest where groups had high institutional resources (union-republic status), urbanisation and linguistic distinctiveness, and was suppressed or absent where those were lacking (interpretation: Beissinger 2002).

This "tidal" model is important for the BRIEF's interest in collective psychology: it treats perceptions of possibility as a causal variable.

6.5 Contrast: the Russian Federation's survival

The Russian Federation inherited the ethnofederal structure in miniature: 21 ethnic republics within a federation of 89 subjects (1993). Several republics declared sovereignty in 1990-91; **Tatarstan**, with an oil industry and a Tatar plurality, held a referendum in March 1992 (61.4% for a "sovereign state, a subject of international law") and refused to sign the 1992 Federation Treaty [E]. On **15 February 1994** Moscow and Kazan signed a bilateral **power-sharing treaty** recognising Tatarstan's special status, with control over certain natural resources and tax arrangements; dozens of other bilateral treaties followed [E]. Tatarstan stayed inside Russia. Under Putin, from 2000, the treaties were hollowed out; Tatarstan's treaty was renewed in weaker form in 2007 and lapsed in 2017 [E].

Chechnya, by contrast, declared independence in 1991 under Dzhokhar Dudayev. Moscow's military intervention in **1994-96** (First Chechen War) ended in a humiliating ceasefire (Khasavyurt, 1996); the **Second Chechen War** (from 1999) restored federal control by massive force, and Moscow then governed through the Kadyrov family [E]. Estimates of deaths across both wars range in the tens of thousands to over 100,000; figures are contested [E].

Interpretation (Hale 2004; Giuliano 2011; Treisman 1997). Russia survived because it lacked a core region capable of defecting; because Moscow bought off resource-rich republics (Tatarstan, Bashkortostan) with fiscal and symbolic concessions while isolating Chechnya; because Russian-majority oblasts dominated; and, later, because recentralisation under Putin removed regional autonomy and suppressed electoral competition. The Russian case thus shows two quite different survival strategies, **bargaining (1994-2000)** and **coercive recentralisation (2000 onward)**, the latter accompanied by authoritarian consolidation.

Box 6 – What is genuinely comparable to Indonesia/Kalimantan, and what is not

Comparable: the Indonesian centre faced its own late-1990s "parade" moment: East Timor's 1999 vote, Aceh's and Papua's mobilisation, and rumours of a Riau or East Kalimantan "merdeka" option during the 1998-2001 crisis (R2 to verify specifics). Beissinger's tidal model is useful for understanding how a transitional opening can make previously unthinkable claims seem possible. The Tatarstan treaty resembles Indonesia's asymmetric special autonomy for Aceh (UU 11/2006) and Papua (UU 21/2001, revised 2021): bargaining with resource-rich or identity-distinct units to prevent exit.

Not comparable: Indonesia is **not ethnofederal**; its provinces are administrative, not titular-nationality homelands (Aceh and Papua partly excepted), and the 1999-2001 decentralisation deliberately shifted power to **districts/cities (kabupaten/kota)** rather than provinces, partly to avoid creating province-level "subversive institutions" (interpretation: Aspinall & Fealy 2003; Bertrand 2004). Java is a demographic core (over half the population) but is divided into six provinces, so there is no single "core ethnic region" unit in Hale's sense. Kalimantan's provinces have no titular nationality. These design features make Soviet-style cascade dissolution far less likely in Indonesia (hypothesis consistent with Hale/Bunce).

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7. Yugoslavia, and Czechoslovakia as contrast

7.1 Institutions: the 1974 Constitution

Socialist Yugoslavia (from 1945) was a federation of six republics (Slovenia, Croatia, Bosnia and Herzegovina, Serbia, Montenegro, Macedonia), with two autonomous provinces within Serbia (Vojvodina and Kosovo). The **1974 Constitution** pushed decentralisation very far: republics and provinces gained control of most economic policy, a rotating collective presidency was designed for after Tito, and federal decision-making required near-consensus among republics and provinces. Kosovo and Vojvodina received near-republic status, including votes in the federal presidency [E]. Tito died in **May 1980**, leaving an institutional structure that could block federal action but could not resolve inter-republic conflicts (interpretation: Ramet 2006; Woodward 1995).

7.2 Fiscal transfers: rich north, poor south

The richest republics, **Slovenia and Croatia**, contributed disproportionately to the **Federal Fund for the Accelerated Development of Underdeveloped Republics and Kosovo** (established 1965), as well as to the federal budget, which financed the army (JNA) and federal administration [E]. Per-capita income disparities were extreme: in the late 1980s Slovenia's per-capita social product was commonly cited at roughly seven or eight times Kosovo's (contested estimates) [E]. Slovene and Croatian elites increasingly framed membership as subsidising inefficient southern republics and a Serb-dominated army; Serbian elites framed decentralisation as having fragmented the Serb nation (interpretation: Woodward 1995; Jovic 2009).

This is the case in the comparative set **most directly relevant to rich-region exit**. The fiscal argument was real, but it became explosive only when combined with (a) the debt crisis, (b) a rising Serbian nationalist mobilisation at the centre, and (c) the collapse of communist legitimacy across Europe.

7.3 Debt crisis of the 1980s

Yugoslavia borrowed heavily abroad in the 1970s; by the early 1980s external debt reached about US$20 billion [E]. IMF-supported austerity, inflation (which exceeded 1,000% in 1989), falling real incomes and unemployment fuelled distributive conflict over who would bear adjustment costs, conflict that the 1974 constitution channelled into inter-republic bargaining (interpretation: Woodward 1995, *Balkan Tragedy*). Slovenia and Croatia wanted market reform and confederalisation; Serbia wanted recentralisation.

7.4 Milosevic and violent dissolution

Slobodan Milosevic rose within the League of Communists of Serbia in 1987 and used mass rallies (the "anti-bureaucratic revolution", 1988-89) to topple leaderships in Vojvodina, Kosovo and Montenegro, gaining control of four of eight votes in the collective presidency [E]. Serbia revoked Kosovo's and Vojvodina's autonomy in **1989-90**. The League of Communists of Yugoslavia dissolved at its January 1990 congress when the Slovene delegation walked out [E]. Multi-party elections in 1990 brought nationalist or reformist parties to power in the republics. Slovenia and Croatia declared independence on **25 June 1991**. Slovenia's "Ten-Day War" ended quickly; Croatia's war lasted to 1995; Bosnia's war (1992-95) killed about 100,000 people (Research and Documentation Center estimates) and included the Srebrenica genocide of July 1995 [E]. Kosovo's war followed in 1998-99. The Badinter Arbitration Commission (1991-92) treated Yugoslavia as "in the process of dissolution" and applied

uti possidetis to republican boundaries, a key legal precedent that internal administrative boundaries become international borders upon dissolution [E].

7.5 Czechoslovakia: the velvet divorce (1993)

Czechoslovakia, after the 1989 Velvet Revolution, became a two-unit federation (Czech and Slovak republics). Disagreements over the speed of market reform (the Slovak economy, heavier in arms industry, suffered more), over power distribution and over symbolic recognition, combined with the June 1992 elections that brought Vaclav Klaus (Czech) and Vladimir Meciar (Slovak) to power with incompatible mandates. Elites negotiated a separation; the Federal Assembly passed the constitutional act dissolving the federation in November 1992, effective **1 January 1993**. No referendum was held, and polls at the time suggested that majorities in both republics preferred some form of common state [E]. Assets were divided roughly 2:1 by population; a short-lived currency union broke down within weeks [E].

The contrast with Yugoslavia is instructive (interpretation: Bunce 1999; Innes 2001): two units rather than six (so no complex minority-within-minority problems), no large co-ethnic diasporas across the border, no army aligned with one nation, democratic elites, and a centre that did not resist. It also shows a darker lesson for democratic theory: a union can be dissolved by elites **without popular endorsement**.

> **Box 7 – What is genuinely comparable to Indonesia/Kalimantan, and what is not**
>
> **Comparable:** the core political-economy dynamic, richer regions resenting transfers to poorer ones while poorer regions resent the richer regions' privileges, is present in Indonesia's debates on DBH, Dana Alokasi Umum (DAU) and special-autonomy funds. Yugoslavia shows how a debt crisis and austerity can turn distributive disputes into existential ones, and how a mobilising leader at the centre who frames the union as one nation's property can push other regions toward exit. Indonesia's 1997-98 crisis was a comparable shock (R6 territory).
>
> **Not comparable:** Yugoslavia's republics were national homelands with their own communist parties and territorial defence forces; Indonesia's provinces are not. East Kalimantan's position is distinctive in a way that cuts against the Slovene analogy: Kaltim is a *net contributor* in resource revenue terms, but its population is substantially of migrant origin from Java and Sulawesi, so the region's majority lacks the kind of exclusive national identity that made Slovene exit coherent (hypothesis; R2/R3 to verify demographic data). Czechoslovakia's peaceful divorce required consent at the centre; Indonesia's constitution forecloses that route.

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8. The United Kingdom: devolution, Scotland and North Sea oil

8.1 Institutions

The UK is a union state formed by the Acts of Union (1707, England-Scotland; 1800, Great Britain-Ireland), with Scotland retaining its own legal system, church and education. After the 1979 devolution referendum failed (a majority voted Yes but short of the 40%-of-electorate threshold), the 1997 referendum approved a Scottish Parliament with tax-varying powers (74.3% for a parliament;

63.5% for tax powers) [E]. The **Scotland Act 1998** created the Parliament and Executive (now Government) at Holyrood from 1999, with general legislative competence except for **reserved matters** listed in Schedule 5, including "the Union of the Kingdoms of Scotland and England" and "the Parliament of the United Kingdom" [V: UKSC case summary, quoting Schedule 5 paras 1(b) and (c)]. The Scotland Acts 2012 and 2016 transferred further tax powers (notably income tax rates and bands) and some welfare powers [E].

8.2 Fiscal arrangements: the Barnett formula and the Fiscal Framework

Since the late 1970s, changes in Scotland's block grant have been determined by the **Barnett formula**, which allocates Scotland a population-based share of changes in comparable UK government spending in England [E]. Because it applies to increments rather than totals, Barnett was expected to converge spending per head over time (the "Barnett squeeze"), but Scotland's higher baseline and slower population growth kept per-capita public spending above the UK average [E]. Following the 2016 Act, a **Fiscal Framework** between the UK and Scottish governments sets "block grant adjustments" to reflect devolved tax revenues, with the "indexed per capita" method protecting Scotland against the risk of slower population growth; the framework was reviewed in 2023 [E].

8.3 Scotland and North Sea oil

Oil was found in the UK North Sea in the late 1960s and early 1970s (Forties field, 1970; Brent, 1971) [E]. The **SNP's "It's Scotland's oil"** campaign (1972-74) turned a fringe party into a parliamentary force: the SNP won 11 Westminster seats in October 1974 [E]. In **1974** government economist **Gavin McCrone** wrote a paper for the Scottish Office concluding that an independent Scotland with North Sea oil revenues would have a large budget surplus and a hard currency; the report was classified and released only in **2005** under freedom of information [E]. The "McCrone report" became a staple of nationalist argument about central withholding of information (interpretation; it remains a potent symbol of perceived bad faith by the centre).

In practice, petroleum revenue went to the UK Treasury; the UK did not create a sovereign wealth fund, a choice frequently contrasted with Norway's (interpretation; contested by those who note that the UK used revenues to reduce borrowing and taxes in the 1980s).

8.4 The 2014 referendum

Under the Edinburgh Agreement (October 2012) between the UK and Scottish governments, a section 30 order temporarily transferred power to hold a referendum. On **18 September 2014**, on a turnout of 84.6%, Scotland voted **No by 55.3% to 44.7%** [E: Electoral Commission]. The Yes campaign's economic case relied heavily on oil revenue projections that collapsed with the late-2014 oil price fall, a point later used by unionists to argue that the oil case was overstated (interpretation; contested).

8.5 Brexit effect

In the 2016 EU referendum, Scotland voted Remain by 62% while the UK overall voted Leave (51.9%) [E]. The SNP argued that this constituted a "material change in circumstances" justifying a second referendum. Support for independence rose into the high 40s and occasionally above 50% in 2020 polling [E].

8.6 The 2022 Supreme Court reference

The Lord Advocate referred to the UK Supreme Court whether a proposed Scottish Independence Referendum Bill, asking "Should Scotland be an independent country?", related to reserved matters [V: UKSC/2022/0098 case summary]. In ***Reference by the Lord Advocate of devolution issues* [2022] UKSC 31**, judgment given **23 November 2022** by a five-justice panel (Lord Reed, Lord Lloyd-Jones, Lord Sales, Lord Stephens, Lady Rose) [V], the Court held unanimously that the provision did relate to reserved matters, the Union and the UK Parliament, because even an advisory referendum would have important political consequences for the Union, and that the Scottish Parliament therefore lacked competence to legislate for it; it also rejected the argument that the right to self-determination in international law applied to Scotland, which is not a colonial or oppressed people [E: holding as widely summarised; the press summary PDF was not opened for this memo]. The ruling closed the unilateral legal route.

8.7 Fiscal reality: GERS

The Scottish Government's **Government Expenditure and Revenue Scotland (GERS)**, an Accredited Official Statistics publication, estimates revenue raised in and spending for Scotland on a notional basis. The 2025-26 edition (published 12 August 2026) reports [V: gov.scot GERS 2025-26, Table 5.1]:

Statistic	2024-25	2025-26
Scotland net fiscal balance (GBP million)	-25,942	-25,304
Scotland excl. North Sea (GBP million)	-29,510	-28,457
Scotland (% of GDP)	-11.5%	-10.9%
Scotland excl. North Sea (% of GDP)	-13.9%	-12.9%
UK (% of GDP)	-5.2%	-4.2%

Limitations: GERS is a notional estimate for Scotland within the UK; it does not model independent-state choices (borrowing costs, currency, debt allocation, defence). The 2024-25 figure was first published as -11.6% (GBP 26.2 billion) in August 2025 and later revised [E: gov.scot 2024-25]. The geographic share of North Sea revenue narrows the deficit by roughly 2-3 points of GDP in recent years, far less than in the 1970s-2000s. The Institute for Fiscal Studies attributes the gap mainly to higher spending per person, with revenue per person similar to the UK average [E: IFS, 12 Aug 2026].

Interpretation. In 1974 oil made the fiscal case for independence look strong; in 2026 the notional deficit makes it look weak. Yet support for independence is higher now than in the 1970s. This is a powerful piece of evidence for the BRIEF's caution against treating fiscal arithmetic as the driver of secessionist sentiment: identity, perceived democratic deficit (Brexit) and party competition matter more.

8.8 2026 position: election and polling

At the **7 May 2026** Scottish Parliament election the SNP won **58 of 129 seats**, seven short of a majority, for a fifth consecutive term; Labour and Reform UK won 17 each, the Greens a record 15, the Conservatives 12, and the Liberal Democrats 10; SNP and Greens together hold 73 seats, a pro-independence majority [E: BBC, 9 May 2026; Scottish Parliament results page]. (The House of

Commons Library briefing gave 57 SNP seats; the Parliament's own results page and SPICe give 58 [E]; use 58.)

Independence polling in 2026 has been close. Polls listed for March-October 2026 range from Yes 40% / No 50% (YouGov, March) to Yes 52% / No 43% (Norstat, April), with several pollsters showing a small Yes lead including undecideds (e.g., Norstat 20-23 October 2026: Yes 48%, No 45%, undecided 6%; Survation 9-14 October: 49/42/10) and YouGov and More in Common showing narrow No leads (YouGov 29 Sep-5 Oct: 40/45/14) [E: Wikipedia compilation of pollster tables; YouGov PDF excerpt]. *Limitation:* commissioned polls (including by campaign groups) and different "don't know" treatments make averages sensitive to inclusion choices; a pro-independence outlet's 2026 average was 45.8% Yes to 44.9% No [E: The National, 24 Sep 2026].

8.9 Outcome

The UK has absorbed a strong national movement through devolution, a lawful referendum (2014), and a legal framework that now requires Westminster's consent for another. The union is stable but contested; independence remains a live political project with roughly half the electorate, and its route is political (persuading Westminster), not legal.

> **Box 8 – What is genuinely comparable to Indonesia/Kalimantan, and what is not**
>
> **Comparable:** a resource region whose output is taxed nationally, with a well-known narrative that "the centre took our oil"; information asymmetry (McCrone) about the region's fiscal position, comparable to Indonesian debates about whether DBH calculations are transparent; a block-grant formula (Barnett) that regions perceive as either generous or unfair depending on baseline, comparable in function to DAU. GERS-style regional fiscal accounts are a transferable tool: Indonesia could publish a "Kaltim Expenditure and Revenue" estimate, which would inform debate on both sides (hypothesis/proposal for synthesis).
>
> **Not comparable:** Scotland is a historic nation with its own legal system, church and pre-1707 statehood; Kaltim is not. The UK has no codified constitution and allowed a consensual referendum in 2014; Indonesia's constitution forbids changes to the unitary form. Scotland's notional fiscal deficit is large; Kaltim's notional balance (if computed) would likely show a large surplus in resource terms but would need to include central spending on defence, debt service, subsidies and national programmes (hypothesis, R3).

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9. Brief additional cases

9.1 Catalonia (Spain)

Institutions and law. Spain's 1978 Constitution is "based on the indissoluble unity of the Spanish Nation, the common and indivisible homeland of all Spaniards" while recognising "the right to autonomy of the nationalities and regions" (Article 2) [E]. Catalonia's autonomy statute (1979, revised 2006) gives it a parliament and government (Generalitat). The Constitutional Court's **2010 ruling** striking down or reinterpreting parts of the 2006 Statute (including the preamble's description of Catalonia as a "nation" having no legal effect) is widely seen as a turning point in pro-independence mobilisation [E; interpretation].

Fiscal grievance. Catalonia, among Spain's richest regions, argues that it suffers a large "fiscal deficit" (the gap between taxes paid and spending received), with Generalitat estimates historically around 5-8% of Catalan GDP, while central-government and academic estimates are lower and methodologically disputed [E]. Unlike the Basque Country and Navarre, which have a **foral** regime collecting their own taxes and remitting a negotiated quota (*cupo*), Catalonia is in the common regime. The slogan "Espanya ens roba" ("Spain robs us") captured the grievance (interpretation; politically contested).

2017. The Catalan government held a referendum on **1 October 2017** that the Constitutional Court had suspended. Spanish police used force at some polling stations. The Generalitat reported about 90% Yes on roughly 43% turnout, with unionists largely abstaining [E]. The Catalan parliament declared independence on 27 October 2017; the Spanish Senate authorised direct rule under **Article 155**; leaders were prosecuted, with nine sentenced in 2019 for sedition and misuse of funds, later pardoned (2021), and a 2024 amnesty law adopted [E]. No state recognised Catalan independence. Over a thousand firms moved registered offices out of Catalonia in late 2017 [E].

Comparability. Rich-region fiscal grievance plus identity plus a constitutional bar on secession, resembling the Indonesian legal situation. Distinct language and historic nationhood make Catalonia unlike Kaltim. The lesson: illegal unilateral exit in a consolidated democracy within the EU produced no recognition, capital flight, and prosecutions, and ultimately a return to negotiated politics.

9.2 Quebec (Canada)

Quebec held sovereignty referendums in **1980** (59.6% No) and **1995** (No 50.58%, Yes 49.42%, on a turnout of about 93.5%) [E]. After 1995, the federal government asked the Supreme Court of Canada three questions. In ***Reference re Secession of Quebec*** **[1998] 2 SCR 217** (20 August 1998), the Court held that (a) Quebec has no right under the Canadian constitution or under international law to secede unilaterally; but (b) a **clear majority** on a **clear question** in favour of secession would confer democratic legitimacy and give rise to a **constitutional duty on all parties to negotiate** in good faith, guided by four principles: federalism, democracy, constitutionalism and the rule of law, and respect for minorities [E: judgment, standard summary]. Parliament then passed the **Clarity Act (2000)**, empowering the House of Commons to determine whether a referendum question and majority are clear; Quebec's National Assembly responded with Bill 99 (2000) asserting Quebec's right to self-determination by 50% plus one [E].

Why it matters here. The Quebec Reference is the most important judicial statement in a democracy on the legality of secession, and it is regularly cited worldwide. It establishes a middle path between "secession is impossible" and "a majority decides alone". Comparatively, it suggests that legitimacy of a union in a democracy rests not merely on legal prohibition but on a willingness to negotiate if a clear democratic will emerges. Indonesia's constitutional position (Article 37(5)) is closer to Spain's than to Canada's.

9.3 Iraqi Kurdistan (2017)

The Kurdistan Region of Iraq, recognised in the 2005 Iraqi Constitution with its own government, Peshmerga forces and parliament, held an independence referendum on **25 September 2017**: 92.73% Yes on 72.83% turnout [E]. Iraq's Federal Supreme Court ruled it unconstitutional; Baghdad imposed an international flight ban, and in **October 2017** Iraqi forces and Iran-backed militias retook **Kirkuk** and its oil fields, which the Kurdistan Regional Government (KRG) had controlled since 2014 [E]. Kirkuk's oil had been central to the economic case; its loss halved the KRG's oil

revenues. Turkey and Iran opposed the vote; the US did not support it [E]. KRG President Masoud Barzani resigned. Oil-revenue disputes continued, and pipeline exports via Turkey were halted in March 2023 after an arbitration ruling against Turkey (ICC) [E].

Lesson. Even an autonomous region with its own army, decades of de facto self-rule, oil and overwhelming referendum support could not secure exit against a determined parent state and hostile neighbours. Oil made the stakes higher, not the exit easier.

9.4 Biafra (Nigeria, 1967-70)

After the 1966 coups and massacres of Igbo in northern Nigeria, the Eastern Region under Lt.-Col. Odumegwu Ojukwu declared the **Republic of Biafra on 30 May 1967** [E]. The east contained most of Nigeria's then-emerging oil production. Federal Nigeria under Yakubu Gowon fought a civil war (July 1967-January 1970), with a blockade that produced mass starvation; estimates of deaths range from about 500,000 to over 2 million (contested) [E]. Only five states (Tanzania, Gabon, Cote d'Ivoire, Zambia, Haiti) recognised Biafra [E]. Nigeria responded structurally by splitting regions into states (12 in 1967; 36 today), a deliberate dispersal of potential core regions (interpretation: Suberu 2001; consistent with Hale 2004). Oil-revenue derivation principles in Nigeria's federation fell from 50% before the war to near zero, then rose to a constitutional minimum of 13% derivation (1999 Constitution) after decades of Niger Delta protest and militancy [E].

Lesson. Oil intensified both the secessionist motive and the centre's determination to hold the region. Post-war Nigerian federalism subdivided regions and centralised oil revenue, generating long-running Niger Delta grievance, a cautionary case for both regionalist and centralist arguments.

9.5 Bangladesh (East Pakistan, 1971)

Pakistan (1947) comprised two wings separated by about 1,600 km of India. East Pakistan held the majority of the population but was under-represented in the army and civil service. Its jute exports earned much of Pakistan's foreign exchange in the 1950s-60s, while development spending and imports were concentrated in West Pakistan; scholarly estimates (e.g., the 1970 report by the Panel of Economists for the Fourth Five-Year Plan; Rehman Sobhan's writings) argued that resources were transferred from East to West [E; magnitude contested]. The **1952 Language Movement** against Urdu as sole national language created a Bengali martyrdom narrative (21 February, now UNESCO International Mother Language Day) [E]. Sheikh Mujibur Rahman's **Six Points** (1966) demanded a federation with separate foreign-exchange accounts and taxation for each wing. In the **December 1970** election his Awami League won 160 of 162 East Pakistan seats and a national majority [E]. The military refused to convene the assembly, launched **Operation Searchlight on 25 March 1971**, and a war of independence followed, with mass killings; Indian intervention in December led to Pakistan's surrender on **16 December 1971** [E].

Lesson. The case combines nearly every exit-producing condition: economic extraction from the majority region, linguistic-cultural humiliation, denial of an electoral victory, massive state violence, geographic separation and a supportive neighbouring power. It is the strongest case in the set for the claim that **denial of voice plus extraction plus violence** destroys a union. It also shows that "fiscal extraction" in the strict sense was only one strand.

9.6 South Sudan (2011)

Following decades of civil war (1955-72; 1983-2005), the **Comprehensive Peace Agreement (2005)** gave Southern Sudan autonomy, a 50:50 split of oil revenue from southern wells, and a self-determination referendum [E]. In January 2011, **98.83%** voted for independence [E]; South Sudan became independent on **9 July 2011**, taking roughly three-quarters of Sudan's oil production but depending on Sudan's pipelines to export it [E]. In January 2012 South Sudan shut down oil production over transit-fee disputes, cutting off about 98% of government revenue [E]. In **December 2013** civil war broke out between forces loyal to President Salva Kiir and Vice-President Riek Machar, a conflict that by one widely cited estimate (LSHTM, 2018) caused around 383,000 excess deaths by 2018 [E]. A 2018 revitalised peace agreement has been repeatedly delayed. South Sudan ranks near the bottom of the Human Development Index [E].

Lesson. The most important counterexample to "independence = prosperity". An internationally sponsored, legal, overwhelmingly endorsed secession by an oil-rich region produced fiscal collapse, elite predation and civil war, because the institutions to govern resource rents, manage elite competition and build a shared identity did not exist (interpretation: de Waal 2014, "kleptocracy"; Johnson 2016).

9.7 Timor-Leste (Indonesia's own case)

Portuguese Timor was invaded by Indonesia in December 1975 and annexed in 1976, an annexation never recognised by the UN. After the fall of Suharto, President Habibie agreed to a UN-run popular consultation; on **30 August 1999**, 78.5% rejected special autonomy within Indonesia, triggering militia violence backed by elements of the Indonesian military [E]. After UN administration (UNTAET), Timor-Leste became independent on **20 May 2002**. Legally, the case is one of **decolonisation**, which is why international law recognised the outcome, and is not a precedent for the secession of an Indonesian province that was part of the Netherlands East Indies (interpretation; Article 1 of the 1945 Constitution and the *uti possidetis* principle as applied to the Dutch East Indies).

Petroleum fund. Timor-Leste's Petroleum Fund (2005) was modelled on Norway's, with a rule-based **Estimated Sustainable Income (ESI) of 3% of petroleum wealth** [E: Petroleum Fund Annual Report 2025]. At the end of 2025 the Fund held **US$18,609 million**; petroleum receipts that year were only $36.1 million, and **production from Bayu-Undan ceased in June 2025**; government withdrawals totalled **$1,451.9 million**, against an ESI of **$551.9 million** [E: TLPF Annual Report 2025, via official MoF PDF and La'o Hamutuk copies, excerpts]. The IMF warned in 2025 that continued excess withdrawals would deplete the fund "by the end of the 2030s" [E: IMF Country Report 25/278]. The Greater Sunrise field remains undeveloped pending agreement on processing location.

Lesson. Even with good fund design, the fiscal rule was repeatedly breached by parliamentary approval of "excess withdrawals" because the non-oil economy and tax base are small. A sovereign fund protects wealth only as long as political incentives to spend are contained.

9.8 Nazi Germany and Imperial Japan (centralised mobilisation; brief)

These cases are included in the comparative frame only as **extreme cases of centralised national integration through mass mobilisation**, not as cases of regional resource bargaining. Nazi Germany's *Gleichschaltung* (1933-34) abolished the federal Lander governments' autonomy (Law on

the Reconstruction of the Reich, January 1934), destroyed parties and unions, and fused regional and party administration under Gauleiters [E]. Imperial Japan, a centralised state since the Meiji reforms abolished domains for prefectures (1871), intensified integration in the 1930s-40s through State Shinto, the Imperial Rule Assistance Association (1940) and wartime mobilisation [E]. Both show that maximal centralisation and manufactured unity can mobilise enormous resources in the short run and end in catastrophic defeat; neither is a model, and both serve the book as warning cases. Depth, including the BRIEF's provisional "Hitler Effect" construct, belongs to R4; this memo draws only the structural point that **unity produced by eliminating voice and regional autonomy is brittle and dangerous**.

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10. Synthesis

10.1 Table A – Case x variables matrix

Codings are ordinal judgements (Low / Medium / High) by R5, based on the evidence above; they are **interpretive codings, not measurements**, and should be treated as hypotheses for the synthesis chapter. "Region" means the region whose integration is in question.

Case (region)	Resource wealth of region	Identity distinctiveness	Fiscal grievance (perceived)	Voice channels (institutional)	Coercion by centre	Outcome
Brunei (vis-a-vis Malaysia, 1963)	High (oil)	High (dynastic, Malay-Muslim sultanate)	High (fear of losing oil revenue)	High (sovereign negotiator)	None (British protection)	Declined to join; independent 1984
Singapore (in Malaysia, 1963-65)	Low	High (Chinese-majority city)	Medium	Medium (party competition)	Low	Expelled peacefully, 1965
Sarawak (Malaysia)	High (oil, gas)	Medium-High	High	High (state powers, coalition leverage, courts)	Low	Integrated; growing autonomy via SST, Petros, 2021 amendment
Sabah (Malaysia)	Medium-High (oil, gas)	Medium-High	High (40% grant unpaid since 1974)	Medium-High (courts, MA63)	Low	Integrated; litigation and interim payments ongoing

Case (region)	Resource wealth of region	Identity distinctiveness	Fiscal grievance (perceived)	Voice channels (institutional)	Coercion by centre	Outcome
Norway (vs Sweden 1905; national oil)	(pre-oil in 1905)	High (separate kingdom)	Low	High	None	Peaceful separation 1905; national oil governance without regional conflict
Alaska (US)	High (oil)	Low-Medium (nested)	Medium (federal land control)	High (state powers, representation)	None needed	Integrated; secession marginal
Baltic republics (USSR)	Low-Medium	High	Medium	Low until 1989, then high	High but restrained 1990-91	Exit 1991
Russia/RSFSR (USSR core)	High	High (core nation)	Medium (felt it subsidised others)	High after 1990	n/a (core)	Core defected; USSR dissolved
Tatarstan (Russia)	Medium-High (oil)	High	Medium	Medium (1994 treaty)	Medium (implicit)	Integrated; autonomy later eroded
Chechnya (Russia)	Low-Medium	High	Low (not primarily fiscal)	Low	Very high	Held by force; two wars
Slovenia/Croatia (Yugoslavia)	Medium (industrial wealth)	High	High (transfers south)	Medium (blocked federal institutions)	High (JNA, 1991)	Exit 1991; war in Croatia
Slovakia (Czechoslovakia)	Low-Medium	Medium-High	Medium	High	None	Negotiated dissolution 1993
Scotland (UK)	High historically (North Sea); now modest	High (historic nation)	Medium (contested; GERS deficit)	High (devolution, 2014 referendum)	None	Integrated; ~half support independence; no legal route without consent

Case (region)	Resource wealth of region	Identity distinctiveness	Fiscal grievance (perceived)	Voice channels (institutional)	Coercion by centre	Outcome
Catalonia (Spain)	Medium (industrial, fiscal contributor)	High	High	Medium (autonomy, but 2010 ruling)	Medium (2017 police, Art. 155, prosecutions)	Integrated; failed unilateral exit
Quebec (Canada)	Medium (hydro)	High	Low-Medium	High (two referendums, Reference)	None	Integrated; two referendums lost
Iraqi Kurdistan	High (Kirkuk oil)	High	High	Medium (KRG)	High (2017 military action)	Referendum nullified; Kirkuk lost
Biafra (Nigeria)	High (oil)	High	Medium	Low (after 1966 massacres)	Very high	Crushed; mass death
East Pakistan	Medium (jute export earnings)	High (Bengali language)	High (extraction)	Low (election denied)	Extreme	Exit 1971 with Indian intervention
South Sudan	High (oil)	High	High	High (CPA referendum)	High (pre-2005 war)	Exit 2011; then civil war 2013
Timor-Leste	Medium (offshore gas)	High	Medium	Low until 1999	Extreme	Exit 1999/2002 (decolonisation)
East/North Kalimantan (Indonesia) – for comparison	**High (coal, oil, gas)**	**Low-Medium (plural, migrant-heavy; Dayak and Kutai identities present)**	**Medium (DBH, environmental costs; R3 to quantify)**	**Medium (elections, DPD, but unitary, statutory DBH)**	**Low at present**	**Integrated; no significant separatist movement (R2 to verify)**

Patterns (hypotheses):

1. *Exit occurred* where identity distinctiveness was high **and** either voice was denied (East Pakistan, Timor-Leste pre-1999, Biafra attempt, Baltics pre-1989) **or** the centre itself collapsed or consented (USSR, Yugoslavia, Czechoslovakia, Sudan via CPA, Singapore). Resource wealth was neither necessary (Baltics, Slovakia, Singapore) nor sufficient (Alaska, Sarawak, Kurdistan).

2. *Integration with bargaining* occurred where voice channels were high and the centre was willing to accommodate fiscally or symbolically (Sarawak, Sabah, Tatarstan 1994, Scotland, Quebec, Alaska).
3. *Failed unilateral exit* occurred where the region lacked consent at the centre, external recognition and/or control of the resource (Catalonia, Kurdistan, Biafra).
4. *Post-exit outcomes* vary enormously: Slovenia, the Baltics and Singapore prospered; South Sudan collapsed; Bangladesh's trajectory was difficult for decades before strong growth from the 1990s; Timor-Leste is stable but fiscally precarious. Institutions inherited or built, not resources, best predict post-exit welfare (interpretation, consistent with Acemoglu & Robinson; Mehlum et al. 2006).
5. **Kalimantan's profile** (high resources, low-medium identity distinctiveness, medium grievance, medium voice, low coercion) most resembles **Alaska and Sarawak/Sabah**, not Scotland, Catalonia or Biafra. That profile predicts integration with bargaining over revenue shares, not exit, unless a severe national legitimacy shock occurs (hypothesis).

10.2 Table B – Lessons for Indonesia

#	Lesson	Evidence	Caveat / counter-argument
1	Resource wealth does not by itself generate secession; identity, voice and central credibility matter more.	Alaska, Sarawak, Norway vs. Baltics, Slovakia, Singapore	Resource wealth raises the stakes once conflict starts (Biafra, Kurdistan, Sudan).
2	Justiciable fiscal entitlements can convert grievance into bargaining.	Sabah 40% ruling (2025) [V]; Sarawak SST settlement (2020) [V]	Large court-ordered arrears can strain central finances (Court of Appeal stay, 2026) [V]; may encourage endless litigation.
3	Districts-first decentralisation reduces "subversive institution" risk at province level.	Bunce 1999; Hale 2004; Indonesia's 1999-2001 design (R2)	May fragment regional planning, encourage district-level elite capture and proliferation (pemekaran).
4	Regional fiscal transparency (GERS-type accounts) disciplines both centralist and regionalist myths.	GERS showing Scotland's deficit [V]; McCrone secrecy	Notional accounts are contested; allocation of national spending is methodologically fraught.

#	Lesson	Evidence	Caveat / counter-argument
5	Sovereign/provincial wealth funds need rules stronger than politics.	Norway's rule and trust [V/E]; Alaska's PFD cuts [V]; Timor-Leste over-withdrawal [E]	A provincial fund in Indonesia would sit under national fiscal law; rule-breaking risk is higher where trust is lower.
6	Direct citizen dividends can bypass local elites but become political footballs.	Alaska PFD $3,284 (2022) -> $1,000 (2025) [V]	Cash transfers may substitute for public goods; inflation/expectation effects.
7	Asymmetric deals can retain distinct units, but erode if the centre later recentralises.	Tatarstan treaty 1994, lapsed 2017 [E]; Aceh, Papua special autonomy (R2)	Recentralisation can reignite grievance (Chechnya shows the coercive end).
8	Denial of electoral outcomes and identity humiliation are the most dangerous accelerants.	East Pakistan 1970-71; Biafra 1966-67	Context-specific; Indonesia's post-1998 electoral system mitigates.
9	Fiscal crisis at the centre can turn distributive bargaining into existential conflict.	Yugoslavia 1980s debt crisis; USSR 1990-91; Indonesia 1997-98 (R6)	Most fiscal crises do not cause dissolution.
10	Legal bars on secession shape strategy but do not by themselves secure legitimacy; democracies increasingly pair legality with negotiated voice.	Quebec Reference 1998 (duty to negotiate); UKSC 2022 [V/E]; Spain 2017	Indonesia's Art. 37(5) is an absolute bar; the Canadian model is not constitutionally available without amendment of a provision declared unamendable.
11	Independence is not prosperity.	South Sudan 2011-; Timor-Leste fiscal path; Brunei deficits [V]	Some exits did lead to prosperity (Slovenia, Estonia, Singapore), but those had strong institutions and external anchors (EU, global trade).

#	Lesson	Evidence	Caveat / counter-argument
12	Regional resource nationalism can mask local elite capture.	Sarawak's land/timber politics; Niger Delta; Indonesian district booms (R3)	Central control can mask central elite capture equally; the question is accountability at each level.

10.3 What the comparative evidence implies for the BRIEF's six scenarios (brief pointers for Phase 7)

- **A (unitary + better revenue sharing):** strongly supported by Alaska, Norway and Malaysian Borneo experience that accommodation within a union is the norm; the open question is design (formula, transparency, environmental compensation).
- **B (deeper fiscal federalism):** Malaysia shows that constitutional fiscal entitlements can work but generate litigation and fiscal strain; Indonesia would face a constitutional-identity debate because "federalism" carries the stigma of the Dutch-sponsored RIS (1949-50) (R2).
- **C (more administrative autonomy for producers):** Sarawak's immigration and gas powers; Tatarstan's treaty; Quebec's distinct powers. Precedent exists, but asymmetry provokes demands elsewhere.
- **D (provincial sovereign wealth funds):** Alaska is the closest subnational precedent and shows both promise and fragility; no case shows a subnational fund in a unitary state of Indonesia's size. Norway and Timor-Leste are national.
- **E (severe legitimacy crisis and constitutional restructuring):** USSR, Yugoslavia and Indonesia 1998 show the conditions: central fiscal collapse, elite splits, mobilisation tides.
- **F (peaceful separation enters public debate):** Scotland and Quebec show that in democracies such debates can persist for decades without exit; Czechoslovakia shows that elites can dissolve a union without popular votes; Catalonia and Kurdistan show unilateral routes fail. In Indonesia's legal order, F would require a constitutional rupture, which places it outside ordinary politics.

Disputes and uncertainties

1. **Brunei 1963 motives.** Historians weigh the oil-revenue issue and the Sultan's precedence among Malay rulers differently; some add the Sultan's post-revolt distrust of political parties and of Malaysian intentions. This memo treats both oil and status as jointly decisive without ranking them.
2. **Status of the 20/18 points.** Sabah and Sarawak activists treat them as binding; the federal position has treated MA63 and the Federal Constitution as the operative texts. The 2021 amendment strengthened MA63's constitutional standing but did not incorporate the memoranda wholesale.

3. **Sabah 40% computation and arrears.** The entitlement is accepted in principle by the federal government; the method, baseline and quantum for 1974-2021 are unresolved and subject to appeal. Political figures circulating in Malaysian media are unverified here.
4. **Sarawak SST amount for 2019.** RM2.957 billion (official statement, V) versus "about RM2 billion" (press, E). Use the official figure, footnote the discrepancy.
5. **Soviet fiscal flows.** Estimates of which republics subsidised which depend on price assumptions (world vs. administered prices); claims that Russia "subsidised" others are contested.
6. **Yugoslav income disparities.** The "Slovenia ~ 7-8x Kosovo" figure is a commonly cited order of magnitude, not verified here.
7. **Catalan "fiscal deficit".** Estimates range widely by method (monetary flow vs. benefit approach); treat as contested.
8. **Death tolls** (Chechnya, Biafra, Bosnia, Bangladesh 1971, South Sudan) are contested; figures cited are ranges or widely used estimates, tagged [E].
9. **Scottish polling.** 2026 averages depend on pollster inclusion and treatment of undecideds; the SNP-seat figure differs by one between House of Commons Library (57) and Holyrood/BBC/SPICe (58).
10. **Kalimantan demographics.** BPS projection (Kaltim 4,045.9k in 2024) vs. SUPAS 2025 (4,050.64k) vs. Dukcapil (4.01-4.12 million) differ. The ~10x ratio to Brunei holds under all of them (~9.8-10.7x).
11. **Holdings not opened.** Several legal holdings (UKSC 2022 reasoning, Quebec Reference, Texas v. White, Zobel v. Williams, Wielechowski) are from established knowledge [E]; the UKSC citation and date are [V]. Before publication, the UKSC press summary and the Quebec Reference text should be opened and quoted directly.
12. **Selection bias.** The case set over-represents dissolution and resource-rich regions. Many stable federations with resource regions (Australia's Western Australia, Canada's Alberta, Brazil's Rio de Janeiro, India's Jharkhand/Odisha) are omitted; Western Australia's 1933 secession referendum (68% Yes, rejected by Westminster) and Alberta's recurring separatist sentiment would strengthen the "grievance without exit" pattern and should be considered for the manuscript.
13. **Codings in Table A** are interpretive. A reviewer could reasonably recode, e.g., Scotland's resource wealth as "Low" today, or Kaltim's identity distinctiveness higher if Dayak and Kutai identities are weighted more heavily.

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Phase 6: Regime Survival, Transformation and Collapse (R6)

R6 – Regime Survival, Transformation and Collapse

Research paper for **The Architecture of National Unity** *(M. Bagus Prabowo and Hark, co-authors). Prepared by research agent R6, 7 November 2026. Scope: causes and consequences of regime crises; no operational guidance of any kind.*

Evidence conventions (per FRAMEWORK.md). [V] = the page was opened and the claim appears on it. [E] = from a search excerpt or established scholarly knowledge, not opened in this session. Interpretive claims are attributed as *(interpretation: Author year)*; speculative claims are labelled *(hypothesis)*. Every number carries a value, unit, year, source and a one-line limitation. Where a fact could not be verified it is marked "unverified" and kept out of the conclusions.

Key findings

1. **"Collapse" is six different things.** Government instability, regime transformation, constitutional transition, state failure, territorial fragmentation and peaceful dissolution of a union are analytically distinct outcomes with different causes. Indonesia in 1998-2002 experienced the second and third (the New Order regime ended and the 1945 Constitution was amended four times), and one episode of the fifth (East Timor's separation), but not state failure and not general fragmentation. Conflating these categories is the most common error in popular commentary and must be avoided in the monograph.

2. **Regime type predicts how autocracies end.** The comparative literature (Geddes 1999; Geddes, Wright and Frantz 2014; Svolik 2012) finds that personalist regimes are especially vulnerable to economic shocks and tend to end badly, military regimes often negotiate their own exit, and dominant-party regimes are the most durable because a party institutionalises elite bargaining. Suharto's New Order had become increasingly personalised by the 1990s; Malaysia's Barisan Nasional was a dominant-party regime. That difference is a strong, though not sufficient, explanation for why Suharto fell in 1998 while Mahathir survived the same financial crisis (interpretation: Brownlee 2007; Slater 2010).

3. **Elite defection, not crowd size alone, is the proximate mechanism of fall.** In every rapid-collapse case reviewed (Marcos 1986, Ceausescu 1989, Suharto 1998, Ben Ali and Mubarak 2011, Rajapaksa 2022, Hasina 2024), the decisive moment was a refusal by

the security forces or the incumbent's own inner coalition to continue backing him. Mass mobilisation mattered chiefly because it changed elites' calculations about the cost of loyalty.

4. **The Suharto endgame turned on three defections within 72 hours.** On 18 May 1998 the Speaker of the DPR/MPR, Harmoko, long a regime loyalist, publicly asked Suharto to resign [V]; on 20 May fourteen economic ministers, led by Ginandjar Kartasasmita, signed a letter refusing to serve in Suharto's proposed "Reform Cabinet" or Reform Committee [V]; and the armed forces commander, Wiranto, negotiated the terms of a constitutional hand-over to Vice-President Habibie rather than impose martial law [V]. Suharto resigned at 09:00 WIB on 21 May 1998 [V].

5. **Economic collapse was the structural precondition.** The rupiah, near Rp 2,350-2,450 per US dollar in mid-1997, touched about Rp 16,800 intraday in mid-June 1998 (closing low ~ Rp 15,200; some sources cite a Rp 17,000 intraday low in January 1998) [V/E]; real GDP fell by about 13 per cent in 1998 [E]; inflation reached roughly 78 per cent [E]; and poverty roughly doubled [E]. Performance legitimacy built on three decades of rapid growth evaporated in months.

6. **Preference falsification explains the speed.** Kuran's model (1991) explains why the end of long-lived regimes surprises even well-informed observers: private opposition is hidden until a visible signal – a split among elites, a shooting, a public defection – lowers the cost of revealing it, and a cascade follows. The Trisakti shootings (12 May 1998) and Harmoko's statement (18 May) functioned as such signals (interpretation).

7. **Regime crises rarely produce territorial fragmentation.** Of the cases reviewed, only the USSR (a union of formally sovereign republics), Indonesia's East Timor (a territory whose annexation the UN never recognised), and Myanmar's de facto fragmentation produced territorial change. The difference lies in (a) pre-existing administrative units with a recognised claim, (b) international recognition norms, chiefly *uti possidetis juris*, and (c) whether the central army remained cohesive. Aceh and Papua, as parts of the former Netherlands Indies, had no comparable recognition pathway.

8. **Indonesia today shows institutional stress, not regime collapse.** Freedom House's *Freedom in the World 2026* scores Indonesia 56/100, "Partly Free", unchanged from the prior year [V]; V-Dem's *Democracy Report 2026* classifies Indonesia as an electoral autocracy (upper "EA+" tier) with an ongoing autocratisation episode, Liberal Democracy Index 0.30 for 2025 [V via Kompas]; the EIU scores it 6.37 (2025), rank 60 of 167, "flawed democracy" [E]. Stresses include the March 2025 TNI law revision [V], the deadly August 2025 protests [E], fiscal pressure close to the 3 per cent deficit ceiling [V/E], three finance ministers in under two years [E], record nominal rupiah weakness in 2026 [V], and a wiretapping scandal involving senior police generals that broke in November 2026 [E]. Countervailing strengths include regular elections, peaceful transfers of power since 1999, a cohesive and constitutionally subordinated military, an independent Constitutional Court (contested), and a functioning fiscal rule. None of the reviewed indicators points to state failure or fragmentation risk; they point to a debate about democratic quality.

9. **Adversarial caution.** Indices disagree in method and in direction of emphasis; the V-Dem "electoral autocracy" label sits in a statistical grey zone and is disputed by Indonesian government voices and by some scholars. The monograph should report all three indices together, explain their methods, and avoid treating any single label as a verdict.

Part 1. A typology of regime crisis outcomes

1.1 Why a typology is needed

Public argument about "national collapse" moves loosely between a cabinet reshuffle, a coup, a revolution, a new constitution, the breakdown of a state's monopoly on force, and the secession of a province. These events have different causes, different frequencies, and different consequences for the territorial question at the heart of this monograph. The six categories below are designed to be mutually distinguishable (though a single historical episode may contain several), to map onto existing datasets, and to be applicable to Indonesia without presupposing any outcome.

The key analytical distinction, inherited from the comparative literature, is between three levels:

- **Government** – the incumbent leaders and cabinet.
- **Regime** – the formal and informal rules that determine who rules and how leaders are chosen (Geddes, Wright and Frantz 2014 define a regime as "the basic formal and informal rules that identify the group from which leaders can come and determine who influences leadership choice and policy" [E]).
- **State** – the territorially bounded apparatus claiming a monopoly of legitimate force (Weber), recognised externally as sovereign.

A crisis can stop at the government level, reach the regime, or reach the state. A further dimension is **territorial**: the state's boundary can remain intact, be contested de facto, or change de jure.

1.2 The six categories

(1) Government instability **Definition.** Frequent or abrupt change of the head of government or cabinet *within an unchanged regime and unchanged constitutional order*. Mechanisms include no-confidence votes, coalition collapse, impeachment under existing rules, forced resignations, and "reshuffle" coups that replace one leader with another from the same ruling group.

Examples. Italy's post-war turnover of cabinets; Thailand's frequent premiership changes under one constitution; Indonesia's Reformasi-era presidential succession of 2001, when the MPR removed Abdurrahman Wahid and installed Megawati Sukarnoputri under the (amended) 1945 Constitution [E]. Prabowo Subianto's replacement of three finance ministers between September 2025 and September 2026 [E] is cabinet instability, not regime instability.

Indicators. Cabinet duration; number of heads of government per decade; leader-exit datasets such as Archigos (Goemans, Gleditsch and Chiozza 2009) [E], which code whether leaders leave office in a "regular" or "irregular" manner.

Relevance to territorial unity. Low. Government instability may degrade policy credibility (for example on fiscal transfers to regions) but does not, by itself, open the territorial question.

(2) Regime transformation **Definition.** A change in the basic rules of access to power – for example from personalist autocracy to electoral democracy, from military rule to dominant-party rule, or from democracy to electoral autocracy. Transformation may be abrupt (revolution, coup, negotiated pact) or gradual (incremental "executive aggrandisement", in which elected incumbents erode checks without a single break: Bermeo 2016 [E]).

Examples. Indonesia 1998-1999 (New Order to electoral democracy); Philippines 1986; Romania 1989; Tunisia 2011; Myanmar 2021 (coup reversing a partial democratic opening); the gradual autocratisation that V-Dem now codes for several large electoral democracies, including Indonesia since 2024 [V via Kompas].

Indicators. Polity score changes of three or more points within three years (the conventional Polity "regime transition" threshold) [E]; V-Dem Regimes of the World category changes and "Episodes of Regime Transformation" (ERT) codings [E]; Geddes-Wright-Frantz (GWF) regime start and end dates.

Relevance to territorial unity. Indirect but important. Transitions loosen central coercive capacity and open space for regional actors to renegotiate their relationship with the centre – the "window of opportunity" that Indonesia experienced in 1998-2001 and the USSR in 1989-1991.

(3) Constitutional transition Definition. A formal replacement or fundamental amendment of the constitutional order through recognised legal procedures (or through procedures that come to be accepted as legitimate afterwards). It may accompany regime transformation or occur within a continuous democratic regime.

Examples. Indonesia's four amendments to the 1945 Constitution (1999, 2000, 2001, 2002), which introduced presidential term limits, direct presidential elections, a Regional Representative Council (DPD) and a Constitutional Court, and ended appointed military seats in the legislature [E]; South Africa's 1993 interim and 1996 final constitutions; the Czechoslovak federal parliament's 1992 constitutional law dissolving the federation [E]; the UK's devolution statutes of 1998, which changed the territorial constitution without a codified constitution.

Indicators. Comparative Constitutions Project data on constitutional replacements and amendments (Elkins, Ginsburg and Melton 2009) [E]; legal records (in Indonesia, MPR decrees and the amendment texts).

Relevance to territorial unity. High when the transition reallocates powers between centre and regions; in Indonesia, the second amendment (2000) rewrote Article 18 to provide for regional autonomy and recognise "special" or "distinct" regional governments (Article 18B) [E]. Constitutional transition is the primary *peaceful* route by which territorial arrangements change.

(4) State failure Definition. The breakdown of the state's capacity to perform its core functions – maintaining a monopoly of force over its territory, collecting revenue, and providing basic order – across a substantial part of its territory, whether or not a recognised government persists in the capital. The Political Instability Task Force (formerly State Failure Task Force) operationalised "state failure" as an umbrella of revolutionary wars, ethnic wars, adverse regime changes and genocides/politicides [E]. Contemporary usage, following Rotberg (2004) and the Fund for Peace, prefers a continuum of fragility.

Examples. Somalia after 1991; Libya after 2011; Yemen after 2014; Myanmar since 2021 approaches this category in its borderlands, where the International Crisis Group describes "interlinked crises of state fragmentation, armed contestation and economic decline" [V].

Indicators. Fund for Peace **Fragile States Index (FSI)**: 12 indicators grouped under cohesion, economic, political and social headings, each scored 0-10, total 0-120 (higher = more fragile) [E]. Indonesia's FSI score was 63.7 in 2024, rank 102 of 179, its lowest (least fragile) score in the series that began in 2005-2006 [E – from secondary aggregators of FSI data; a 2025 figure was

not located]. Other indicators: battle deaths (UCDP), territorial control mapping, World Bank Worldwide Governance Indicators (government effectiveness, political stability).

Relevance to territorial unity. Very high: state failure is the condition under which de facto fragmentation most often occurs.

Limitation. The FSI combines quantitative content analysis with expert review; it is better at ranking than at measuring absolute change, and its year-labels refer to the report year rather than the data year.

(5) Territorial fragmentation Definition. A change – de facto or de jure – in the territorial extent of the state's effective or recognised authority, through secession, partition, or the consolidation of autonomous zones beyond central control. De jure fragmentation results in new recognised states; de facto fragmentation produces unrecognised or partially recognised entities, or zones governed by non-state armed groups.

Examples. De jure: Bangladesh 1971; Eritrea 1993; East Timor/Timor-Leste (independence 20 May 2002 after the 1999 UN-run popular consultation) [E]; South Sudan 2011. De facto: Somaliland since 1991; Transnistria; northern Cyprus; the Arakan Army's control over most of Rakhine State in Myanmar [V].

Indicators. Changes in UN membership; recognition counts; territorial-control data; armed-conflict data on secessionist conflicts (UCDP "incompatibility over territory").

Relevance. This is the outcome the monograph's central question asks about. It is rare: the comparative record shows that most separatist movements fail to obtain recognised statehood (interpretation: Coggins 2014; Griffiths 2016 [E]).

(6) Peaceful dissolution of a political union Definition. The negotiated, largely non-violent ending of a union of formally constituted units, usually along existing internal boundaries, with the consent (explicit or acquiesced) of the central authorities.

Examples. The dissolution of the Union of Sweden and Norway (1905); the Soviet Union (December 1991 – largely peaceful at the level of the union, although conflicts erupted in several successor states); Czechoslovakia (1 January 1993, the "Velvet Divorce"); the Mali Federation (1960). Contrast Yugoslavia (1991-1995), a violent dissolution.

Indicators. Constitutional or treaty instruments of dissolution; absence of large-scale armed conflict; recognition of successor states.

Relevance. Peaceful dissolution almost always presupposes a *federal or confederal* structure in which units already possess legal personality, borders and institutions (interpretation: Bunce 1999; Roeder 2007; Hale 2004). Indonesia is a unitary state (Article 1(1) of the 1945 Constitution: *Negara Kesatuan yang berbentuk Republik*) and Article 37(5) declares that the unitary form of the state cannot be amended [E]. This legal architecture makes category (6) structurally distant for Indonesia – a point the monograph's Scenario F must confront honestly.

1.3 Summary table

Category	Level affected	Typical mechanism	Primary datasets / indicators	Indonesian instance
(1) Government instability	Government	Reshuffle, no-confidence, impeachment	Archigos; cabinet duration	2001 MPR removal of Wahid; 2025-26 finance-minister turnover
(2) Regime transformation	Regime	Breakdown, pact, coup, gradual erosion	Polity5; V-Dem RoW & ERT; GWF	1966-67 (Old Order to New Order); 1998-99 (New Order to democracy); V-Dem's 2024 reclassification
(3) Constitutional transition	Constitution	Amendment or replacement	Comparative Constitutions Project	1949 RIS constitution; 1950 provisional constitution; 1959 return to 1945 Constitution; 1999-2002 amendments
(4) State failure	State capacity	Collapse of monopoly of force	FSI; UCDP; WGI	None nationally; regional breakdowns (Maluku, Poso 1999-2002) were localised communal conflicts, not state failure
(5) Territorial fragmentation	Territory	Secession, partition, de facto loss	Recognition, UCDP territorial conflicts	East Timor 1999-2002
(6) Peaceful dissolution	Union	Negotiated break-up of a federation	Treaty/constitutional instruments	None (the 1950 dissolution of the federal RIS into a unitary state is the *reverse* process)

1.4 Datasets in more detail

- **Polity (Polity IV / Polity5).** Marshall and Gurr's Center for Systemic Peace project scores regimes from -10 (full autocracy) to +10 (full democracy), with "anocracy" in the -5 to +5 band [E]. Polity5 extends to 2018; updates beyond that were not located in this session (unverified). *Limitation:* Polity measures executive constraints and competitiveness of

participation; it underweights civil liberties and is not well suited to detecting gradual erosion.

- **V-Dem (Varieties of Democracy).** Expert-coded indicators aggregated by Bayesian measurement models into indices including the Electoral Democracy Index (EDI) and Liberal Democracy Index (LDI), each 0-1, with confidence intervals. The "Regimes of the World" classification (Luhrmann, Tannenberg and Lindberg 2018) sorts countries into closed autocracy, electoral autocracy, electoral democracy and liberal democracy, and since recent editions flags "grey zone" cases where confidence intervals overlap a threshold [E – the Democracy Report 2026 discusses "grey zone" countries; Kompas (opened) reports Indonesia in the upper EA+ band]. *Limitation:* expert coding can be sensitive to coder composition; small changes near thresholds can flip a category label.

- **Geddes-Wright-Frantz Autocratic Regimes dataset (2014).** Covers autocracies 1946-2010, classifying them as dominant-party, military, personalist, monarchic, or hybrids, and coding how each regime ended (coup, uprising, election, foreign imposition, etc.) [E]. *Limitation:* ends in 2010; regime-type codes are categorical and time-invariant within a regime spell, so the personalisation of a regime over time (central to the Suharto case) is captured only partly; the authors later developed a continuous personalism measure (Geddes, Wright and Frantz 2018, *How Dictatorships Work*) [E].

- **Fund for Peace Fragile States Index.** See 1.2(4).

- **Powell and Thyne coup dataset (2011, continuously updated).** Defines coups as "illegal and overt attempts by the military or other elites within the state apparatus to unseat the sitting executive"; a coup is successful if perpetrators hold power for at least seven days [E – authors' data page]. Covers 1950-present; the authors' page records ongoing updates into 2026 [E]. *Limitation:* excludes mass uprisings and resignations under pressure; Suharto's 1998 exit is therefore **not** a coup in this dataset, nor is Hasina's 2024 departure (the army's role there makes the boundary debatable).

- **Other useful sources.** Chenoweth's NAVCO data on nonviolent and violent campaigns [E]; UCDP/PRIO Armed Conflict data; the Comparative Constitutions Project; Archigos leader data; for Indonesia specifically, BPS's *Indeks Demokrasi Indonesia* (IDI), which Kompas reports declined in its 2025 edition [E].

Part 2. Theories of authoritarian resilience and breakdown

Part 3. The fall of Suharto (1997-1998): a process-tracing case study

3.1 Method

Part 2. Theories of authoritarian resilience and breakdown

This part uses **process tracing** (Bennett and Checkel 2015; Collier 2011 [E]): it reconstructs the causal sequence from structural conditions through proximate mechanisms to the outcome.

Part 2. Theories of authoritarian resilience and breakdown

- **H1 (structural-economic):** the regime fell because the Asian financial crisis destroyed its performance legitimacy and its patronage capacity; leadership choices were secondary.

Part 2. Theories of authoritarian resilience and breakdown

- **H2 (mass-mobilisation):** the regime fell because students and urban crowds made the country ungovernable.

Part 2. Theories of authoritarian resilience and breakdown

- **H3 (elite-defection):** the regime fell because key insiders – the legislative leadership, the economic ministers and the military command – withdrew support, and the military chose

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The analysis concludes that H1 identifies the necessary background, H2 identifies the trigger and the pressure, and H3 identifies the decisive proximate mechanism. Each is in-

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Part 2. Theories of authoritarian resilience and breakdown

3.2 Foundations of the New Order (1966-1997)

Part 2. Theories of authoritarian resilience and breakdown

Origins. The New Order emerged from the crisis of 1965-66: the killing of six generals on the night of 30 September-1 October 1965, attributed by the army to the Indonesian Communist

Part 2. Theories of authoritarian resilience and breakdown

Legitimacy through *pembangunan* (development). The New Order's self-description as the "Development Order" rested on measurable performance. Real GDP growth averaged about 7 per

Part 2. Theories of authoritarian resilience and breakdown

Limitation: growth figures are from official national accounts; the poverty figures understate vulnerability, as the 1998 crisis revealed.

Part 2. Theories of authoritarian resilience and breakdown

Three institutional pillars.

Part 2. Theories of authoritarian resilience and breakdown

1. **ABRI and *dwi-fungsi*.**

The armed forces (ABRI, which until 1999 included the police) claimed a "dual function" as both defence force and socio-political force. This was institutionalised through ap-

Part 2. Theories of authoritarian resilience and breakdown

2. **Golkar.** The regime's electoral vehicle won every New Order election (1971, 1977, 1982, 1987, 1992, 1997), taking about 74 per cent of the vote in 1997 [E]. In 1973 the other parties

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Part 2. Theories of authoritarian resilience and breakdown

3. **The bureaucracy.** Civil servants were required to show "monoloyalty" to Golkar through the KORPRI corps [E]. Law 5/1974 on regional government centralised authority in Jakarta and made

Part 2. Theories of authoritarian resilience and breakdown

Cronies and family. Around the presidency developed a network of business groups whose fortunes depended on state licences, monopolies, credit and contracts. Prominent examples included

Part 2. Theories of authoritarian resilience and breakdown

The succession problem. By 1997 Suharto was 76 (born 8 June 1921) [E] and had designated no clear successor. Each vice-president was chosen by him and served at his discretion.

Part 2. Theories of authoritarian resilience and breakdown

3.3 The economic shock (July 1997 - May 1998)

Part 2. Theories of authoritarian resilience and breakdown

Contagion and float. After Thailand floated the baht on 2 July 1997, pressure spread across the region. Bank Indonesia widened its intervention band and then, on 14 August 1997, aban-

doned the man-

Part 2. Theories of authoritarian resilience and breakdown

IMF programmes. Indonesia signed its first IMF agreement on 31 October 1997; a key condition was the closure of sixteen private banks [V – CNBC Indonesia]. The closures, with-

Part 2. Theories of authoritarian resilience and breakdown

The currency. The rupiah stood near Rp 2,350-2,450 per US dollar in mid-1997 [E – Bank Indonesia history; Kompas]. It fell in waves, reaching about Rp 16,800 intraday on 16-17 June

Part 2. Theories of authoritarian resilience and breakdown

Limitation: intraday and closing rates, and interbank versus Bank Indonesia reference rates, differ; nominal comparisons with 2026 levels (see Part 6) ignore three decades of inflation.

Part 2. Theories of authoritarian resilience and breakdown

Output, prices and poverty.

Part 2. Theories of authoritarian resilience and breakdown

- Real GDP fell by about 13 per cent in 1998 (IMF Independent Evaluation Office: "GDP fell by 13 percent in 1998"; SMERU gives 13.7 per cent; BPS series as cited by Tambunan

Part 2. Theories of authoritarian resilience and breakdown

- Inflation reached about 78 per cent in 1998, with food prices up about 118 per cent (SMERU) [E]; the IMF cites about 70 per cent annualised by mid-1998 [E].

Part 2. Theories of authoritarian resilience and breakdown

- The poverty rate rose from about 15 per cent in mid-1997 to a peak of about 33 per cent near the end of 1998 (SMERU, consumption-based estimates) [E]; contemporaneous estimates in

Part 2. Theories of authoritarian resilience and breakdown

Fuel prices and the May trigger. On 4 May 1998, under IMF-agreed subsidy reductions, the government raised fuel and electricity prices sharply; riots broke out in Medan and other cities

Part 2. Theories of authoritarian resilience and breakdown

The economic shock thus damaged all three pillars simultaneously: the performance legitimacy claim collapsed; the patronage system lost its credit and rent base; and the mid-

Part 2. Theories of authoritarian resilience and breakdown

3.4 Mobilisation, violence and the breakdown of order (February - mid-May 1998)

Part 2. Theories of authoritarian resilience and breakdown

Student movement. From February 1998 campus-based protests spread, initially confined to university grounds by security forces, with demands for *reformasi*, an end to KKN, price relief and, increas-

Trisakti (12 May 1998). Security forces fired on students at Universitas Trisakti in West Jakarta; four students were killed – Elang Mulia Lesmana, Hafidin Royan, Hery Hertanto and Hendriawan

Part 2. Theories of authoritarian resilience and breakdown

The May 13-15 riots. Rioting, looting and arson swept Jakarta and several other cities (Solo/Surakarta, Medan, Palembang, Lampung, Surabaya). Ethnic-Chinese Indonesians, their shops and homes were disproportionately

Part 2. Theories of authoritarian resilience and breakdown

TGPF's executive summary states that "it is difficult to find exact numbers of victims and losses" and reports for Jakarta four data sets [V – TGPF report p. 16, Wikisource transcription]:

Part 2. Theories of authoritarian resilience and breakdown

Source cited by TGPF	Deaths (Jakarta)	Injured (Jakarta)
Volunteer Team (Tim Relawan)	1,190 burned or burned to death; 27 by weapons or other causes	91
Jakarta Regional Police (Polda)	241	

Part 2. Theories of authoritarian resilience and breakdown

For other cities TGPF cites police data of 32 deaths and 131 injured (plus 27 with burns) and Volunteer Team data of 33 deaths and 74 injured [V].

Part 2. Theories of authoritarian resilience and breakdown

On sexual violence, TGPF verified **85 victims** of sexual violence in Jakarta and surroundings, Medan and Surabaya: 52 victims of rape, 14 of rape with assault, 10 of sexual as-

Part 2. Theories of authoritarian resilience and breakdown

TGPF also found indications that some of the violence was organised – reports of groups transported into neighbourhoods and of provocateurs – and recommended further investiga-

Part 2. Theories of authoritarian resilience and breakdown

Collective memory. The May 1998 violence remains contested in public memory. In June 2025, a statement by Culture Minister Fadli Zon questioning whether mass rapes occurred drew

Part 2. Theories of authoritarian resilience and breakdown

Disappearances. In 1997-98 a number of pro-democracy activists were abducted; some were later released and testified, while others remain missing [E – Komnas HAM; KontraS]. A246 military Hon-

Part 2. Theories of authoritarian resilience and breakdown

3.5 The endgame (15-21 May 1998): reconstructing the sequence

Part 2. Theories of authoritarian resilience and breakdown

The following chronology is drawn principally from Kompas's reconstruction published on 27 May 1998, "Cerita di Balik Mundurnya Soeharto" [V], supplemented as tagged.

Part 2. Theories of authoritarian resilience and breakdown

- **15 May.** Suharto returns early from Cairo [E].

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Part 2. Theories of authoritarian resilience and breakdown

- **18 May.** Thousands of students occupy the DPR/MPR complex in Senayan [E; Kompas notes the building "filled with thousands of students" V]. At **15:20 WIB**, DPR/MPR Speaker **Harmoko**, flanked by all four

Part 2. Theories of authoritarian resilience and breakdown

- **19 May.** From 09:00 to 11:32 Suharto meets Muslim leaders and public figures, including Abdurrahman Wahid (NU), Nurcholish Madjid, Emha Ainun Nadjib, Yafie (MUI), Ma-

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Part 2. Theories of authoritarian resilience and breakdown

- **20 May (National Awakening Day).** A planned mass gathering at the National Monument was called off by its organisers amid a heavy military deployment [E].

A252 **14:30 WIB**, four-

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Part 2. Theories of authoritarian resilience and breakdown

- **21 May.** At **09:00 WIB** in the Credentials Room of Merdeka Palace, Suharto reads his resignation. He states that the Reform Committee "could not be realised because there was no ade-

Part 2. Theories of authoritarian resilience and breakdown

- **22 May.** Habibie names a new cabinet; Prabowo Subianto is removed as Kostrad commander [E].

Part 2. Theories of authoritarian resilience and breakdown

A later dispute about the "fourteen ministers". In May 2026 Ginandjar Kartasasmita publicly rejected the characterisation that the Bappenas meeting produced a col-

Part 2. Theories of authoritarian resilience and breakdown

3.6 Process-tracing analysis

Part 2. Theories of authoritarian resilience and breakdown

Evidence against a pure H2 (mass mobilisation) account. Mass protest and riots did not, by themselves, force Suharto out: on 18 May the armed forces publicly rejected the DPR leadership's call

Part 2. Theories of authoritarian resilience and breakdown

A "smoking-gun" observation for H3. Suharto's own resignation speech names the reason: the absence of an "adequate response" to his plan for a Reform Committee, and the "views of

Part 2. Theories of authoritarian resilience and breakdown

A "hoop test" for the military's role. If the armed forces had remained unconditionally loyal to Suharto personally, and willing to use mass force to keep him in office, his resig-

Part 2. Theories of authoritarian resilience and breakdown

Why H1 is necessary but not sufficient. The economic collapse created the conditions for every subsequent step: it delegitimised the developmental bar-

Part 2. Theories of authoritarian resilience and breakdown

Structure versus agency. The case supports a "structured contingency" reading (interpretation, following Karl 1990 and O'Donnell and Schmitter 1986 [E]): structural conditions (per-

Part 2. Theories of authoritarian resilience and breakdown

Counterfactuals (explicitly labelled). (a) Had the military imposed emergency rule in May 1998, the outcome could have resembled a coupled regime transformation, with uncertain

Part 2. Theories of authoritarian resilience and breakdown

The international dimension. The IMF's conditionality, US pressure and capital flight shaped the crisis. The White House welcomed Suharto's decision in a statement dated 20 May 1998

Part 2. Theories of authoritarian resilience and breakdown

3.7 The transition (1998-2002) and the territorial question

###

Part 2. Theories of authoritarian resilience and breakdown

Habibie's interregnum (May 1998 - October 1999).

Habibie, though a Suharto protege, presided over rapid liberalisation: press licensing controls were lifted, political prisoners released.

Part 2. Theories of authoritarian resilience and breakdown

East Timor. On 27 January 1999 Habibie's government announced that if East Timor rejected wide autonomy, Indonesia would let it go [E]. Agreements between Indonesia and

Part 2. Theories of authoritarian resilience and breakdown

Presidential succession and constitutional change. In October 1999 the MPR rejected Habibie's accountability speech; Habibie withdrew, and the MPR elected Abdurrahman Wahid presi-

Part 2. Theories of authoritarian resilience and breakdown

Classification against the typology. 1998-2002 combined (2) regime transformation, (3) constitutional transition and (5) one case of territorial fragmentation (East Timor), but not (4) state

Part 2. Theories of authoritarian resilience and breakdown

3.8 Warning signs and safeguards drawn from the case

Part 2. Theories of authoritarian resilience and breakdown

Framed, as FRAMEWORK.md requires, as recognisable warning signs and institutional safeguards rather than techniques:

Part 2. Theories of authoritarian resilience and breakdown

Warning sign in 1997-98	Safeguard suggested by comparative evidence
Legitimacy resting almost entirely on economic performance	Procedural legitimacy:

Part 4. Comparative cases

Each case below is summarised under the same headings: **trigger**, **who defected**, **outcome category** (using the typology in Part 1), and **lesson for the Indonesian comparison**. Dates and facts are from established knowledge [E] unless tagged otherwise. The purpose is analytical comparison, not narrative completeness.

4.1 Philippines 1986: Marcos and EDSA

Background. Ferdinand Marcos ruled from 1965, under martial law from 1972 to 1981, with a regime that scholars treat as the archetype of personalist "crony capitalism": sugar and coconut monopolies, state-bank lending and public contracts flowed to associates such as Eduardo Cojuangco and Roberto Benedicto, and the economy contracted sharply in 1984-85 amid a debt crisis [E – Hutchcroft 1998 *Booty Capitalism*; Slater 2010].

Trigger. The assassination of opposition leader Benigno Aquino Jr. on 21 August 1983 eroded elite and middle-class acquiescence. Marcos called a snap presidential election for 7 February 1986; widespread fraud allegations, including a walkout by election tabulators, followed [E].

Who defected. On 22 February 1986 Defence Minister Juan Ponce Enrile and Vice Chief of Staff Fidel Ramos broke with Marcos, backed by the reformist officers' movement (RAM). Cardinal Jaime Sin called on citizens to protect them; hundreds of thousands gathered on EDSA (Epifanio de los Santos Avenue). Military units sent against the rebels did not attack. The United States signalled that Marcos should leave. Marcos departed for Hawaii on 25 February; Corazon Aquino took office [E].

Outcome category. (2) Regime transformation and (3) constitutional transition (the 1987 Constitution). No state failure or fragmentation, although communist and Moro insurgencies continued.

Lesson. The closest analogue to Indonesia 1998: a personalist, crony-capitalist regime weakened by economic crisis, toppled when a section of the armed forces defected and mass mobilisation deterred repression. A difference: in Manila, defection began with an armed faction; in Jakarta, the decisive defections were civilian insiders, with the military command brokering the hand-over.

4.2 Malaysia: surviving 1998, losing 2018

1997-98. Malaysia's economy contracted by about 7.4 per cent in 1998 [E]. On **1 September 1998** Bank Negara Malaysia imposed selective capital controls, effectively closing the offshore ringgit market, and the ringgit was fixed at **RM 3.80 per US dollar** (announced 1-2 September) [E – IMF Working Paper 06/51; IMF Selected Issues 1999; Jomo 2004]. On **2 September 1998** Prime Minister Mahathir Mohamad dismissed Deputy Prime Minister and Finance Minister Anwar Ibrahim [E – Bernama, 2 September 1998; BBC]. Anwar was subsequently arrested, prosecuted and imprisoned; his supporters launched the *Reformasi* protest movement [E].

Why the regime survived. Despite an economic contraction and a split at the very top, the Barisan Nasional (BN) regime held. Explanations emphasise (a) UMNO's institutionalised role as an arena for elite conflict and patronage (Brownlee 2007), (b) a strong state built on a historical protection pact (Slater 2010), (c) the army's political neutrality and subordination, and (d) the government's ability to reflate the economy behind capital controls without IMF conditionality (interpretation; the economic efficacy of the controls is debated: Kaplan and Rodrik 2001; Athukorala 2001 [E]). Elites who might have defected had more to lose outside the party than inside it.

2018. At the general election of 9 May 2018 BN lost power for the first time since independence (as the Alliance/BN), to the Pakatan Harapan coalition led by a returning Mahathir, amid the 1MDB financial scandal [E].

Outcome category. 1998: none of the six beyond intra-regime leadership conflict (arguably (1) at the elite level). 2018: an electoral turnover that some scholars treat as (2) regime transformation from competitive authoritarianism toward democracy, and others as alternation within a still-hybrid system (interpretation).

Lesson. The paired comparison with Indonesia is the strongest natural experiment in this paper: same regional shock, same year, different regime structures, different outcomes. It supports the dominant-party and protection-pact explanations over a purely economic one. It also shows that a dominant-party regime can eventually lose power *through elections* rather than through collapse – the peaceful pathway.

4.3 Thailand: coups as a recurring mechanism

Pattern. Thailand has experienced a dozen or more successful coups since the end of absolute monarchy in 1932, most recently on 19 September 2006 (ousting Prime Minister Thaksin Shinawatra) and 22 May 2014 (ousting the government then led by Yingluck Shinawatra's caretaker successors) [E]. Coups have repeatedly been followed by new constitutions (the 2017 constitution being the twentieth since 1932 by common count) [E].

Triggers and defectors. Thai coups typically follow prolonged polarisation between elected governments with rural electoral majorities and establishment coalitions centred on the palace, military and Bangkok elites; the military acts as an institutional arbiter (interpretation: McCargo 2005, "network monarchy" [E]).

Outcome category. Alternation among (1) government instability, (2) regime transformation and (3) constitutional transition – without state failure or territorial fragmentation, even though an insurgency persists in the Malay-Muslim southern provinces.

Lesson. Frequent regime change need not threaten territorial integrity when the military, the monarchy and the bureaucracy remain cohesive guardians of the state. Indonesia's post-1998 path deliberately moved away from this model by removing the military from formal politics; the 2025 TNI law revision has reopened debate about the boundary (Part 6).

4.4 Soviet Union 1991: regime collapse becomes union dissolution

Trigger. Gorbachev's reforms (*glasnost*, *perestroika*, competitive elections in 1989-90) weakened the party's control and empowered republic-level elites. The failed coup of 19-21 August 1991 by hardliners discredited the central security institutions [E].

Who defected. The decisive actors were republic leaderships – above all the Russian Federation under Boris Yeltsin – together with army units that refused to act against the crowds in Moscow. On 8 December 1991 the leaders of Russia, Ukraine and Belarus signed the Belovezha Accords; on 21 December eleven republics signed the Alma-Ata Protocol; Gorbachev resigned on 25 December and the USSR formally ceased to exist on 26 December 1991 [E].

Outcome category. (2) regime transformation and (6) dissolution of a union – largely peaceful at the level of the union itself, though accompanied by wars in several successor states (Nagorno-Karabakh, Transnistria, Abkhazia, South Ossetia, Tajikistan, Chechnya) [E].

Lesson. Bunce (1999) and Hale (2004) argue that the Soviet ethnofederal structure – republics with their own legislatures, borders, elites and national identities – provided the "subversive institutions" that converted a central regime crisis into dissolution along existing lines [E]. Indonesia's unitary constitution and the post-1999 choice to devolve power to districts rather than to provinces were in part designed to avoid exactly this pathway (interpretation: Bertrand 2004; Aspinall and Fealy 2003; to be tested in the political-economy chapter).

4.5 Romania 1989: Ceausescu

Trigger. Protests began in Timisoara on 16-17 December 1989 over the attempted eviction of the dissident pastor Laszlo Tokes and were met with lethal force. On 21 December a mass rally Ceausescu convened in Bucharest turned against him on live television [E].

Who defected. On 22 December, after the death of Defence Minister Vasile Milea (officially a suicide), the army switched sides. Ceausescu fled by helicopter, was captured, tried by an improvised military tribunal and executed with his wife Elena on 25 December 1989. The National Salvation Front, dominated by former communist officials, took power [E].

Outcome category. (2) regime transformation by violent replacement, with a significant death toll (official figures commonly cited at about 1,100) [E].

Lesson. Romania was the most personalist of the East European communist regimes – the "sultanistic" type in Linz and Stepan's (1996) terms [E] – and the only one to fall violently. It confirms Geddes's prediction that personalist regimes rarely negotiate exits, and Kuran's account of cascades triggered by a public signal (the failed rally).

4.6 Tunisia and Egypt 2011: Ben Ali and Mubarak

Tunisia. The self-immolation of street vendor Mohamed Bouazizi on 17 December 2010 triggered nationwide protests. President Zine El Abidine Ben Ali fled to Saudi Arabia on 14 January 2011 [E]. Reports that the army chief of staff, General Rachid Ammar, refused to order troops to fire on protesters are widely repeated but contested in their details [E]; it is better established that the army, historically marginalised relative to the interior ministry's police, did not defend the regime.

Egypt. Mass protests began on 25 January 2011. On 11 February Hosni Mubarak resigned and handed power to the Supreme Council of the Armed Forces (SCAF) [E]. The army – an autonomous institution with large economic interests – positioned itself as guardian of the nation rather than of the president. A competitive presidential election in 2012 brought Mohamed Morsi to power; the military removed him on 3 July 2013, initiating a new, more repressive military-backed order [E].

Outcome categories. Tunisia: (2) regime transformation and (3) constitutional transition (2014 constitution), followed after 2021 by renewed autocratisation under President Kais Saied [E]. Egypt: (1)/(2) leadership change managed by the military, then reversal – a "coup-like" transition that preserved the military's position.

Lesson. The behaviour of the armed forces as an *institution* (Tunisia's marginalised army versus Egypt's privileged one) shaped whether the transition deepened or reversed (interpretation: Bellin 2012 [E]). Indonesia's 1998 transition resembled Egypt's in that the military brokered the leader's exit, but differed in that the military then accepted, over several years, a reduced political role.

4.7 Myanmar 2021-2026: coup, resistance and de facto fragmentation

Trigger. On 1 February 2021 the military (Tatmadaw), led by Senior General Min Aung Hlaing, seized power and detained the elected leadership of Aung San Suu Kyi's National League for Democracy, alleging fraud in the November 2020 election [E; ICG V].

Who defected – and who did not. Unlike the other cases, the military did not split. Mass nonviolent protest and a civil-disobedience movement were met with lethal repression; resistance then turned armed, with "People's Defence Forces" and established ethnic armed organisations. In October 2023 a coordinated offensive by ethnic armed groups ("Operation 1027") inflicted major losses on the military [V – ICG].

Status in 2026. The junta held phased elections on 28 December 2025, 11 January 2026 and 25 January 2026 [E – Pyithu Hluttaw letter; ICG V]. The military-backed USDP won 339 of 420 contested seats; with the 25 per cent of seats reserved for military appointees, military-friendly lawmakers form over 86 per cent of parliament [V – ICG]. Polling was cancelled in large parts of the country; official turnout was 54 per cent of eligible voters in areas where voting occurred [V – ICG]. On 30 March 2026 Min Aung Hlaing stepped down as commander-in-chief; on **3 April 2026** parliament elected him president with 429 votes; the new administration took office on 11 April 2026 [V – ICG; E – Reuters, Myanmar Ministry of Information]. The International Crisis Group (June 2026) characterises this as "military consolidation, not transition" [V]. With Chinese backing (including Beijing-brokered ceasefires with the MNDAA and TNLA in 2025), the military has regained some ground, but the Arakan Army controls nearly all of Rakhine State except Sittwe, Kyaukphyu and an offshore island, and the Kachin Independence Organisation holds key resource areas [V – ICG]. Reporting in 2026 estimates that the military controls less than half the country's territory [E – DW, April 2026; CSIS, February 2026]. CSIS reported in October 2026 continued failed regime efforts to retake Sittwe-area and Ramree Island positions from the Arakan Army and a market airstrike in Kyauktaw killing at least 50 civilians [E]. A further round of by-elections was announced for April 2027 [E – *The Independent*, 6 November 2026; date to be confirmed].

Outcome category. (2) regime transformation (reversal of a partial democratic opening), approaching (4) state failure in contested regions, with (5) *de facto* territorial fragmentation – but no new recognised state.

Lesson. Myanmar demonstrates that when the military remains cohesive and willing to use mass violence, a regime crisis does not end in a negotiated transition but in protracted armed conflict and de facto fragmentation along pre-existing ethnic-territorial lines, where armed organisations and resource revenues (jade, rare earths) already existed [V – ICG]. It is the clearest regional illustration of the combination of conditions Indonesia avoided in 1998.

4.8 Sri Lanka 2022: economic collapse and the *Aragalaya*

Trigger. A foreign-exchange crisis produced shortages of fuel, food and medicine. The government announced on 12 April 2022 that it would suspend payments on its external debt of about US$51 billion [E – AFP/Guardian timeline]; Sri Lanka missed a payment on 20 May 2022, leading rating agencies to declare default [E – UK House of Commons Library]. Months of protest (the *Aragalaya*, "struggle") followed.

Who defected. Prime Minister Mahinda Rajapaksa resigned in May 2022 after violence by his supporters; on 9 July protesters entered the presidential residence; President Gotabaya Rajapaksa fled on 13 July and submitted his resignation from Singapore on 14 July, accepted by parliament on

15 July [E – Reuters timeline]. On 20 July parliament elected Ranil Wickremesinghe president by 134 of 219 valid votes [E – Parliament of Sri Lanka; Reuters]. The security forces did not attempt to keep the Rajapaksas in power, but the succession followed constitutional procedure, and establishment politics prevailed in the short term.

Outcome category. (1) government instability resolved constitutionally; arguably the start of (2) regime-level change only later, when an outsider coalition led by Anura Kumara Dissanayake won the presidency in September 2024 [E].

Lesson. A severe economic crisis with mass mobilisation can topple a ruling family without breaking the constitutional order. The Sri Lankan case resembles Indonesia 1998 in its economic trigger, but differs in that the regime was already an electoral democracy with a functioning succession rule.

4.9 Bangladesh 2024: the ouster of Sheikh Hasina

Trigger. Student protests in June-July 2024 against the reinstatement of a quota system for public-sector jobs expanded into a mass movement against Prime Minister Sheikh Hasina's increasingly authoritarian rule [E – OHCHR]. The UN Human Rights Office's fact-finding report (12 February 2025) estimated that "as many as 1,400 people could have been killed" between 1 July and 15 August 2024, the vast majority by security forces using military rifles and shotguns, with 12-13 per cent of those killed being children; it found reasonable grounds to believe the former government's security and intelligence apparatus committed serious violations [E – OHCHR report, search excerpts; the Ministry of Health had recorded 841 deaths].

Who defected. On 5 August 2024 Hasina resigned and fled to India; the army chief announced the formation of an interim government, and Muhammad Yunus was sworn in as chief adviser on 8 August [E]. The army's refusal to continue repression was decisive.

Aftermath. In parliamentary elections on 12 February 2026, from which the Awami League was barred, the BNP-led alliance won 212 seats and a Jamaat-e-Islami-led alliance 77 (figures as reported by Reuters, the Guardian and AP from Election Commission results) [E]; BNP leader Tarique Rahman was sworn in as prime minister on 17 February 2026 [E – Reuters, AP].

Outcome category. (2) regime transformation, with an extra-constitutional interim period, followed by an electoral (re)founding; whether it consolidates as democratic remains open.

Lesson. The pattern – youth-led mass protest, lethal repression, army withdrawal of support, rapid flight of the leader – matches the elite-defection model. It also illustrates the risk that exclusion of a major party from the successor order carries forward polarisation.

4.10 Summary table of comparative cases

Case	Year	Principal trigger	Decisive defection	Outcome category	Territorial change?
Indonesia (Suharto)	1998	Financial crisis; Trisakti shootings; riots	DPR leadership; 14 economic ministers; military brokered hand-over	(2) + (3); (5) for East Timor 1999	East Timor only
Philippines (Marcos)	1986	Aquino assassination; fraudulent snap election	Enrile, Ramos and reformist officers; Church; US	(2) + (3)	No
Malaysia	1998 / 2018	Financial crisis; Anwar dismissal / 1MDB	None decisive in 1998; voters in 2018	1998: regime survived; 2018: electoral turnover	No
Thailand	2006, 2014	Polarisation over elected governments	Military as institution	(1)/(2)/(3) cycles	No
USSR	1991	Reform-era weakening; failed August coup	Republic leaderships; army units	(2) + (6)	Yes (15 successor states)
Romania (Ceausescu)	1989	Timisoara repression; failed Bucharest rally	Army	(2), violent	No
Tunisia (Ben Ali)	2011	Bouazizi's self-immolation	Army did not defend regime	(2) + (3), later backsliding	No
Egypt (Mubarak)	2011	Mass protest	Army (SCAF) took over	Managed (1)/(2), reversed 2013	No
Myanmar	2021-	Military coup	Military did **not** split	(2) reversal; approaching (4); de facto (5)	De facto only
Sri Lanka	2022	Sovereign default; shortages	Security forces did not defend Rajapaksas	(1), constitutional succession	No
Bangladesh (Hasina)	2024	Quota protests; lethal repression	Army	(2), interim then elections 2026	No

Cross-case regularities. (a) Economic crisis features in most cases but is neither necessary (Romania's trigger was political) nor sufficient (Malaysia survived). (b) Personalist regimes (Marcos, Ceausescu, Suharto, arguably Ben Ali and Hasina) are over-represented among rapid collapses. (c) In no case did a regime fall while its armed forces remained cohesive and willing to use mass force – Myanmar shows what happens instead. (d) Territorial change followed only where pre-existing units with recognisable claims existed (Soviet republics; East Timor as a non-self-governing territory) or where the state lost control to territorially organised armed groups (Myanmar).

Part 5. When regime crises become territorial: conditions and constraints

5.1 The puzzle

Regime crises loosen the centre's grip and open bargaining windows for regions. Yet territorial fragmentation is much rarer than regime change. Indonesia's 1998-2005 experience offers a within-country comparison: during the same crisis, East Timor separated; Aceh, after years of insurgency, settled for special autonomy; Papua remained within Indonesia under special autonomy amid continuing low-level conflict; and resource-rich provinces such as Riau and East Kalimantan, where some voices raised federalist or even independence demands in 1999-2000, pursued bargaining for revenue shares rather than exit (interpretation; on Riau's "Riau Merdeka" episode see Aspinall and Fealy 2003 [E]).

5.2 Why East Timor left

1. **A distinct legal status.** East Timor had been a Portuguese colony, not part of the Netherlands Indies. Indonesia invaded in December 1975 and declared annexation in 1976, but the United Nations never recognised the annexation and continued to treat the territory as a non-self-governing territory under Portuguese administration [E]. Its claim therefore fell within the decolonisation norm of self-determination, not secession from a recognised state.
2. **A regime-transition decision at the centre.** Habibie's 27 January 1999 offer, made amid fiscal strain, international pressure and a desire for legitimacy, created a legal pathway [E].
3. **International machinery.** The 5 May 1999 agreements, the UN-run ballot, and the Security Council's subsequent authorisation of INTERFET and UNTAET gave the outcome legal form and protection [E].
4. **A clear, internationally certified majority.** 78.5 per cent rejected autonomy on a turnout of about 98-99 per cent of registered voters [E – UN].
5. **Costs to Indonesia's international position** of continued occupation had risen sharply after the 1991 Santa Cruz massacre and the post-ballot violence (interpretation).

5.3 Why Aceh did not leave

Aceh had been part of the Netherlands Indies and was central to the independence struggle; its claim to statehood therefore conflicted with *uti possidetis juris* (5.5). The Free Aceh Movement (GAM), founded in 1976, waged an insurgency that intensified after 1998; Jakarta imposed martial law in May 2003 [E]. The Indian Ocean tsunami of 26 December 2004, which killed well over 100,000 people in Aceh, changed incentives on both sides; negotiations facilitated by the Crisis Management Initiative of former Finnish president Martti Ahtisaari produced the **Helsinki Memorandum**

of Understanding of 15 August 2005 [E]. GAM accepted self-government within Indonesia; Jakarta accepted provisions allowing local political parties, a large share of oil and gas revenues, and the withdrawal of non-local forces; Law 11/2006 on the Governing of Aceh implemented the MoU [E – Aspinall 2009 *Islam and Nation*]. Explanations: military stalemate and exhaustion, the tsunami shock, international mediation, the absence of foreign recognition for independence, and a democratic centre able to make credible commitments (interpretation: Aspinall 2009).

5.4 Why Papua did not leave

Papua (then Netherlands New Guinea) was retained by the Netherlands after 1949 and transferred to Indonesia via UN temporary administration under the 1962 New York Agreement. The 1969 "Act of Free Choice", in which 1,025 selected representatives voted for integration, was "taken note of" by the UN General Assembly (Resolution 2504, November 1969) [E]. Many Papuans and some scholars regard the process as illegitimate; Indonesia and the overwhelming majority of states regard Papua's status as settled (interpretation: Drooglever 2009 vs. Indonesian official position [E]). Special autonomy was granted by Law 21/2001 and revised by Law 2/2021; new provinces were created in 2022 [E]. Armed conflict involving the TPNPB continues at a low but deadly level; Freedom House lists "conflict in Papua" among Indonesia's persistent challenges [V].

Papua remained within Indonesia because (a) no state recognises an independent Papua and *uti possidetis* weighs against it; (b) the Indonesian military remained cohesive and present; (c) the independence movement was fragmented and lacked an internationally recognised administrative counterpart with the capacity East Timor's leadership had; and (d) the centre combined repression with fiscal concessions (interpretation). This is an explanation of outcome, not a normative judgement on the claims.

5.5 International recognition norms

- **Territorial integrity and *uti possidetis juris*.** Post-colonial states inherited colonial administrative boundaries. The ICJ in *Frontier Dispute (Burkina Faso/Republic of Mali)* (1986) described *uti possidetis* as a general principle "logically connected with the phenomenon of the obtaining of independence, wherever it occurs" [E]. The Badinter Arbitration Commission (Opinion No. 3, 1992) applied the principle to the internal boundaries of the dissolving Yugoslav federation [E]. The practical effect is strongly status-quo-preserving: internal units of a unitary state rarely gain recognition, while units of a *dissolving federation* may become states along existing lines.
- **The ICJ's Kosovo advisory opinion (22 July 2010).** The Court concluded that "the declaration of independence of Kosovo adopted on 17 February 2008 did not violate international law" [V – ICJ case page]. Crucially, the Court answered only whether a rule of international law *prohibited* the declaration; it expressly did not decide whether international law conferred a positive *entitlement* to independence, and it held that "the scope of the principle of territorial integrity is confined to the sphere of relations between States" [V]. The opinion therefore does not create a right of secession; recognition remains a political act of other states. Kosovo's own recognition has remained partial.
- **Recognition as gatekeeper.** New states achieve full membership in international society only through recognition by major powers and admission to the UN (interpretation: Coggins 2014; Fazal and Griffiths 2014 [E]). Walter (2009) argues that governments facing multiple potential separatist regions fight harder against the first, to deter others – a logic sometimes invoked

to explain Jakarta's resistance in Aceh and Papua after losing East Timor (interpretation: Walter 2009 [E]).

5.6 The role of the military

Military cohesion is the single most important variable separating Indonesia's 1998 outcome from Myanmar's or Yugoslavia's. In Indonesia the armed forces, despite internal factionalism, remained a national institution with a doctrine centred on the unitary state (*NKRI*); they lost East Timor because the political centre decided to allow a vote, not because they were defeated. In Yugoslavia the federal army became an instrument of one republic; in the USSR the army declined to hold the union together by force; in Myanmar the army is cohesive but faces territorially entrenched armed organisations (interpretation).

5.7 The economics of small states

Arguments that a resource-rich region would prosper alone must contend with the economics of state size (BRIEF instruction: do not assume secession brings prosperity).

- **Alesina and Spolaore (*The Size of Nations*, 2003)** model a trade-off between the economies of scale of larger states (defence, public goods, internal markets, risk-sharing across regions) and the costs of heterogeneity of preferences. Trade openness lowers the cost of being small, which helps explain the post-1945 proliferation of states [E]. **Bolton and Roland (1997)** show that regions with income levels far from the national median have incentives to secede to avoid redistribution, but that efficiency losses from break-up restrain them [E].
- **Resource-rich small states** face rentier and Dutch-disease risks (Ross 2012; Karl 1997 [E]) and the volatility of a narrow revenue base. Brunei's model rests on a tiny population, a monarchy with dynastic legitimacy and a century of separate statehood – conditions not replicable by an Indonesian province (to be developed in the comparative chapter).
- **Transition costs** include new currencies, central banks, debt division, defence, border administration and market access, and the legal impossibility under Indonesia's constitution of a negotiated exit (Part 1.2(6)). Timor-Leste's experience – dependence on a petroleum fund established in 2005, depleting reserves, and admission as ASEAN's eleventh member in October 2025 [E] – illustrates both that small post-secession states can survive and that they face significant fiscal fragility (interpretation; figures to be supplied by the political-economy agent).

5.8 Synthesis: conditions associated with crisis-to-fragmentation

Drawing on Parts 4-5, regime crises are associated with territorial fragmentation when most of the following conditions co-occur (hypothesis for testing in the synthesis chapter):

1. Pre-existing territorial units with legal personality, borders and elites (ethnofederalism; colonial-era separate status).
2. A recognisable claim under international norms (decolonisation; dissolving federation).
3. A divided or defeated central military, or one unwilling to enforce unity.
4. An organised regional movement with administrative capacity and, in armed cases, resource revenues.

5. External recognition or protection by powerful states or international organisations.

6. A central regime unable or unwilling to offer credible autonomy, fiscal or identity concessions.

East Timor in 1999 met conditions 1-2 and 4-5, plus a centre that chose to concede. Aceh met condition 4 and partly 6 before 2005; Papua meets condition 4 partially. No Kalimantan province meets conditions 1-3 or 5 (inference from the evidence in this paper; to be confirmed by R-agents covering Kalimantan).

Part 6. Indonesian resilience, 2024-2026: a neutral assessment

This part reports indicators and events as of 7 November 2026. It does not forecast. It applies the typology: the question is not "will Indonesia collapse?" but which, if any, of the six categories current stresses bear on.

6.1 Democratic-quality in-dices

Index (edition)	Indonesia's score / category	Trend	Source and tag	Limitation
Freedom House, *Freedom in the World 2026* (covers 2025)	**56/100, Partly Free**; Political Rights 28/40; Civil Liberties 28/60	Unchanged from prior edition (56)	freedom

V-Dem's report, as quoted by Kompas, attributes Indonesia's autocratisation under President Joko Widodo to a coalition including "business, conservative Islam, the National Police and the Indonesian Military", and states that Prabowo

Reading the indices together. All three democracy indices record decline over roughly a decade; none records collapse. Freedom House still awards Indonesia full marks (4/4) for the free and fair election of the head of government and legislature, while

6.2 Civil-military developments: the 2025 TNI law revision

On **20 March 2025** the DPR unanimously approved amendments to Law 34/2004 on the Indonesian National Armed Forces [V – Antara]. President Prabowo signed it as **Law 3/2025**, dated and in force from **26 March 2025** [E – BPK legal database; Antara]. The amendments [V

- **Article 3:** the president's authority over deployment and use of force is unchanged; the Defence Ministry's coordinating role over defence strategy and administrative support is clarified.

- **Article 7:** non-combat "military operations other than war" increase from 14 to 16, adding cyber-threat mitigation and the protection and rescue of citizens and national interests abroad.

- **Article 47:** the number of civilian ministries and agencies in which **active** officers may serve rises from **10 to 14** (including, among others, the Attorney General's Office according to Reuters and the Straits Times [E]), on request

- **Article 53:** retirement ages rise – to 55 for enlisted personnel and NCOs, 58 for commissioned officers up to colonel, and higher for generals (Antara: "between 63 and 65" for high-ranking officers; other outlets give a graded scale by star rank)

Supporters, including the chair of DPR Commission I, argued that the changes do not erode civilian supremacy [V]. Critics, including civil-society groups and academics, argued that the process lacked public participation and risks a return toward

Assessment against the typology. The revision bears on regime quality (category 2, gradual transformation) rather than on state cohesion. A professional, unified military subordinate to an elected president is, in comparative terms (Part 5.6), a factor *for*

6.3 The August 2025 protests

What happened. Protests began in Jakarta on **25 August 2025** over reports that all 580 DPR members received a monthly housing allowance of Rp 50 million (about US$3,075), roughly ten times Jakarta's minimum wage, on top of salaries and other allowances, amid cost

Responses. On **31 August 2025** President Prabowo, flanked by the leaders of eight political parties, announced that lawmakers' housing allowance would be cut and overseas trips suspended [E – Reuters; AP; Guardian]. Protesters' "17+8 demands" – including an independent

Assessment. The episode was the most serious urban unrest since 1998 by several accounts ("worst violence in decades" – Reuters [E]). It produced concessions and a reshuffle – category (1) government instability – and contributed to a decline in Freedom

6.4 Fiscal and macroeconomic position

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- **Deficit.** The Finance Ministry's provisional 2025 central-government deficit was **Rp 695.1 trillion, 2.92 per cent of GDP**, against an original target of 2.53 per cent and a statutory ceiling of 3 per cent (Law 17/2003) [E – Kemenkeu press slides, Bloomberg, Kompas]; Bloomberg described it as

-

Debt. Central-government debt was about **Rp 9,549 trillion, ~40.1 per cent of GDP, at end-2025** (39.8 per cent at end-2024), well below the 60 per cent legal ceiling [E – Bisnis.com; Kompas; the minister cited 40.5 per cent]. *Limitation:* ratios de

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- **Revenue.** Tax revenue in 2025 was about 8 per cent of GDP, the lowest since 2017 outside the pandemic [E – Bisnis.com], an important indicator of state fiscal capacity in Slater's sense (2.4).

- **Currency.** The rupiah set successive nominal record lows in 2026, passing Rp 17,000 per US dollar on 1 April and reaching **Rp 17,505 intraday on 12 May 2026** [V – CNBC Indonesia], amid a war involving the United States, Israel and

-

Policy credibility. Fitch and Moody's downgraded Indonesia's rating *outlook* in 2026, citing policy unpredictability [E

–

Reuters, September 2026]. On **14 September 2026** Prabowo replaced Purbaya with Deputy Finance Minister **Suahasil Nazara**

Assessment. Indonesia's fiscal position is stretched relative to its own rules but far from the 1997-98 configuration of short-term foreign-currency corporate debt, fixed-rate collapse and banking failure. The relevant regime-dynamics risk is erosion of *pol*

6.5 Elite cohesion: the November 2026 wiretapping case

On **3 November 2026** national police announced the detention of three senior police generals, including **former national police chief Gen. Listyo Sigit Prabowo**, who had been appointed presidential chief of staff on 1 October 2026, on suspi-

Assessment. This is a fast-moving story; facts may change. In the terms of Part 2, it bears on the **power-sharing problem** (Svolik) – the relationship between the ruler and powerful insiders, including a police institution that V-Dem identifies as part

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6.6 Strengths and stresses: a balanced ledger

Institutional strengths (evidence)	Stresses (evidence)
Five direct presidential elections (2004-2024) and repeated peaceful transfers of power [E]; FH 4/4 on free election of executive and legislature [V]	Declining democracy in

Overall assessment (neutral). On the evidence reviewed, Indonesia in 2024-2026 exhibits *democratic-quality stress* (contested movement within category 2) and episodes of *government instability* (category 1). There is no evidence pointing to constitutional rup-

Disputes and uncertainties

1. **Rupiah low point.** Commonly cited as Rp 16,800 (mid-June 1998, intraday); closing low Rp 15,200 (16 June 1998, Refinitiv); some sources cite about Rp 17,000 intraday in January 1998, and CNN Indonesia cites Rp 16,650 for 17 June 1998 [V/E]. Recommend: "about Rp 16,800 at its intraday trough in June 1998 (some accounts cite ~Rp 17,000 in January 1998)".
2. **The "fourteen ministers".** Contemporaneous Kompas says they refused to join a reshuffled Reform Cabinet/Committee [V]; later popular accounts call it a mass resignation; Ginandjar disputed that framing in 2026 [E]. Use the narrower wording.
3. **Who organised the May 1998 riots.** TGPF found indications of organisation and recommended further investigation; no court has established responsibility. Claims about specific officers or factions remain allegations. The scale of sexual violence was verified by TGPF at 85 reported cases, explicitly not a total; public denial in 2025 was rebutted by Komnas Perempuan [E].
4. **Casualty figures for May 1998.** TGPF reports four different data sets for Jakarta (288 to 1,217 deaths) [V]; no single figure should be presented without its source.
5. **Military factionalism in May 1998.** Accounts of rivalry between Wiranto and Prabowo Subianto are widespread in journalism and memoirs (including Habibie's) but contested in their details [E]; the manuscript should present them as competing accounts.
6. **Regime classification of the New Order.** Military, personalist, or hybrid? GWF's precise coding and end date (1998 vs. 1999) were not verified in this session.
7. **V-Dem LDI for 2023.** Kompas reports both 0.36 and 0.34 in different articles [V/E]; check the V-Dem v16 dataset directly.
8. **V-Dem vs. other indices.** The "electoral autocracy" label is a grey-zone classification contested by government voices and some scholars; FH and EIU retain intermediate categories. Present all three.
9. **TNI retirement ages.** Reports differ on generals' retirement ages; verify against the text of Law 3/2025.
10. **August 2025 death toll.** Komnas HAM 10, police 7, YLBHI 10 including Affan [E]; report as a range with sources.
11. **Wiretapping case.** A developing story as of 7 November 2026; facts and characterisations (including "treason") are official statements under investigation, not findings.
12. **Slater's treatment of Indonesia.** The summary in 2.4 should be checked against the chapter text before quotation.
13. **Myanmar territorial control.** "Less than half" is a journalistic estimate; control maps vary by source and season.

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End of R6.